

Leveraged Inverse ETFs

Borderline Suitability Hypotheticals

100 scenarios | Question: Did the financial advisor violate suitability or best interest requirements?

Borderline Scenario 1

Topic: *inappropriate_risk_profile* | Standard: FINRA Rule 2111 (Suitability) - requiring reasonable-basis, customer-specific, and quan

Fact Pattern

Marcus Delaney, a 58-year-old semi-retired electrical engineer, opened a brokerage account with Ridgeline Financial Services in March 2021. On his new account form, Marcus indicated a "growth" investment objective, a 7-to-10-year time horizon, annual income of \$145,000 from consulting work and rental properties, a liquid net worth of approximately \$1.8 million, and investment experience that included 20 years of trading individual stocks and standard ETFs. He checked "moderate to aggressive" for risk tolerance. He did not list any experience with leveraged or inverse products, options, or futures.

Marcus's advisor, Theresa Kim, had been in the industry for 14 years and held Series 7 and 66 licenses. In April 2021, during a portfolio review, Marcus told Theresa he had been reading about leveraged ETFs that offered 2x daily exposure to the semiconductor sector. He said he believed the chip shortage would drive semiconductor stocks significantly higher over the next 12 to 18 months, and he wanted to capitalize on this thesis more aggressively than a standard sector ETF would allow. He specifically asked about a 2x daily-resetting leveraged semiconductor ETF (ticker: SXLX), which had approximately \$900 million in assets under management and average daily trading volume of 3.2 million shares.

Theresa discussed with Marcus that this product resets daily and that its returns over periods longer than one day could diverge significantly from 2x the index return, particularly in volatile or choppy markets. She emailed him a product fact sheet from the ETF issuer that included hypothetical examples showing how daily compounding could erode returns in range-bound markets. She also verbally noted that the semiconductor sector itself was highly cyclical and concentrated.

Marcus responded by email: "I understand the compounding thing. I've watched several YouTube videos on how these work. I'm comfortable with it - I know it's not a buy-and-hold-forever product, but I think semis are going on a strong run for at least a year. I want to put \$150,000 into SXLX."

The \$150,000 allocation represented approximately 8.3% of Marcus's liquid net worth. Theresa approved the purchase. She made a note in her CRM system documenting their conversation and Marcus's acknowledgment of the daily-reset mechanism.

Over the following months, the semiconductor index experienced significant volatility. Between April 2021 and October 2021, the underlying index rose approximately 18%, but SXLX returned only about 27% rather

than the 36% a naive investor might expect from 2x leverage. Marcus was somewhat disappointed but held on. Then, from November 2021 through June 2022, the semiconductor sector experienced a sharp drawdown of approximately 35%. SXLX declined roughly 58% during this period - substantially worse than a simple 2x multiple of the index loss would suggest - due to volatility decay during the whipsaw trading environment.

By August 2022, Marcus's \$150,000 position was worth approximately \$51,000, a loss of roughly \$99,000. The underlying semiconductor index was down about 22% from his purchase date, while SXLX was down approximately 66%.

Marcus filed a complaint alleging that Theresa should never have allowed the purchase given that his account profile showed no prior experience with leveraged products and that his stated time horizon of 7 to 10 years was fundamentally incompatible with a daily-resetting leveraged ETF. He also argued that 8.3% of his liquid net worth was an excessive concentration for such a volatile product.

Theresa and Ridgeline countered that Marcus was a sophisticated, high-net-worth investor who initiated the idea himself, understood the daily-reset mechanism after receiving written disclosures, explicitly stated in writing that he understood the product was not a long-term hold, had a moderate-to-aggressive risk tolerance, and that \$150,000 was a modest percentage of his overall portfolio. They also noted that Theresa documented the conversation and that the firm's supervisory system flagged the trade for principal review, which was approved the same day after the supervisor reviewed Marcus's account profile and the CRM notes.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Theresa violated her obligations:

1. Marcus's new account form listed zero experience with leveraged, inverse, or complex products. His 20 years of experience was limited to vanilla stocks and ETFs. Under FINRA Rule 2111 (Suitability) and its three components - reasonable-basis, customer-specific, and quantitative suitability - and under Regulation Best Interest (Rule 15l-1), the advisor must consider the customer's actual investment experience with the specific product type. A 2x daily-resetting leveraged ETF behaves fundamentally differently from a standard ETF, and prior stock-picking experience does not translate into understanding of path dependency, volatility decay, and compounding risk.
2. The account form listed a 7-to-10-year investment horizon. FINRA Regulatory Notice 09-31 explicitly warned that leveraged and inverse ETFs that reset daily are "typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets." While Marcus verbally indicated a 12-to-18-month holding thesis, this was never formally documented as an amendment to his investment profile. The formal profile still showed a long-term horizon, creating a mismatch.
3. FINRA Regulatory Notice 22-08 reinforced concerns about complex products and asked whether additional safeguards - such as specialized account approvals, knowledge assessments, or mandatory

educational materials - should be required before investors can access products like leveraged ETFs. While RN 22-08 was a request for comment rather than a binding rule change, it reflects the regulatory posture that broker-dealers should exercise heightened diligence with these products.

4. Marcus ultimately held SXLX for approximately 16 months - well beyond the single-day period for which the product's leverage ratio is designed. There is no evidence that Theresa implemented any monitoring protocol, set any stop-loss alerts, or conducted interim reviews to assess whether continued holding remained appropriate as volatility increased. Under the care obligation of Reg BI, the advisor has a duty not just at the point of recommendation but arguably in monitoring a position she helped establish, particularly one with known time-decay characteristics.

5. The \$99,000 loss represented a 66% decline, far exceeding what the underlying index lost (22%), dramatically illustrating the volatility decay and path-dependency risk that regulators have repeatedly flagged as dangerous for retail investors.

Arguments that Theresa acted appropriately:

1. Marcus was not a typical unsophisticated retail investor. He was a 58-year-old engineer with \$1.8 million in liquid assets, 20 years of active trading experience, and self-identified moderate-to-aggressive risk tolerance. He initiated the trade idea himself after conducting his own research.

2. Theresa provided meaningful disclosure: she verbally explained the daily-reset mechanism, emailed the issuer's fact sheet with hypothetical compounding examples, and documented these steps. Marcus confirmed in writing that he understood the product was not a buy-and-hold investment.

3. The \$150,000 allocation constituted only 8.3% of Marcus's liquid net worth. For a moderate-to-aggressive investor, an 8.3% tactical allocation to a sector thesis - even using leverage - is not per se unreasonable, particularly when the remainder of the portfolio was presumably diversified.

4. The product itself - SXLX - was a registered, exchange-traded fund with nearly \$1 billion in AUM and robust daily liquidity. It was not an illiquid, opaque, or bespoke structured product. Many industry participants, including major asset managers, have argued (as reflected in comment letters to FINRA regarding RN 22-08) that leveraged ETFs are transparent, liquid, and widely used by informed investors, and that overly restrictive access rules could harm investors by limiting their choices.

5. The firm's supervisory system did flag the trade for heightened review, and a principal approved it after reviewing the documentation. This suggests the firm had a reasonable supervisory framework in place, consistent with FINRA's expectations for complex product oversight.

6. Regarding the holding period, Marcus was an autonomous, self-directed investor in this regard - he chose to hold through the drawdown. Theresa did not recommend that he continue holding; she recommended the initial purchase. Whether an ongoing monitoring obligation existed depends on the nature of the advisory relationship and whether this was a brokerage or advisory account. If this was a transaction-based brokerage account, the ongoing duty to monitor is more limited.

Why Borderline

This scenario sits in a genuine gray area because the customer had meaningful financial sophistication and resources, voluntarily initiated the trade, received and acknowledged disclosures about the specific risk (daily resetting and volatility decay), and allocated a relatively modest portfolio percentage to the position. However, his formal account profile showed no leveraged product experience and a long-term time horizon - both of which are red flags that regulators have specifically identified as contraindications for daily-resetting leveraged ETFs. The tension between a customer's expressed understanding and their documented profile, combined with the question of whether an 8.3% allocation is 'too much' for a product with known decay characteristics, creates a fact pattern where reasonable compliance officers, arbitrators, and regulators could reach different conclusions.

Borderline Factors

- Customer initiated the trade idea and expressed written understanding of daily-reset risk, but formal account profile showed no leveraged product experience
 - Account time horizon was 7-10 years (long-term), but customer verbally articulated a 12-18 month tactical thesis for this specific position - the profile was never formally updated
- The 8.3% portfolio allocation is modest in percentage terms but significant in absolute dollars (\$150,000) for a product with known volatility-decay characteristics
 - The advisor provided disclosures and documented the conversation, but did not implement any ongoing monitoring, stop-loss, or periodic review protocol for a daily-resetting product held over many months
- The product was a highly liquid, widely-traded, registered ETF - not an illiquid or opaque structured note
- complicating the 'complex product' framing
 - The customer is educated and high-net-worth but is not a financial professional, and YouTube videos may not constitute adequate self-education on path dependency mathematics
- The firm's supervisory system flagged and approved the trade, suggesting institutional-level review occurred, but the depth of that review is unclear
 - The 66% loss versus a 22% index decline powerfully illustrates volatility decay but occurred partly because the customer chose to hold through a severe drawdown without any stop-loss discipline

Likely Outcome

A regulator would most likely find a technical violation but impose limited sanctions. The core issue is the mismatch between the documented account profile (no leveraged product experience, long-term horizon) and the product purchased. Regulators have consistently emphasized that firms must ensure customer profiles accurately reflect the basis for complex product transactions, and that advisors cannot rely solely on oral disclosures when the written profile tells a different story. The failure to update the investment profile to reflect Marcus's shorter-term tactical thesis and his stated understanding of leveraged products is a documentation deficiency that undermines the firm's defense. Additionally, the absence of any formalized monitoring or check-in protocol for a daily-resetting product held over many months would concern examiners, especially in light of FINRA's repeated guidance on this exact issue. However, the mitigating factors - Marcus's sophistication, the modest allocation percentage, his written acknowledgment, the firm's supervisory review, and Marcus's own decision to continue holding - would likely temper the sanction. A FINRA arbitration panel might award partial damages or find shared responsibility. A regulatory examination might result in a supervisory deficiency letter or a modest fine rather than a major enforcement action, with the firm being directed to enhance its procedures for complex product approvals, including mandatory profile updates and periodic holding-period reviews for daily-resetting leveraged products.

Borderline Scenario 2

Topic: senior_investor_exploitation | Standard: Regulation Best Interest (Rule 15l-1), including the Care Obligation (Rule 15l-1(a)(2))

Fact Pattern

Margaret Ellison, age 71, is a retired aerospace engineer with a \$2.4 million portfolio held at a regional broker-dealer. She receives approximately \$62,000 annually from Social Security and a corporate pension, covering her basic living expenses. Her brokerage account represents supplemental wealth she describes as 'growth money for my estate and grandchildren.' She has a written investment objective of 'growth' and a risk tolerance marked as 'aggressive' on her new account form, which she updated herself in January 2023 after attending an investor education seminar on portfolio leverage. She holds a BS in engineering and an MBA, and previously managed a \$15 million departmental budget during her career. She has traded options in prior years and maintained a margin account since 2016.

Her financial advisor, Daniel Kirsch, age 38, met with Margaret in February 2023. During the meeting, Margaret expressed frustration that her traditional 60/40 portfolio had underperformed during 2022 and said she wanted to 'make up ground' by taking a more aggressive stance on the S&P 500 over the next three to five years. She specifically asked Daniel about leveraged ETFs after reading about them in a financial magazine article. Daniel discussed with her how daily-resetting leveraged products work, including the concept that returns over periods longer than one day can deviate significantly from the leveraged multiple of the index return, particularly in volatile or sideways markets. He provided her with a one-page product summary sheet that included a hypothetical showing how a 2x daily leveraged S&P 500 ETF could lose money even when the underlying index was flat over six months due to daily compounding effects.

After this discussion, Margaret directed Daniel to allocate \$360,000 - approximately 15% of her portfolio - to a 2x daily leveraged S&P 500 ETF (ticker: SSO). Daniel documented the conversation and Margaret's direction in his CRM notes. He did not, however, establish any automatic rebalancing triggers, stop-loss orders, or a defined monitoring schedule. He told Margaret he would 'keep an eye on it' during their quarterly reviews.

Over the next 18 months, the S&P 500 experienced a choppy but ultimately modestly positive trajectory, gaining approximately 11% cumulatively. Due to volatility decay from the daily reset mechanism, Margaret's 2x leveraged ETF position gained only approximately 14% - well below the 22% that a naive investor might expect from a 2x product over that period, but still a positive return. Her position grew to roughly \$410,000.

In August 2024, Margaret's son, a corporate attorney, reviewed her statements and filed a complaint with the firm, alleging that Daniel had placed his elderly mother in a complex, unsuitable speculative product designed for day traders, and that the 15% allocation was excessive for a 71-year-old retiree. The son emphasized that Margaret had begun showing early signs of mild cognitive decline by mid-2024, though no formal diagnosis had been made at the time of the investment and Margaret's physician confirmed she was fully competent in February 2023. The firm's compliance department noted that Daniel had not submitted the leveraged ETF purchase through the firm's complex products review queue, which was required under internal policy for all leveraged and inverse ETF transactions, though Daniel stated he was unaware of the policy update that had been circulated via email in December 2022.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations on both sides.

Arguments that Daniel did NOT violate applicable standards:

1. Customer profile supported the recommendation: Margaret had an aggressive risk tolerance, a growth objective, substantial liquid assets (\$2.4M), no dependence on the brokerage account for living expenses, an MBA and engineering background, and prior experience with options and margin accounts. She was arguably a sophisticated investor.
2. The allocation was moderate: At 15% of her portfolio, the leveraged ETF position was a meaningful but not dominant allocation. The remaining 85% of her portfolio was in traditional investments.
3. Margaret initiated the idea: She asked about leveraged ETFs after independent research. Daniel did not cold-call her with the product or push it on an unwitting client.
4. Disclosure was provided: Daniel discussed the daily-reset mechanism, volatility decay, and provided a written hypothetical showing how the product could lose money even in a flat market. This demonstrates an effort to ensure the customer understood the product's risks.
5. The position was profitable: Over the 18-month holding period, the position gained approximately 14%, a positive outcome even if it underperformed the naive 2x expectation.
6. Competency was not in question at time of recommendation: Margaret's physician confirmed she was fully competent in February 2023 when the investment was made.

Arguments that Daniel DID violate applicable standards:

1. Failure to follow firm supervisory procedures: Under FINRA Rule 3110 and the firm's internal compliance policies, leveraged ETF purchases were required to go through a complex products review queue. Daniel failed to submit the transaction, regardless of whether he was aware of the policy. Ignorance of an internal policy circulated to all advisors is generally not a defense. This is a clear procedural violation even if the underlying recommendation was suitable.
2. Inadequate monitoring framework: FINRA Regulatory Notices 09-31 and 22-08 emphasize that daily-resetting leveraged products require active, ongoing monitoring - not just quarterly reviews. The absence of stop-loss orders, rebalancing triggers, or a formal monitoring schedule for a product known to exhibit path dependency and volatility decay could be viewed as a failure of the care obligation under Regulation Best Interest (Rule 15l-1(a)(2)(ii)(B)), which requires reasonable diligence regarding the frequency of recommended transactions.

3. Age-related heightened scrutiny: While Margaret was competent and sophisticated, her age (71) triggers enhanced scrutiny under FINRA guidance on senior investors. The fact that cognitive decline manifested within 18 months of the investment - even though it was not present at the time - raises questions about whether a longer time horizon investment in a complex daily-resetting product was prudent for someone in her demographic.

4. Holding period mismatch: Leveraged ETFs with daily resets are designed for short-term tactical use. An 18-month (and ongoing) holding period is inconsistent with the product's design. While Margaret expressed a 3-5 year horizon, using a daily-resetting leveraged product for that timeframe introduces compounding risks that are well-documented in regulatory guidance. Under Reg BI's care obligation, the advisor must consider reasonably available alternatives - Margaret could have achieved similar leveraged exposure through a margin account (which she already had) without the volatility decay inherent in daily-resetting products.

5. The 'customer-directed' defense is limited: Even when a customer requests a specific product, the advisor retains an obligation under Reg BI to ensure the recommendation (or at minimum, the acquiescence to a customer's direction when the advisor facilitates the trade) is in the customer's best interest. Simply executing a customer's request without pushback when the product has known structural risks for the intended use case may not satisfy the care obligation.

Regarding the specific regulatory framework: FINRA Rule 2111 (suitability) applies to the quantitative and qualitative assessment of the recommendation. Regulation Best Interest (Rule 15l-1) imposes a higher standard requiring the advisor to act in the customer's best interest, considering costs, risks, and reasonably available alternatives. FINRA RN 09-31 specifically warns that leveraged ETFs 'are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' FINRA RN 22-08 reinforces heightened obligations for complex products including leveraged ETFs. FINRA Rule 3110 governs supervisory systems, making the firm potentially liable for the compliance queue bypass regardless of the substantive suitability analysis.

Why Borderline

This is a genuine gray area because the customer profile - a wealthy, educated, experienced investor with aggressive risk tolerance and no income dependence on the account - is precisely the type of client for whom complex products can be appropriate. The allocation was moderate (15%), the customer initiated the idea, disclosures were made, and the investment was profitable. However, the advisor failed to follow internal complex product review procedures, did not establish a monitoring framework appropriate for daily-resetting products, held the position for 18 months in a product designed for short-term use, and the customer is a 71-year-old retiree who subsequently showed signs of cognitive decline. The academic literature (including the referenced Balter, García, and Schweizer paper) suggests leveraged ETFs can be suitable for sufficiently risk-tolerant long-term investors under certain conditions, adding further ambiguity to the regulatory analysis. Reasonable compliance officers could disagree on whether the substantive recommendation was appropriate even while agreeing the procedural violation occurred.

Borderline Factors

- Customer was wealthy, sophisticated, and experienced with complex products including options and margin

- Customer self-selected aggressive risk tolerance and initiated the leveraged ETF idea independently
- Advisor provided meaningful disclosure about daily-reset mechanics and volatility decay
- 15% allocation was material but not dominant - 85% remained in traditional investments
- Position was profitable over the holding period despite underperforming the naive 2x expectation
- Customer was fully competent at time of investment per physician confirmation
- 18-month holding period is inconsistent with product design as a daily-resetting instrument
- No formal monitoring schedule, stop-loss, or rebalancing triggers were established
- Advisor bypassed the firm's mandatory complex products review queue
- Customer was 71 years old and subsequently showed early signs of cognitive decline
- Reasonably available alternatives (e.g., margin account leverage) could have achieved similar exposure without volatility decay
- Emerging academic research suggests leveraged ETFs may be suitable for risk-tolerant long-term investors under certain conditions

Likely Outcome

A regulator would most likely find a procedural violation for the failure to submit the transaction through the firm's complex products review queue, as this is a clear-cut breach of internal supervisory policy regardless of the substantive merits. On the substantive suitability/best interest question, the outcome is closer to 50/50 but would likely result in a finding of violation, primarily because: (1) the 18-month holding period without a defined monitoring framework for a daily-resetting product falls below the standard of care expected under Reg BI and FINRA guidance; (2) reasonably available alternatives existed that could have provided leveraged exposure without the structural drag of daily compounding; and (3) the customer's age triggers heightened scrutiny that the advisor's informal 'keep an eye on it' approach does not satisfy. However, mitigating factors - the customer's sophistication, the moderate allocation, the disclosures provided, and the profitable outcome - would likely reduce any sanctions significantly. The firm itself would face separate supervisory liability under FINRA Rule 3110 for the compliance queue bypass.

Borderline Scenario 3

Topic: high_fees_unsuitable | Standard: FINRA Rule 2111 (Suitability - reasonable basis, customer-specific, and quantitative suitability)

Fact Pattern

Margaret Bellingham, age 58, is a recently retired human resources director with a \$1.4 million IRA rollover account and a separate \$600,000 taxable brokerage account. She has 22 years of investing experience, primarily in index mutual funds and blue-chip stocks. Her stated objectives are growth and income, with a moderate risk tolerance. She holds a bachelor's degree in business and reads financial publications regularly. In January 2023, she told her financial advisor, Derek Paulson, that she was concerned about a potential market downturn over the next 12 to 18 months based on articles she had read about rising interest rates and inverted yield curves. She specifically asked Derek about ways to hedge her equity exposure without liquidating her stock positions, which had significant unrealized capital gains.

Derek recommended that Margaret allocate \$120,000 (approximately 6% of her combined portfolio) from her taxable account into a 3x leveraged inverse S&P 500 ETF (trading under the ticker SPXS) as a tactical hedge. The fund carries an expense ratio of 1.01%, significantly higher than the 0.03%-0.09% expense

ratios on her existing index holdings. Derek explained that the product resets daily, that it could lose value even if the market declined over time due to compounding effects, and that it was intended as a short-term tactical position. He documented these disclosures in his notes and in a follow-up email to Margaret, in which he wrote: 'This is a 3-month to 6-month position. We will monitor it weekly and I recommend we exit by July 2023 at the latest regardless of market conditions.' Margaret signed an acknowledgment form provided by the broker-dealer confirming she understood the product's daily reset mechanism and risks.

Derek set calendar reminders and conducted seven phone calls with Margaret between January and June 2023 to discuss the position's performance. During those calls, the S&P 500 rose approximately 14%, and the SPXS position lost roughly 42% of its value - a loss of approximately \$50,400. In each call, Derek recommended closing the position, but Margaret declined, stating she believed a correction was 'imminent' and wanted to hold. In their April call, she said, 'I've read that the market always crashes after this kind of run - I want to double down.' Derek talked her out of adding to the position but did not liquidate the existing holding over her objection.

In July 2023, Margaret finally agreed to sell, realizing a \$50,400 loss. She subsequently filed a complaint alleging the investment was unsuitable given her age, retirement status, and moderate risk profile, and that the fund's high internal expenses (roughly 10x her other holdings' costs) combined with the daily compounding decay made the product inappropriate for her. She also alleged that Derek should have refused to maintain the position after the first significant losses. Derek's firm conducted an internal review and noted that the position represented only 6% of her total assets, that the recommendation was for a defined short-term tactical purpose with documented disclosures, and that the losses were extended primarily by the client's own repeated refusal to exit despite the advisor's documented recommendations to do so.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises genuine tension between several regulatory considerations.

Arguments that the advisor violated applicable standards:

1. Product complexity and customer profile mismatch: A 3x leveraged inverse ETF is a complex, speculative product. Margaret is 58, recently retired, and has a moderate risk tolerance. Under FINRA Rule 2111 (suitability) and Regulation Best Interest (Rule 15l-1 under the Exchange Act), an advisor must have a reasonable basis to believe a recommendation is in the customer's best interest at the time it is made. Recommending a triple-leveraged inverse product to a moderate-risk retiree could be viewed as inherently misaligned with her profile, regardless of position size.
2. Cost considerations: Reg BI's cost component requires advisors to consider reasonably available alternatives. Margaret could have purchased protective put options on her existing index holdings, used a 1x inverse ETF with lower leverage and lower expense ratio, or simply reduced equity exposure in the IRA (which had no embedded gains issue). The 1.01% expense ratio on SPXS - plus the implicit cost of daily compounding decay - may represent an unreasonable cost relative to alternatives. FINRA Regulatory

Notice 22-08 specifically highlights that complex products like leveraged/inverse ETFs require heightened scrutiny and that firms must evaluate whether less costly, less complex alternatives exist.

3. Structural unsuitability: FINRA Regulatory Notice 09-31 explicitly warns that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who plan to hold them for more than one trading session. Even though the advisor framed this as a 3-6 month hold, a daily-resetting 3x product over that timeframe is subject to significant path dependency and volatility decay, as demonstrated by the 42% loss on a 14% adverse move (far exceeding the 3x relationship due to compounding).

4. Ongoing duty: Once losses mounted, some regulators might argue the advisor had an obligation to do more than merely recommend liquidation - potentially escalating to the firm's supervisory structure to force a review of whether maintaining the position was consistent with the customer's stated objectives.

Arguments that the advisor acted appropriately:

1. Reasonable tactical hedging rationale: Margaret specifically requested a hedge against market decline without selling appreciated stock positions. A 6% allocation to an inverse leveraged ETF as a defined-duration tactical overlay is not per se unreasonable. Many sophisticated hedging strategies involve products with higher expense ratios than core holdings.

2. Thorough disclosure and documentation: Derek provided written disclosures about daily resetting, volatility decay, and the short-term nature of the position. He obtained a signed acknowledgment. This exceeds the minimum documentation many firms require and satisfies the disclosure component of Reg BI.

3. Active monitoring and repeated recommendations to exit: Derek made seven documented calls over six months, each time recommending Margaret close the position. The loss was extended beyond his recommended timeframe solely because the client overrode his advice. Under FINRA RN 12-03, while the initial recommendation must be suitable, a client's autonomous decision to hold a position against advice shifts some responsibility.

4. Position sizing: At 6% of total assets, the position was not a concentrated bet. Even the total loss of \$50,400 represents approximately 2.5% of her combined portfolio. For a client with \$2 million in investable assets and 22 years of experience, this is within the range many compliance professionals would consider acceptable for a tactical allocation.

5. Client sophistication: Margaret is college-educated, has over two decades of investing experience, reads financial publications, and independently formed a macro thesis about rate hikes and yield curve inversion. She is not a novice retail investor being introduced to complex products for the first time.

6. The customer's own conduct: Margaret not only refused to sell but wanted to double down. Derek actually dissuaded her from increasing the position. The final loss is substantially attributable to the client's own decisions made against the advisor's documented recommendations.

Why Borderline

This is a genuine gray area because the initial recommendation has defensible tactical logic (small allocation, client-driven hedging need, thorough disclosure, active monitoring), but the product itself - a 3x daily-resetting leveraged inverse ETF - is one that regulators have repeatedly flagged as generally inappropriate for retail investors holding beyond a single day. The tension between a well-documented, appropriately sized tactical recommendation and the inherent structural unsuitability warnings for this product category creates real disagreement among practitioners. The fact that losses were extended by the client's own repeated refusal to follow the advisor's exit recommendations further complicates the analysis. Additionally, the cost argument is weakened by the fact that alternatives (like put options) carry their own complexity and costs, and the client had a specific reason for not wanting to liquidate equity positions.

Borderline Factors

- Product is explicitly flagged by regulators as generally unsuitable for holding periods beyond one day, yet the advisor recommended a 3-6 month hold - short-term, but not intraday
- 6% position size is modest relative to total portfolio, limiting actual financial harm
- Client has 22 years of investing experience and independently formed the macro thesis driving the request
- Advisor provided thorough written disclosures, obtained signed acknowledgment, and actively monitored with seven documented calls
- Advisor repeatedly recommended liquidation but client overrode that advice each time
- The 1.01% expense ratio is high relative to alternatives, but cost comparison is complicated by the client's tax-driven constraint against selling appreciated positions
- Alternatives like put options carry their own complexity, cost, and may require options approval the client may not have had
- Total realized loss of \$50,400 on a \$2 million portfolio (2.5%) is meaningful but not devastating for the client's retirement security

Likely Outcome

A regulator would most likely find this to be a close call but lean toward no violation, with a possible supervisory criticism. The initial recommendation, while involving a complex product, was responsive to a specific client-driven hedging need, was appropriately sized, was thoroughly disclosed, and was intended as a short-duration tactical position. The advisor's documented and repeated efforts to close the position, which the client rejected, significantly mitigate liability for the extended losses. However, a regulator might issue a supervisory finding against the firm for permitting a 3x leveraged inverse ETF to be held in a moderate-risk retiree's account for six months without triggering an automatic escalation or forced review. The firm's complex products supervision framework - or lack thereof - would likely receive more scrutiny than the individual advisor's conduct. Under FINRA RN 22-08, the firm may be expected to have had automated alerts or holding-period limits for daily-resetting leveraged products, and the absence of such controls could result in a supervisory deficiency finding even if the advisor personally is not sanctioned.

Borderline Scenario 4

Topic: failure_to_know_customer | Standard: FINRA Rule 2111 (Suitability) - particularly the customer-specific suitability obligation re

Fact Pattern

Marcus Reilly, a financial advisor at a mid-size broker-dealer in Houston, has been working with client Dr. Priya Nair, age 52, for approximately three years. Dr. Nair is a petroleum engineer with 25 years of experience in the oil and gas industry, earning approximately \$340,000 annually with a liquid net worth of roughly \$1.8 million. Her account documents, last updated in January 2022, list her investment objective as 'growth,' her risk tolerance as 'aggressive,' her time horizon as '5-10 years,' and her investment experience as 'extensive' with a self-reported familiarity with commodities and derivatives.

In March 2023, during a period of significant volatility in natural gas markets, Dr. Nair called Reilly and told him she believed natural gas prices were entering a sustained downturn based on her industry knowledge of oversupply conditions and weakening LNG export demand. She asked Reilly to purchase \$175,000 worth of a 3x leveraged inverse natural gas ETF (ticker: KOLD), which resets daily and is designed to deliver three times the inverse of the daily return of a natural gas futures index. The position represented approximately 9.7% of her total portfolio.

Reilly had a 15-minute phone conversation with Dr. Nair during which, according to his notes, he explained that the product 'resets daily and may not track the index perfectly over longer periods.' His notes also state Dr. Nair responded that she 'understood the risks and had done her own research on leveraged products.' Reilly did not provide any written materials about volatility decay, compounding effects, or path dependency. He did not ask Dr. Nair any follow-up questions about how long she intended to hold the position, did not discuss specific scenarios showing how the product could lose value even if natural gas prices declined over a multi-week period during volatile conditions, and did not update her customer account profile since January 2022.

Dr. Nair held the position for approximately 14 months. During that time, natural gas futures fell roughly 18% on a cumulative basis, but due to extreme day-to-day price swings - with multiple days of 5-8% moves in both directions - the 3x inverse ETF actually lost approximately 41% of its value, resulting in a loss of roughly \$71,750. Dr. Nair filed a complaint alleging that Reilly failed to adequately understand her actual investment knowledge regarding these specific products and failed to ensure the recommendation was appropriate.

Reilly's firm had an internal policy requiring advisors to obtain a signed leveraged/inverse ETF acknowledgment form for any client purchasing such products, which Reilly did obtain. The form included a one-paragraph disclosure stating the product was 'designed for short-term trading and may produce results that differ significantly from the stated leverage multiple over periods longer than one day.' Dr. Nair signed this form. However, the firm did not have a policy requiring advisors to set automatic alerts or follow-up review dates for leveraged ETF positions, and there was no supervisory flag triggered during the 14-month holding period.

Notably, Dr. Nair had previously traded oil futures in a personal brokerage account at another firm and had once mentioned to Reilly in a 2021 email that she had 'lost money on a 2x leveraged oil ETF a few years ago but learned from the experience.' Reilly did not reference or follow up on this email during the March 2023 conversation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Reilly violated applicable standards:

1. Failure to adequately know the customer: Although Dr. Nair's profile listed 'extensive' experience and 'aggressive' risk tolerance, Reilly did not probe whether her understanding of leveraged inverse ETFs specifically included comprehension of volatility decay, path dependency, and the mathematical mechanics of daily compounding. Knowing that a client traded oil futures or even lost money on a 2x leveraged ETF does not necessarily establish that the client understands the distinct risks of a 3x daily-resetting inverse product tied to an exceptionally volatile commodity like natural gas. Under FINRA Rule 2111 (the suitability rule) and its reasonable-basis, customer-specific, and quantitative components, as well as Regulation Best Interest's care obligation under Rule 15l-1, the advisor has an affirmative duty to understand the customer's investment profile, including actual - not merely self-reported - sophistication with the specific product type.
2. Stale customer profile: The account profile had not been updated for over 14 months at the time of the transaction. FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs are complex products that require heightened diligence, and RN 12-03 reinforces that complex product recommendations demand thorough customer knowledge. The failure to update the profile and the failure to explore the client's prior leveraged ETF loss (mentioned in a 2021 email) suggest an incomplete know-your-customer process.
3. No discussion of holding period or exit strategy: FINRA RN 22-08 emphasizes that firms must address the risks of complex products including leveraged ETFs, particularly their unsuitability for long-term holding. Reilly's 15-minute conversation, while it touched on daily resets, did not include any discussion of how long Dr. Nair planned to hold the position, nor did it include scenario analysis demonstrating potential adverse outcomes during volatile conditions - conditions that were foreseeable given the natural gas market at that time.
4. Supervisory gap: The firm's lack of an automated review or escalation process for leveraged ETF positions held beyond short-term periods (e.g., 30 or 60 days) could constitute a supervisory failure, though this is more attributable to the firm than to Reilly individually.

Arguments that Reilly did not violate applicable standards:

1. Sophisticated, high-income client with relevant expertise: Dr. Nair is a petroleum engineer with deep industry knowledge, earning \$340,000 per year with \$1.8 million in liquid assets. The \$175,000 position (9.7% of portfolio) was not an outsized concentration for someone with her stated aggressive risk tolerance and growth objective. She brought the trade idea to Reilly based on her own fundamental analysis of the natural gas market.
2. Client-directed nature of the trade: Dr. Nair initiated the request and affirmatively stated she had done her own research. While the advisor still has obligations even for solicited recommendations (and arguably this was at minimum an implicit recommendation given he executed it without pushing back), there is a

meaningful distinction between an advisor cold-calling a retiree about a 3x inverse ETF and a sophisticated energy-sector professional requesting one.

3. Disclosures were made: Reilly verbally explained the daily reset mechanism, and Dr. Nair signed the firm's leveraged ETF acknowledgment form. The client had prior experience - including a loss - on a similar product, suggesting she was not naive about the risks.

4. The client's prior leveraged ETF loss arguably demonstrates knowledge: Dr. Nair's 2021 email saying she 'learned from the experience' of losing money on a 2x leveraged oil ETF could be read as evidence she understood these products could behave unexpectedly, and she chose to proceed anyway with open eyes.

5. Holding period was the client's choice: Reilly did not advise Dr. Nair to hold the position for 14 months. The loss was largely attributable to the client's own decision to maintain the position through extreme volatility without exiting, which is arguably not the advisor's failure if the initial transaction was suitable.

Why Borderline

This case sits at the intersection of a genuinely sophisticated client who initiated the trade, signed disclosures, and had prior experience with similar products - versus an advisor who did not sufficiently probe the client's actual understanding of the specific product mechanics, did not discuss holding periods or exit strategies, did not update the customer profile, and did not follow up on a directly relevant prior loss the client had disclosed. The product performed almost exactly as regulators have warned these products will perform during volatile conditions, yet the client's profile and self-reported sophistication create a plausible argument that the know-your-customer obligation was met at a reasonable, if imperfect, level.

Borderline Factors

- Client initiated the trade based on her own professional industry analysis rather than advisor solicitation
- Client had documented prior experience with leveraged ETFs including a prior loss, suggesting awareness of risks
- Client signed a leveraged ETF disclosure form and verbally acknowledged understanding of daily reset
- Advisor's verbal disclosure mentioned daily resets but did not include scenario analysis, path dependency explanation, or volatility decay discussion
- Customer profile was 14 months stale and listed generic 'extensive' experience without product-specific granularity
- The 2021 email referencing a prior leveraged ETF loss was not revisited or explored during the 2023 conversation
- Position size (9.7% of portfolio) was meaningful but not extreme for an aggressive-growth investor
- No holding period discussion or exit strategy was established despite the product being designed for daily trading
- Firm had no automated supervisory alert for extended holding of leveraged/inverse ETF positions
- Natural gas is among the most volatile commodity markets, amplifying the compounding/decay effects of a 3x product

Likely Outcome

A regulator would most likely find a violation, but with mitigating factors that could reduce sanctions. The core deficiency is the failure to adequately explore the customer's actual understanding of 3x daily-resetting

inverse products, the failure to discuss holding period expectations and exit strategies, and the failure to update the customer profile - all of which fall short of the heightened due diligence regulators have consistently expected for complex leveraged products. However, Dr. Nair's genuine sophistication, her initiation of the trade, her prior experience with leveraged ETFs, and the signed disclosure form would likely be treated as significant mitigating factors. A panel or hearing officer would probably conclude that Reilly's know-your-customer process was inadequate under the circumstances but that the client bore meaningful contributory responsibility for the losses. The most probable outcome is a finding of violation with reduced or moderate sanctions rather than a full disgorgement of losses.

Borderline Scenario 5

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2111 (Suitability) including customer-specific, reasonable-basis, and quantitative

Fact Pattern

Marcus Holloway, a registered representative at Pinnacle Securities, has been working with client Diane Frederickson, age 58, for seven years. Diane is a retired pharmaceutical executive with a net worth of \$4.2 million, approximately \$2.8 million of which is in her brokerage account at Pinnacle. She receives a \$96,000 annual pension and \$38,000 in Social Security. Her account documents list her risk tolerance as 'aggressive,' her investment objective as 'growth,' and her time horizon as '10+ years.' She has a bachelor's degree in chemistry and an MBA from Wharton. Over the years, Diane has traded individual equities actively, averaging about 40 trades per year, and has experience with options (covered calls and protective puts). She reads financial publications daily and often initiates trade ideas herself.

In March 2023, Diane told Marcus she was 'very bullish on semiconductors for the next 12 to 18 months' based on her analysis of AI-driven chip demand. She asked Marcus about ways to express a leveraged bullish position on the semiconductor sector. Marcus discussed several alternatives, including buying call options on a semiconductor ETF, using margin to purchase additional shares of a standard semiconductor ETF, and purchasing a 3x daily-leveraged semiconductor ETF (ticker: SOXL). Marcus explained that the 3x leveraged product resets daily and that over longer periods, the actual return could deviate significantly from three times the underlying index return due to the mathematical effects of daily compounding, particularly in volatile markets. He used a hypothetical example: if the semiconductor index gained 20% over a year but experienced significant daily volatility, the 3x fund might return less than 60% - or potentially more, depending on the path of returns. He noted that in a sustained trending market the product could actually outperform the naive 3x expectation, but in a choppy, mean-reverting market it would likely underperform.

Diane said she understood and preferred the leveraged ETF because she did not want the time decay associated with options and did not want to pay margin interest. She allocated \$280,000 - approximately 10% of her brokerage portfolio - to SOXL. Marcus documented the conversation and Diane's rationale in his notes and flagged the trade through the firm's complex products review queue. The firm's complex products principal approved the trade after reviewing Diane's profile.

Over the following nine months, the semiconductor index experienced a strong uptrend but with significant

interim volatility, including two drawdowns of approximately 15% each. By December 2023, the underlying semiconductor index was up roughly 32%. SOXL, however, was up only about 74% - not the approximately 96% that a simple 3x multiple would suggest. Diane's \$280,000 investment was worth approximately \$487,200, a gain of \$207,200. Despite the positive return, Diane filed a complaint in February 2024 alleging that Marcus recommended an unsuitable product that 'eroded her returns' compared to what she expected from a 3x leveraged position. She stated that Marcus should have steered her toward a monthly-rebalancing leveraged product or structured the position using futures to avoid the daily compounding drag. She claimed in her complaint that she was 'a conservative retiree who was taken advantage of' and that Marcus never explained the risks, contradicting the documented notes.

Marcus's file contains his contemporaneous notes of the March 2023 conversation, the firm's complex products approval record, and a signed acknowledgment from Diane confirming she received and reviewed the leveraged ETF's prospectus and a firm-produced educational brochure on leveraged and inverse products. Diane's account opening documents from 2017 and her most recent annual account update in January 2023 both reflect the aggressive risk tolerance and growth objective. Diane had no prior complaints and had previously expressed satisfaction with Marcus's advice.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Marcus violated applicable standards: (1) Diane is 58 and retired, and some regulators have expressed concern about leveraged ETFs being held by any retail investor for periods beyond a single trading day, let alone 9+ months. Regardless of her stated risk tolerance, her actual life circumstances - retiree dependent on accumulated savings - could suggest that an aggressive risk profile was itself inappropriate or at least warranted additional scrutiny before allocating to a 3x leveraged product. (2) The position was held for approximately nine months, well beyond the daily holding period these products are designed for. Regulatory guidance has repeatedly emphasized that leveraged ETFs are generally unsuitable for buy-and-hold strategies, and Marcus did not implement any systematic rebalancing or monitoring triggers (e.g., stop-loss levels, periodic review dates). (3) Monthly-rebalanced leveraged products or synthetic alternatives (futures, swaps, LEAPS) existed that could have provided leveraged exposure with less path-dependency drag over her intended 12-18 month horizon. Marcus mentioned options and margin but did not specifically discuss monthly-rebalanced leveraged funds. (4) Even though Diane's return was positive, the approximately 22 percentage points of 'lost leverage' (\$61,600 in dollar terms) could be characterized as a foreseeable cost Marcus should have helped her avoid.

Arguments that Marcus did not violate applicable standards: (1) Diane is a highly sophisticated investor - Wharton MBA, former pharmaceutical executive, active trader with options experience, and a self-directed research process. She initiated the leveraged semiconductor thesis and chose the product after a discussion of alternatives. (2) Marcus provided a thorough oral explanation of daily reset mechanics, volatility decay, and path dependency, documented the discussion, obtained the firm's complex products approval, and had Diane sign acknowledgments. His disclosure was arguably above-average in quality. (3) The 10% allocation (\$280,000 of \$2.8 million) is a moderate position size relative to her total portfolio, and her pension and Social Security cover her living expenses, meaning the brokerage account is genuinely available for growth investing. (4) Diane earned \$207,200 in profit. Her complaint recharacterizes her risk

tolerance and contradicts the documented record, including her own signed acknowledgment. (5) The stated risk tolerance and investment objectives were not stale - they were reaffirmed just two months before the trade. (6) While monthly-rebalanced leveraged products exist, they were relatively new in early 2023, had limited liquidity, and carried their own tracking issues; it is not clear that recommending them would have been superior. Marcus discussed realistic alternatives (options, margin). (7) Regulatory guidance warns about leveraged ETFs for long-term holding but does not categorically prohibit it; the guidance acknowledges that in trending markets the products can perform well, which is exactly what happened here.

The tension centers on whether a daily-leveraged ETF held for 9 months is per se unsuitable for a retiree, or whether suitability is a facts-and-circumstances analysis in which Diane's sophistication, documented understanding, moderate allocation, income independence from the portfolio, and positive outcome all support the recommendation.

Why Borderline

This scenario is genuinely ambiguous because Diane's investor profile sends conflicting signals: she is a retiree (suggesting conservatism) but also highly sophisticated, wealthy, income-independent from the portfolio, and self-described as aggressive. The product generated a substantial profit, and the advisor's documentation was thorough, yet the holding period clearly exceeded the product's design parameters and the 'volatility decay' cost was real. Reasonable compliance professionals could disagree on whether the advisor's duty extended to steering her toward a monthly-rebalanced product, and whether her post-hoc complaint recharacterizing herself as conservative should override contemporaneous documentation.

Borderline Factors

- Client is a retiree but with substantial wealth, pension income, and aggressive risk tolerance reaffirmed shortly before the trade
- Client holds Wharton MBA and has extensive active trading experience including options, suggesting genuine sophistication
- Allocation was 10% of the portfolio - moderate, not concentrated - but still \$280,000 in a 3x leveraged product
- Holding period of 9 months far exceeds the daily-reset design, but the advisor disclosed path dependency and compounding drag in documented conversations
- The investment was profitable (\$207,200 gain), but returned approximately 74% vs. a naive 96% 3x expectation, creating a measurable volatility decay cost of ~\$61,600
- Monthly-rebalanced leveraged products existed but were newer, less liquid, and not discussed - though options and margin were offered as alternatives
- Firm's complex products principal reviewed and approved the trade
- Client's complaint narrative contradicts her own signed acknowledgments and documented profile
- Client initiated the leveraged semiconductor thesis; advisor did not cold-call with the idea

Likely Outcome

A regulator would most likely find no violation, though the case would receive close scrutiny. The contemporaneous documentation - including the detailed conversation notes, the signed prospectus and educational brochure acknowledgments, the complex products approval, and the recently reaffirmed aggressive risk profile - substantially supports Marcus's position. Diane's sophistication, self-directed

nature, moderate allocation, and income independence from the portfolio all weigh in his favor. However, a regulator might issue a cautionary finding regarding the absence of a formal periodic review mechanism (e.g., 30- or 60-day check-ins) for the leveraged position and the failure to discuss monthly-rebalanced alternatives. The post-hoc recharacterization of risk tolerance in the complaint, contradicted by signed documents, would likely be given limited weight. The positive outcome does not by itself establish suitability, but it undermines a damages claim. On balance, the process followed - disclosure, documentation, firm-level approval, reasonable allocation - would likely satisfy the applicable standards, though the case would be uncomfortably close for the advisor and firm.

Borderline Scenario 6

Topic: high_fees_unsuitable | Standard: FINRA Rule 2111 (Suitability) and its three component obligations (reasonable-basis, customer

Fact Pattern

Marcus Reinhardt, a financial advisor at a mid-size broker-dealer in Denver, has been working with client Diane Kowalski, age 58, for approximately four years. Diane is a semi-retired commercial real estate appraiser who still earns roughly \$95,000 per year from part-time consulting. Her liquid investment portfolio totals approximately \$620,000, and she has an additional \$410,000 in a 401(k) from her prior employer. Her stated investment objectives on her most recent account update form are 'growth with moderate risk,' and her time horizon is listed as 7-10 years. Her risk tolerance questionnaire score places her in the 'moderate-aggressive' category. Diane has a bachelor's degree in finance and previously held a Series 7 license in the early 1990s, though she never actively worked as a registered representative.

In March 2023, Marcus recommended that Diane allocate \$75,000 - approximately 12% of her liquid portfolio - into a 2x leveraged S&P 500 ETF with a management expense ratio of 0.89%. He explained that the product resets daily, uses swap contracts and futures to achieve its leverage, and that it was designed for short-term tactical use. However, he also told Diane that he believed the market was entering a sustained bull phase and that a 6-to-9 month holding period could significantly amplify her returns compared to a standard S&P 500 index fund (expense ratio 0.03%). He documented this conversation in a detailed email to Diane and in his internal notes. Marcus did not characterize this as a buy-and-hold recommendation but instead told Diane he would 'actively monitor' the position and recommend exiting if conditions changed.

Diane signed a product-specific risk disclosure that her firm required for leveraged and inverse ETF purchases. The disclosure stated that the product was intended for daily trading, that returns over periods longer than one day could deviate significantly from the target multiple, and that volatility could erode returns even if the underlying index ended higher. Diane initialed each paragraph of the four-page disclosure.

Over the next eight months, Marcus checked in with Diane roughly every three weeks via phone or email, and each time affirmed his view that the position should be held. During this period, the S&P 500 experienced two separate drawdowns of approximately 7% and 5%, followed by recoveries. By November 2023, the S&P 500 had gained approximately 11% from the March entry point. However, due to volatility

decay and the compounding effects of daily resetting, Diane's 2x leveraged ETF position had gained only approximately 17.5% - well below the 22% that a naive investor might expect from doubling the index return. In dollar terms, Diane's position was worth approximately \$88,125, a gain of roughly \$13,125.

Had Diane instead invested the \$75,000 in the standard S&P 500 index fund, her gain would have been approximately \$8,250, meaning the leveraged ETF outperformed by roughly \$4,875 in absolute terms. However, the leveraged ETF charged approximately \$667 in management fees over the period versus approximately \$22.50 for the index fund - a fee differential of roughly \$645. Additionally, Diane's position experienced paper losses exceeding \$12,000 at the worst drawdown trough, compared to a maximum paper loss of roughly \$5,250 had she been in the unleveraged product.

In December 2023, Marcus recommended Diane exit the position, and she did so, realizing the \$13,125 gain. Diane did not complain at the time. However, in February 2024, after reading a financial news article about investors losing money in leveraged ETFs, Diane filed a written complaint with the firm alleging that Marcus should never have recommended the product given its high fees and complexity, that the 8-month holding period was inappropriate, and that the extra \$4,875 in gains did not justify the added risk and fee drag she was exposed to. She characterized the 0.89% expense ratio as 'excessive' for what was supposed to be a tactical trade and argued that less expensive alternatives existed for gaining additional market exposure, including margin borrowing at her firm's 6.5% rate or purchasing S&P 500 call options.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Marcus violated applicable standards: The leveraged ETF was held for approximately 8 months despite product disclosures and industry guidance uniformly warning that daily-resetting leveraged products are designed for intraday or very short-term holding periods. FINRA Regulatory Notice 09-31 explicitly warns that leveraged and inverse ETFs 'typically are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' FINRA RN 22-08 reinforces heightened obligations for complex product recommendations, requiring that a firm have a reasonable basis to believe the product and its risks are understood and that the recommendation is in the customer's best interest. An 8-month hold significantly exceeds what regulators consider appropriate for a daily-resetting product, regardless of whether the advisor 'monitored' the position. The expense ratio of 0.89% is roughly 30 times higher than the comparable unleveraged product, and the fee differential compounds the structural drag from volatility decay. The fact that Diane ended up profitable does not cure a suitability or best interest violation - the analysis is prospective, not retrospective. Additionally, while Diane has some financial sophistication, her moderate-growth objectives and 7-10 year time horizon suggest this product was not well-aligned with her stated profile.

Arguments that Marcus did not violate applicable standards: Diane is a financially sophisticated investor with a finance degree and a prior securities license. She signed and initialed a detailed product-specific risk disclosure. The position represented only 12% of her liquid portfolio - well within a reasonable tactical allocation for a moderate-aggressive investor. Marcus documented his rationale, actively monitored the position approximately every three weeks, and exited the position when his market thesis was fulfilled - behavior consistent with using the product tactically rather than as a passive buy-and-hold. The

recommendation was profitable, outperforming the unleveraged alternative even after accounting for higher fees and volatility decay. Under Reg BI (Rule 15l-1), the care obligation requires that the advisor exercise reasonable diligence, care, and skill, and consider reasonably available alternatives - but it does not mandate the cheapest possible product if a more expensive product serves a legitimate tactical purpose. Marcus's alternative analysis (margin borrowing at 6.5%, options with their own complexity and cost) could support the argument that the leveraged ETF was a reasonable choice. The holding period, while longer than one day, was within a range that some practitioners consider acceptable for leveraged ETFs during trending markets with moderate volatility. The maximum drawdown of approximately \$12,000 on a \$75,000 position (16%) is significant but not catastrophic for a moderate-aggressive investor with \$620,000 in liquid assets.

Why Borderline

This case sits in a genuine gray zone because the advisor's conduct contains elements of both compliance and non-compliance. The 8-month holding period clearly exceeds the product's stated design purpose, and regulatory guidance has consistently flagged extended holding of daily-resetting leveraged products as problematic. However, the advisor documented his rationale, actively monitored the position, used the product as a defined tactical allocation rather than a core holding, the client was financially sophisticated and signed detailed disclosures, and the position was ultimately profitable and outperformed the unleveraged alternative. The fee differential - while large in percentage terms - amounted to only \$645 in absolute terms on a profitable trade. Reasonable regulators could disagree on whether active monitoring with periodic check-ins transforms an otherwise problematic extended hold into an acceptable tactical strategy, and whether a moderate-aggressive client's signed acknowledgment of daily-reset risk is sufficient to support the recommendation.

Borderline Factors

- 8-month holding period significantly exceeds the daily-reset design but was actively monitored with documented check-ins every 3 weeks
- Client has meaningful financial sophistication (finance degree, former Series 7 holder) but is not a professional trader
 - Position size (12% of liquid portfolio) is a meaningful but not dominant allocation for a moderate-aggressive investor
- Expense ratio is 30x higher than unleveraged alternative, but absolute fee differential was only \$645 on a profitable trade
- Product-specific risk disclosure was signed and initialed paragraph by paragraph
- The position was profitable and outperformed the unleveraged alternative, though suitability is assessed prospectively
 - Advisor documented a specific tactical thesis and exit strategy rather than recommending indefinite holding
 - Client's stated objectives (growth, moderate risk, 7-10 year horizon) are ambiguous - they support moderate-aggressive tactical allocations but may not support leveraged daily-resetting instruments
 - Alternative strategies (margin, options) each carry their own costs and complexities, complicating the 'reasonably available alternatives' analysis

Likely Outcome

A regulator would most likely find a technical violation but potentially impose limited sanctions. The 8-month

holding period is difficult to defend under the well-established regulatory guidance that daily-resetting leveraged ETFs are generally unsuitable for holding periods beyond a single trading session. However, the mitigating factors - active monitoring, client sophistication, signed disclosures, reasonable position sizing, documented rationale, and profitable outcome - would likely reduce the severity of any enforcement action. The firm's supervisory system would also be scrutinized: did it have automated alerts for extended holds of leveraged products, and if so, were those alerts triggered and addressed? A regulator applying Reg BI's care obligation would likely focus on whether the advisor adequately considered reasonably available alternatives that would have provided similar upside exposure with lower structural drag and fees. The most probable outcome is a cautionary letter or fine rather than a bar or suspension, with the firm potentially facing separate supervisory deficiency findings if its complex product oversight procedures did not flag the extended holding period.

Borderline Scenario 7

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2111 (Suitability - reasonable-basis, customer-specific, and

Fact Pattern

Margaret Ostrowski, age 58, is a retired elementary school teacher in suburban Cincinnati with a \$410,000 IRA rollover, a modest state pension generating \$2,800/month, and no other significant assets. She has a moderate risk tolerance on her new account form and describes her investment objective as 'growth with some income' to supplement her pension and eventually help fund long-term care if needed. She has 22 years of experience owning mutual funds and blue-chip stocks through her 403(b) plan but no experience with options, futures, or leveraged products.

In March 2023, her financial advisor, Kevin Trask (12 years in the industry, Series 7 and 66 licensed), recommended she allocate \$40,000 - roughly 9.8% of her portfolio - into a 2x leveraged S&P 500 daily-resetting ETF (ticker: SSO). Trask documented in his notes that Margaret wanted to 'participate more aggressively in the market's upside' after feeling she had been too conservative during the 2020-2021 rally. He noted that Margaret initiated the conversation about wanting something with 'more kick' after reading an article in a personal finance magazine about leveraged ETFs.

Trask spent approximately 25 minutes during their meeting explaining the product, including the daily reset mechanism. He used the fund's fact sheet, which contained a hypothetical table showing how a 2x leveraged ETF could diverge from 2x the index return over periods longer than one day. Margaret signed an acknowledgment form provided by the broker-dealer that stated she understood the product involved leverage and daily resetting and that returns over periods longer than one day could differ significantly from 2x the underlying index. Trask's firm did not have a specific prohibition on leveraged ETFs in retirement accounts but did flag them for heightened supervisory review.

Trask set a calendar reminder to review the position at 90-day intervals. At the first quarterly review in June 2023, the S&P 500 had risen approximately 8%, and SSO was up about 15.2%, slightly less than a perfect 2x return but close. Margaret was pleased. At the September 2023 review, after a choppy summer with significant volatility, SSO had gained only about 9% from her purchase price even though the S&P 500 was

up roughly 7% - illustrating some decay from the daily resetting during volatile periods. Trask noted this in his file and discussed it with Margaret, who said she was comfortable continuing to hold.

In October 2023, the market pulled back sharply. By mid-November, Margaret's SSO position was down 18% from purchase, while the S&P 500 was down only about 7.5% from her March entry point. Margaret called Trask in a panic. He recommended holding through the volatility rather than selling at a loss, citing his belief that the market would recover. Margaret agreed but was clearly distressed.

By February 2024, the S&P 500 had recovered to approximately 3% above Margaret's March 2023 entry point, but her SSO position was only up about 1.8% - well short of the 6% that a naive investor might expect from a 2x product over that span. Margaret's total loss from the volatility drag over the holding period was roughly \$800 in foregone gains compared to a hypothetical 2x return, though she was still nominally in positive territory.

Margaret filed a complaint in April 2024 alleging that Trask should never have recommended a leveraged product for her retirement account given her age, limited sophistication with complex instruments, and reliance on this money for retirement. Trask's firm counters that the allocation was under 10% of the portfolio, Margaret initiated interest in the product, she was given proper disclosures, quarterly reviews were conducted, and she remained in positive territory throughout.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: Margaret is a 58-year-old retiree whose primary investment account is an IRA rollover that she depends on to supplement a modest pension. She had no prior experience with leveraged, inverse, or complex products. Daily-resetting leveraged ETFs are widely recognized by regulators as unsuitable for long-term holding by retail investors due to path dependency and volatility decay - the precise phenomenon Margaret experienced. Placing this product in a retirement account raises additional concerns because of the tax-advantaged nature and the client's dependence on these funds. A 25-minute explanation, while not trivial, may be insufficient for a client with no derivatives or leverage background to truly understand compounding risk and volatility decay. The signed acknowledgment form, while helpful, does not by itself establish that the client genuinely understood the risks. Trask's recommendation to hold through the October drawdown rather than implementing a stop-loss or exit strategy could be seen as compounding the initial problem, as the product was experiencing exactly the amplified downside risk that makes it inappropriate for buy-and-hold investors.

Arguments against a violation: The allocation was less than 10% of the total portfolio - a modest satellite position that, even in a worst-case scenario, would not devastate Margaret's retirement. Margaret herself initiated interest in the product after independent research, which weighs against a finding that the advisor pushed an unsuitable product. Trask documented the conversation, used the fund's official materials including the hypothetical divergence table, obtained a signed acknowledgment, and conducted regular 90-day reviews - all consistent with heightened supervision expectations for complex products. At no point did Margaret actually lose principal; she remained in positive territory. The moderate risk tolerance on her account form supports some allocation to growth-oriented holdings, and leveraged equity exposure is

arguably a subset of growth investing. The firm did not prohibit leveraged ETFs in retirement accounts and flagged the trade for supervisory review, which was completed. Trask's 12-year career and appropriate licensing suggest professional competence. The actual dollar impact of the volatility decay (~\$800 in foregone gains) was minor relative to the portfolio size.

Regulatory analysis: Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis for believing the recommendation is suitable for the specific customer, considering the customer's investment profile. Under Regulation Best Interest (Rule 15l-1), the standard is elevated: the advisor must act in the customer's best interest at the time of the recommendation and cannot place his own interests ahead of the customer's. FINRA Regulatory Notices 09-31 and 12-03 specifically warn that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, and that these products require enhanced supervision and suitability analysis. RN 22-08 further reinforces complex product supervision obligations. The fact that Margaret held the position for nearly a year, through multiple quarterly reviews, goes directly against the one-day holding period that these products are designed for. However, the regulatory guidance uses words like 'typically' and acknowledges that some investors and some holding periods may be appropriate under specific circumstances.

Why Borderline

This case sits in genuine gray territory because several strong mitigating factors push against what would otherwise appear to be a straightforward suitability concern. The small allocation size (under 10%), the client-initiated interest, the documented disclosure process, the quarterly monitoring, and the absence of actual principal loss all create meaningful counterarguments. At the same time, the client's age, retirement account context, lack of complex product experience, and the well-documented regulatory skepticism toward long-term holding of daily-resetting leveraged products by retail investors create a credible case that the recommendation fell short. The modest dollar impact makes this a case where enforcement resources might not be prioritized, but the principle - placing a daily-resetting leveraged product in a retiree's IRA for multi-month holding - touches on a core regulatory concern.

Borderline Factors

- Allocation was under 10% of total portfolio - small enough to be a reasonable satellite position but still in a retirement account the client depends on
 - Client initiated interest in the product after independent reading, reducing the appearance of advisor-driven product pushing
 - Signed acknowledgment form and 25-minute explanation provided, though adequacy of comprehension for a client with no complex product experience is debatable
 - Quarterly monitoring was implemented and documented, but holding a daily-resetting product for 11+ months contradicts the product's design and regulatory guidance
 - Client never lost principal - the harm was limited to ~\$800 in foregone gains from volatility decay, making damages argument weak
 - Moderate risk tolerance on the account form arguably supports some growth allocation but does not specifically contemplate leveraged instruments
 - Advisor recommended holding through a sharp drawdown rather than implementing risk management, which could be seen as either prudent patience or failure to manage a complex position
 - Firm had heightened supervisory review but no outright prohibition on leveraged ETFs in retirement accounts

Likely Outcome

A regulator would most likely find a technical violation but impose limited sanctions. The recommendation of a daily-resetting 2x leveraged ETF to a 58-year-old retiree with no complex product experience, held for nearly a year in an IRA, conflicts with extensive regulatory guidance warning that these products are generally unsuitable for long-term retail holding. However, the small allocation, client-initiated interest, documented disclosures, quarterly monitoring, and absence of meaningful financial harm would likely result in a cautionary action - perhaps a letter of caution or a minor fine - rather than a suspension or significant monetary sanction. The firm's supervisory process would likely receive scrutiny for approving the trade without imposing a maximum holding period or mandatory exit trigger, consistent with the heightened supervision expectations outlined in applicable regulatory guidance.

Borderline Scenario 8

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2111 (Suitability, including reasonable-basis, customer-specific, and quantification)*

Fact Pattern

Marcus Ellison, age 52, is a semi-retired software engineer who sold his startup in 2019 for \$4.2 million. He maintains a \$1.8 million brokerage account with Ridgeline Wealth Partners. His account application lists his risk tolerance as 'aggressive,' his investment experience as 'extensive' (20+ years of self-directed trading), and his investment objective as 'growth with speculation.' His annual income from consulting work is approximately \$95,000, and he has an additional \$2.1 million in retirement accounts at another firm. In February 2023, his advisor, Dana Whitfield, recommended he allocate approximately \$180,000 (10% of the brokerage account) to a 3x leveraged semiconductor ETF, explaining that she believed the AI-driven semiconductor boom would generate outsized returns over the next several quarters. Dana provided a one-page product overview that mentioned the fund resets daily and that returns over periods longer than one day could differ significantly from three times the index return. Marcus signed an acknowledgment form confirming he read and understood this disclosure. Dana set a calendar reminder to review the position monthly. Over the following seven months, the semiconductor index experienced significant volatility-rising 18% in the first three months, dropping 14% in months four and five, then recovering 11% by month seven. Due to path dependency and compounding effects, the 3x leveraged ETF returned only 19% over the seven-month period despite the underlying index gaining roughly 14%. A simple 3x return would have implied approximately 42%. Marcus's \$180,000 position grew to approximately \$214,200-a gain, but \$73,800 less than the \$288,000 he expected based on Dana's optimistic framing. During the seven months, Dana conducted three check-in calls with Marcus-at months two, four, and six-during which she discussed the position's performance and Marcus elected to hold each time. At month four, when the position was down 12%, Marcus expressed frustration but said he wanted to 'ride it out' because he still believed in the semiconductor thesis. Marcus has now filed a complaint alleging that Dana should never have recommended a daily-resetting leveraged product for a multi-month hold, that the risk profile assigned to his account was inflated to justify speculative products, and that he was not adequately warned about volatility decay. He claims his true tolerance was 'moderate growth' and that Dana encouraged him to select 'aggressive' during the account opening process two years prior. Dana counters that Marcus had traded leveraged and inverse ETFs on his own in a prior self-directed account, that he independently researched the semiconductor sector and brought the idea to her before she formalized the

recommendation, that she monitored the position actively and gave him opportunities to exit, and that he profited on the trade. Ridgeline's internal product governance committee had approved the 3x leveraged semiconductor ETF for use with clients whose profiles met certain thresholds including aggressive risk tolerance, liquid net worth above \$500,000, and documented experience with complex products.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations under both the traditional suitability framework (FINRA Rule 2111) and the enhanced standard under Regulation Best Interest (Rule 15l-1 under the Exchange Act). Several factors weigh against a finding of violation: (1) Marcus's documented profile-aggressive risk tolerance, extensive experience, high liquid net worth, and a speculative growth objective-facially supports the recommendation of a leveraged ETF; (2) the \$180,000 allocation represented only 10% of his brokerage account and roughly 4.6% of his total investable assets, which is not an outsized concentration; (3) Marcus had prior self-directed experience trading these exact types of products; (4) Dana provided a written disclosure about daily resetting mechanics and obtained a signed acknowledgment; (5) Dana conducted regular check-ins, and Marcus affirmatively chose to hold each time, including when the position was underwater; (6) the position ultimately generated a profit of approximately \$34,200; and (7) the firm's product governance committee had approved the ETF for clients meeting Marcus's documented profile. However, several factors cut the other way: (1) FINRA Regulatory Notices 09-31 and 12-03 explicitly warn that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who plan to hold them for longer than one trading day, and a multi-month holding period is precisely the type of use regulators have flagged as problematic; (2) Reg BI's care obligation requires that a recommendation be in the customer's best interest and that the advisor understand the product's risks-Dana's optimistic framing of the trade as a multi-quarter hold appears inconsistent with the product's design as a daily-resetting instrument; (3) the allegation that Dana influenced the risk tolerance selection during onboarding, if true, would undermine the entire suitability foundation; (4) while Dana monitored the position, the check-ins occurred only monthly, and FINRA RN 09-31 suggests that daily-resetting leveraged products may require more frequent and rigorous monitoring; (5) the one-page disclosure may not have been sufficient under Reg BI's disclosure obligation, which requires full and fair disclosure of material facts including conflicts of interest; (6) the fact that Marcus 'expected' a 42% return suggests he did not truly understand path dependency despite signing the acknowledgment, raising questions about whether the disclosure was effective; and (7) FINRA RN 22-08 reinforces that complex product recommendations require heightened supervision and that firms must ensure their registered representatives genuinely understand the products they recommend, not merely that they fall within a product governance approval matrix.

Why Borderline

This is genuinely ambiguous because the customer profile superficially supports the recommendation-he was wealthy, experienced, had traded these products before, chose to hold through volatility, and ultimately profited. Yet the core regulatory concern with leveraged daily-resetting ETFs is not about whether any individual trade makes money; it is about whether recommending a multi-month hold of a product designed for single-day tactical use is inherently inconsistent with the product's mechanics, regardless of outcome. The allegation of risk profile inflation adds uncertainty but is a credibility contest. The monitoring was present but arguably insufficient for the product type. Reasonable compliance professionals could disagree

on whether the totality of circumstances-experienced client, moderate allocation, active monitoring, signed disclosures, profitable outcome-is sufficient to overcome the strong regulatory presumption against long-term holding of daily-resetting leveraged ETFs.

Borderline Factors

- Customer had documented aggressive risk tolerance and prior experience with leveraged ETFs, but alleges the risk profile was inflated at the advisor's suggestion
- The 10% allocation was moderate relative to total wealth, reducing concentration risk arguments, but the product's structural risk (volatility decay) exists regardless of position size
- Advisor conducted regular monitoring and gave client opportunities to exit, but monthly check-ins may be insufficient for a daily-resetting product per regulatory guidance
- Client signed a written disclosure about daily reset mechanics, but his expectation of a simple 3x return over multiple months suggests he did not actually understand the product
- The position was profitable, which undercuts damages claims but does not resolve the suitability question since regulators evaluate recommendations at the time they are made
- Client claims he brought the semiconductor thesis to the advisor, blurring the line between a solicited recommendation and an unsolicited idea that the advisor formalized
- Firm's product governance committee had approved the ETF for clients meeting Marcus's profile, suggesting institutional-level review occurred, but committee approval does not substitute for individualized suitability analysis

Likely Outcome

A regulator would likely find this to be a close case but would probably issue a cautionary finding or modest sanction rather than a severe enforcement action. The core issue is that recommending a multi-month hold of a 3x daily-resetting leveraged ETF runs directly counter to the explicit warnings in FINRA Regulatory Notices 09-31, 12-03, and 22-08. While the customer's profile, experience, and wealth provide meaningful mitigating factors, regulators have consistently emphasized that these products are generally not suitable for holding periods beyond a single day regardless of investor sophistication. The monitoring, while present, was arguably insufficient. The most likely outcome is a finding that the advisor failed to fully satisfy the care obligation under Reg BI by not adequately accounting for the product's structural mismatch with the recommended holding period, with mitigating factors (client experience, moderate allocation, profitable outcome, signed disclosures) reducing any sanctions. The risk profile inflation allegation, if substantiated, would significantly strengthen the case against the advisor.

Borderline Scenario 9

Topic: leveraged_etf_unsuitable | Standard: FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and quant

Fact Pattern

Margaret Huang, age 58, is a semi-retired biotech consultant who earns approximately \$180,000 annually from consulting contracts and holds a portfolio valued at \$1.4 million across two brokerage accounts. She has a bachelor's degree in biochemistry and an MBA, and her new account form lists her investment experience as 'extensive,' with 22 years of active trading including options, futures, and sector-specific ETFs. Her risk tolerance is marked as 'aggressive' and her investment objective is 'speculation/trading.' She

maintains a separate \$600,000 IRA with conservative bond allocations, which she has described to her advisor, Kevin Driscoll, as her 'retirement safety net.'

In March 2023, Margaret told Kevin she had a strong conviction that the semiconductor sector would experience a sustained rally over the next several months due to an anticipated surge in AI-related chip demand. She asked Kevin about ways to amplify her exposure. Kevin discussed several alternatives, including buying semiconductor stocks on margin, purchasing call options, and using a 3x leveraged daily-resetting semiconductor ETF. Margaret chose the 3x leveraged ETF because she said she understood options decay and preferred the simplicity of an ETF with no expiration date.

Kevin walked Margaret through a disclosure document from the ETF issuer explaining that the product resets daily and is designed for short-term trading, not long-term holding. Margaret signed the disclosure acknowledgment. Kevin also sent Margaret a follow-up email summarizing the risks of volatility decay and path dependency, noting that in choppy or sideways markets the fund could lose substantial value even if the underlying index was flat over time. Margaret replied: 'Understood. I've done my homework on these products and I'm comfortable.'

Margaret invested \$140,000 - approximately 10% of her total portfolio - into the 3x leveraged semiconductor ETF. Over the following seven months, the semiconductor sector did rally significantly, and Margaret's position grew to approximately \$295,000 by October 2023. Kevin contacted Margaret in August and again in late September to discuss whether she wanted to trim or exit the position, noting the gains and reminding her of the compounding risks. Margaret declined both times, stating she believed the rally had further to run.

In November 2023, the semiconductor sector experienced a sharp 18% correction over three weeks, followed by a volatile, choppy recovery through February 2024. Due to the daily reset mechanics and the whipsaw price action, Margaret's position declined from its peak of \$295,000 to approximately \$118,000 - below her original cost basis - even though the underlying semiconductor index was only about 4% below its October high by late February. Margaret filed a complaint in March 2024, alleging that Kevin should never have recommended the leveraged product because it was unsuitable for a holding period beyond a few days, that she was not adequately warned about the magnitude of potential losses from daily compounding, and that Kevin should have forced a sale during the correction rather than merely suggesting it.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Kevin violated applicable standards: Leveraged daily-resetting ETFs are widely understood by regulators to be designed for short-term, typically single-day, holding periods. Allowing a client to hold a 3x leveraged product for approximately 11 months creates significant risk of volatility decay and path-dependent losses that can dramatically diverge from the underlying index's performance - exactly what happened here. Regulators have consistently emphasized that recommending these products for holding periods beyond a single day requires heightened scrutiny and robust justification. A regulator could argue that Kevin's recommendation of this product - even with disclosures - was inherently unsuitable because no

reasonable advisor should have facilitated a multi-month hold, and that the periodic check-ins were insufficient given the known mathematical certainty that extended holding amplifies compounding risk. The \$22,000 net loss (original \$140,000 minus \$118,000 ending value) after the underlying index was only down 4% from its peak vividly illustrates the path-dependency risk that regulators have flagged repeatedly.

Arguments that Kevin acted appropriately: Margaret is a highly sophisticated investor with 22 years of active trading experience including derivatives, an MBA, an aggressive risk tolerance, and a speculation objective. The \$140,000 position represented only 10% of her total portfolio, and she maintained a separate conservative \$600,000 IRA as a retirement backstop. Kevin presented multiple alternatives, provided the issuer's disclosure document, sent a supplemental written explanation of volatility decay and daily reset risks, and obtained Margaret's signed acknowledgment. He proactively contacted her twice to discuss trimming the position during the rally, and she explicitly declined. Margaret's own stated rationale - that she preferred the leveraged ETF over options because it had no expiration date - demonstrates she understood she was making a deliberate duration choice. Kevin could not force a sale in a non-discretionary account without client authorization. The product performed as designed during the rally, generating over \$155,000 in unrealized gains at its peak. Margaret's complaint appears to reflect hindsight disappointment rather than a failure of process or recommendation quality at the time the trade was made.

The supervisory dimension adds complexity: Kevin's firm approved the trade, and Margaret met the firm's eligibility criteria for complex products. However, it is unclear whether the firm had policies requiring periodic forced reviews or automatic position liquidation triggers for leveraged ETF positions held beyond specified durations, which some firms have implemented. If such policies existed and were not followed, that strengthens the case against Kevin. If the firm had no such policy and relied on disclosure-based procedures, that arguably weakens it.

Why Borderline

This scenario sits at the intersection of investor autonomy and advisor obligation. Margaret is genuinely sophisticated, was thoroughly warned through multiple channels, and made an informed decision to hold through volatility - yet the product is one that regulators have specifically identified as problematic for holding periods beyond a single day. The advisor did more than the minimum in terms of disclosure, education, and follow-up, but did not override the client's clearly stated wishes in a non-discretionary account. The initial recommendation may have been reasonable given the client profile, but the extended holding period is where regulatory concerns intensify. Reasonable practitioners could disagree about whether an advisor's duty extends to refusing to allow a sophisticated client to hold a product she understands, or whether robust disclosure and periodic check-ins satisfy the advisor's obligations.

Borderline Factors

- Client had extensive trading experience (22 years) including derivatives, an MBA, and self-identified aggressive/speculative objectives
- Position size was only 10% of total portfolio with a separate conservative retirement account
 - Advisor provided issuer disclosure, written supplemental risk explanation, and obtained signed acknowledgment
- Advisor proactively contacted client twice to suggest trimming the position during gains
- Client expressly declined to sell and articulated her own market thesis
- Account was non-discretionary, limiting the advisor's authority to force a sale

- The product was held for approximately 11 months, far exceeding the single-day design period
- Losses were disproportionate to the underlying index decline due to daily compounding - the hallmark risk regulators have flagged
- Firm's supervisory procedures for monitoring extended holds of leveraged products are unclear
- The product initially performed very well, generating significant unrealized gains before the correction

Likely Outcome

A regulator would likely find this a close case but would probably not sustain a full suitability violation, instead potentially citing supervisory deficiencies. The initial recommendation appears defensible given Margaret's sophistication, risk profile, position sizing, and the robust disclosure process. However, a regulator might find that the firm's supervisory framework was insufficient if it lacked mandatory escalation procedures or forced reviews for leveraged ETF positions held beyond a defined period (e.g., 30 or 60 days). Kevin's personal conduct - proactive outreach, written warnings, and documentation of client refusals - significantly mitigates individual liability. The most likely outcome is a finding of supervisory weakness at the firm level, with possible remedial recommendations, but no individual violation finding against Kevin given the totality of the evidence of informed client choice.

Borderline Scenario 10

Topic: *complex_products_unsophisticated_investor* | Standard: *FINRA Rule 2111 (Suitability - reasonable-basis, customer-specific, and*

Fact Pattern

Margaret Dalton, age 58, is a retired school librarian living in suburban Ohio with an annual pension income of \$52,000 and total liquid savings of approximately \$410,000 held across two brokerage accounts. Her investment experience consisted primarily of a target-date retirement fund in her 403(b) plan over 22 years and a small portfolio of blue-chip dividend stocks she inherited from her father. She listed her risk tolerance as 'moderate' on her new account form and stated her primary objectives were income generation and moderate growth to supplement her pension through retirement.

In March 2023, Margaret's financial advisor, Kevin Burgess, recommended she allocate \$45,000 - roughly 11% of her liquid assets - into a 2x leveraged ETF tracking the S&P 500 (ticker similar to SSO). Kevin had been Margaret's advisor for three years and had built a relationship of trust. During their meeting, Kevin spent approximately 40 minutes explaining leveraged ETFs, including the fact that the fund resets daily and that returns over periods longer than one day can differ significantly from twice the index's return. He used a hypothetical illustration showing how a flat but volatile market could erode value even if the underlying index ended unchanged. He documented in his notes that Margaret 'appeared to understand' the daily reset mechanism and volatility decay concept. Margaret signed an acknowledgment form provided by the firm indicating she had received and reviewed an educational brochure about leveraged and inverse products.

Kevin's rationale was that Margaret's portfolio was otherwise conservatively positioned - roughly 60% in investment-grade bonds and dividend equities, 18% in a money market fund - and that a modest leveraged equity allocation could enhance upside participation without requiring her to shift her broader allocation. He noted in his recommendation documentation that the position was intended as a 'tactical allocation for 6 to

18 months during what we expect to be a sustained bull market recovery,' and that he would monitor the position and recommend exiting if the market turned volatile or if losses exceeded 15%.

Over the following eleven months, the S&P 500 rose approximately 18%. The 2x leveraged ETF gained roughly 31% - less than the 36% that a simple doubling would suggest, due to volatility drag during several sharp pullbacks in the interim. Margaret's position grew from \$45,000 to approximately \$58,950. Kevin reviewed the position with Margaret during their quarterly calls in June, September, and December 2023 and again in February 2024. During the December call, he noted the position had performed well but mentioned that holding through further volatility could reduce gains. He did not, however, issue a specific sell recommendation at any of those check-ins.

In March 2024, a sudden market correction wiped out a significant portion of the gains. By the time Kevin contacted Margaret and recommended liquidating the position, the ETF had declined to \$47,200 - still a modest gain of roughly 5% over 12 months, but well below the S&P 500's 8% gain over the same trailing period. Margaret was upset, feeling she had been put into a product she didn't fully understand and that had underperformed a simple index fund. She filed a complaint with the firm.

Kevin's production records show that the leveraged ETF carried a higher expense ratio (0.89% vs. 0.03% for a standard S&P 500 ETF) and generated a slightly higher commission at purchase (\$225 vs. \$150 for a comparable unleveraged ETF position of the same dollar amount). Kevin had recommended leveraged ETFs to 14 other clients during the same period, but only three of those clients had profiles similar to Margaret's in terms of age, experience, and risk tolerance; the others were younger with higher net worth and stated aggressive growth objectives. Kevin held the Series 7 and Series 66 licenses and had completed his firm's supplemental training module on complex exchange-traded products in January 2023. His firm required supervisory pre-approval for leveraged ETF recommendations in accounts flagged as 'moderate' risk tolerance, and the branch manager had approved Kevin's recommendation for Margaret's account with the notation 'appropriate given overall portfolio context and tactical time horizon.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Kevin violated applicable standards: Margaret was a 58-year-old retiree with limited investment experience, moderate risk tolerance, and income-oriented objectives - a profile that raises significant concern about recommending daily-resetting leveraged products. Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Rule 15l-1 under the Exchange Act), the advisor must have a reasonable basis for believing that the recommendation is suitable and in the customer's best interest considering the customer's investment profile. FINRA Regulatory Notices 09-31 and 22-08 have specifically cautioned that leveraged and inverse ETFs are complex products generally unsuitable for retail investors who do not understand their mechanics and risks, and that daily-resetting products are typically inappropriate for holding periods beyond a single trading session. Margaret's stated objectives (income and moderate growth) do not naturally align with a leveraged equity product, and her prior experience (target-date funds and inherited blue chips) did not prepare her to evaluate path dependency and volatility decay. The 11-month holding period - well beyond one day - exposed her to exactly the compounding effects regulators have warned about. Additionally, Kevin's failure to issue a timely sell recommendation

during quarterly reviews, despite identifying this as a tactical trade with a defined exit discipline, suggests inadequate follow-through. The marginally higher commission, while small in absolute terms, could suggest an economic incentive to recommend the more complex product. Under Reg BI's Care Obligation, the advisor must consider reasonably available alternatives, and a standard S&P 500 ETF would have achieved comparable or better results at lower cost and with significantly less complexity risk.

Arguments that Kevin acted appropriately: The position represented only 11% of Margaret's liquid portfolio, a modest allocation that did not fundamentally alter her conservative overall positioning. Kevin provided a substantive 40-minute explanation of the product, including the specific risk of volatility decay, and Margaret signed an acknowledgment form - satisfying heightened disclosure expectations. The firm's own supervisory framework was followed: Kevin obtained pre-approval from his branch manager, who assessed the recommendation in the context of her total portfolio. Kevin documented a clear tactical rationale (6-18 month bull market thesis) and a defined risk management framework (15% stop-loss). He monitored the position quarterly and discussed it with Margaret at each review. The position was ultimately profitable, generating a 5% return - positive, even if it underperformed a simpler alternative. FINRA guidance cautions against long-term holds of leveraged products but does not categorically prohibit intermediate-term tactical use where the advisor has documented rationale. Kevin's supplemental training on complex ETPs was current, and the branch manager's approval reflects a supervisory judgment that the recommendation was contextually appropriate. The commission differential (\$75) is de minimis and unlikely to have been a motivating factor. A reasonable advisor could conclude that a small tactical leveraged allocation enhances portfolio efficiency for a client whose other holdings are predominantly conservative.

The case turns on whether a 58-year-old retired librarian with moderate risk tolerance and limited sophistication is the type of investor for whom any leveraged ETF recommendation - even a monitored, modest, documented one - can satisfy the heightened scrutiny regulators have demanded for complex products. The post-hoc underperformance relative to a plain-vanilla ETF strengthens the argument that a less complex alternative would have better served the client's interests.

Why Borderline

This scenario is genuinely gray because the advisor followed many best practices - documentation, disclosure, supervisory pre-approval, defined tactical thesis, modest position sizing relative to total assets, and quarterly monitoring - yet recommended a complex daily-resetting leveraged product to a client whose demographic profile, investment experience, and stated objectives are precisely the type regulators have identified as high-risk for these products. The fact that the position was profitable complicates a harm-based analysis, but the underperformance relative to a simpler alternative highlights the Reg BI requirement to consider reasonably available alternatives. Reasonable practitioners disagree on whether robust process can overcome a fundamentally mismatched client-product pairing, and reasonable regulators disagree on whether a small, supervised tactical allocation in a leveraged ETF can ever satisfy suitability for a moderate-risk retiree.

Borderline Factors

- Client's moderate risk tolerance and income-oriented objectives vs. a leveraged equity product designed for aggressive short-term trading
- Limited investment sophistication (target-date fund and inherited stocks only) vs. documented 40-minute explanation and signed acknowledgment form

- 11% position size - modest relative to total portfolio but still a meaningful dollar amount (\$45,000) for a retiree with \$410,000 in savings
- Holding period of 11 months - longer than the single-day reset period regulators warn about, but within the advisor's stated 6-18 month tactical window
- Quarterly monitoring and documented stop-loss discipline vs. failure to actually trigger a timely exit recommendation
- Firm supervisory pre-approval with documented rationale vs. regulatory guidance that leveraged ETFs are generally unsuitable for typical retail investors
- Marginal commission differential (\$75) - arguably immaterial but still an economic conflict
- Position was ultimately profitable (+5%) but underperformed a simple unleveraged S&P 500 ETF (+8%), raising the reasonably available alternatives question
- Only 3 of 14 leveraged ETF recommendations went to clients with similar conservative profiles, suggesting possible pattern but also not systematic churning

Likely Outcome

A regulator would likely find a violation, though a close one. The weight of FINRA guidance in Regulatory Notices 09-31, 12-03, and 22-08 creates a strong presumption against recommending daily-resetting leveraged ETFs to retail investors with moderate risk tolerance, limited sophistication, and retirement income objectives - regardless of position size or documentation quality. Under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)(B)), the advisor must consider reasonably available alternatives, and a standard S&P 500 ETF would have accomplished the same tactical thesis with lower cost, lower complexity, and - as it turned out - better performance. The advisor's process was commendable but ultimately insufficient to overcome the product-client mismatch. A panel or examiner would likely issue a cautionary action or modest fine rather than a severe sanction, crediting the documentation, disclosure, and supervisory approval as mitigating factors, but would conclude that the recommendation did not meet the heightened standard applicable to complex products for unsophisticated investors.

Borderline Scenario 11

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2111 (Suitability) and its three-part framework (reasonable-basis, customer

Fact Pattern

Margaret Chen, age 58, is a semi-retired pharmaceutical executive who left her corporate role in 2021 but continues to do consulting work generating approximately \$95,000 per year. She has a \$1.8 million portfolio at Ridgeline Wealth Partners, split roughly equally between a taxable brokerage account and a rollover IRA. Her account documents from her most recent update in January 2023 list her risk tolerance as 'moderate-aggressive,' her investment objective as 'growth,' her time horizon as '10+ years,' and her liquid net worth at \$2.4 million. She holds a Master's degree in biochemistry and has traded options in the past, though not frequently-approximately 15 options trades over a five-year period, mostly covered calls on pharma stocks she held.

In March 2023, Margaret's financial advisor, David Kowalski, a 12-year veteran at Ridgeline, had a series of conversations with Margaret about her conviction that the regional banking sector was poised for a significant correction following the Silicon Valley Bank collapse. Margaret told David she wanted to 'profit

from the downturn' and specifically asked about ways to short regional banks. David discussed several alternatives, including buying put options on a regional banking ETF, direct short selling, and using a 2x inverse leveraged regional banking ETF (ticker: BNKD). Margaret indicated she did not want the complexity of managing options positions or the unlimited loss potential of short selling.

David recommended a position in BNKD, allocating \$90,000-approximately 5% of her total portfolio-in her taxable brokerage account. He explained verbally that the product resets daily and is designed for short-term trading, and that holding it for extended periods could result in performance that deviates significantly from twice the inverse of the underlying index over that same period. He sent a follow-up email summarizing these points and attached the fund's prospectus summary, which Margaret acknowledged receiving. David did not set a specific exit date or stop-loss trigger, but noted in his email that 'this is a tactical position and we should revisit within 30-60 days.'

Margaret's position initially performed well, gaining approximately 22% through mid-April 2023 as regional bank stocks declined. David sent Margaret an email on April 18 suggesting she consider taking profits. Margaret responded that she wanted to hold because she believed 'the worst is yet to come for these banks.' David followed up again on May 15, noting the position had given back some gains and was now up only about 8%. Margaret again declined to sell, writing, 'I've done my research and I'm comfortable holding.'

By August 2023, the regional banking sector had partially recovered and BNKD had experienced significant volatility decay. Margaret's position was now down approximately 31% from her purchase price, a loss of roughly \$27,900, even though the underlying regional bank index was only up about 9% from the March entry point. The 2x inverse product's daily compounding had amplified the damage during the choppy, mean-reverting market environment. Margaret did not contact David about the position between May and August, and David did not proactively reach out during that period. In September 2023, David recommended liquidating the position, and Margaret agreed, realizing a \$27,900 loss.

Margaret subsequently filed a complaint alleging that David recommended a product that was fundamentally unsuitable for her moderate-aggressive risk profile, and that even if the initial recommendation was acceptable, his failure to actively monitor and liquidate the position constituted a failure in his duties. David's branch manager noted that the firm had a surveillance system that flagged leveraged and inverse ETF positions held longer than 60 days, and an alert was generated on this account in late May 2023, but the branch manager reviewed it and took no action because David had documented two prior attempts to convince the client to sell.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that David violated applicable standards: The customer was 58, semi-retired, and while listed as moderate-aggressive, the use of a 2x daily-resetting inverse leveraged ETF is generally considered appropriate only for sophisticated, active traders who understand and can monitor daily rebalancing effects. Margaret's options experience was limited (15 trades over five years), and her background in biochemistry-while demonstrating general intelligence-does not equate to derivatives or structured product expertise. The position was held for approximately six months, far exceeding the product's designed use

case. Critically, David failed to contact Margaret between May 15 and September 2023, a roughly four-month gap during which volatility decay was actively eroding the position. Even though the firm's surveillance system flagged the position at 60 days, no corrective action was taken. Some regulators have emphasized that advisors have an ongoing monitoring obligation, particularly for complex products with known time-decay characteristics, and that a client's refusal to sell does not absolve the advisor of the duty to continue actively managing risk. The \$27,900 loss represented a disproportionate outcome relative to the modest 9% move in the underlying index, illustrating exactly the kind of path-dependent harm that regulators have repeatedly warned about.

Arguments that David acted appropriately: The initial position size was conservative-only 5% of total portfolio assets-limiting the maximum possible damage. Margaret's documented risk tolerance was moderate-aggressive with a growth objective, and a tactical bearish trade with defined sizing is not per se incompatible with that profile. David clearly disclosed the daily-reset mechanism and risks both verbally and in writing, sent the prospectus summary, and received acknowledgment. He proactively recommended taking profits twice within the first 60 days and was rebuffed both times by a client who was making an informed, independent decision to hold based on her own market thesis. David documented these interactions. Margaret was a highly educated professional with some derivatives experience who affirmatively stated she understood the risks and wanted to continue holding. Forcing a sale over a client's explicit objection raises its own issues. The firm's surveillance system did generate a timely alert, and the branch manager made a documented judgment call that the advisor had fulfilled his obligations given the two prior liquidation recommendations. The loss, while meaningful in dollar terms, represented approximately 1.5% of Margaret's total portfolio-hardly a catastrophic outcome for a moderate-aggressive investor. Furthermore, Margaret specifically sought out this type of trade and rejected the alternatives David offered.

Why Borderline

This case sits at the intersection of several genuinely debatable questions: (1) whether a 2x inverse leveraged ETF at a 5% allocation can ever be suitable for a moderate-aggressive semi-retired investor with limited but non-zero derivatives experience; (2) the extent of an advisor's ongoing monitoring duty when the client has been warned, has refused to sell twice, and is making an apparently informed independent decision; (3) whether the three-month gap in communication between May and August represents a supervision failure or reasonable deference to a client's expressed wishes; and (4) whether the firm's surveillance process was adequate given that an alert was generated but the branch manager chose not to escalate. Reasonable compliance professionals and arbitrators could land on different sides of each of these questions.

Borderline Factors

- Conservative position sizing (5% of portfolio) mitigated overall portfolio risk even as the individual position suffered significant losses
- Client had some but limited derivatives experience-enough to understand basic concepts but arguably insufficient for complex daily-resetting products
- Advisor made two documented attempts to liquidate within the first 60 days, consistent with the product's intended use case, but was overridden by the client
- Three-month communication gap (May to August) during which volatility decay was actively eroding the position, with no advisor outreach

- Firm surveillance system generated an alert at 60 days but branch manager exercised discretion not to escalate based on documented client refusals
- Client was a highly educated professional who affirmatively chose to hold against advisor's recommendation, raising questions about informed consent vs. advisor duty
- The loss (\$27,900) was meaningful in absolute terms but modest relative to total portfolio (\$1.8M), complicating harm analysis
- Semi-retired status and age (58) create tension with moderate-aggressive risk designation for leveraged inverse products

Likely Outcome

A regulator would most likely find a partial violation, concluding that while the initial recommendation was defensible given the position sizing, client sophistication, risk disclosure, and client-driven demand, the advisor's failure to proactively contact the client for approximately three months after May 2023 fell below the enhanced monitoring obligations that regulators expect for complex, daily-resetting leveraged products. The branch manager's decision not to act on the 60-day surveillance alert would also likely be criticized, even though the advisor had documented client refusals. The most probable resolution would be a supervisory deficiency finding against the firm with modest sanctions, rather than a full suitability violation against the advisor personally. A damages award in arbitration, if pursued, would likely be reduced significantly to account for Margaret's contributory conduct in refusing to sell.

Borderline Scenario 12

Topic: *leveraged_etf_unsuitable* | Standard: *FINRA Rule 2111 (Suitability)* - including reasonable-basis, customer-specific, and quan

Fact Pattern

Marcus Denning, age 52, is a senior software architect at a major tech company earning \$340,000 annually with a liquid net worth of approximately \$2.1 million. He has been trading equities and options actively for over 15 years through his brokerage account at Bridgepoint Financial Services. His account application lists his investment objective as 'aggressive growth,' his risk tolerance as 'high,' and his time horizon as '5-10 years.' He holds a personal portfolio that includes individual tech stocks, covered call positions, and several sector-focused ETFs.

In March 2023, Denning contacted his financial advisor, Rachel Okafor, and told her he believed the semiconductor sector was about to enter a prolonged period of strong performance driven by AI demand. He said he wanted 'maximum exposure' to semis and asked about leveraged semiconductor ETFs. Okafor discussed a 3x daily-leveraged semiconductor ETF with him, explaining that the product resets daily and is generally designed for short-term tactical use. She walked him through a hypothetical showing how a choppy but ultimately flat market could erode returns over time due to compounding effects. She also emailed him the fund's prospectus and a two-page product summary sheet that Bridgepoint had developed internally for leveraged products.

Denning acknowledged the risks but said he had used 2x leveraged energy ETFs in the past (held for roughly 3-5 weeks at a time) and understood how the products worked. He told Okafor he planned to hold the 3x semiconductor ETF for 'a few months at most' and would monitor it closely. Okafor documented the

conversation in her CRM notes.

Denning purchased \$175,000 worth of the 3x leveraged semiconductor ETF on March 14, 2023 - representing approximately 8.3% of his liquid net worth. The semiconductor sector initially rallied, and by late May, Denning's position was up roughly 58%. Rather than selling, Denning told Okafor in a brief phone call on June 2 that he wanted to 'let it ride' because he believed the AI trend had 'years to go.' Okafor reminded him that the product was designed for short-term holding and that his gains could be significantly impacted by volatility drag if the sector experienced any turbulence. She noted this follow-up conversation in her CRM.

Denning held the position through the summer. In August and September 2023, the semiconductor sector experienced a 14% drawdown followed by a partial recovery. By October 15, the underlying semiconductor index was actually up 9% from Denning's March entry point, but due to volatility decay and daily compounding effects, his 3x leveraged ETF position was up only about 11% - far less than the roughly 27% (3x of 9%) a naive investor might have expected. Denning was frustrated and filed a complaint with Bridgepoint, alleging that Okafor had recommended an unsuitable product and had failed to adequately warn him about the risks of holding it beyond the short term. He claimed his 'real losses' amounted to approximately \$28,000 in foregone gains compared to what a non-decaying 3x exposure would have produced.

Bridgepoint's records show that Okafor did not place the original trade on a solicited basis - the order ticket was marked 'unsolicited' - but she did discuss the product with Denning before he purchased it, answered his questions about it, and did not refuse the order or escalate it. The firm's internal policy requires supervisors to review any leveraged or inverse ETF position that has been held for more than 60 days and send the client a written reminder about the product's daily-reset feature. Bridgepoint's compliance system generated this alert on May 14, 2023, but Denning's assigned supervisor, who was covering for a colleague on medical leave, did not send the reminder letter until June 19 - five days after the 60-day threshold had already passed and 17 days after Denning told Okafor he intended to continue holding. Okafor herself had no supervisory obligations.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario involves several competing considerations.

Arguments that Okafor did NOT violate applicable standards:

1. The trade was unsolicited. Denning, a sophisticated and experienced investor with a 15-year active trading history including options and prior leveraged ETF use, independently identified the product and asked about it.
2. Okafor provided meaningful pre-trade disclosure: she explained daily reset mechanics, walked through a hypothetical demonstrating volatility decay, and sent Denning the prospectus and the firm's product summary.
3. Denning's investor profile - aggressive growth objective, high risk tolerance, \$2.1M liquid net worth, and the position sizing at 8.3% of liquid assets - supports the argument that the initial purchase was within the

range of suitable recommendations even if it had been solicited.

4. When Denning expressed his intent to continue holding past his original timeframe, Okafor proactively reminded him of the product's short-term design and volatility drag risks, and documented this interaction.

5. Denning's complaint centers on foregone gains (\$28,000), not actual principal losses - the position was still profitable.

Arguments that Okafor MAY have violated applicable standards:

1. Under FINRA Rule 2111 and Regulation Best Interest (Rule 15l-1 under the Exchange Act), even when a trade is unsolicited, the advisor's involvement in discussing and facilitating the transaction may create implicit recommendation obligations, particularly when the advisor answers detailed product questions and walks through hypotheticals - conduct that could be viewed as going beyond mere order-taking.

2. FINRA Regulatory Notices 09-31, 12-03, and 22-08 have specifically warned that leveraged and inverse ETFs are complex products and that firms and their associated persons have heightened obligations regarding these products, including ongoing monitoring responsibilities. The fact that Okafor discussed the product in detail before the purchase arguably elevated her role beyond passive order execution.

3. When Denning indicated on June 2 that he wanted to continue holding, a stronger response - such as a written warning, escalation to supervision, or a more forceful discussion of specific dollar-amount risk scenarios - might have been warranted under the care obligation implicit in Reg BI's component requirements.

4. The firm's supervisory failure (late delivery of the 60-day reminder letter) compounds the issue, though this is primarily a firm-level supervisory deficiency rather than an individual advisor violation.

5. The 'unsolicited' characterization could be challenged: Okafor's active engagement in discussing the product's mechanics before the trade, rather than simply processing an order, may blur the line between solicited and unsolicited under FINRA interpretive guidance.

The regulatory framework is nuanced here. FINRA RN 09-31 specifically cautioned that 'inverse and leveraged ETFs that are reset daily typically are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' However, the initial purchase was contemplated as a short-term tactical position. The question becomes whether Okafor had a continuing obligation to do more than verbally remind Denning of the risks when he chose to extend his holding period - and whether her June 2 verbal warning satisfied that obligation.

Why Borderline

This is a genuine gray area because: (1) the trade was facially unsolicited by a sophisticated investor who had prior leveraged ETF experience, yet the advisor's active pre-trade engagement blurs the solicited/unsolicited line; (2) the advisor provided meaningful disclosure and follow-up warnings, but arguably could have done more when the client's stated strategy shifted from short-term to indefinite holding; (3) the client's profile genuinely supports aggressive product usage, yet the specific product (3x daily-reset leverage) carries unique risks that even sophisticated investors may underestimate; (4) the complaint involves foregone gains rather than actual losses, which weakens the harm argument but doesn't eliminate the suitability question; and (5) the firm's supervisory lapse in sending the 60-day reminder letter introduces a compliance gap that is attributable to the firm rather than the advisor personally.

Borderline Factors

- Unsolicited trade designation vs. advisor's active pre-trade discussion and product walkthrough creating

implicit recommendation

- Client's documented sophistication and prior leveraged ETF experience vs. the heightened complexity of a 3x daily-resetting product
- Advisor's verbal follow-up warning on June 2 vs. potential obligation to take more affirmative action when client's holding period shifted
- Position sizing at 8.3% of liquid net worth - meaningful but not concentrated
- Complaint based on \$28,000 in foregone gains rather than actual principal losses
- Firm-level supervisory delay in sending 60-day reminder letter - attributable to firm or advisor?
- Client's aggressive growth objective and high risk tolerance supporting product eligibility
- Distinction between initial suitability of the purchase vs. ongoing duty to monitor and intervene as holding period extended

Likely Outcome

A regulator would most likely find that Okafor individually did not commit a clear suitability violation, given the unsolicited nature of the trade, the client's documented sophistication and prior leveraged ETF experience, the pre-trade disclosures provided, and the documented follow-up warning. However, the firm (Bridgepoint) would likely face criticism and possible sanctions for its supervisory lapse in failing to timely send the 60-day holding period reminder, particularly given the explicit guidance in multiple regulatory notices about the need for robust supervision of leveraged and inverse ETF positions. A panel might note that Okafor's conduct, while not a violation, fell short of best practices - specifically, she could have escalated the matter to supervision or provided a written risk reminder when the client's strategy shifted on June 2. The foregone-gain nature of the complaint (rather than actual losses) would also weigh against a finding of significant harm. Most likely result: firm-level supervisory deficiency finding; no individual violation for the advisor, though a cautionary note about the blurred solicited/unsolicited line.

Borderline Scenario 13

Topic: *leveraged_etf_unsuitable* | Standard: *FINRA Rule 2111 (Suitability); Regulation Best Interest (Rule 15l-1) including Care, Disc*

Fact Pattern

Marcus Delgado, age 44, is a portfolio manager at a mid-size technology company with total compensation of approximately \$410,000 annually. He holds an MBA from a top-20 business school and has been actively trading his personal brokerage account for over 15 years. His account application lists his investment objective as 'aggressive growth,' his risk tolerance as 'high,' his net worth at \$2.8 million (excluding primary residence), and his liquid net worth at \$1.6 million. He has experience trading options, futures, and various ETF products.

In March 2023, Delgado contacted his financial advisor, Tanya Brewster, at a regional broker-dealer, stating he had a strong conviction that the semiconductor sector was poised for a sustained rally over the next 6 to 12 months based on his professional knowledge of the industry's supply chain dynamics. He asked Brewster to allocate \$175,000-approximately 11% of his liquid net worth-into a 3x leveraged daily-resetting semiconductor ETF. Brewster discussed the product with him, including the fact that it resets daily, that holding periods beyond a single day can produce returns that diverge significantly from three times the underlying index's cumulative return, and that high volatility in the sector could erode value even if

the index ultimately moved higher. She documented this conversation in her CRM notes.

Delgado acknowledged the risks but said he understood daily compounding from his MBA coursework and his own prior experience holding a 2x leveraged S&P 500 ETF for three months in 2020, during which he made a 48% gain. He told Brewster he planned to monitor the position daily and would set a mental stop-loss at a 25% decline. Brewster executed the trade.

Over the next eight months, the semiconductor index experienced significant intraday and week-over-week volatility-including a 22% drawdown in May before recovering-but ultimately ended the period up 31% from March. However, due to volatility decay and daily compounding effects, Delgado's 3x leveraged ETF returned only 47% rather than the roughly 93% ($3 \times 31\%$) he had expected. Delgado did not sell during the May drawdown-his position was down approximately 52% at the trough-but he held through the recovery. He did not contact Brewster during the drawdown, nor did Brewster reach out to him.

In December 2023, Delgado liquidated the position at the 47% gain (\$82,250 profit) but subsequently filed a complaint alleging that Brewster failed to adequately warn him about the magnitude of return deviation over a multi-month holding period, that the product was unsuitable for any holding period beyond a few days, and that Brewster should have contacted him during the May drawdown when his losses exceeded his stated 25% mental stop-loss. Delgado's complaint seeks the difference between his actual return and what a 3x return on the index would have hypothetically produced-approximately \$80,000.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents significant complexity because it involves a sophisticated client who ultimately profited but claims inadequate disclosure and supervision of a leveraged product held beyond its intended daily reset period.

Arguments that Brewster violated applicable standards:

1. Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Rule 15l-1), a recommendation must be in the customer's best interest at the time it is made. While Delgado requested the trade, Brewster's execution without more forceful warnings about the specific magnitude of compounding losses over a multi-month period could be viewed as inadequate. FINRA Regulatory Notice 09-31 explicitly warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session.
2. FINRA RN 22-08 reinforces that complex products require heightened supervision and that firms must ensure customers understand the risks, including path dependency and volatility decay. Although Brewster documented a general discussion, she did not provide quantitative illustrations showing how a volatile path could dramatically reduce returns even in a rising market-arguably falling short of the reasonable diligence and care obligations under Reg BI's Care Obligation.
3. Brewster's failure to contact Delgado during the May drawdown, when his stated 25% stop-loss was breached by a wide margin (52% decline), could suggest inadequate ongoing monitoring. FINRA RN 09-31 specifically notes that firms should have robust supervisory procedures for accounts holding leveraged ETFs, and some firms require mandatory check-ins when leveraged positions experience significant

adverse moves.

4. FINRA RN 12-03 emphasizes that a customer's general sophistication does not relieve the advisor of the obligation to ensure the specific product's risks are understood in context.

Arguments that Brewster did NOT violate applicable standards:

1. Delgado is demonstrably sophisticated: MBA-educated, professional portfolio manager, 15 years of active trading experience, prior experience with leveraged ETFs, high income, and high risk tolerance. His account paperwork reflects aggressive growth objectives. The customer-specific component of suitability under Rule 2111 weighs heavily in Brewster's favor.
2. Brewster documented a substantive conversation about daily resetting, return divergence, and volatility decay prior to execution. Under Reg BI's Disclosure Obligation, she provided material information about the product's characteristics.
3. The trade represented approximately 11% of Delgado's liquid net worth-a meaningful but not recklessly concentrated position for a high-risk-tolerance investor.
4. Delgado explicitly requested the trade based on his own professional industry knowledge. Under the customer-specific suitability framework, an unsolicited or customer-directed trade to a sophisticated investor carries less regulatory risk, though Reg BI applies regardless of solicitation.
5. Delgado actually profited \$82,250 (47% return). While damages analysis does not require actual losses, the fact that the client made substantial money undercuts the practical harm argument. The claimed damages represent hypothetical profits from a theoretical frictionless leveraged return that has never been promised by any product.
6. Delgado's failure to implement his own stated stop-loss and his decision not to contact his advisor during the drawdown suggests he exercised independent judgment throughout the holding period.
7. The obligation for ongoing monitoring under Reg BI's Care Obligation is debated-many compliance practitioners argue it applies at the point of recommendation, not as a continuing duty to monitor individual positions, particularly for non-discretionary accounts.

Why Borderline

This is genuinely ambiguous because the customer was highly sophisticated with relevant professional expertise, explicitly requested the product, was warned about key risks, and ultimately profited substantially-yet the product was held for eight months in direct contradiction of its daily-reset design, the advisor did not provide quantitative compounding illustrations, and the advisor was silent during a 52% drawdown that exceeded the customer's own stated risk threshold. Reasonable regulators could disagree about whether the advisor's pre-trade disclosure was sufficient, whether ongoing monitoring was required for a non-discretionary account, and whether a sophisticated customer's autonomous decision to hold through volatility shifts responsibility away from the advisor.

Borderline Factors

- Customer is demonstrably sophisticated with MBA, 15 years trading experience, and prior leveraged ETF experience
- Customer explicitly requested and directed the trade based on professional industry knowledge
- Advisor documented a risk discussion covering daily reset, return divergence, and volatility decay
- However, no quantitative illustrations of compounding/path-dependency scenarios were provided
- Position was held for 8 months despite product design for single-day holding periods
- Customer's self-imposed 25% stop-loss was breached (52% drawdown) without advisor follow-up

- Customer did not contact advisor during drawdown either, suggesting autonomous decision-making
- Customer ultimately earned 47% return (\$82,250 profit), undermining actual harm claims
- Position was 11% of liquid net worth-meaningful but not extreme concentration
- Unclear whether ongoing monitoring duty applies to non-discretionary accounts under current standards
- Claimed damages are based on hypothetical 3x return that no leveraged ETF guarantees over multi-day periods

Likely Outcome

A regulator would most likely find a minor supervisory deficiency but not a clear-cut violation. Brewster's pre-trade disclosure was substantive but arguably incomplete—a regulator could require that quantitative path-dependency illustrations be standard practice for leveraged ETF recommendations. The failure to follow up during the 52% drawdown is the weakest point in Brewster's defense, as several firms' internal policies (consistent with FINRA guidance) require check-ins for leveraged positions experiencing significant adverse moves. However, the customer's exceptional sophistication, explicit direction, documented risk discussion, and ultimate profit make a full suitability or best-interest violation difficult to sustain. The most likely outcome is a supervisory finding against the firm for inadequate procedures around leveraged ETF monitoring, with Brewster receiving a cautionary letter rather than formal sanctions. The customer's damages claim for hypothetical lost gains would likely be rejected, as no leveraged ETF promises a clean multiple of index returns over multi-day periods.

Borderline Scenario 14

Topic: *high_fees_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) and its three component obligations (reasonable-basis, customer's best interest, and disclosure)*

Fact Pattern

Gerald Whitmore, age 58, is a semi-retired mechanical engineer who transitioned to part-time consulting work in 2021. He has a \$1.4 million brokerage account with Pinnacle Securities and a separate \$900,000 IRA. Gerald's account documentation lists his investment objective as 'growth with income,' his risk tolerance as 'moderate to aggressive,' and his investment time horizon as '5-10 years.' He has 30 years of investing experience, previously managed his own options portfolio in the early 2000s, and holds no professional financial licenses. His annual consulting income is approximately \$95,000.

In March 2023, Gerald's financial advisor, Dana Kirkland, recommended that Gerald allocate \$210,000 (15% of his brokerage account) to a 2x leveraged S&P 500 ETF with an expense ratio of 0.89%. Dana explained that the product resets daily and is designed for short-term trading, but also presented Gerald with a written analysis she had prepared showing that over rolling 12-month periods since inception, the 2x leveraged ETF had outperformed a simple 2x return of the underlying index roughly 55% of the time during sustained bull markets. Dana recommended the position as a 12-month tactical allocation to capture what she believed would be a strong equity recovery in 2023, with a specific plan to review and potentially liquidate the position at the end of Q1 2024.

Dana documented the recommendation in her notes, including the specific entry and exit timeline, the rationale tied to her macroeconomic outlook, and a notation that she discussed daily resetting, compounding effects, and the risk that returns could deviate significantly from 2x the index over periods

longer than one day. She also noted that Gerald said he understood these risks and referenced his prior options trading experience as evidence of his sophistication with leveraged instruments.

Gerald signed a product-specific risk disclosure form provided by Pinnacle Securities, which described the mechanics of daily-resetting leveraged products in plain language.

Over the next 14 months, the S&P 500 experienced a choppy but ultimately positive trajectory, gaining approximately 18%. Gerald's 2x leveraged ETF position gained approximately 28%-less than the theoretical 36% (2x the index) due to volatility decay during periods of market whipsawing in Q3 2023. Despite the planned Q1 2024 exit, Dana recommended holding through April 2024 because of continued bullish momentum, and Gerald agreed. The position was ultimately sold in late May 2024 at the 28% gain.

Gerald did not complain about the outcome. However, during a routine branch audit, Pinnacle's compliance department flagged the position because (a) the leveraged ETF was held for 14 months rather than the short-term period typically associated with these products, (b) the 0.89% expense ratio was significantly higher than the 0.03% expense ratio of an unleveraged S&P 500 ETF that could have been paired with margin to achieve similar exposure, and (c) Gerald's account objective of 'growth with income' arguably conflicted with a leveraged product that pays no meaningful dividends and generates returns purely through capital appreciation of a daily-resetting mechanism. The compliance department also noted that the holding period exceeded the original documented plan by approximately two months, and that the cost differential over 14 months between the leveraged ETF and a hypothetical margin-plus-index-ETF strategy was approximately \$2,600, though the margin strategy would have carried its own costs and risks including margin calls.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Dana violated applicable standards: The product was held for 14 months, well beyond the daily holding period for which leveraged ETFs are designed, and even beyond her own documented 12-month plan. The 0.89% expense ratio represents a significant cost premium over alternatives that could have achieved comparable leveraged exposure. Gerald's stated objective of 'growth with income' is arguably inconsistent with a product that generates no income and relies entirely on leveraged capital appreciation with daily resetting. The extension of the hold past the planned exit date without updating the written plan could suggest a lack of disciplined supervision. Under FINRA's heightened scrutiny framework for complex products, the burden on the advisor to justify a leveraged ETF recommendation is elevated, and the holding period deviation could be viewed as evidence that the tactical rationale drifted into an unsuitable long-term hold.

Arguments that Dana acted appropriately: The position represented only 15% of Gerald's brokerage portfolio—a tactical allocation, not a core holding. Gerald had 30 years of investing experience including options trading, making him more sophisticated than a typical retail investor. Dana created detailed written documentation of the recommendation rationale, timeline, risks, and the client's acknowledgment. The product-specific risk disclosure was signed. The position was profitable, gaining 28%. The cost differential versus alternatives was modest (\$2,600) and a margin-based alternative would have introduced its own

risks (margin calls, forced liquidation during the volatile Q3 2023 period). The two-month extension was a deliberate tactical decision made jointly with the client based on market conditions, not neglect. The 'growth with income' objective does not prohibit growth-only positions as a component of a diversified portfolio. Dana's macroeconomic thesis proved substantially correct. Volatility decay reduced but did not eliminate strong positive returns.

Why Borderline

This scenario is genuinely ambiguous because the advisor took many steps that compliance frameworks encourage—documentation, risk disclosure, client education, defined time horizon, reasonable position sizing—yet the product was held well beyond its designed daily use case, the expense ratio was meaningfully higher than alternatives, the holding period exceeded the advisor's own plan, and the account objective creates a plausible mismatch. The client's sophistication and the profitable outcome complicate the analysis, as does the fact that the cost differential was real but modest. Reasonable practitioners could disagree on whether the totality of circumstances reflects a thoughtful tactical allocation by a diligent advisor for a sophisticated client, or an unsuitable recommendation of an expensive, complex product held beyond its intended duration for a client whose documented objectives pointed elsewhere.

Borderline Factors

- The 14-month holding period significantly exceeds the daily-reset design of the product but was part of a documented tactical plan that was only modestly extended
- The 0.89% expense ratio is high relative to alternatives, but the absolute cost differential (\$2,600) was modest and alternatives carried their own risks
- The client's 'growth with income' objective arguably conflicts with a non-income-producing leveraged product, but the position was only 15% of the portfolio
- Gerald's 30 years of experience and prior options trading suggest sophistication, but he holds no professional licenses and is approaching retirement
- Comprehensive documentation and signed risk disclosures demonstrate process, but the holding period exceeded the advisor's own written plan
- The position was profitable (28% gain), but profitability does not retroactively validate suitability
- Volatility decay eroded approximately 8 percentage points of theoretical return, demonstrating the exact risk regulators have highlighted with long-term holding of daily-resetting products
- The two-month extension beyond the planned exit was a joint decision with the client based on market conditions, not advisor neglect

Likely Outcome

A regulator would likely issue a cautionary finding or minor deficiency letter rather than pursue a formal enforcement action. The strong documentation, client sophistication, reasonable position sizing, and profitable outcome all weigh in the advisor's favor. However, the regulator would likely criticize the holding period extension beyond the documented plan without updated written justification, flag the expense ratio differential as a cost consideration that should have been more explicitly addressed in the recommendation rationale, and note the tension with the stated account objective. The firm's supervisory procedures would likely be scrutinized for whether they required enhanced review of leveraged ETF positions held beyond 30 or 60 days, and whether the compliance framework caught the holding period extension in real time rather than only during a retrospective audit. The most likely outcome is a supervisory deficiency at the firm level with enhanced monitoring requirements, rather than individual sanctions against the advisor.

Borderline Scenario 15

Topic: *leveraged_etf_unsuitable* | Standard: *FINRA Rule 2111 (Suitability)* - requiring reasonable-basis, customer-specific, and quan

Fact Pattern

Margaret Colvin, age 58, is a semi-retired pharmaceutical sales executive who transitioned to part-time consulting in 2021. She has a brokerage account with \$1.4 million in total assets, roughly 60% in diversified equity index funds and 40% in fixed income. Her stated investment objective on her new account form is 'growth with moderate risk,' and her risk tolerance is marked as 'moderate to aggressive.' She has 28 years of investment experience, previously traded individual equities and options in a self-directed account at another firm, and holds no professional financial designations. Her annual income from consulting is approximately \$120,000, and she receives \$36,000 per year from a pension.

In February 2023, Margaret's financial advisor, David Park, recommended she allocate \$70,000 - roughly 5% of her portfolio - to a 2x leveraged bull semiconductor ETF. David explained that the product resets daily and is generally designed for short-term trading, but he believed the semiconductor sector was entering a multi-quarter growth cycle driven by artificial intelligence demand. He prepared a one-page written summary for Margaret describing daily compounding effects and the risk that returns could diverge significantly from 2x the index's cumulative return over periods longer than one day. Margaret signed an acknowledgment form stating she understood these risks.

David set a calendar reminder to review the position every 30 days. At the first review in March, the position was up 14%. They discussed trimming but Margaret wanted to hold. At the April review, it was up 31%. David again raised the idea of taking profits; Margaret declined, saying she wanted to 'let it ride through earnings season.' By the end of June, the position had gained approximately 58%, growing to roughly \$110,600. David noted in his CRM that he recommended partial profit-taking at each monthly review but Margaret chose to hold.

In July 2023, semiconductor stocks pulled back sharply over a two-week period. The leveraged ETF dropped 34% from its June high, and the position fell to approximately \$73,000. Margaret held through the drawdown. By October 2023, the underlying semiconductor index had recovered to within 2% of its June high, but due to volatility decay and path dependency from the daily reset mechanism, the 2x leveraged ETF was still 11% below its June peak, sitting at roughly \$98,400. Over the full February-to-October holding period, Margaret's \$70,000 investment was worth \$98,400 - a 40.6% gain - while the underlying index had gained approximately 29% over the same period. So the leveraged product delivered roughly 1.4x the index return rather than the 2x a naive investor might expect.

In December 2023, Margaret filed a complaint alleging that David should never have recommended a daily-resetting leveraged product for a holding period that extended beyond a few days, that the 5% allocation was inappropriate given her age and moderate risk profile, and that he failed to adequately supervise the position by allowing her to hold for ten months. She seeks recovery of the difference between the theoretical 2x return (approximately \$40,600) and her actual gain of \$28,400, claiming \$12,200 in damages from volatility decay, plus the unrealized losses from the July drawdown.

David's firm's written supervisory procedures require a principal to approve any purchase of leveraged or

inverse ETFs, and the branch manager, Susan Tran, approved the initial purchase after reviewing Margaret's account profile. The firm does not have a policy mandating automatic liquidation or hard time limits on leveraged ETF positions, but its internal guidance suggests these products are 'generally appropriate for holding periods of one day to several weeks.' The firm's compliance department had not flagged the position during its quarterly concentrated-position review because the allocation never exceeded 8% of total account value.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that David Park violated applicable standards: Leveraged ETFs with daily reset mechanisms are widely understood to be short-term tactical instruments. Regulatory guidance has repeatedly emphasized that these products can produce returns that deviate significantly from their stated multiple over holding periods longer than one day, and that they are generally unsuitable for buy-and-hold investors. Margaret held the position for approximately ten months, well beyond the 'one day to several weeks' window suggested by the firm's own internal guidance. David, as the recommending advisor, bore responsibility not merely to suggest profit-taking but to more forcefully manage the position or escalate to his supervisor when the client repeatedly declined to trim. His monthly reviews, while documented, arguably did not constitute adequate ongoing supervision of a complex product position. Additionally, Margaret is 58 years old, semi-retired, and has a 'moderate to aggressive' risk tolerance - not a speculative or aggressive profile - which raises questions about whether a 2x leveraged sector-specific ETF was consistent with her investment profile regardless of holding period. The firm's supervisory procedures were arguably deficient in not establishing automatic escalation triggers for leveraged ETF positions held beyond a defined timeframe.

Arguments that David Park acted appropriately: The initial allocation was modest at 5% of a \$1.4 million portfolio, well within reasonable position-sizing for a tactical satellite holding. Margaret has 28 years of investment experience including options trading, suggesting she is a sophisticated investor capable of understanding daily compounding and volatility decay - concepts David explained in writing and for which he obtained a signed acknowledgment. David conducted regular monthly reviews and documented repeated recommendations to take profits, which Margaret declined. The product actually generated a positive absolute return of over 40% and a positive return relative to the index (1.4x vs. the underlying's return), meaning volatility decay reduced but did not eliminate the leverage benefit. Margaret's complaint essentially seeks the theoretical perfect 2x return, which no reasonable advisor could guarantee. The position was approved by a principal, and the firm's compliance system did not flag it as a concentrated position. David had a reasonable, articulable investment thesis (AI-driven semiconductor demand) supporting the recommendation. Furthermore, an advisor cannot force a client to sell a profitable position against her will; the client has agency and repeatedly exercised it.

The damages claimed are also questionable: Margaret is not claiming an actual loss on the investment but rather a shortfall relative to a theoretical 2x return and paper losses from a temporary drawdown that partially recovered. Most arbitration panels and regulators evaluate harm based on actual economic loss, not deviation from a hypothetical benchmark.

Why Borderline

This case sits in a genuine gray zone because the initial recommendation was reasonable in size and supported by a documented investment thesis and client acknowledgment, yet the product was held far beyond its designed use case. The advisor documented efforts to manage the position but did not escalate or take more decisive action. The client is experienced but not speculative in her stated profile. Most critically, the position was profitable - the complaint is about underperformance relative to expectations and a theoretical 2x return, not an actual loss. Regulators and arbitrators could reasonably disagree about whether an advisor's obligation extends to overriding a sophisticated client's repeated decision to hold a profitable position, and whether a 5% allocation to a leveraged ETF in a \$1.4 million account crosses the line for a 58-year-old moderate-to-aggressive investor.

Borderline Factors

- Position was only 5% of total portfolio, limiting overall risk exposure
- Client had 28 years of experience including options trading, suggesting sophistication
- Advisor provided written disclosure of daily reset risks and obtained signed acknowledgment
- Advisor conducted monthly reviews and documented recommendations to take profits that client rejected
- Position was held for 10 months despite firm guidance suggesting holding periods of days to weeks
- Client's stated risk tolerance was 'moderate to aggressive' rather than speculative
- The investment was actually profitable with a 40.6% gain, though below theoretical 2x
- Client is 58 and semi-retired, raising age-appropriateness concerns for leveraged products
- Firm had no automatic liquidation policy or hard time limit for leveraged ETF holdings
- Branch manager approved the initial trade after reviewing the client's profile
- Damages claimed are based on theoretical underperformance and temporary drawdown, not realized losses

Likely Outcome

A regulator would most likely find this to be a close case but would probably not sustain a full violation finding. The initial recommendation appears defensible given the modest allocation size, documented investment thesis, client sophistication, written risk disclosure, and principal approval. However, the advisor and firm would likely receive a cautionary letter or supervisory deficiency finding regarding the extended holding period. Regulators would emphasize that monthly verbal suggestions to trim, without escalation or more formal intervention as the holding period extended well beyond the firm's own guidance, represented a supervisory gap. The firm's lack of automated alerts or mandatory escalation procedures for aged leveraged ETF positions would be criticized. On damages, the absence of an actual net loss significantly weakens the customer's claim. An arbitration panel would likely deny or substantially reduce the claimed damages. The most probable regulatory outcome is a supervisory deficiency finding against the firm with recommendations to strengthen leveraged-product monitoring procedures, rather than a personal suitability violation against the advisor.

Borderline Scenario 16

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2111 (Suitability) and its three obligations (reasonable-basis, customer-spe*

Fact Pattern

Margaret Hollis, age 58, is a recently retired pharmaceutical sales executive with a \$1.4 million portfolio at Piedmont Financial Services. Her new account form, completed in January 2023, lists her risk tolerance as 'moderate-aggressive,' her investment objective as 'growth,' her time horizon as '10+ years,' and her annual income as \$72,000 from a pension and Social Security. She has \$320,000 in a separate fixed annuity and owns her home outright. Margaret has 22 years of investing experience, previously held individual stocks and sector-focused mutual funds, and describes herself as someone who 'follows the markets daily' and 'isn't afraid of volatility.' Her advisor, Kevin Draper, a 14-year veteran with the firm, conducted an in-person meeting in February 2023 where Margaret expressed strong conviction that the semiconductor sector would outperform over the next 12 to 18 months due to demand from artificial intelligence applications. She specifically asked about ways to get 'amplified exposure' to the chip sector. Draper recommended she allocate \$140,000 - roughly 10% of her total portfolio - to a 2x daily-leveraged semiconductor ETF (ticker symbol similar to well-known leveraged semiconductor products). During the meeting, Draper explained that the product resets daily and that returns over periods longer than one day could diverge significantly from 2x the index return, particularly in choppy or volatile markets. He provided a one-page product summary and walked through a hypothetical showing how a 2x leveraged ETF could lose money even if the underlying index was flat over 60 days. Margaret signed an acknowledgment form stating she understood the daily reset mechanism and the risks of holding the product beyond a single trading session. Draper also set a calendar reminder to review the position with Margaret every 30 days and documented this plan in his notes. Over the next seven months, the semiconductor index rose approximately 34%, and Margaret's leveraged ETF position gained roughly 58% - less than the theoretical 68% but still a substantial profit, bringing the position value to approximately \$221,000. At each monthly review, Draper and Margaret discussed the position, and Margaret elected to continue holding. By October 2023, the position had grown to represent approximately 15.4% of her total portfolio. In November 2023, the semiconductor sector experienced a sharp 18% correction over three weeks, followed by a partial 9% recovery. Due to the compounding effect and daily reset, Margaret's position lost approximately 31% during this period, dropping from \$221,000 to roughly \$152,000. Margaret did not contact Draper during the correction. At their scheduled December review, Margaret expressed frustration that her losses exceeded what she expected, stating she 'didn't realize how fast it could unravel.' She filed a complaint alleging that the leveraged ETF was inappropriate for a retiree and that Draper should have automatically liquidated the position or at minimum contacted her during the November drawdown. Draper's firm's internal guidelines classify leveraged and inverse ETFs as 'complex products' requiring enhanced documentation but do not impose a blanket prohibition on their sale to retirees. The firm's written supervisory procedures require a principal review of complex product transactions at the time of purchase but do not mandate ongoing principal review of holding periods. Draper's branch manager approved the initial transaction after reviewing Margaret's account profile, the acknowledgment form, and Draper's meeting notes.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Draper violated applicable standards: Margaret is a 58-year-old retiree whose primary income is fixed (pension and Social Security at \$72,000/year). Leveraged ETFs are widely recognized as short-term tactical instruments, and multiple regulatory notices have warned that they are generally unsuitable for retail investors who hold them for extended periods. Even though Margaret held a 'moderate-aggressive' risk tolerance designation, her actual financial circumstances - retirement status,

fixed income, and reliance on her portfolio for long-term financial security - arguably demanded a more conservative approach. A 10% allocation to a single-sector 2x leveraged product creates concentrated, amplified exposure that could be viewed as disproportionate risk for a retiree, particularly when the position grew to over 15% of the portfolio without rebalancing. Draper's failure to proactively contact Margaret during the sharp November correction - despite setting up monthly reviews - could be viewed as inadequate monitoring of a complex product position. Regulators have emphasized that the obligation with complex products extends beyond point-of-sale to ongoing supervision, and a 30-day review interval may be insufficient for a daily-resetting leveraged product. The fact that Margaret 'didn't realize how fast it could unravel' suggests the disclosure may not have been as effective as the documentation implies.

Arguments that Draper acted appropriately: Margaret has 22 years of investment experience, previously held concentrated sector positions, self-identified as comfortable with volatility, and specifically requested amplified semiconductor exposure. Her 'moderate-aggressive' risk tolerance and 'growth' objective are consistent with a tactical leveraged allocation. The \$140,000 position represented only 10% of her total portfolio at inception, and she maintained substantial conservative assets (\$320,000 fixed annuity, paid-off home), giving her a meaningful financial cushion. Draper provided specific written and verbal disclosure about daily-reset mechanics, walked through a concrete loss scenario, obtained a signed acknowledgment, and established a structured review schedule - all of which exceed the minimum documentation many firms require. He conducted monthly reviews at which Margaret affirmatively chose to continue holding. The product performed well for seven months, validating the thesis Margaret herself articulated. The November correction was a market event, not an advisory failure, and Margaret had the means and the stated experience to understand the risk. Draper had no contractual or supervisory obligation under his firm's WSPs to liquidate the position without client authorization, and unilaterally selling a client's position could itself raise legal issues. Imposing a blanket prohibition on leveraged ETFs for all retirees would arguably be paternalistic given the diversity of retiree financial profiles.

Why Borderline

This scenario sits at the intersection of several genuinely contested questions: whether a retiree with substantial assets, high experience, and an aggressive self-assessed risk tolerance can appropriately hold leveraged ETFs; whether a 10% allocation that grows to 15% triggers a rebalancing obligation; whether monthly reviews are adequate supervision for daily-resetting products; and whether robust point-of-sale disclosure cures the inherent risks of long-term holding of leveraged products. The client's own sophistication and explicit request for the product cut strongly against a finding of unsuitability, but the structural features of the product and the client's retirement status cut the other way.

Borderline Factors

- Client is retired but has substantial non-portfolio assets (fixed annuity, paid-off home) providing a financial cushion
- Client self-identified as moderate-aggressive with growth objectives and 22 years of experience
- Client specifically requested leveraged sector exposure - the recommendation was not unsolicited
- 10% initial allocation is within ranges some firms consider acceptable for sophisticated investors, but grew to 15.4% without rebalancing
- Advisor provided above-average disclosure including a walkthrough of a loss scenario and obtained signed acknowledgment
- Monthly review schedule was established and followed, but may be inadequate for a daily-resetting

leveraged product

- Advisor did not proactively contact client during sharp correction, raising questions about ongoing monitoring obligations
- Firm WSPs permitted leveraged ETFs for retirees with enhanced documentation but did not mandate ongoing principal review of holding periods
- Product performed well for seven months, making it difficult to argue the recommendation was inappropriate at inception
- Client's post-loss complaint that she 'didn't realize how fast it could unravel' arguably contradicts the documented disclosure she received

Likely Outcome

A regulator would likely find this a close case but would probably not sustain a full suitability violation based on the initial recommendation, given the client's experience, risk tolerance, specific request, and the advisor's disclosure efforts. However, the regulator would likely find fault with the ongoing supervision - specifically, the failure to rebalance or escalate review when the position grew to 15.4% of the portfolio and the failure to proactively contact the client during the sharp November drawdown. The most probable outcome is a finding of supervisory deficiency in the ongoing monitoring of the complex product position rather than an outright suitability violation at the point of sale. The firm's WSPs would likely be criticized as inadequate for not requiring periodic principal review of open leveraged ETF positions. Draper might receive a cautionary letter or minor sanction, while the firm could face a supervisory failure finding with a moderate fine.

Borderline Scenario 17

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2111 (Suitability - reasonable-basis, customer-specific, and quantitative con*

Fact Pattern

Gerald Whitfield, age 58, is a semi-retired aerospace engineer who left full-time employment in 2021 but continues to do part-time consulting work generating approximately \$85,000 per year. He has a \$1.4 million brokerage account, a \$620,000 IRA, and a separate \$180,000 savings account. His stated investment objective on his account documentation is 'growth with moderate risk,' and his risk tolerance is marked as 'moderate to aggressive.' Gerald has 30 years of investing experience, including trading individual equities, standard index ETFs, covered calls, and occasional short-term options positions. He has no prior experience with leveraged or inverse ETFs specifically, but he reads financial publications daily and maintains a spreadsheet tracking his portfolio's beta-adjusted exposure.

In February 2023, Gerald's financial advisor, Rebecca Tran, discussed Gerald's concern that the technology sector was overvalued after a significant rally. Gerald told Rebecca he wanted to 'hedge my tech exposure for the next few months while I figure out whether to trim positions.' Rebecca recommended a -2x daily-resetting inverse leveraged ETF tracking the Nasdaq-100, suggesting Gerald allocate approximately \$70,000 (roughly 5% of his total brokerage account) to the position. Rebecca explained verbally that the product resets daily and that holding it beyond a few weeks could produce returns that diverge from a simple -2x return on the index over that period. She did not provide written materials about compounding effects or path dependency, but she did note in her CRM system that she 'discussed daily

reset mechanics and recommended short holding period of 2-6 weeks.'

Gerald purchased \$70,000 of the inverse leveraged ETF on February 14, 2023. Over the following weeks, the Nasdaq-100 experienced significant volatility - rising 4% in the first week, falling 6% in the second, rising 3%, then falling 2%, and then rallying sharply by 9% over the next three weeks. Gerald did not sell. Rebecca sent Gerald an email on March 20, 2023, approximately five weeks after purchase, stating: 'Just checking in - wanted to remind you that the inverse ETF position works best as a short-duration trade. The tech sector has been choppy. Want to discuss your exit plan?' Gerald responded the same day: 'I know it resets daily. I'm watching it. I think we're close to a top and I want to hold a bit longer.' Rebecca did not follow up further or escalate the matter.

By late May 2023 - approximately 14 weeks after purchase - the Nasdaq-100 had risen roughly 12% from Gerald's entry point. Gerald's -2x inverse position had lost approximately \$31,000 (a 44% loss), which was worse than the theoretical -24% that a simple -2x multiplier on the 12% index gain would have produced. The additional losses were attributable to volatility decay from the daily resetting mechanism during the choppy period. Gerald finally sold on May 30, 2023, realizing a \$31,000 loss.

Gerald subsequently filed a complaint alleging that Rebecca recommended a product that was incompatible with his moderate risk profile and that she failed to adequately explain how much worse than -2x his returns could be in a volatile, sideways-then-upward market. He also alleged she should have placed a time limit or stop-loss on the position. Rebecca's firm counters that the \$70,000 allocation was a small tactical hedge (5% of the brokerage account), that Gerald is a sophisticated investor who understood the daily reset after it was explained, that Rebecca proactively followed up recommending an exit, and that Gerald explicitly chose to continue holding against her advice.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Rebecca violated applicable standards: (1) The customer's account documentation listed 'growth with moderate risk' as his objective, and a -2x daily-resetting inverse leveraged ETF is generally classified as a complex, high-risk product - potentially inconsistent with a moderate risk profile regardless of allocation size. (2) Although Rebecca verbally discussed the daily reset, she did not provide written disclosures or illustrative examples showing how volatility decay could amplify losses beyond the simple leverage multiple, which many firms' supervisory procedures require for complex products. (3) When Gerald indicated he intended to hold beyond the recommended timeframe, Rebecca sent only a single follow-up email and did not escalate the situation to her supervisor or take more affirmative steps to protect the customer from foreseeable harm. Regulatory guidance has consistently emphasized that firms recommending daily-resetting leveraged products bear heightened supervisory responsibility, and a single email may be insufficient. (4) Gerald had no prior experience with leveraged or inverse ETFs, and general sophistication in equities and covered calls does not automatically confer understanding of path-dependent compounding effects.

Arguments that Rebecca acted appropriately: (1) The position represented only 5% of Gerald's brokerage account and was structured as a tactical, short-duration hedge - not a core holding - which is consistent

with the product's designed use case. (2) Gerald is a 58-year-old engineer with 30 years of market experience, including options trading, and he actively tracks portfolio beta - suggesting he is far from a naive retail investor. (3) Rebecca did explain the daily reset mechanism and recommended a 2-6 week holding period, documented this in her CRM, and proactively followed up within five weeks suggesting Gerald develop an exit plan. (4) Gerald explicitly declined to exit, asserting he understood the product's mechanics and wanted to maintain the position based on his own market view. The customer's autonomous decision to hold against the advisor's documented recommendation shifts responsibility. (5) The total loss of \$31,000 represents approximately 2.2% of Gerald's total brokerage assets - meaningful but not devastating to his financial situation. (6) The incremental loss from volatility decay beyond a simple -2x return was approximately \$7,000 (the difference between the \$24,000 theoretical loss and the \$31,000 actual loss), and much of the loss was driven by Gerald's incorrect directional bet rather than the product's structural features.

Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Rule 15l-1 under the Exchange Act), the advisor must have a reasonable basis to believe the recommendation is suitable and in the customer's best interest at the time it is made, considering the customer's investment profile. FINRA Regulatory Notices 09-31 and 22-08 specifically address leveraged and inverse ETFs, warning that these products are generally unsuitable for long-term holding and that firms must implement heightened supervision. However, these notices also acknowledge that leveraged products can serve legitimate short-term tactical purposes for knowledgeable investors. The initial recommendation of a small tactical hedge position for a sophisticated investor with a clearly articulated short-term thesis arguably falls within the range of reasonable recommendations, but the adequacy of disclosure and the response to the customer's decision to extend the holding period are the genuine pressure points.

Why Borderline

This case sits in genuine gray territory because the initial recommendation was arguably appropriate - a small tactical position for a sophisticated investor with a specific short-term hedging thesis - but the execution and follow-through raise questions. The customer's documented risk profile ('moderate') arguably conflicts with a -2x leveraged product, yet the position sizing was conservative. The advisor did follow up but arguably not aggressively enough when the customer deviated from the recommended holding period. The customer's sophistication and explicit decision to continue holding cuts strongly in the advisor's favor, but regulatory guidance places the burden of complex product supervision on the firm, not the customer. Reasonable compliance professionals could disagree on whether a single follow-up email satisfied heightened supervisory obligations or whether the advisor had an ongoing duty to more forcefully intervene.

Borderline Factors

- Customer's documented risk tolerance ('moderate to aggressive') is arguably borderline for a -2x leveraged inverse product - it depends on whether the allocation size or the product classification controls the analysis
- The 5% allocation was small relative to total assets, framing the position as a tactical hedge rather than a core speculative bet
- Customer had 30 years of investing experience including options but no specific experience with leveraged/inverse ETFs - sophistication is real but product-specific knowledge was lacking
- Advisor provided verbal but not written disclosure of daily reset mechanics and path dependency risks
- Advisor proactively followed up within the recommended timeframe but sent only one email and did not

escalate when the customer refused to exit

- Customer explicitly and in writing chose to continue holding against the advisor's recommendation, demonstrating autonomy and awareness
- The incremental loss attributable to volatility decay (~\$7,000) was relatively modest; the bulk of the loss stemmed from the customer's incorrect directional bet
- Firm procedures for complex product supervision and whether they required written disclosures or mandatory escalation are not specified in the complaint

Likely Outcome

A regulator would most likely find a partial violation focused not on the initial recommendation itself but on the adequacy of disclosure and post-recommendation supervision. The initial recommendation of a small tactical hedge for a sophisticated investor with a clear short-term thesis would likely survive scrutiny. However, the lack of written disclosure materials explaining volatility decay and path dependency - particularly given that FINRA Regulatory Notices 09-31 and 22-08 emphasize the importance of ensuring investors understand these mechanics - would likely be cited as a deficiency. Additionally, a single follow-up email when the customer chose to hold a daily-resetting product for 14 weeks may be found insufficient under heightened complex product supervisory obligations. The firm would likely receive a cautionary finding or modest fine focused on supervisory procedures rather than a finding that the recommendation itself was unsuitable. Gerald's explicit refusal to exit and his demonstrated sophistication would significantly mitigate any sanctions.

Borderline Scenario 18

Topic: *leveraged_etf_unsuitable* | Standard: *FINRA Rule 2111 (Suitability - customer-specific, reasonable-basis, and quantitative cor*

Fact Pattern

Marcus Whitfield, age 44, is a senior software architect at a major technology company earning \$340,000 annually with a net worth of approximately \$2.8 million, including \$1.6 million in his employer's stock and vested RSUs. In March 2023, he opened a brokerage account with Summit Ridge Financial and was assigned advisor Danielle Cho. On his new account form, Whitfield listed his investment objective as 'growth,' his risk tolerance as 'aggressive,' his time horizon as '5-10 years,' and his investment experience as 'extensive' - noting he had traded options, futures, and leveraged products for over eight years in a prior self-directed account. He told Cho that he believed the semiconductor sector was entering a sustained multi-year upcycle driven by AI demand and wanted concentrated exposure.

Cho recommended a 3x daily-leveraged semiconductor ETF, which Whitfield purchased in a single block of \$185,000 - representing approximately 6.6% of his total net worth and about 15% of his liquid investable assets (excluding the employer stock). Cho's written notes from the meeting state that she explained the product resets daily, that compounding effects could cause returns to diverge significantly from three times the index return over periods longer than one day, and that the product was 'designed for short-term tactical use.' She documented that Whitfield acknowledged understanding these risks but stated he intended to hold the position for 'at least several months, possibly 12 to 18 months, depending on how the thesis plays out.' Cho did not object to this stated holding period or recommend a non-leveraged alternative.

Over the following nine months, the underlying semiconductor index rose approximately 31%. However, due to a volatile path - including a 19% drawdown in May-June and a second 14% drawdown in August - the 3x leveraged ETF returned only 58% rather than the approximately 93% that a naive investor might expect from tripling the index return. Whitfield's \$185,000 position grew to approximately \$292,000, representing a gain of \$107,000. Whitfield did not complain about the absolute return but filed a complaint after reading an article about volatility decay, arguing he lost approximately \$64,000 in 'expected gains' relative to a hypothetical 3x return, and that Cho should have either refused the trade, insisted on a shorter holding period, or recommended a non-leveraged sector ETF combined with margin to achieve similar exposure.

Summit Ridge's product governance committee had approved the 3x semiconductor ETF for sale to clients meeting specific criteria: aggressive risk tolerance, documented experience with leveraged products, liquid net worth above \$500,000, and position sizing below 25% of liquid assets. Whitfield met all four criteria. The firm's written supervisory procedures required advisors to send quarterly letters to clients holding leveraged ETFs reminding them of daily-reset risks, and records confirm Cho sent these letters in June and September. However, the firm did not have a policy requiring advisors to affirmatively discourage or refuse to execute leveraged ETF positions with a stated holding period beyond 30 days. Cho's supervisor, Brian Falk, reviewed and approved the initial trade ticket but did not separately review Whitfield's stated 12-to-18-month holding intention against the product's daily-reset design.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations that make the outcome genuinely uncertain.

Arguments that Cho violated applicable standards:

1. Under FINRA Rule 2111 (suitability) and Regulation Best Interest (Rule 15l-1), a recommendation must be in the customer's best interest at the time it is made, considering the customer's stated investment profile. Whitfield explicitly stated a 12-to-18-month holding period. FINRA Regulatory Notices 09-31 and 12-03 repeatedly warn that leveraged and inverse ETFs that reset daily are 'typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' Cho documented the customer's long-term intention yet did not recommend a more suitable alternative or decline the recommendation.
2. The care obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill, and to consider reasonably available alternatives. A non-leveraged semiconductor ETF purchased on margin, or a longer-dated options strategy, could have delivered leveraged exposure without daily-reset compounding drag. Cho apparently did not present or analyze these alternatives.
3. The fact that the customer 'understood' daily reset mechanics does not relieve the advisor of the independent obligation to ensure the recommendation is suitable. Informed consent is not a defense to unsuitability under FINRA jurisprudence.
4. FINRA RN 22-08 reinforces that complex product recommendations require heightened scrutiny and that firms must consider whether a less complex product could achieve the customer's objectives.

Arguments that Cho did NOT violate applicable standards:

1. Whitfield was a sophisticated, high-income investor with eight years of documented experience trading leveraged products, options, and futures. His risk tolerance was aggressive, his position sizing was within the firm's guidelines (15% of liquid assets vs. the 25% cap), and he met every criterion the firm's product governance committee established.
2. Cho documented her explanation of daily-reset risk, volatility decay, and the product's intended short-term use. She sent the required quarterly reminder letters. The customer made an informed decision to hold longer than recommended.
3. The customer actually earned \$107,000 - a 58% return in nine months. The 'losses' are purely hypothetical, measured against an idealized 3x return that the product never promised to deliver over multi-day periods. There is no actual economic harm.
4. There is a meaningful difference between recommending a product and recommending a holding period. If Cho recommended the leveraged ETF for tactical semiconductor exposure and properly disclosed its daily-reset nature, the customer's independent decision to hold for an extended period may not convert a suitable recommendation into an unsuitable one, particularly where the customer is experienced.
5. The firm had no policy requiring advisors to refuse trades based on stated holding period, suggesting the industry had not coalesced around a bright-line rule. The supervisor approved the trade.
6. Under Reg BI, the standard is 'best interest' not 'best possible product.' The recommendation need not be optimal - it must be reasonable given the totality of circumstances.

Why Borderline

The scenario is genuinely ambiguous because the customer was highly sophisticated, met all firm-imposed eligibility criteria, was fully warned about the product's risks, and actually profited substantially. Yet the advisor documented the customer's long-term holding intention - which directly conflicts with the product's design - and did not recommend alternatives or restrict the holding period. Regulators have repeatedly stated these products are generally unsuitable for long-term holding, but they have not categorically prohibited their recommendation to sophisticated aggressive investors. The complaint is based on hypothetical lost gains rather than actual losses, which complicates the harm analysis. Reasonable compliance professionals could disagree on whether the advisor's disclosure obligations were sufficient to cure the mismatch between the product's design and the customer's stated time horizon.

Borderline Factors

- Customer had eight years of experience with leveraged products, options, and futures - well above the typical retail investor
- Position sizing was within firm guidelines at 15% of liquid assets (vs. 25% cap)
- Advisor documented verbal disclosure of daily-reset risk and volatility decay at point of sale
- Customer explicitly stated intent to hold 12-18 months, directly conflicting with product design as a short-term tactical tool
- Advisor did not present or document consideration of reasonably available alternatives such as a non-leveraged ETF on margin or options strategies
- Customer earned \$107,000 (58% return in 9 months) - no actual dollar loss, only hypothetical shortfall vs. naive 3x expectation
- Firm's supervisory procedures did not require advisors to refuse or escalate trades where stated holding period exceeded product design
- Quarterly volatility-decay reminder letters were sent as required by firm policy
- Supervisor approved the initial trade but did not independently evaluate the holding-period mismatch

- The underlying index experienced significant intra-period volatility (19% and 14% drawdowns), illustrating the exact path-dependency risk regulators have highlighted

Likely Outcome

A regulator would most likely find a technical violation, but one mitigated by significant factors, resulting in a cautionary outcome rather than severe sanctions. The core issue is that Cho documented the customer's 12-to-18-month holding intention - which is squarely within the zone that regulatory guidance has repeatedly identified as problematic for daily-resetting leveraged products - yet did not recommend a non-leveraged alternative, impose a stop-loss or review trigger, or document why the leveraged ETF was still the best available option given the long holding period. Under Reg BI's care obligation, the failure to consider and document reasonably available alternatives is likely the strongest basis for a finding. However, the customer's sophistication, the absence of actual losses, the adequate disclosure, and the firm's product governance approvals would significantly mitigate any sanctions. The most probable outcome is a supervisory deficiency finding against the firm for lacking policies addressing holding-period mismatches, and possibly a letter of caution or minor fine for Cho, rather than a significant enforcement action.

Borderline Scenario 19

Topic: high_fees_unsuitable | Standard: FINRA Rule 2111 (Suitability), including customer-specific suitability and reasonable-basis s

Fact Pattern

Marcus Whelan, a financial advisor at a mid-size broker-dealer in Phoenix, recommended a 2x leveraged S&P 500 ETF (expense ratio 0.91%) to his client, Dr. Priya Nair, a 52-year-old radiologist earning \$485,000 annually with a liquid net worth of approximately \$2.8 million. Dr. Nair had indicated on her new account form that she had a "high" risk tolerance, a "growth" investment objective, and a 10-15 year time horizon. She had prior experience trading individual equities and options in a self-directed account, though she had never purchased leveraged or inverse products before. During their March 2022 meeting, Whelan explained that the leveraged ETF would amplify daily returns of the S&P 500 by a factor of two, and that the product reset daily. He provided her with the fund's prospectus and a two-page product-specific disclosure sheet that described the effects of daily compounding on returns over periods longer than one day. Dr. Nair signed an acknowledgment form confirming she received and understood the materials. Whelan allocated \$140,000-approximately 5% of her liquid portfolio-to the leveraged ETF. He told her the position could serve as a "return enhancer" within her broader diversified portfolio, which included index funds, municipal bonds, and a real estate investment trust. However, Whelan did not set up any automatic rebalancing triggers, stop-loss orders, or calendar-based review dates for the position. He noted in his internal file that they would "revisit at the next quarterly review." Over the following 14 months, the S&P 500 experienced significant volatility-dropping roughly 18% from January to October 2022 before recovering most of those losses by mid-2023. Due to the well-documented compounding effects of daily-resetting leveraged products in volatile, choppy markets, Dr. Nair's \$140,000 position was worth approximately \$101,500 by May 2023, even though the underlying S&P 500 had returned to within 3% of its March 2022 level. The unleveraged S&P 500 ETF equivalent of the same position would have been worth approximately \$135,800 over the same period. Dr. Nair filed a complaint alleging the recommendation was unsuitable given the high internal costs of the product (including the 0.91% expense ratio plus the implicit cost of volatility decay), the

absence of any active monitoring plan, and the fact that a far less expensive unleveraged S&P 500 ETF (expense ratio 0.03%) would have preserved significantly more of her capital. Whelan's firm countered that Dr. Nair was a high-income, high-net-worth investor with documented high risk tolerance who signed product-specific disclosures, that the allocation was modest at 5% of her portfolio, and that the product performed exactly as described in its prospectus-amplifying both gains and losses on a daily basis. The firm also noted that Whelan's broader portfolio construction for Dr. Nair was conservative and well-diversified, and that the leveraged ETF served a legitimate tactical purpose within that allocation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations on both sides. Arguments supporting a violation: (1) Leveraged ETFs with daily reset mechanisms are widely recognized as instruments designed for short-term, tactical trading-not buy-and-hold strategies. Regulatory guidance has repeatedly emphasized that these products can produce returns that diverge dramatically from the underlying index over holding periods longer than one trading day, particularly in volatile markets. (2) Despite Whelan's awareness that the product resets daily, he established no concrete monitoring framework-no stop-loss parameters, no rebalancing triggers, and no specific review date other than a vague reference to a quarterly meeting. This lack of an active monitoring plan is arguably inconsistent with the heightened supervisory expectations associated with complex products. (3) The total cost to the investor was not just the explicit 0.91% expense ratio but the implicit cost of volatility decay, which in this case eroded approximately \$34,300 in value relative to an unleveraged alternative over 14 months. A reasonable argument exists that an advisor acting in the customer's best interest should have recommended the far cheaper unleveraged ETF, given the client's 10-15 year time horizon. (4) Dr. Nair had no prior experience with leveraged products, which arguably means her general sophistication with equities and options does not fully translate to understanding the path-dependent nature of daily-resetting leveraged instruments.

Arguments against a violation: (1) The 5% allocation was modest relative to Dr. Nair's \$2.8 million liquid portfolio. Even the \$38,500 loss relative to the unleveraged alternative represents roughly 1.4% of her total liquid assets-a manageable drawdown for someone with her income, net worth, and stated high risk tolerance. (2) Whelan provided both the prospectus and a supplemental disclosure specifically addressing daily compounding effects, and Dr. Nair signed an acknowledgment. She is an educated professional earning nearly half a million dollars annually, and it is reasonable to expect she could understand the risk disclosures provided. (3) The product did exactly what it was designed to do-there was no misrepresentation. Whelan characterized it as a "return enhancer," which is a recognized tactical use of leveraged ETFs within a diversified portfolio. (4) While Whelan did not establish formal monitoring triggers, he did indicate he would review the position at the next quarterly meeting. Whether this constitutes adequate monitoring is debatable-many advisors review positions quarterly rather than setting automated triggers. (5) Regulatory guidance on leveraged ETFs has focused primarily on situations where these products constitute a large portion of a portfolio or are sold to unsophisticated investors with low risk tolerance, neither of which fully applies here.

Why Borderline

This case sits in genuine gray territory because the investor profile-high income, high net worth, high stated

risk tolerance, prior trading experience-provides substantial support for the recommendation, yet the product's inherent characteristics (daily reset, volatility decay, high implicit costs) are in tension with the client's stated 10-15 year time horizon. The 5% allocation is small enough to be defensible as a tactical satellite position but the absence of an active monitoring plan allowed the position to drift for 14 months, which is longer than most guidance suggests is appropriate for daily-resetting leveraged products. Reasonable compliance professionals could disagree on whether the combination of adequate disclosure, small allocation size, and a sophisticated client profile offsets the mismatch between the product's daily-reset design and the lack of a structured short-term review and exit strategy.

Borderline Factors

- 5% portfolio allocation is modest but was held for 14 months without active monitoring-a duration widely considered too long for daily-resetting leveraged products
- Client had high income, high net worth, and high risk tolerance, but had never previously traded leveraged or inverse ETFs
- Product-specific disclosures were provided and acknowledged, but understanding disclosure language is different from understanding real-world volatility decay in practice
- Explicit expense ratio of 0.91% is roughly 30x more expensive than the unleveraged alternative (0.03%), but total cost comparison must also include the implicit volatility decay costs that are harder to quantify ex ante
- Client's stated 10-15 year time horizon conflicts with the short-term tactical nature of leveraged ETFs, but the product was only one component of a diversified portfolio
- Advisor mentioned quarterly review but did not establish formal monitoring triggers, stop-losses, or rebalancing parameters specifically for this complex product

Likely Outcome

A regulator would likely find a partial violation, focusing not on the initial recommendation itself-which is defensible given the client's profile and the small allocation-but on the failure to implement and document an adequate ongoing monitoring plan for a complex, daily-resetting product. Regulatory guidance has consistently emphasized that these products require active management and frequent reassessment, and holding a daily-resetting leveraged ETF for 14 months without any structured review process falls below supervisory expectations. However, given the modest allocation size, the client's sophistication, and the disclosure documentation, any sanctions would likely be moderate-a letter of caution or a fine rather than a suspension-with the firm potentially bearing responsibility for not having policies requiring enhanced monitoring of complex product positions.

Borderline Scenario 20

Topic: high_fees_unsuitable | Standard: FINRA Rule 2111 (Suitability) - requiring that recommendations be suitable based on customer

Fact Pattern

Rebecca Thornton, a registered representative at a mid-sized broker-dealer in Phoenix, Arizona, manages approximately 140 retail accounts. In March 2022, she recommended a portfolio allocation involving a 2x leveraged S&P 500 ETF (expense ratio 0.91%) and a 2x leveraged Nasdaq-100 ETF (expense ratio 0.95%) to her client, Dennis Kowalski, age 58, a semi-retired electrical engineer who had recently rolled over a

\$680,000 401(k) into an IRA. Kowalski's account documents listed his investment objective as 'growth with moderate risk,' his annual income as \$95,000 from part-time consulting, liquid net worth of \$1.1 million (including the IRA), and an investment time horizon of 7-10 years. Kowalski had 25 years of investing experience, primarily in index mutual funds and blue-chip stocks, and had previously held a small position in a single-inverse Treasury ETF for about three months in 2018.

Thornton recommended allocating 30% of the IRA (\$204,000) to the two leveraged ETFs, split roughly evenly between them, with the remaining 70% in a diversified mix of low-cost index funds and investment-grade bond funds with expense ratios ranging from 0.03% to 0.15%. She documented in her notes that the leveraged allocation was designed to provide equity-equivalent exposure while freeing up 30-35% of the portfolio for the bond allocation, effectively creating a risk-parity-inspired structure that she believed would produce equity-like returns with lower overall portfolio volatility than a traditional 80/20 stock-bond mix. She provided Kowalski with the ETF prospectuses and a one-page summary she had prepared explaining daily resetting, compounding effects, and the risk that returns over periods longer than one day could diverge significantly from the simple 2x multiple of the index return.

Thornton's plan called for quarterly rebalancing to maintain the target allocations, and she charged her standard 1.15% annual advisory wrap fee on the entire account, meaning the leveraged ETF portion carried a combined annual cost layer of approximately 2.06-2.10% (the wrap fee plus the ETF expense ratio). For the non-leveraged portion, the all-in cost was approximately 1.18-1.30%. Across the full portfolio, the blended annual cost was roughly 1.43%.

Over the next 14 months, through May 2023, the S&P 500 rose approximately 12% cumulatively but experienced several sharp drawdowns of 5-8% along the way. The 2x leveraged S&P 500 ETF in Kowalski's account returned approximately 18.7% - less than the expected 24% simple multiple - reflecting volatility drag. The 2x leveraged Nasdaq-100 ETF returned approximately 41%, as tech rallied strongly. Overall, Kowalski's portfolio returned approximately 13.2% over the period, compared to approximately 10.8% for a hypothetical traditional 70/30 index portfolio and approximately 12.5% for a hypothetical 80/20 portfolio, both using the same low-cost index funds.

In June 2023, Kowalski's adult daughter, a CPA, reviewed his account and raised concerns about the fee layering and the use of leveraged products in a retirement account for someone nearing full retirement. She calculated that Kowalski paid approximately \$4,300 in ETF-level expenses on the leveraged positions over 14 months, on top of \$10,900 in wrap fees on the full account - totaling approximately \$15,200 in combined costs. She noted that a simple 80/20 index portfolio at a robo-advisor charging 0.25% with average fund costs of 0.05% would have cost approximately \$1,530 over the same period, a difference of roughly \$13,670. Kowalski subsequently filed a complaint alleging the fee structure and leveraged product selection were inappropriate for his retirement account, age, and objectives. Thornton's firm conducted an internal review and noted that Thornton had followed the firm's enhanced due diligence procedures for complex products, which required documented client acknowledgment, a written rationale, and supervisory pre-approval - all of which were on file. The firm's policies did not prohibit leveraged ETFs in retirement accounts but required review at 90-day intervals, which Thornton had completed.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: The combined cost layer on the leveraged ETF portion (approximately 2.06-2.10% annually) is significantly higher than widely available alternatives, and the total portfolio cost of 1.43% is roughly ten times what a comparable passive allocation would cost at a low-cost provider. For a 58-year-old client in a retirement account with a 'growth with moderate risk' objective, the use of daily-resetting leveraged products introduces path dependency and volatility decay risk that may be inconsistent with the stated moderate risk tolerance. The client's prior experience with leveraged/inverse products was limited to a single short-term position in an inverse Treasury ETF, which is materially different from a sustained multi-quarter allocation to 2x equity-leveraged products. Under Regulation Best Interest (Rule 15l-1), the cost component of the care obligation requires advisors to consider reasonably available alternatives and not place their own financial interest ahead of the customer's. FINRA Regulatory Notices 09-31, 12-03, and 22-08 have consistently warned that leveraged and inverse ETFs with daily reset mechanisms are generally unsuitable for long-term holding by retail investors, emphasizing that returns over periods longer than one trading day can deviate substantially and unpredictably from the stated leverage multiple. The 14-month holding period clearly exceeds one day and exposed Kowalski to documented volatility drag (the S&P 500 leveraged ETF returned 18.7% vs. the expected 24%). The fee differential of approximately \$13,670 over 14 months is substantial and raises questions about whether a lower-cost alternative achieving a similar risk-return profile was available.

Arguments against a violation: Thornton constructed a coherent portfolio strategy - a risk-parity-inspired approach - where the leveraged ETFs served a specific, documented purpose: achieving equity-equivalent exposure with a smaller equity allocation, thereby permitting a larger fixed-income allocation to reduce overall portfolio volatility. This is a recognized institutional strategy, and the portfolio's actual performance (13.2%) exceeded both the 70/30 and 80/20 benchmarks over the period. Thornton provided the client with prospectuses and a custom summary explaining daily reset mechanics and compounding risk, demonstrating an effort to ensure the client understood the product. The client had 25 years of investment experience and some, albeit limited, prior exposure to inverse products. Thornton followed her firm's enhanced due diligence procedures, obtained pre-approval, maintained quarterly reviews, and rebalanced as planned - all suggesting active supervision rather than a 'buy and forget' approach. The quarterly rebalancing mitigated some of the drift and compounding risk that regulators have flagged with long-term passive holding of leveraged ETFs. The 1.15% wrap fee is within the range of standard advisory fees at full-service broker-dealers, and the ETF expense ratios are inherent to the product, not an additional advisor markup. Under FINRA Rule 2111 (suitability) and Reg BI, the standard is not that the advisor must select the cheapest possible product, but that the recommendation must be in the customer's best interest considering the customer's full profile. Kowalski's \$1.1 million liquid net worth provides a substantial cushion, the leveraged allocation was 30% of the IRA (not the entire retirement savings), and the client signed acknowledgments. Some commentators and practitioners, as reflected in public comment letters on proposed leveraged fund regulations (e.g., SEC File No. S7-24-15), have argued that leveraged products can serve a legitimate role in portfolio construction for moderately sophisticated investors.

Why Borderline

This case sits at the intersection of several genuinely contested issues: (1) whether a documented, rebalanced risk-parity strategy using leveraged ETFs constitutes a legitimate use case that distinguishes it

from the 'buy and hold' long-term pattern regulators have warned against; (2) whether the combined fee layering is excessive when compared to low-cost alternatives, or whether it is simply the cost of a full-service advisory relationship with a specific strategic rationale; (3) whether a 58-year-old semi-retired client with substantial assets and long investment experience but limited leveraged product experience is an appropriate candidate for this strategy in a retirement account; and (4) whether quarterly rebalancing sufficiently mitigates the daily-reset compounding concerns that form the basis of regulatory warnings. The advisor followed all firm procedures, documented her rationale, and the portfolio outperformed simpler benchmarks, yet the cost differential is large and the products carry well-known risks that regulators have repeatedly flagged as unsuitable for retail buy-and-hold investors.

Borderline Factors

- The advisor constructed a coherent portfolio theory (risk-parity) with documented rationale, rather than simply speculating with leveraged products
- The 14-month holding period with quarterly rebalancing is a gray zone - longer than one day but actively managed, not passively held
- The combined fee layering (~2.06-2.10% on leveraged portion) is high but not extreme by full-service standards, and much of it is the standard wrap fee applied uniformly across all holdings
- The client had 25 years of investment experience but very limited exposure to leveraged/inverse products specifically
- The leveraged allocation was 30% of the IRA, not the entire account, and the client had \$1.1M in liquid net worth
- The portfolio outperformed comparable unleveraged benchmarks over the period, though past performance does not validate suitability
- The client's stated objective of 'growth with moderate risk' could support or undermine the recommendation depending on interpretation
- Firm procedures were fully followed including enhanced due diligence, supervisory pre-approval, and periodic review
- The client received and acknowledged written disclosure of daily reset mechanics and compounding risk
- The \$13,670 cost differential versus a low-cost robo-advisor is significant but reflects a fundamentally different service model

Likely Outcome

A regulator would likely find this a close case but would probably issue a cautionary finding or require enhanced justification rather than a clear-cut violation. The key mitigating factors - the documented risk-parity rationale, quarterly rebalancing, firm pre-approval, client disclosures, and actual outperformance - distinguish this from the typical enforcement pattern of unsuitable leveraged ETF recommendations (which usually involve unsophisticated clients, no documented strategy, and passive long-term holding). However, a regulator would likely scrutinize the cost component heavily under Reg BI's care obligation, noting that the \$13,670 incremental cost over 14 months requires strong justification and that the advisor's wrap fee applied on top of already-expensive leveraged products creates a potential conflict of interest. The regulator might conclude that while the strategy had intellectual merit, the advisor did not adequately consider or document why lower-cost alternatives (such as using futures overlays, margin, or simply a higher equity allocation with cheaper index funds) could not achieve a similar risk-return profile at substantially lower cost. The most likely outcome is a supervisory deficiency letter or a requirement for enhanced cost-comparison documentation, rather than a formal suitability violation with sanctions.

Borderline Scenario 21

Topic: *complex_products_unsophisticated_investor* | Standard: *FINRA Rule 2111 (Suitability - reasonable-basis, customer-specific, and*

Fact Pattern

Gerald Whitfield, age 58, is a retired high school mathematics teacher living in suburban Ohio. He has a total liquid net worth of approximately \$620,000, the majority of which is held in a traditional IRA and a taxable brokerage account at a mid-size regional broker-dealer. His annual pension income is \$54,000 and he has no other earned income. His stated investment objective on his new account form is "growth with moderate risk," and his time horizon is listed as 10-15 years. He has no prior experience trading options, futures, or derivatives, but he does hold a portfolio of approximately 18 individual stocks and several broad-market index ETFs that he has managed himself for over a decade. He describes himself as comfortable with market volatility and says he reads financial news daily.

In March 2023, Gerald's financial advisor, Danielle Reeves, recommended that he allocate \$45,000 (approximately 7.2% of his liquid net worth) to a 3x leveraged daily-resetting ETF tracking the semiconductor sector. Danielle explained that the semiconductor industry was poised for significant growth due to artificial intelligence demand and government subsidies for domestic chip manufacturing. She told Gerald that the product "amplifies gains three-to-one" and that it was "like owning the semiconductor index but with more punch." She provided him with the fund's prospectus and a one-page product summary sheet produced by the ETF sponsor, which contained language about daily resetting, compounding effects, and the risk of holding the product for periods longer than one day.

Gerald signed an acknowledgment form indicating he had received and understood the product materials. Danielle's notes from the meeting state: "Client understands leveraged nature of product. Discussed that returns may differ from 3x index over longer periods. Client wants to hold for 6-12 months to capture AI cycle upside."

Over the next nine months, the semiconductor index experienced significant volatility - rising 14% over the first four months, dropping 11% in months five and six, then recovering 8% by month nine. Despite the index finishing approximately 10.5% higher from March to December 2023, Gerald's 3x leveraged ETF position gained only approximately 18.2% rather than the roughly 31.5% he expected (3 times the index return). Gerald's \$45,000 investment was worth approximately \$53,190 - a gain of \$8,190 - but he believed he should have made approximately \$14,175.

Gerald filed a complaint in January 2024, alleging that Danielle never adequately explained the concept of volatility decay or path dependency, that she should not have recommended a daily-resetting leveraged product for a multi-month holding period, and that his background as a math teacher did not make him a sophisticated investor in complex financial products. He also noted that Danielle never suggested setting a stop-loss, never followed up during the volatile period to recommend exiting the position, and never discussed the possibility that the product could underperform the leveraged multiple of the index over time.

Danielle's broker-dealer had a policy requiring enhanced review for leveraged and inverse ETF recommendations, including a supervisory principal's sign-off. The firm's records show that her branch manager, Kevin Ortega, approved the trade on the day it was entered, but his notes consist only of:

"Reviewed. Client suitable. Approved." The firm did not have an automated monitoring system to flag leveraged ETF positions held beyond 30 or 60 days, nor did it require periodic re-evaluation of such positions.

Notably, Gerald did make money on the trade - \$8,190 in nine months - and the semiconductor sector did perform well. Danielle had seven years of experience and had recommended leveraged ETFs to other clients, several of whom had positive outcomes. Gerald's overall portfolio remained diversified, with the leveraged ETF representing a single concentrated sector bet within a broader allocation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents arguments on both sides that reasonable regulators and practitioners would weigh differently.

****Arguments that a violation occurred:****

1. ****Inadequate disclosure of path dependency and volatility decay.**** Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Rule 15l-1 under the Exchange Act), an advisor must have a reasonable basis for believing a recommendation is in the customer's best interest. FINRA Regulatory Notice 09-31 explicitly warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because daily compounding can cause returns to diverge significantly from the leveraged multiple of the index return over time. Danielle's characterization of the product as being "like owning the semiconductor index but with more punch" could be viewed as materially misleading, as it omits the critical distinction between daily and cumulative leverage.
2. ****Multi-month holding period recommendation.**** Danielle's own notes indicate the recommended holding period was 6-12 months. FINRA RN 09-31 and the more recent RN 22-08 on complex products both emphasize that daily-resetting leveraged products are designed for short-term trading, and that recommending them for multi-month or multi-year holds requires heightened scrutiny and justification. The fact that she explicitly recommended a holding period far exceeding one day triggers the core concern these notices address.
3. ****Lack of ongoing monitoring.**** FINRA RN 22-08 emphasizes that firms must have robust supervisory procedures for complex products, including post-trade surveillance. The firm had no automated system to flag aging leveraged ETF positions, and neither Danielle nor her supervisor conducted any interim review during a period of significant volatility - precisely the market conditions that exacerbate decay.
4. ****Inadequate supervisory review.**** Kevin Ortega's one-line approval - "Reviewed. Client suitable. Approved" - likely falls short of the enhanced supervisory review expected under FINRA's complex products framework. FINRA RN 12-03 (Know Your Customer and Suitability) and RN 22-08 both contemplate meaningful supervisory engagement with the specific risks of the product being recommended.
5. ****Customer sophistication.**** While Gerald has investment experience, being a math teacher and

self-directed stock picker does not equate to understanding volatility drag, daily rebalancing mechanics, or the gamma exposure implicit in leveraged products. The customer-specific suitability prong requires assessing whether *this* customer understands *this* product's specific risks.

Arguments that no violation occurred:

- The customer made money.** Gerald earned \$8,190 (an 18.2% return) in nine months, which significantly outperformed broad equity markets over the same period. While profit does not immunize an advisor from a suitability violation, it does undercut the harm element that regulators typically weigh.
- Reasonable allocation and diversification.** The \$45,000 position represented only 7.2% of Gerald's liquid net worth. The rest of his portfolio remained diversified across individual stocks and broad index ETFs. This was a satellite allocation, not a core holding, and the overall portfolio risk was not dramatically altered.
- Disclosure was provided.** Gerald received the prospectus, a product summary sheet, and signed an acknowledgment form. Danielle's notes reference a conversation about returns potentially differing from 3x the index over longer periods. While one can argue the explanation was insufficient, the advisor did not conceal the product's nature.
- Customer profile supports some risk tolerance.** Gerald managed his own stock portfolio for a decade, follows financial markets daily, described himself as comfortable with volatility, and had a growth-oriented investment objective. He is not a complete novice.
- The thesis was correct.** Danielle's investment thesis - that semiconductors would benefit from AI and government subsidies - proved accurate. The recommendation demonstrated reasonable-basis suitability insofar as the underlying sector view was well-founded and timely.
- Six-to-twelve month holds are not per se prohibited.** While regulatory notices caution against long-term holding, they do not create a bright-line prohibition. Some practitioners and academics (including research on decay thresholds) have argued that leveraged ETFs can be appropriate for periods longer than one day under certain market conditions, particularly in trending markets with lower volatility.

Why Borderline

This scenario is genuinely ambiguous because the advisor provided some disclosure and the customer had meaningful investment experience, the position was a modest percentage of the portfolio, and the customer earned a positive return. However, the advisor recommended a multi-month hold of a daily-resetting 3x leveraged product to a retail retiree, used arguably misleading simplifications in her sales pitch, and the firm's supervisory infrastructure was thin. Regulatory guidance strongly disfavors long-term holds of these products for retail investors, but the guidance is not a per se prohibition, and the specific facts here cut both ways on virtually every element - sophistication, disclosure, harm, and supervisory adequacy.

Borderline Factors

- Customer earned a positive return (\$8,190 / 18.2%), undermining the harm narrative but not eliminating the suitability question

- Position was 7.2% of liquid net worth - a satellite allocation, not a core portfolio bet
- Advisor's verbal explanation ('like owning the index but with more punch') arguably minimized the daily-reset and compounding risks, but written disclosures were provided
- Customer had 10+ years of self-directed investing experience and daily market engagement, but no prior experience with leveraged or derivative-based products
- Advisor explicitly documented a 6-12 month intended holding period, which directly implicates regulatory concerns about long-term holds of daily-resetting products
- Firm's supervisory review was perfunctory (one-line approval) and lacked any post-trade monitoring mechanism for leveraged ETF positions
- No interim contact or review during a period of significant sector volatility that is precisely the condition that causes volatility decay
- The underlying investment thesis (semiconductor sector growth) was fundamentally sound and proved correct
- Regulatory notices caution against but do not categorically prohibit multi-month holds of leveraged ETFs

Likely Outcome

A regulator would most likely find a violation, though potentially limited in severity. The strongest basis would be the inadequacy of the firm's supervisory procedures - the perfunctory approval and absence of any post-trade monitoring for a daily-resetting leveraged product held for nine months. The advisor's verbal description of the product would likely be found to have understated the compounding and path-dependency risks, even though written materials were provided. However, the positive return, modest allocation size, and the customer's general market experience would likely mitigate sanctions. The firm would face greater scrutiny than the individual advisor, particularly under FINRA RN 22-08's enhanced supervisory expectations for complex products. A likely resolution would be a supervisory deficiency finding against the firm with a modest fine and a requirement to enhance its leveraged ETF monitoring systems, and possibly a letter of caution or minor sanction against the advisor for the inadequacy of her verbal explanation rather than a finding of outright unsuitability.

Borderline Scenario 22

Topic: *leveraged_etf_unsuitable* | Standard: *FINRA Rule 2111 (Suitability - customer-specific, reasonable-basis, and quantitative cor*

Fact Pattern

Marcus Trejo, age 44, is a software engineering manager at a major tech company earning \$310,000 annually. He has a brokerage account with approximately \$1.4 million in total assets, roughly 70% in individual equities and broad index funds, 15% in bonds, and 15% in cash. His account documents list his risk tolerance as 'aggressive,' his investment objective as 'growth,' and his time horizon as 'long-term (10+ years).' He has 18 years of active trading experience, trades options regularly (approved for Level 3 options), and has previously held sector-specific leveraged ETFs for periods of one to three weeks. In February 2023, after conducting his own technical analysis, Trejo contacted his financial advisor, Diana Castellano, and told her he wanted to allocate approximately \$105,000 - roughly 7.5% of his portfolio - to a 3x leveraged daily-resetting ETF tracking the semiconductor sector. Trejo explained that he believed the semiconductor cycle was entering a sustained multi-quarter upswing driven by AI demand and that he wanted amplified exposure. Castellano discussed the product's daily reset mechanism and explained that

holding the fund beyond short periods could produce returns that significantly diverge from three times the sector's cumulative return, especially in volatile or choppy markets. She emailed Trejo a product fact sheet and the fund's own prospectus warning about long-term holding risks. Trejo responded by email: 'I understand the compounding issue and volatility drag. I've modeled various scenarios. I plan to hold for 2-4 months and will set a stop-loss at 25% below my entry. This is a tactical position, not a buy-and-hold.' Castellano documented this exchange in her notes and approved the trade. Over the following five months, the semiconductor sector experienced a sharp rally in March and April (up roughly 18%), followed by a volatile sideways period in May and June with multiple 3-5% weekly swings, and then another rally in July. Trejo did not sell during the sideways period and did not trigger his stop-loss, as the position never declined 25% from entry. By late July 2023, the underlying semiconductor index was up approximately 29% from Trejo's entry point. However, due to volatility decay during the choppy May-June period, Trejo's 3x leveraged ETF was up only about 58% - well short of the 87% ($3 \times 29\%$) a naive investor might have expected. Trejo's \$105,000 position had grown to approximately \$165,900, a gain of roughly \$60,900. In August 2023, the sector pulled back sharply, and Trejo finally sold the position at a net gain of approximately \$31,000. Trejo subsequently filed a complaint alleging that Castellano should not have permitted him to hold the 3x leveraged ETF for five months, that she failed to actively monitor the position, and that the roughly \$29,900 in 'lost' gains (the difference between the theoretical 3x return at the July peak and his actual return at that point) represented damages caused by her negligence. Castellano's firm had a written supervisory procedure requiring that advisors flag leveraged ETF positions held beyond 60 calendar days for supervisory review. Internal records show that Castellano's branch manager received an automated alert at the 60-day mark in late April but took no documented action beyond verbally confirming with Castellano that the client was aware of the risks. No formal written supervisory review was conducted, and no follow-up communication was sent to Trejo after the 60-day alert.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Castellano violated applicable standards: (1) The firm's own written supervisory procedures required a formal review of leveraged ETF positions held beyond 60 days, and this review was not properly documented or conducted. Under FINRA Rule 3110 and the firm's WSPs, the failure to execute the supervisory escalation process is a procedural violation regardless of the outcome. (2) FINRA Regulatory Notices 09-31 and 12-03 emphasize that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who hold them for longer than one trading session, and that firms must have robust procedures to monitor holding periods. A five-month hold of a 3x daily-resetting product substantially exceeds even the most generous interpretation of a 'short-term tactical' period. (3) Under Regulation BI (Rule 15l-1), the care obligation requires the advisor to exercise reasonable diligence and care in making recommendations and to consider reasonably available alternatives. An advisor who watches a client drift from a stated 2-4 month time frame without proactive follow-up may fail the ongoing monitoring component, particularly when the firm's own procedures flagged the position. (4) FINRA RN 22-08 reinforces that complex products like leveraged ETFs require heightened supervision and that firms should consider whether retail investors truly understand path dependency and volatility decay.

Arguments that Castellano acted appropriately: (1) The initial recommendation was suitable at the time it was made. Trejo is a sophisticated, high-income investor with extensive trading experience, Level 3 options

approval, and prior experience with leveraged ETFs. The position represented only 7.5% of his portfolio. Under FINRA Rule 2111, customer-specific suitability was arguably met given his aggressive risk tolerance, growth objective, and demonstrated knowledge. (2) Castellano provided meaningful, documented disclosure - including the prospectus, a fact sheet, and a direct discussion of volatility decay. Trejo acknowledged in writing that he understood the compounding risks. (3) The position was profitable throughout the entire holding period and was never in danger of triggering the stop-loss. The client's complaint is essentially that he did not capture the full theoretical 3x return - but no leveraged ETF prospectus or marketing material promises that outcome over multi-day periods. The 'damages' alleged are hypothetical opportunity costs, not actual losses. (4) Trejo was the one who chose not to sell during the sideways period. The advisor does not have discretionary authority over the account, and telling a sophisticated client when to exit a profitable position could itself be problematic. (5) The supervisory lapse (failure to formally document the 60-day review) is a procedural deficiency at the firm/branch level, not necessarily evidence that the recommendation itself was unsuitable or not in Trejo's best interest.

Why Borderline

This scenario is genuinely ambiguous because the initial recommendation was defensible for a sophisticated, high-net-worth, aggressive investor using a small portfolio allocation, and the position was ultimately profitable. However, the five-month holding period for a daily-resetting 3x leveraged product clearly exceeded the product's designed use case, the firm's own supervisory procedures were not followed, and the advisor arguably had a duty to proactively re-engage the client when the holding period extended well beyond the stated plan. The tension between respecting a sophisticated client's autonomy and the heightened duties associated with complex products creates the gray area. Additionally, the fact that the client suffered no actual loss - only a shortfall relative to a theoretical leveraged return - makes the damages theory unusual and debatable.

Borderline Factors

- Client was highly sophisticated with prior leveraged ETF experience and Level 3 options approval
- Position represented only 7.5% of total portfolio - not a concentration issue
- Advisor provided thorough written disclosure and the client acknowledged understanding of volatility decay in writing
- Five-month holding period significantly exceeded the daily-reset design of the product and the client's own stated 2-4 month plan
- Firm's written supervisory procedures required a 60-day review that was not formally conducted or documented
- The position was profitable throughout and the client's complaint relates to opportunity cost rather than actual losses
- Non-discretionary account - client controlled the decision to hold through the volatile period
- Advisor did not proactively contact the client after the 60-day flag or when the holding period exceeded the stated plan
- Heightened supervisory expectations for complex daily-resetting leveraged products create obligations beyond ordinary equity positions

Likely Outcome

A regulator would most likely find a supervisory violation related to the firm's failure to follow its own written supervisory procedures at the 60-day mark, potentially resulting in a fine or censure for the branch manager

and/or the firm. However, the underlying suitability or best-interest analysis for the initial recommendation is more defensible. Given Trejo's sophistication, documented acknowledgment of risks, modest allocation, and the fact that no actual loss occurred, a finding that the recommendation itself was unsuitable or not in the client's best interest is less likely. The most probable resolution would be a supervisory deficiency finding with modest sanctions, rather than a substantive suitability violation against Castellano personally. If damages are awarded, they would likely be limited or denied given the profitable outcome and the client's own role in the holding decision.

Borderline Scenario 23

Topic: failure_to_know_customer | Standard: FINRA Rule 2111 (Suitability) - reasonable-basis, customer-specific, and quantitative s

Fact Pattern

Margaret Reeves, age 58, is a retired middle-school principal living in Scottsdale, Arizona. She has a \$1.4 million portfolio consisting primarily of municipal bonds, blue-chip dividend stocks, and a small allocation to a balanced mutual fund. Her account paperwork from 2021 lists her investment objective as 'income with moderate growth,' her risk tolerance as 'moderate,' and her time horizon as '10+ years.' She has no margin account and no prior history trading options or leveraged products.

In March 2023, Margaret attended a free dinner seminar hosted by her financial advisor, David Kowalski, at a local steakhouse. The seminar focused on 'hedging strategies for retirees worried about a market downturn.' During the event, Kowalski discussed the concept of inverse exchange-traded funds as a way to protect portfolios during periods of declining equity prices. Margaret approached Kowalski after the seminar expressing concern about a potential recession and asked him to 'do something to protect my nest egg.'

Over the following two weeks, Kowalski and Margaret had three phone conversations, totaling roughly 90 minutes. According to Kowalski's notes, he explained that the inverse ETF he was recommending—a product designed to deliver negative-one-times (-1x) the daily return of the S&P 500—was intended as a short-term tactical hedge and that its value could erode if held for extended periods due to daily resetting mechanics. His notes indicate Margaret said she understood and wanted to proceed. However, Kowalski did not update her account profile to reflect a higher risk tolerance, did not document any specific discussion about compounding effects or hypothetical loss scenarios, and did not set any calendar reminder or trailing stop mechanism to review the position.

Kowalski allocated \$140,000—roughly 10% of her portfolio—to the -1x inverse S&P 500 ETF on March 22, 2023. The S&P 500 subsequently experienced choppy, range-bound trading through the spring and summer, then rallied significantly in the fourth quarter of 2023. Margaret did not contact Kowalski about the position, and Kowalski did not proactively reach out to her about it. Monthly account statements were mailed to Margaret showing the position and its declining value.

By March 2024—exactly 12 months after the purchase—the inverse ETF position had lost approximately \$39,000, or 28% of its initial value, even though the S&P 500 had only risen about 18% net over the same period. The additional losses beyond the index's inverse return were attributable to volatility drag from the

daily-reset mechanism during the choppy trading months.

Margaret filed a complaint in June 2024, stating she believed the product was supposed to act like an insurance policy on her portfolio and that she was never told it could lose money faster than the market gained. Kowalski's firm conducted an internal review. The firm's product governance committee had approved the -1x inverse ETF (but not leveraged 2x or 3x products) for use in retail accounts with advisor attestation, though the firm's written guidance recommended holding periods of no more than 30 trading days. Kowalski had not submitted the required attestation form before placing the trade.

Notably, Margaret holds a master's degree in education and previously served as treasurer of her local homeowners' association, managing a \$350,000 annual operating budget. She also had \$80,000 in a self-directed brokerage account at another firm where she independently purchased two sector-specific ETFs in 2022, though neither was leveraged or inverse. Kowalski has 14 years of industry experience with no prior complaints or disciplinary history.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Kowalski violated applicable standards:

1. Failure to update the customer profile: Margaret's account documentation reflected 'income with moderate growth' and 'moderate' risk tolerance. A -1x inverse ETF is a speculative, daily-resetting derivative product that is fundamentally inconsistent with that profile. Under FINRA Rule 2111 (Suitability) and its three components-reasonable-basis, customer-specific, and quantitative suitability-an advisor must have reasonable grounds to believe a recommendation is suitable based on the customer's actual investment profile. By not updating the profile before executing the trade, Kowalski created a mismatch between the documented profile and the product placed in the account.
2. Inadequate disclosure of path dependency risks: FINRA Regulatory Notices 09-31 and 22-08 specifically warn that leveraged and inverse ETFs that reset daily can produce returns that deviate significantly from their stated benchmark over periods longer than one trading day, particularly in volatile or range-bound markets. Kowalski's notes reference a general warning about 'erosion' but contain no documentation of specific hypothetical scenarios, compounding illustrations, or written materials provided to the customer. The \$39,000 loss-28% on a position inverse to an 18% gain-illustrates exactly the volatility decay phenomenon regulators have flagged.
3. Failure to monitor and absence of exit strategy: FINRA RN 09-31 and RN 22-08 both emphasize that firms and advisors recommending daily-resetting products must have robust post-recommendation monitoring. The firm's own internal guidance recommended holding periods of no more than 30 trading days. Kowalski held the position for 252 trading days with no documented review, no proactive outreach, and no automated alert. Under Regulation Best Interest (Rule 15l-1), the care obligation requires the advisor to exercise reasonable diligence, care, and skill, which includes ongoing attention to a product whose characteristics demand active monitoring.

4. Procedural failures: Kowalski failed to submit the firm's required attestation form before placing the trade. This is a clear supervisory and compliance process violation, though it is separate from the substantive suitability question.

Arguments that Kowalski did not violate applicable standards:

1. Reasonable hedging rationale: Allocating 10% of a \$1.4 million equity-heavy portfolio to a -1x (not 2x or 3x) inverse ETF during a period of genuine recession fears is a defensible tactical decision. The position size was modest and proportional. The product was approved by the firm's product governance committee for retail use. A -1x product carries less compounding risk than leveraged products and is frequently used by advisors as a short-term hedge.

2. Customer-initiated request: Margaret specifically asked Kowalski to protect her portfolio after attending the seminar. The recommendation was responsive to a customer-expressed need. Kowalski's notes document three substantive conversations and an oral warning about the risks of long-term holding. While the documentation could have been more thorough, the absence of detailed written records does not necessarily mean the conversations did not occur.

3. Customer sophistication: Margaret holds an advanced degree, managed a \$350,000 HOA budget, and independently traded sector ETFs at another firm. She received monthly statements showing the declining value and took no action for 12 months. A reasonable argument exists that she had sufficient sophistication to understand the position and bore some responsibility for monitoring her own account.

4. The -1x product did broadly perform as described: It moved inversely to the S&P 500. The additional losses from volatility decay, while meaningful (\$11,200 beyond the pure inverse return), represent a feature of daily-reset mechanics that Kowalski claims he disclosed orally. The product was not fraudulently misrepresented as a long-term holding.

5. No leveraged exposure: The firm specifically approved -1x products while prohibiting 2x and 3x products for retail accounts, suggesting a considered judgment that unleveraged inverse ETFs occupy a different risk category.

Why Borderline

This scenario sits in a genuine gray zone because the advisor made a defensible tactical recommendation (modest allocation, -1x rather than leveraged, client-initiated request, recession hedging rationale) but simultaneously failed to update client documentation, did not follow the firm's own attestation procedures, held a daily-resetting product for 12 months despite firm guidance recommending 30-day maximum holding periods, and did not proactively monitor the position. The customer has mixed sophistication signals-educated and financially experienced but with no background in derivative or inverse products. The losses are material (\$39,000) but not catastrophic relative to portfolio size (2.8% of total assets). Regulators have been increasingly aggressive on inverse ETF holding periods, but the specific product here is -1x (not leveraged), which receives less regulatory scrutiny than 2x or 3x products.

Borderline Factors

- The -1x (unleveraged) inverse ETF is less risky than 2x or 3x leveraged/inverse products, complicating

the 'complex product' classification

- 10% allocation is moderate and arguably proportional for a hedging strategy, but the 12-month holding period far exceeded the firm's recommended 30-day maximum
- Customer initiated the hedging conversation, but the advisor chose the specific product and failed to establish a monitoring framework
- Oral disclosure of risks was allegedly made but not documented with specifics like hypothetical compounding scenarios
- Customer has above-average general financial literacy (HOA treasurer, self-directed ETF trading) but no specific experience with inverse or daily-resetting products
- Firm approved the product for retail accounts but required an attestation form that the advisor never completed
- Monthly statements were sent showing declining value, but customer inaction does not relieve advisor of monitoring obligations
- The \$39,000 loss included approximately \$11,200 attributable specifically to volatility decay beyond the simple inverse of the index return

Likely Outcome

A regulator would most likely find a violation, though the sanctions would be moderate rather than severe. The strongest factor is the 12-month holding period of a daily-resetting product, which directly contradicts both the firm's internal guidance and extensive regulatory warnings in FINRA RN 09-31 and 22-08 about the dangers of holding these products beyond their reset period. The failure to update the customer profile, combined with the absence of the required attestation form and any documented monitoring, creates a pattern of procedural deficiencies that undermine Kowalski's defense. Under Reg BI's care obligation, the lack of any exit strategy or periodic review for a product specifically known to decay over time would likely be viewed as a failure to exercise reasonable diligence. However, the modest position size, the -1x (unleveraged) nature of the product, the customer's relative sophistication, and Kowalski's clean disciplinary record would likely mitigate sanctions to a fine and enhanced supervision rather than suspension. The firm's supervisory system would also face scrutiny for failing to flag the holding period violation, potentially resulting in a separate supervisory finding.

Borderline Scenario 24

Topic: senior_investor_exploitation | Standard: FINRA Rule 2111 (Suitability) - customer-specific, reasonable-basis, and quantitative

Fact Pattern

Margaret Dawson, age 74, is a retired aerospace engineer with a PhD in applied mathematics. She has a \$2.8 million brokerage account with Ridgeline Wealth Partners and has been a client of advisor Kevin Forester for nine years. Margaret has extensive experience with options trading, has held Series 7 and 66 licenses earlier in her career (lapsed in 2009), and regularly reads quantitative finance journals. Her risk tolerance questionnaire, updated in March 2023, indicates 'aggressive growth' with a 15-year time horizon, noting she has a separate \$1.4 million in Treasury bonds and an additional \$900,000 in a fixed annuity, which together cover her living expenses. She has no cognitive impairment and lives independently.

In April 2023, Margaret asked Kevin to allocate \$420,000 (15% of the brokerage account) to a 3x leveraged

daily-resetting S&P 500 ETF. She told Kevin she understood volatility decay and daily compounding effects, and emailed him a spreadsheet she had built modeling the path-dependent returns under various volatility scenarios over 6- to 18-month holding periods. Her spreadsheet accurately demonstrated how the product could lose significant value in choppy, sideways markets even if the underlying index was flat. She stated her thesis: she expected a sustained, low-volatility bull trend over the next 12 months and wanted magnified exposure without using margin.

Kevin discussed the risks with Margaret over two phone calls totaling 48 minutes, which were recorded. He walked through the product's daily reset mechanism, the impact of compounding in volatile markets, and the possibility that she could lose substantially more than the underlying index decline. Margaret acknowledged each point and reiterated her desire to proceed. Kevin documented the conversations in his CRM notes.

Kevin's branch manager, Sandra Liu, reviewed the proposed trade as part of heightened supervision protocols for leveraged products. Sandra noted Margaret's age and flagged the trade for additional review. After examining Margaret's full financial picture - the \$1.4 million in Treasuries, the \$900,000 annuity, the aggressive risk profile, her quantitative background, and the \$420,000 representing only 15% of just the brokerage account (roughly 8.5% of total investable assets) - Sandra approved the trade with a notation that the client demonstrated sophisticated understanding.

Margaret held the position for eleven months. During the first seven months, the S&P 500 rose 14% with low volatility and her leveraged ETF position gained approximately 46%, reaching about \$613,000. She did not rebalance or take profits. In months eight through eleven, the market experienced a sharp 9% correction followed by a volatile, choppy recovery. By the time Margaret sold the entire position in March 2024, the S&P 500 had returned to approximately 7% above her entry point, but the 3x leveraged ETF had returned only about 11% - roughly \$466,000 - meaning she captured significantly less than the 3x multiple of the index return she might have naively expected.

Margaret did not complain. However, her adult son, Richard Dawson, age 49, discovered the trade during a family financial review in June 2024. Richard, who works as a compliance officer at an unrelated insurance company, filed a complaint with Ridgeline's compliance department alleging that Kevin should never have allowed a 74-year-old retiree to hold a daily-resetting leveraged ETF for eleven months, and that the position was unsuitable regardless of her background. Richard argued that Kevin had a duty to proactively recommend Margaret exit the position or at minimum rebalance during the volatile period, and that the firm's supervision was inadequate because it approved the trade based on Margaret's self-assessment rather than applying a blanket age-based restriction. Richard also noted that Margaret's gain of roughly \$46,000 on a \$420,000 position held for eleven months represented a modest return that did not justify the extreme tail risk she bore.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuine tension between investor autonomy and protective obligations, particularly as they intersect with age-based supervisory concerns for leveraged products.

Arguments that Kevin violated his obligations:

1. FINRA Regulatory Notice 09-31 explicitly warned that leveraged and inverse ETFs with daily resets are generally unsuitable for retail investors who hold them for longer than one trading day. Margaret held the position for eleven months - far beyond the daily horizon these products are designed for.
2. FINRA RN 22-08 reinforces heightened obligations around complex products, requiring firms to evaluate whether customers can independently understand the risks and whether the product aligns with their investment profile. Margaret's age (74) triggers additional scrutiny under senior investor protection frameworks.
3. Under Regulation Best Interest (Rule 15l-1), Kevin had an obligation not merely to ensure the customer understood the product, but to affirmatively determine that the recommendation (or, arguably, the acquiescence to the customer's request) was in her best interest. Even though Margaret initiated the trade, Kevin's role as the intermediary who facilitated it creates an affirmative obligation.
4. Kevin arguably had a continuing duty to monitor the position and recommend an exit or rebalancing strategy, particularly once the market shifted from a low-volatility bull trend (which supported Margaret's thesis) to a volatile, choppy environment (which directly contradicted it). His failure to proactively recommend trimming the position during the correction could be seen as a failure of the care obligation.
5. The ultimate return - roughly 11% on a position where the index returned 7% - illustrates the product's inefficiency over multi-month holding periods and arguably validates the concern that these products are unsuitable for anything beyond short-term tactical use.

Arguments that Kevin acted appropriately:

1. Margaret was not a typical senior investor. She held a PhD in applied mathematics, had previously been securities-licensed, regularly read quantitative finance publications, and built her own path-dependency model that accurately depicted the product's behavior. She was, by any reasonable measure, a sophisticated investor who understood exactly what she was buying.
2. The position represented only ~8.5% of her total investable assets (\$420,000 of ~\$5.1 million), with the vast majority of her wealth in conservative instruments (Treasuries and a fixed annuity) that fully covered her living expenses. The leveraged ETF allocation posed no threat to her financial security.
3. Margaret's risk tolerance was documented as aggressive growth with a 15-year horizon - a profile that can accommodate speculative positions when properly sized.
4. Kevin conducted extensive documented due diligence: 48 minutes of recorded conversations, CRM documentation, and a branch manager review. This exceeds the supervision that many firms apply.
5. The trade was customer-directed, not advisor-recommended. Under both the suitability framework (FINRA Rule 2111) and Reg BI, the obligations differ when a customer initiates a specific transaction versus when an advisor recommends one. If Kevin merely facilitated Margaret's informed decision, his obligations may be limited to ensuring she had adequate information.
6. Margaret did not lose money - she gained approximately \$46,000 (11% return over 11 months). While the return was suboptimal relative to a 3x naive expectation, it still exceeded the index return and produced a positive outcome.
7. Applying blanket age-based restrictions, as Richard demands, would be paternalistic and potentially discriminatory. FINRA has not imposed per se age-based prohibitions on leveraged ETFs, and doing so could disadvantage sophisticated senior investors.
8. The firm's supervisory system did function - Sandra Liu flagged the trade for enhanced review and

approved it only after examining the full picture. This demonstrates reasonable supervision rather than a rubber stamp.

On the monitoring question, while Reg BI's care obligation extends to recommended strategies, the duty to monitor is most clearly established in advisory (fee-based) accounts rather than brokerage accounts. If Margaret's account was commission-based, Kevin's ongoing monitoring obligations may be more limited.

Why Borderline

This scenario is genuinely ambiguous because it pits two legitimate regulatory concerns against each other: (1) the well-documented risks of long-term holding of daily-resetting leveraged products, which regulators have repeatedly flagged as generally unsuitable for buy-and-hold retail investors, against (2) the principle that sophisticated investors - regardless of age - should retain autonomy over informed investment decisions, particularly when the position is properly sized within a diversified portfolio. Margaret is simultaneously a member of a protected class (senior investor) and one of the most financially sophisticated retail clients imaginable. The fact that she initiated the trade, accurately modeled its risks, and did not lose money all cut against a finding of violation - but the eleven-month holding period and the demonstrated volatility decay cut in favor of one. Reasonable compliance professionals and arbitrators could reach opposite conclusions.

Borderline Factors

- Customer is a senior (age 74) but has exceptional quantitative sophistication and prior securities licensing
- Position was held for 11 months versus the daily-reset design horizon, but customer built her own path-dependency model demonstrating this exact risk
- Trade was customer-directed rather than advisor-recommended, creating ambiguity about the applicable standard of obligation
- Position represented only ~8.5% of total investable assets with living expenses fully covered by conservative holdings
- Customer's investment thesis (low-volatility sustained rally) was initially correct for 7 months before market conditions changed
- Advisor conducted 48 minutes of documented risk discussion and obtained branch manager approval, but did not proactively recommend exit when volatility spiked
- Customer did not complain - complaint was filed by adult child who is not account holder
- Position was profitable (\$46,000 gain) but demonstrated significant volatility decay relative to a naive 3x expectation
- Firm applied enhanced supervision rather than blanket prohibition, which some would view as appropriate and others as insufficient

Likely Outcome

A regulator would most likely find no violation, though the case would survive initial review and require a thorough examination. The decisive factors would be Margaret's extraordinary sophistication, the customer-directed nature of the trade, the reasonable position sizing relative to total assets, the extensive documentation of risk discussions, and the branch manager's affirmative review. However, a regulator might issue a cautionary finding regarding the absence of a proactive monitoring framework or a predetermined exit strategy, and could recommend that the firm implement policies requiring periodic

check-ins (e.g., quarterly) for any leveraged ETF position held beyond 60 or 90 days, regardless of the client's sophistication. The complaint filed by the adult son, rather than the customer herself, would carry less weight, though it would not be dismissed outright given senior investor protection concerns. In arbitration, Margaret's own sophistication and lack of complaint would likely be dispositive.

Borderline Scenario 25

Topic: *leveraged_etf_unsuitable* | Standard: *FINRA Rule 2111 (Suitability)* - particularly the customer-specific suitability obligation re

Fact Pattern

Marcus Tremblay, a 58-year-old semi-retired aerospace engineer, opened a brokerage account with Ridgeline Securities in February 2022. His account application listed a net worth of \$3.2 million (excluding his primary residence), annual income of \$175,000 from consulting and pension, an investment time horizon of 5-10 years, a risk tolerance of 'aggressive,' and an investment objective of 'growth.' Tremblay had 30 years of investing experience including actively trading options and sector-specific ETFs. He told his advisor, Dana Whitfield, that he had followed leveraged ETF products for several years and understood they reset daily. In March 2022, Tremblay expressed a strong directional conviction that the semiconductor sector would outperform over the next 12-18 months due to global chip shortages and domestic manufacturing incentives. He asked Whitfield to allocate \$320,000-roughly 10% of his portfolio-into a 3x leveraged semiconductor ETF. Whitfield discussed the mechanics of the product, including the fact that daily compounding could cause significant divergence from three times the index return over holding periods longer than one day, especially in volatile or range-bound markets. Whitfield sent Tremblay the fund's prospectus and a one-page firm-produced educational sheet explaining volatility decay with a hypothetical numerical example. Tremblay signed an acknowledgment form stating he understood the risks of leveraged products. Whitfield then executed the purchase. Over the following 14 months, the semiconductor sector experienced substantial volatility-rising 22% from March to August 2022, dropping 31% from August to December 2022, then rallying 38% from January to May 2023. By May 2023, the underlying semiconductor index was up approximately 18% from the March 2022 starting point. However, Tremblay's 3x leveraged ETF position was up only 19%-far less than the roughly 54% gain (3x of 18%) a naive investor might have expected. The position had a market value of approximately \$381,000. Whitfield checked in with Tremblay by phone roughly every six weeks during the holding period. In at least two of those calls-August 2022 and January 2023-Whitfield reminded Tremblay that the product was designed for short-term trading and suggested he consider taking profits or rebalancing. Tremblay declined each time, reaffirming his thesis and stating he planned to hold until late 2023. Whitfield documented these conversations in her CRM notes. In June 2023, Tremblay liquidated the position at a gain of approximately \$61,000. Seven months later, Tremblay filed a complaint alleging that Whitfield should never have allowed him to purchase a 3x leveraged ETF for a holding period exceeding several weeks, that her periodic suggestions to exit were insufficient, and that the \$112,000 in 'lost' returns (the difference between the expected 3x return and actual return) represented damages caused by Whitfield's failure to protect him from a product that was unsuitable for his stated time horizon.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents arguments on both sides that are each grounded in reasonable regulatory interpretations.

****Arguments that Whitfield violated her obligations:****

FINRA Regulatory Notice 09-31 explicitly warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. FINRA Regulatory Notice 12-03 reinforced heightened supervision requirements for complex products, including leveraged ETFs, emphasizing that a firm's suitability analysis must account for whether the customer actually understands the product and whether the recommended strategy aligns with the customer's stated objectives. Tremblay's stated time horizon was 5-10 years, and his expressed intent was to hold the 3x ETF for 12-18 months-far beyond the one-day reset period. Whitfield knew at the time of purchase that the customer intended a long-term hold. Under FINRA Rule 2111 (the suitability rule) and Regulation Best Interest (Rule 15l-1), the advisor must have a reasonable basis to believe the recommendation is suitable or in the customer's best interest at the time it is made. If the advisor knew the customer planned to hold a daily-resetting 3x leveraged product for over a year, the recommendation arguably failed the customer-specific suitability component regardless of the customer's sophistication. Additionally, FINRA RN 22-08 reinforced obligations around complex products, including enhanced disclosure and the expectation that firms go beyond check-the-box acknowledgment forms. Whitfield's periodic phone suggestions to exit, while documented, could be viewed as inadequate-she had the authority to decline the initial order or escalate through her firm's complex products supervision framework.

****Arguments that Whitfield acted appropriately:****

Tremblay was a highly sophisticated investor with 30 years of experience, a \$3.2 million portfolio, an aggressive risk tolerance, and self-reported familiarity with leveraged ETF mechanics. The \$320,000 allocation represented approximately 10% of his investable assets-a meaningful but not outsized concentration. Whitfield provided the prospectus, an educational document with a volatility-decay example, and obtained a signed acknowledgment. She proactively contacted the client multiple times to suggest rebalancing or exiting, and the client explicitly refused each time. Under the customer-specific prong of suitability, the recommendation must be assessed in the context of the customer's full profile: Tremblay's wealth, experience, stated risk tolerance, and expressed understanding all point toward a customer for whom a leveraged ETF position-even held for months-may be within the range of suitable investments. Critically, the position was profitable; Tremblay realized a \$61,000 gain. His complaint is not about a loss but about underperformance relative to a naive expectation of 3x the index return-an expectation that Whitfield specifically warned him about. Regulation BI's care obligation requires the advisor to exercise reasonable diligence, but it does not require the advisor to override a sophisticated client's informed decision. The recommendation was not unsolicited naivety; it was a client-driven request where the advisor provided appropriate disclosure and ongoing monitoring.

****Supervisory considerations:****

Firm-level supervision under FINRA rules requires heightened review of leveraged ETF transactions,

potentially including holding-period monitoring and automated alerts. Whether Ridgeline Securities had adequate supervisory systems for flagging extended holding periods of daily-resetting leveraged products could be a separate question. Whitfield's manual check-ins may or may not satisfy her firm's written supervisory procedures.

Why Borderline

This is a genuine gray area because the customer possessed high sophistication, substantial wealth, aggressive risk tolerance, and demonstrable understanding of the product—all factors that weigh toward suitability. However, the well-established regulatory guidance that daily-resetting leveraged ETFs are generally unsuitable for holding periods beyond one day creates a strong presumption against the recommendation, regardless of customer profile. The advisor took meaningful steps (disclosure, prospectus delivery, periodic rebalancing suggestions, documentation) but ultimately permitted a known long-term hold of a product regulators have repeatedly flagged as inappropriate for that purpose. The fact that the client was profitable complicates the damages theory but does not eliminate the suitability question, which is assessed at the time of recommendation. Reasonable practitioners disagree on whether an advisor's obligation extends to refusing to execute a sophisticated client's informed, autonomous decision about a product the client understands.

Borderline Factors

- Customer had 30 years of investing experience including options and sector ETFs, and self-reported understanding of daily reset mechanics
- Position represented approximately 10% of a \$3.2 million portfolio—significant but not concentrated
- Customer's stated risk tolerance was aggressive with a growth objective
- Advisor provided prospectus, educational materials, and obtained signed risk acknowledgment
 - Advisor proactively suggested exiting or rebalancing at least twice during the holding period and documented the client's refusal
- Customer held the 3x leveraged ETF for 14 months—far beyond the one-day intended holding period repeatedly emphasized in regulatory guidance
- Advisor knew at the time of recommendation that the customer intended to hold for 12-18 months
- The position was ultimately profitable (\$61,000 gain), undermining a traditional damages claim but not the suitability question
- Complaint is based on shortfall from naive 3x return expectation rather than actual loss—a concept the advisor specifically warned about
- Regulatory guidance has consistently stated these products are typically unsuitable for retail investors holding beyond one day, but has not created a bright-line prohibition

Likely Outcome

A regulator would most likely find a technical suitability or best-interest violation, but with significantly mitigated sanctions. The core issue is that the advisor knew the client intended to hold a daily-resetting 3x leveraged ETF for 12-18 months, and longstanding regulatory guidance creates a strong presumption that this strategy is unsuitable regardless of customer sophistication. The advisor's failure to escalate the matter through her firm's complex product supervision channel—or to decline the order—would likely be viewed as inconsistent with the care obligation under Reg BI and the customer-specific suitability requirement. However, the extensive disclosure, documented warnings, client refusals, client sophistication, modest portfolio concentration, and profitable outcome would all serve as substantial mitigating factors. The firm's

supervisory infrastructure would likely face scrutiny as well. Damages, if any, would be difficult to quantify given the profitable outcome, potentially limiting the complaint to a supervisory deficiency finding rather than a restitution award.

Borderline Scenario 26

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2111 (Suitability), including the customer-specific and reasonable-basis ob*

Fact Pattern

Marcus Henley, a 58-year-old semi-retired petroleum engineer, opened a brokerage account with Ridgeline Wealth Partners in February 2023. His new account form listed his net worth at \$3.2 million (excluding primary residence), annual income of \$185,000 from consulting work and royalty payments, investment experience of '25+ years,' risk tolerance as 'aggressive,' and investment objective as 'growth.' The form noted he held a master's degree in engineering and had previously self-directed a portfolio that included options and futures contracts. His liquid assets were listed at \$1.4 million.

His advisor, Danielle Reeves, conducted a 45-minute onboarding call during which Henley described himself as 'very comfortable with volatility' and said he had 'traded leveraged products before on his own.' Reeves noted in her CRM that Henley was 'sophisticated, experienced with complex instruments, understands leverage.' However, she did not ask Henley specifically about his experience with daily-resetting leveraged ETFs, nor did she document whether his prior leveraged product experience involved holding periods, the compounding mechanics of daily-reset products, or whether his previous trades had been profitable.

In March 2023, Henley told Reeves he believed natural gas prices would rebound significantly over the next 6 to 9 months due to anticipated cold winter forecasts and European demand dynamics. Reeves recommended a 3x leveraged natural gas ETF, allocating \$210,000 - roughly 15% of his liquid assets - to the position. She emailed Henley the fund's prospectus and a one-page summary noting the product was 'designed for short-term trading' and 'may lose value over time even if the underlying index gains.' Henley acknowledged receipt of the email but did not respond substantively to the disclosure language.

Reeves set a calendar reminder to check in with Henley monthly. At their April check-in, natural gas had declined 8% and the ETF had lost approximately 26%. Reeves told Henley the position was 'working against us right now' and asked if he wanted to exit. Henley said he wanted to hold because his thesis was 'a winter trade' and he expected a rebound by Q4. Reeves documented this conversation. Similar exchanges occurred in May, June, and July, with the ETF continuing to lose value due to both declining natural gas prices and the compounding effects of daily resetting in a volatile, choppy market. Each time, Henley declined to sell.

By October 2023, natural gas prices had actually risen 4% from the March entry point, but the 3x leveraged ETF was still down 41% due to path dependency and volatility decay over the holding period. Henley was shocked and called Reeves, saying he 'had no idea the fund could lose this much when the commodity itself went up.' He sold the position at a \$86,100 loss.

Henley filed a complaint alleging Reeves never truly understood his knowledge level regarding daily-reset leveraged products and failed to adequately assess whether he understood the risks of holding such a product over multiple months. Ridgeline's compliance department reviewed the matter and noted that Reeves had sent the prospectus, conducted monthly check-ins, and documented Henley's repeated decisions to hold. However, the firm's internal product governance committee had issued guidance in January 2023 recommending that advisors complete a supplemental questionnaire for any client purchasing leveraged or inverse ETFs, specifically addressing the client's understanding of compounding, daily reset mechanics, and intended holding period. Reeves had not completed this supplemental questionnaire for Henley.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Reeves violated applicable standards: The core issue is whether Reeves had a reasonable basis to believe Henley understood the specific risks of a daily-resetting 3x leveraged ETF held over months, or whether she relied too heavily on general markers of sophistication. Under FINRA Rule 2111 (suitability) and Regulation Best Interest (Rule 15l-1 under the Exchange Act), the advisor must have a reasonable basis to believe the recommendation is in the customer's best interest, which includes understanding the product's risks and the customer's ability to appreciate them. FINRA Regulatory Notices 09-31 and 22-08 specifically address leveraged and inverse ETFs, emphasizing that these products are designed for short-term trading and that their performance over periods longer than one day can differ dramatically from the underlying index due to daily compounding. RN 09-31 explicitly warns that recommending these products requires heightened suitability analysis and that firms must train advisors on compounding effects. RN 22-08 reinforces complex product supervision obligations. Reeves never specifically asked Henley about his understanding of daily-reset mechanics, volatility decay, or path dependency - the exact features that caused his loss. Saying he had 'traded leveraged products before' could mean anything from holding leveraged mutual funds to day-trading leveraged ETFs. The firm's own internal guidance required a supplemental questionnaire that Reeves failed to complete, suggesting even the firm recognized that general account documentation was insufficient for these products. The fact that Henley was genuinely surprised by the outcome - the commodity rose 4% while his 3x product lost 41% - is strong evidence he did not actually understand the product's mechanics. A 6-to-9-month holding thesis is fundamentally incompatible with a daily-resetting leveraged product, and Reeves should have recognized this mismatch and either declined the recommendation or ensured Henley truly understood the compounding risk before proceeding.

Arguments that Reeves acted appropriately: Henley was by objective measures a sophisticated investor - a 58-year-old engineer with a master's degree, \$3.2 million net worth, 25+ years of investment experience, self-described aggressive risk tolerance, and prior experience with options, futures, and leveraged products. The \$210,000 allocation represented 15% of liquid assets and roughly 6.5% of total net worth - a meaningful but not catastrophic concentration. Reeves sent the prospectus and a summary document that explicitly stated the product was designed for short-term trading and could lose value even when the underlying gained. Henley acknowledged receipt. Over the next seven months, Reeves proactively contacted Henley monthly, flagged the losses, and specifically asked whether he wanted to exit. Henley

repeatedly and affirmatively chose to hold based on his own commodity thesis. Reeves documented each of these conversations. The loss was ultimately driven not by the initial recommendation but by Henley's own repeated, informed decisions to maintain the position against Reeves's implicit suggestion to reconsider. There is a meaningful difference between an advisor who puts a naive retiree into a leveraged product and never follows up, versus one who recommends a product to a self-described sophisticated investor, provides disclosures, and conducts regular check-ins. Additionally, Henley's stated experience with futures and options suggests familiarity with leverage and non-linear payoffs. The supplemental questionnaire was internal firm guidance, not a regulatory requirement, and failure to complete it is a supervisory issue for the firm rather than necessarily a suitability violation by the advisor.

Why Borderline

This scenario sits in a genuine gray zone because the customer profile - high net worth, decades of experience, self-described aggressive, prior leveraged product usage - facially supports the recommendation, yet the specific mechanism of harm (volatility decay and path dependency in a daily-resetting product held for months) is a well-documented risk that even experienced investors frequently misunderstand. The advisor took meaningful steps (prospectus delivery, monthly check-ins, documentation of client decisions to hold) but failed to probe whether the client understood the specific feature most likely to cause harm. The customer's own repeated refusals to sell complicate the causation analysis - was the loss caused by the recommendation or by the customer's autonomous holding decision? Reasonable practitioners disagree on how far the know-your-customer obligation extends when a facially sophisticated client self-reports relevant experience.

Borderline Factors

- Client had documented experience with leveraged products, options, and futures, but advisor never verified understanding of daily-reset compounding mechanics specifically
- Prospectus and written risk summary were provided but client's comprehension was never confirmed beyond email acknowledgment
- Client's 6-to-9-month holding thesis was inherently incompatible with a daily-resetting product, creating an obligation question about whether the advisor should have refused the recommendation or more forcefully educated the client
- Advisor conducted monthly check-ins and documented client's repeated autonomous decisions to hold, creating an informed-consent argument
- Firm's internal supplemental questionnaire for complex products was not completed, but this was internal guidance rather than a regulatory mandate
- The \$86,100 loss (about 2.7% of net worth) was painful but not financially devastating for this client
- The underlying commodity actually rose 4%, meaning the loss was entirely attributable to the product structure the client claims not to have understood
- Client's self-description as 'very comfortable with volatility' arguably signals awareness of the risk factor, but volatility decay is a different concept than tolerance for price swings

Likely Outcome

A regulator would most likely find a violation, though not an egregious one, and focus the finding on the failure-to-know-customer dimension rather than the recommendation itself. The critical gap is that Reeves documented Henley's general sophistication but never established that he understood the specific product feature - daily resetting and compounding - that was directly responsible for his loss. The 6-to-9-month

holding thesis should have been a red flag that Henley may not have understood how the product works, since no investor who understands daily-reset compounding would deliberately hold a 3x leveraged product through a volatile, choppy market for that duration expecting it to track 3x the cumulative index return. The failure to complete the firm's own supplemental questionnaire, while not independently a regulatory violation, would be treated as evidence that the advisor's process was deficient. However, mitigating factors - the prospectus delivery, monthly check-ins, documented client refusals to sell, the client's objective sophistication, and the non-catastrophic loss relative to net worth - would likely result in a finding with modest sanctions rather than severe discipline. The firm's supervisory system would also face scrutiny for not ensuring the supplemental questionnaire was completed before the trade was approved.

Borderline Scenario 27

Topic: senior_investor_exploitation | Standard: FINRA Rule 2111 (Suitability) and Regulation Best Interest (Rule 15l-1 under the Sec

Fact Pattern

Margaret Feldstein, age 71, is a retired pharmaceutical executive with a \$2.8 million brokerage account at Pacific Ridge Securities. Her account documents list her investment objective as 'growth and income,' her risk tolerance as 'moderate to aggressive,' and her investment experience as 'extensive' - she held Series 7 and 66 licenses earlier in her career before transitioning to the corporate side in her 40s. She receives \$94,000 annually from a pension and Social Security combined, owns her home outright, and has an additional \$600,000 in a separate conservative bond ladder at another institution. Her financial advisor, Derek Huang, age 38, has serviced her account for six years.

In February 2023, Margaret called Derek after reading about a potential banking crisis and expressed strong conviction that regional bank stocks would decline significantly over the next several months. She asked Derek about ways to profit from this view. Derek discussed several alternatives including buying put options on a regional banking index, shorting individual bank stocks, and purchasing shares in a 3x daily-resetting inverse leveraged ETF tracking the KBW Regional Banking Index. Margaret said she preferred the inverse leveraged ETF because she understood the product from her prior industry experience, found the options strategies too complex to monitor given her travel schedule, and did not want the unlimited loss exposure of short selling.

Derek explained that the product resets daily and that holding it for extended periods could produce returns that deviate substantially from three times the inverse of the index's cumulative return, particularly in volatile, choppy markets. He documented this conversation in a detailed email to Margaret, which she acknowledged in writing. He also sent her the fund's prospectus and a two-page internal firm summary highlighting the compounding and decay risks of daily-resetting leveraged products.

Margaret initially purchased \$140,000 worth of the 3x inverse regional bank ETF - approximately 5% of her total portfolio at Pacific Ridge. Over the next four months, regional bank stocks did in fact decline sharply (the underlying index fell roughly 35%), and Margaret's position gained approximately 68%, reaching about \$235,000. Derek contacted Margaret in June 2023 and suggested she consider taking profits, noting that the position had performed well but that continued holding in a volatile environment could erode gains

through the daily-reset mechanism. Margaret declined, stating she believed further declines were coming.

By October 2023, the regional banking index had partially recovered (still down about 18% from her entry point), but Margaret's ETF position had declined to approximately \$118,000 - a net loss of \$22,000 from her original investment despite the index still being well below where it was when she entered the trade. Margaret was confused and frustrated. She complained to the firm's branch manager, alleging that Derek never adequately warned her about the 'mathematical trap' of holding daily-resetting products and that someone her age should never have been permitted to invest in such a speculative instrument. She noted that she had begun experiencing early-stage cognitive difficulties in August 2023 - something she had not previously disclosed to Derek - and argued the firm should have had systems in place to detect her vulnerability.

Derek's file contains the February email exchange, the prospectus delivery confirmation, the documented June phone call where he recommended taking profits, and records showing no additional purchases of the product after the initial buy. The firm's written supervisory procedures require heightened review for leveraged and inverse ETF purchases exceeding \$100,000 or 10% of account value, and the branch manager signed off on the original trade within two business days. The firm does not have a specific policy addressing cognitive decline detection or mandatory age-based product restrictions, though it does require annual account reviews for clients over 65, which was completed in January 2023 - one month before the trade.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Derek violated applicable standards: (1) A 3x daily-resetting inverse leveraged ETF is a complex, speculative product that regulators have repeatedly warned is generally unsuitable for long-term holding, and Margaret held it for approximately eight months. The product's path dependency and volatility decay caused her to lose money even though her directional thesis was correct - the index was still down 18% from her entry. (2) Margaret is 71 years old, and even though she had prior industry experience, her age places her in a category where firms and advisors are expected to exercise heightened vigilance. (3) The position size of \$140,000 was material. (4) Margaret's undisclosed cognitive difficulties beginning in August 2023 raise the question of whether the firm's supervisory systems should have been more robust in flagging potential diminished capacity, particularly when a senior client refused a profit-taking recommendation on a product known to decay over time. (5) Under the care obligation framework, an advisor must consider reasonably available alternatives; put options with defined risk or a standard (1x) inverse ETF might have been more appropriate for a senior investor.

Arguments that Derek acted appropriately: (1) Margaret had genuine, documented investment sophistication - she previously held securities licenses and affirmatively selected this product after Derek presented multiple alternatives. (2) Derek provided thorough, documented disclosure of the daily-reset compounding risk, including prospectus delivery and a written summary. (3) The initial position was only 5% of her Pacific Ridge account and less than 4.2% of her total known investable assets (\$3.4 million across both accounts), well within the firm's concentration thresholds. (4) Derek affirmatively recommended she exit the position in June when it had gained 68%, and Margaret declined - demonstrating the advisor was

actively monitoring and managing the risk. (5) Margaret's overall financial profile was strong: no debt, substantial pension income, and significant conservative assets elsewhere, making her capable of absorbing the \$22,000 loss. (6) The firm's supervisory procedures were followed - the branch manager reviewed and approved the trade. (7) The cognitive decline was not disclosed to Derek until after the complaint and there were no observable red flags documented prior to August 2023; the annual review conducted in January 2023 showed no concerns. (8) Under both suitability and best interest frameworks, the client's stated objectives, experience, and financial situation at the time of the recommendation are the key inputs - not subsequent medical developments unknown to the advisor.

The core tension is between the regulatory skepticism toward retail investors (including sophisticated seniors) holding daily-resetting leveraged products for months, and the strong documentation showing informed consent, appropriate position sizing, active monitoring with a profit-taking recommendation, and a client who independently chose to hold against advice.

Why Borderline

This scenario is genuinely ambiguous because the advisor followed many best practices - robust disclosure, reasonable position sizing relative to total wealth, documented profit-taking recommendation, and supervisory approval - yet the client is a senior who held a daily-resetting 3x leveraged product for eight months, lost money despite being directionally correct (the hallmark volatility-decay harm regulators have specifically warned about), and subsequently revealed early cognitive decline. The case sits at the intersection of client autonomy for an experienced investor and the heightened protective obligations firms owe to senior clients with complex products. Reasonable regulators could disagree on whether the advisor's documented diligence was sufficient or whether the product itself was per se unsuitable for an eight-month holding period regardless of disclosure quality.

Borderline Factors

- Client's prior securities licenses and documented sophistication versus her age (71) and senior investor protections
- Thorough written disclosure and prospectus delivery versus the inherent complexity of daily-reset compounding that many investors fail to internalize despite warnings
- Position size was moderate (5% of primary account, ~4.2% of total assets) but dollar amount (\$140,000) was substantial
- Advisor proactively recommended profit-taking in June but client refused - raising questions about whether the advisor should have exercised more assertive intervention
- Client's undisclosed early-stage cognitive decline beginning months after the trade - advisor had no documented knowledge, but firm lacked a cognitive decline detection protocol
- The product performed as regulators have warned: client was directionally correct but lost money due to path dependency and volatility, which is the exact harm highlighted in regulatory guidance
- Firm supervisory procedures were followed, but those procedures did not include holding-period monitoring or automatic liquidation triggers for daily-resetting leveraged products
- Client affirmatively chose the leveraged ETF over less risky alternatives (put options, 1x inverse ETF) that the advisor presented

Likely Outcome

A regulator would likely find this a close case but would probably not sustain a violation finding against the

advisor individually, while potentially citing the firm for supervisory deficiencies. The advisor's documentation was strong: he disclosed the risks in writing, delivered the prospectus, presented alternatives, kept the position within reasonable concentration limits, and affirmatively recommended an exit that the client declined. However, a regulator applying FINRA Regulatory Notice 09-31 and 22-08 guidance would likely criticize the firm for lacking (a) a holding-period monitoring system or escalation protocol for daily-resetting leveraged products held beyond 30-60 days, (b) a cognitive decline detection policy despite serving senior clients, and (c) any mechanism to convert the advisor's oral profit-taking recommendation into a more formal supervisory intervention when the client refused. The firm might face a cautionary action or fine for supervisory gaps, while the individual advisor would likely be cleared given the totality of his documented diligence. If the matter proceeded to arbitration, the panel would likely find the advisor met his obligations at the time of recommendation but might award partial damages based on the firm's failure to implement adequate post-trade surveillance for a product with known time-decay characteristics.

Borderline Scenario 28

Topic: senior_investor_exploitation | Standard: FINRA Rule 2111 (Suitability - customer-specific, reasonable-basis, and quantitative)

Fact Pattern

Harold Mendelson, age 74, is a retired aerospace engineer with a \$1.85 million brokerage account at Pacific Ridge Securities. Harold has a PhD in applied mathematics, spent 35 years designing guidance systems, and has been actively trading his own account since 1998. His account application lists his risk tolerance as 'aggressive,' his investment objective as 'speculation,' and his time horizon as 'short-term.' He has traded options for over 20 years and maintains a separate \$900,000 conservative bond portfolio at another firm for his living expenses and estate planning. His Pacific Ridge account represents what he calls his 'play money' - funds he considers entirely discretionary and not needed for any living expense or legacy goal.

In March 2023, Harold's financial advisor at Pacific Ridge, Derek Sinclair (age 38, 12 years in the industry), discussed Harold's interest in profiting from what Harold believed would be sustained volatility in the semiconductor sector. Harold had independently researched a 3x leveraged semiconductor ETF (ticker: SXLX) and a -2x inverse semiconductor ETF (ticker: SCSD), and told Derek he wanted to use both to execute a tactical trading strategy. Harold explained that he understood the daily reset mechanism, compounding effects, and the concept that these products could deviate significantly from their benchmark over multi-day holding periods. Derek documented this conversation in his notes.

Derek reviewed Harold's account, confirmed his financial profile, and executed the trades Harold requested: \$120,000 in SXLX and \$80,000 in SCSD. Over the next five months, Harold actively managed the positions, making 47 trades in and out of both products, with average holding periods of 3-5 trading days. However, during a two-week vacation in July 2023 when Harold was on a cruise with limited internet access, he held the SXLX position for 18 consecutive trading days during a period of high sector volatility. The position lost \$31,000 during that stretch - a loss significantly worse than 3x the underlying index decline of roughly 4% over the same period, due to the compounding and volatility decay effects inherent in daily-resetting leveraged products.

After returning, Harold called Derek and complained about the magnitude of the loss, saying he 'didn't realize it could get that bad in just two and a half weeks.' Harold's daughter, Patricia (age 48, an attorney), subsequently filed a complaint with Pacific Ridge alleging that Derek should never have allowed her elderly father to trade leveraged and inverse ETFs, that the firm failed to supervise these transactions given Harold's age, and that Derek should have placed a stop-loss order or liquidated the position when Harold was unreachable. Patricia argued Harold was showing early signs of cognitive decline, though Harold's physician provided a letter dated September 2023 stating Harold showed no signs of dementia or diminished capacity at his most recent evaluation in June 2023.

Pacific Ridge's compliance department had an internal policy requiring enhanced review for leveraged and inverse ETF purchases by clients over age 65, including a signed acknowledgment form. Derek had Harold sign this form in March 2023. The form included a one-page summary of daily reset risk, volatility decay, and the unsuitability of long-term holding. Pacific Ridge's supervisory system flagged any leveraged/inverse ETF position held longer than 10 trading days for principal review, and the July hold was flagged - but the supervising principal, who was also on vacation that week, did not review the alert until Harold had already returned and closed the position. Harold's overall account at Pacific Ridge was up approximately \$47,000 for the calendar year despite the July loss.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case presents strong arguments on both sides. Against a finding of violation: Harold is a highly sophisticated investor with a PhD in applied mathematics and over two decades of active trading experience including options. He independently identified the leveraged and inverse products, articulated a clear understanding of daily reset mechanics and compounding effects, and executed a disciplined short-term trading strategy with 47 trades averaging 3-5 day holding periods. His risk tolerance was documented as aggressive, his objective as speculation, and the capital deployed (\$200,000) represented roughly 10.8% of his Pacific Ridge account and only about 7.3% of his total investable assets. His physician confirmed no cognitive decline. The enhanced review form was signed. His account was net profitable for the year. Under FINRA Rule 2111 and Regulation Best Interest, the recommendation must be suitable or in the client's best interest considering the customer's investment profile - and Harold's profile strongly supports the use of these products for short-term tactical trading.

In favor of a finding of violation: The client is 74 years old, placing him squarely within the population that regulators have identified as requiring heightened supervision. FINRA Regulatory Notices 09-31 and 12-03 specifically warned that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who hold them for longer than one trading session, and FINRA RN 22-08 reinforced complex product supervision obligations. The advisor knew Harold was going on a cruise with limited connectivity but did not discuss contingency plans for the open leveraged position, did not arrange for discretionary authority to manage the position in Harold's absence, and did not suggest closing or reducing the position before departure. The firm's own supervisory system flagged the extended hold but the alert went unreviewed due to the principal's simultaneous vacation - a supervision failure under FINRA Rule 3110. The \$31,000 loss during the unmonitored hold was disproportionate to the underlying index movement,

illustrating precisely the path-dependency risk these products carry. Patricia's complaint about early cognitive decline, while unsupported by medical evidence, raises the question of whether the advisor and firm should have applied even greater caution. The daughter's standing to complain also introduces the question of whether the firm adequately considered the broader family financial picture.

The critical tension is between respecting a sophisticated senior investor's documented autonomy and the heightened protective obligations that apply to complex product transactions involving elderly clients. The 18-day hold was an aberration from Harold's typical pattern, and the loss occurred during a known period of unavailability that the advisor was aware of in advance.

Why Borderline

This is genuinely ambiguous because the client's sophistication, documented understanding, independent product selection, active trading pattern, and overall profitability strongly support the recommendation's appropriateness - yet the advisor's failure to address the foreseeable risk of an unmonitored leveraged position during a known period of client unavailability, combined with the firm's supervision gap and the client's age, creates a plausible argument that both the advisor and firm fell short of their obligations. Reasonable practitioners could disagree on whether the advisor's duty extended to proactively managing risk around a client's vacation, particularly when the client had not granted discretionary authority and had demonstrated consistent competence in managing the positions himself.

Borderline Factors

- Client is 74 years old but has exceptional quantitative sophistication and decades of active trading experience
- Client independently identified and requested the leveraged/inverse products rather than receiving an unsolicited recommendation
- Client signed enhanced disclosure form and verbally articulated understanding of daily reset and volatility decay risks
- The problematic 18-day hold was an aberration from the client's typical 3-5 day pattern caused by a foreseeable circumstance (vacation)
- Advisor knew about the upcoming cruise but did not discuss position management contingencies
- Firm's automated supervisory alert for extended holds was triggered but went unreviewed due to concurrent principal absence
- Daughter alleges cognitive decline but physician's letter contradicts this claim
- The \$200,000 position represented only ~7.3% of total household investable assets
- Client's overall account was net profitable for the year despite the July loss
- The \$31,000 loss demonstrated precisely the volatility decay/path dependency risk that regulators have repeatedly warned about

Likely Outcome

A regulator would most likely find that the initial recommendation and ongoing trading strategy did not violate applicable standards given Harold's extraordinary sophistication, documented understanding, independent product selection, and appropriate position sizing. However, the regulator would likely find a supervisory deficiency at the firm level under FINRA Rule 3110 for the failure to review the automated extended-hold alert in a timely manner, and would likely criticize - though perhaps not formally sanction - Derek for not proactively discussing position management contingencies before Harold's departure. The

firm would likely receive a cautionary letter or minor fine for the supervision gap rather than a finding of a substantive suitability or best interest violation. The complaint would likely be resolved with a modest settlement reflecting the supervision lapse rather than a determination that the products themselves were unsuitable for this particular client.

Borderline Scenario 29

Topic: *high_fees_unsuitable* | Standard: *FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and quantitative*

Fact Pattern

Gerald Trask, age 58, is a semi-retired commercial real estate appraiser who still earns approximately \$95,000 per year from part-time consulting. He has a brokerage account with \$620,000, an IRA worth \$410,000, and receives \$14,000 annually in rental income. His stated investment objective is 'growth with moderate risk,' and his time horizon is listed as 7-10 years. He has 25 years of investing experience, including options trading and short-selling individual equities. He told his advisor, Danielle Moreno, that he believed the energy sector was entering a prolonged downturn due to shifts in global demand and wanted a way to profit from declining energy prices without maintaining a margin account or shorting individual stocks.

In March 2023, Moreno recommended Gerald allocate \$75,000 (approximately 7.3% of his total liquid portfolio) to a 2x inverse daily-resetting energy sector ETF with an expense ratio of 1.07%. She explained that the product resets daily and is generally designed for short-term tactical use. Gerald signed a product-specific disclosure acknowledging the daily reset mechanism and the potential for returns to deviate significantly from the underlying index over periods longer than one day. Moreno documented in her notes that Gerald understood the compounding effects and planned to monitor the position actively, potentially holding it for 'a few months at most.'

Gerald held the position for approximately nine months. During that period, the energy sector experienced significant volatility - declining roughly 14% over the first four months, then recovering 11%, then declining again by 6%. Due to the well-known effects of daily compounding in a volatile, mean-reverting market, the ETF lost approximately 22% of its value even though the underlying index was down roughly 9% over the same period. Gerald's \$75,000 investment was worth approximately \$58,500 - a loss of \$16,500. Had Gerald instead used a non-leveraged inverse energy ETF (expense ratio 0.65%), he would have experienced an approximate gain of 8.2%, or roughly \$6,150.

Gerald filed a complaint alleging that Moreno steered him into an unnecessarily expensive and complex product when a simpler, cheaper inverse ETF would have accomplished his goal. He argued that the 1.07% expense ratio - more than double a comparable non-leveraged inverse product - combined with the amplified volatility decay, made the 2x leveraged product inappropriate for his stated multi-month holding period. He noted that the total cost drag, including the expense ratio and the path-dependent losses from daily resetting, amounted to an effective cost far exceeding what any reasonable advisor would impose on a client seeking to hedge or profit from a sector decline over several months.

Moreno's firm countered that Gerald was a sophisticated investor with decades of experience, including derivatives usage, who explicitly sought leveraged exposure to amplify returns from his bearish thesis. They noted that the \$75,000 allocation represented a modest percentage of his total portfolio, that he signed detailed risk disclosures, that Moreno documented his understanding of the product mechanics, and that the 1.07% stated expense ratio is within the normal range for leveraged inverse products. The firm also pointed out that Moreno contacted Gerald twice during the holding period - once in June and once in August - to discuss whether he wanted to close the position, and both times Gerald chose to hold. The firm's supervisory system flagged the position at 60 days and again at 120 days, and the branch manager reviewed and approved the continued holding both times after confirming the client's intent.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case involves the intersection of product cost, product complexity, and the adequacy of a simpler alternative. Several factors support a finding of a violation: (1) The client's bearish thesis and multi-month time horizon were better served by a non-leveraged inverse ETF, which would have been cheaper and would not have suffered the same degree of volatility decay. A 1x inverse ETF with a 0.65% expense ratio would have produced a positive return aligned with the client's thesis, rather than a significant loss. Under Reg BI (Rule 15l-1) and its Care Obligation, a broker must consider reasonably available alternatives and not place the broker's interest ahead of the customer's. The 2x leveraged product generated higher revenue for the firm and imposed materially higher costs on the client without a corresponding benefit given the intended holding period. (2) FINRA Regulatory Notices 09-31 and 22-08 explicitly warn that leveraged and inverse ETFs with daily resetting are generally unsuitable for holding periods beyond a single trading session, and that path dependency and volatility decay can cause devastating divergence from expected returns. Nine months far exceeds any reasonable short-term holding period. (3) The effective total cost - combining the stated expense ratio with the embedded cost of volatility decay - far exceeded what the client would have paid with a simpler product.

However, substantial factors cut against a violation finding: (1) Gerald was a highly experienced investor with 25 years of market experience, including options and short-selling. He signed specific disclosures and had documented conversations about the daily-reset mechanism. He was not a naive retail investor being sold a product he could not understand. (2) The allocation was modest - 7.3% of his liquid portfolio - representing a tactical satellite position rather than a core holding. (3) The advisor proactively contacted the client twice to discuss exiting the position, and the client chose to hold both times, exercising informed autonomy. (4) The firm's supervisory system flagged the position at appropriate intervals, and the branch manager reviewed and approved the continued holding each time. (5) Gerald specifically requested leveraged exposure - he wanted to amplify his bearish thesis, not merely participate in a 1x decline. The 2x product was responsive to his stated desire for enhanced returns from the expected downturn. (6) The 1.07% expense ratio, while higher than a 1x alternative, is within the standard range for leveraged inverse products and was not hidden or misrepresented.

The central tension is whether an advisor satisfies her obligation by recommending the product the client wants (leveraged exposure) after full disclosure, or whether she must override the client's preference and recommend the cheaper, simpler product that better matches the client's actual holding period and risk

profile. Under FINRA Rule 2111 and Reg BI, the advisor has an affirmative obligation to consider cost and reasonably available alternatives, not merely to ensure the client understands what they are buying.

Why Borderline

This is genuinely ambiguous because the client was sophisticated, signed detailed disclosures, was contacted about exiting, and specifically sought leveraged exposure - all factors that support the recommendation. Yet the product's daily-reset mechanism was fundamentally misaligned with the client's multi-month holding period, and a cheaper, simpler product would have produced a better outcome aligned with the client's actual thesis. The case tests whether informed consent and client autonomy can override a quantitatively demonstrable mismatch between product design and investment horizon, and whether the advisor's obligation extends to steering clients away from products they affirmatively want when cheaper alternatives exist.

Borderline Factors

- Client had 25 years of investing experience including options and short-selling, supporting a finding of sophistication
- Client specifically requested leveraged exposure to amplify a bearish thesis, not just inverse exposure
- Allocation was approximately 7.3% of total liquid portfolio - a modest tactical position
- Client signed product-specific disclosures acknowledging daily reset and potential return deviation
- Advisor contacted client twice during the holding period to discuss exiting; client chose to hold both times
- Firm supervisory system flagged position at 60 and 120 days with branch manager review each time
 - A non-leveraged inverse ETF with a lower expense ratio would have produced a positive return consistent with the client's thesis over the same period
- The 1.07% expense ratio plus embedded volatility decay costs far exceeded the 0.65% expense ratio of the simpler alternative
- Nine-month holding period far exceeded the daily-reset design horizon of the product
- The client's stated time horizon of 7-10 years and 'growth with moderate risk' objective may conflict with the tactical leveraged trade

Likely Outcome

A regulator would most likely find this a close case but lean toward a violation, particularly under the Reg BI Care Obligation's requirement to consider reasonably available alternatives and costs. While the client's sophistication and informed consent are significant mitigating factors, the advisor recommended a product whose fundamental design (daily resetting, 2x leverage) was structurally misaligned with the client's multi-month holding period, and a cheaper, simpler alternative was readily available that would have better served the client's stated investment thesis. The proactive supervisory follow-up and client disclosures would likely reduce any sanctions but would not fully cure the initial recommendation deficiency. The outcome would likely be a finding of violation with mitigated sanctions - possibly a cautionary action or modest fine - rather than a severe penalty, acknowledging the genuine ambiguity and the firm's supervisory efforts.

Borderline Scenario 30

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and quant*

Fact Pattern

Gerald Stanton, age 52, is a senior network engineer earning \$185,000 annually with a net worth of approximately \$1.4 million, including \$620,000 in a brokerage account at Ridgeline Securities. Gerald has been actively trading for over 15 years, primarily in individual equities and sector ETFs, executing roughly 80 trades per year. His account application, updated in March 2023, lists his risk tolerance as 'aggressive,' his investment objective as 'growth,' and his time horizon as '5-10 years.' He holds no professional securities licenses but has completed several online courses on technical analysis and options strategies. In April 2023, his advisor, Danielle Morrow, discussed Gerald's bearish outlook on the technology sector. Gerald told Danielle he believed the Nasdaq-100 was overvalued and wanted exposure to profit from a downturn he expected to play out 'over the next several months.' Danielle recommended a 3x inverse Nasdaq-100 daily-resetting ETF (ticker: SQQQ), suggesting an initial allocation of \$75,000, which represented roughly 12% of his brokerage account. She explained verbally that the product resets daily and that returns over longer periods could diverge significantly from three times the inverse of the index due to compounding effects. Gerald signed a leveraged and inverse ETF disclosure acknowledgment form provided by Ridgeline Securities, which included a one-page summary describing daily reset mechanics, the risk of volatility decay, and a warning that the product was designed for short-term trading. Danielle did not set a specific exit date or stop-loss, but her notes from the meeting state: 'Client understands daily reset. Plans to monitor position closely and exit within weeks, possibly extending if thesis plays out.' Gerald purchased \$75,000 of SQQQ on April 17, 2023. Over the following weeks, the Nasdaq-100 moved sideways with moderate volatility, declining roughly 2% by mid-May before rallying 7% through the end of June. Gerald did not sell. In July 2023, Gerald called Danielle to discuss the position, which had declined to approximately \$54,000. Danielle recommended he exit the position, noting that the sideways-to-up market was eroding value through daily compounding. Gerald declined, saying he still believed a tech correction was imminent and wanted to hold. Danielle documented this conversation and Gerald's decision to hold. By November 2023, the Nasdaq-100 had gained approximately 14% from Gerald's entry date. Gerald's position had fallen to roughly \$31,500, a loss of approximately \$43,500 or 58%. Gerald finally sold on November 22, 2023. He subsequently filed a complaint alleging that Danielle recommended an investment that was incompatible with his actual risk profile and holding behavior, claiming she should have known he was likely to hold the position far longer than a day or even a few weeks, and that the product was unsuitable for someone with a multi-month directional thesis. He argues that despite his 'aggressive' designation, losing 58% on a single position due to structural product decay goes beyond aggressive risk-taking and into territory that no reasonable investor would knowingly accept. Ridgeline Securities counters that Gerald was a highly experienced, active trader with an aggressive profile, that Danielle provided both verbal and written disclosure of the daily-reset risk, that she proactively recommended Gerald exit the position in July when it was deteriorating, and that Gerald's losses were the result of his own decision to override his advisor's advice and hold the position for seven months against her documented recommendation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Danielle violated applicable standards: The initial recommendation of a 3x inverse daily-resetting ETF to express a multi-month bearish thesis is itself potentially problematic. Gerald explicitly described a thesis that would 'play out over the next several months,' and Danielle's own notes reference

the possibility of extending the holding period beyond weeks. Daily-resetting leveraged and inverse products are designed for intraday or very short-term use, and recommending them to implement a medium-term directional view exposes the customer to path dependency and volatility decay that can cause catastrophic divergence from the expected leveraged return. A 12% allocation to a 3x product in a single sector effectively creates 36% notional short exposure to tech, which is substantial concentration risk even for an aggressive investor. The lack of a defined exit strategy, stop-loss, or holding period limit at the time of recommendation could be seen as a supervisory failure, as the advisor should have anticipated that a retail investor-even a sophisticated one-might hold through adverse conditions. Industry guidance has repeatedly emphasized that recommending these products without robust guardrails for holding period is a red flag regardless of disclosed risk tolerance.

Arguments that Danielle acted appropriately: Gerald was a 15-year active trader with an aggressive risk profile, substantial assets, and demonstrated knowledge of complex instruments. The \$75,000 position represented 12% of his brokerage account and roughly 5.4% of his total net worth-meaningful but not an outsized concentration for an aggressive investor. Danielle provided both verbal explanation of daily-reset mechanics and had Gerald sign a product-specific disclosure form. Most critically, when the position began deteriorating, Danielle proactively recommended Gerald exit in July 2023, and Gerald explicitly overrode that recommendation. The subsequent losses from July through November-when the position fell from \$54,000 to \$31,500-occurred entirely against Danielle's documented advice. Gerald's complaint essentially asks the advisor to be held responsible for losses he chose to sustain after being told to sell. Additionally, Gerald's background suggests he had the sophistication to understand the risks, and his signature on the disclosure form indicates informed consent at the time of purchase.

The key tension is between the initial recommendation (using a daily-reset product for a multi-month thesis, which is inherently mismatched) and the subsequent mitigation efforts (disclosure, proactive exit recommendation, documentation of Gerald's refusal). The initial recommendation created the conditions for the loss, but Gerald's autonomous decision to hold dramatically amplified it.

Why Borderline

This scenario sits in a genuine gray zone because the initial product selection arguably mismatched the client's stated investment thesis (multi-month bearish view implemented through a daily-resetting instrument), yet the client was sophisticated, adequately disclosed to, and explicitly rejected the advisor's later recommendation to exit. Reasonable practitioners could disagree on whether the initial recommendation itself was a violation given the client's aggressive profile and experience, or whether the advisor's subsequent conduct-proactive monitoring, documented exit recommendation, and Gerald's autonomous override-cured any initial deficiency. The question of whether advisors bear ongoing responsibility after a client rejects exit advice on a deteriorating leveraged position is genuinely unsettled in practice.

Borderline Factors

- Client's stated multi-month time horizon was inherently mismatched with a daily-resetting product, but advisor's notes suggest initial expectation of weeks, not months
- 12% allocation to a 3x inverse product creates significant effective leverage, but is within plausible bounds for a self-described aggressive trader with \$1.4M net worth
- Written and verbal disclosure of daily-reset risk was provided, including a signed acknowledgment form,

suggesting informed consent

- Advisor proactively recommended exit in July when position was down ~28%, and client explicitly refused-the majority of the ultimate loss occurred after the client overrode advisor guidance
- Client had 15 years of active trading experience and self-selected aggressive risk tolerance, yet had no prior experience specifically with leveraged/inverse ETFs
- No stop-loss, time limit, or structured monitoring protocol was established at the point of recommendation
- The product functioned exactly as disclosed-losses stemmed from a known, explained structural feature rather than hidden risk

Likely Outcome

A regulator would most likely find a partial violation focused on the initial recommendation rather than a full exoneration. While Danielle's disclosure and subsequent exit recommendation are significant mitigating factors, the core issue is that she recommended a daily-resetting 3x inverse ETF to implement what she knew could be a multi-month thesis. Regulatory guidance has consistently emphasized that these products should not be recommended for holding periods beyond one trading session absent extraordinary circumstances. However, the sanction would likely be modest-perhaps a supervisory deficiency letter or fine rather than significant disgorgement-because the advisor did disclose the risks, proactively recommended selling, and the client's own decision to hold was the proximate cause of the majority of losses. The firm's supervision might draw more scrutiny than the individual advisor, particularly the absence of automated holding-period alerts or forced review triggers for leveraged ETF positions.

Borderline Scenario 31

Topic: *high_fees_unsuitable* | Standard: *FINRA Rule 2111 (Suitability), Reg BI Rule 15l-1 (Care Obligation, Cost Consideration, Rea*

Fact Pattern

Marcus Devlin, age 34, is a software engineer at a major tech company earning \$285,000 annually with an additional \$150,000-\$200,000 in annual restricted stock unit vesting. He has a brokerage account with \$410,000 in liquid assets, a 401(k) worth \$190,000, and no debt other than a \$2,800 monthly apartment rental. He has no dependents. Marcus approached his financial advisor, Sheila Fontaine, in January 2023 and told her he had read academic research suggesting that leveraged ETFs could be rational holdings for younger investors with high risk tolerance and long investment horizons, because the expected return premium from leverage could outweigh volatility decay over multi-decade periods. He specifically asked about allocating a portion of his portfolio to a 3x leveraged S&P 500 ETF (ticker: SPXL), which carries an expense ratio of 0.97% - roughly 10 times the cost of a standard S&P 500 index ETF at 0.09%. Marcus told Sheila he understood the daily reset mechanism, had read multiple whitepapers on path dependency and compounding effects, and wanted to hold the position for 10+ years as part of a lifecycle strategy where he would gradually reduce leverage exposure as he aged. He signed a written acknowledgment describing volatility decay risk, the possibility of total loss in extreme drawdowns, and the high expense ratio relative to unleveraged alternatives.

Sheila reviewed Marcus's financial profile: his risk tolerance questionnaire scored him in the highest category ('aggressive growth'), his investment time horizon was listed as 20+ years, his tech-heavy

compensation created concentration risk that the broad market leveraged ETF would partially diversify, and his liquid net worth outside the proposed SPXL position would still exceed \$280,000. Sheila recommended a \$130,000 allocation (approximately 32% of his liquid brokerage assets) to SPXL, with a plan to rebalance quarterly and reduce exposure by 3 percentage points per year starting at age 40. She documented the recommendation, the client's stated sophistication, and the fee differential. She did not recommend any alternative leveraged strategy such as using margin or futures-based approaches that might achieve similar exposure at lower cost. She earned a standard commission on the ETF purchase.

By March 2025, SPXL had performed well due to the strong equity market, and Marcus's position had grown to approximately \$245,000. However, during the period, SPXL underperformed a hypothetical 3x daily return of the S&P 500 by approximately 4.2% cumulatively due to the compounding of fees and tracking costs. A compliance review flagged the position because internal guidelines stated that leveraged and inverse ETFs were 'generally not suitable for holding periods beyond 30 days' and required supervisor pre-approval for any holding beyond that period. Sheila had obtained verbal approval from her branch manager but had not completed the firm's formal written exception process. The branch manager later confirmed he had discussed the position with Sheila and agreed it was reasonable given the client profile but acknowledged the written exception form was never filed.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents tensions between a well-documented, client-driven strategy for a sophisticated high-income investor and the persistent regulatory concern about retail investors holding daily-resetting leveraged products long-term.

Arguments that Sheila did NOT violate applicable standards:

1. The client profile strongly supports an aggressive allocation: young age (34), high income (\$285K+), no dependents, substantial remaining liquidity (\$280K outside the position), maximum risk tolerance score, and a 20+ year time horizon.
2. Marcus demonstrated genuine sophistication - he initiated the strategy based on academic research, understood path dependency and volatility decay, and signed a detailed written acknowledgment of risks.
3. The 32% allocation, while significant, left the majority of Marcus's liquid assets in other investments and was part of a documented lifecycle glide-path plan with scheduled de-risking.
4. The position performed well, and the 4.2% cumulative drag from fees and tracking error over 26 months, while meaningful, was anticipated and accepted by the client.
5. Under Reg BI's Care Obligation, an advisor must consider reasonably available alternatives, but no regulation mandates recommending the cheapest possible product if a more expensive product has other attributes (such as simplicity, no margin calls, limited downside to invested capital) that serve the client.
6. The branch manager verbally approved the exception, suggesting supervisory awareness.

Arguments that Sheila DID violate applicable standards:

1. FINRA Regulatory Notices 09-31 and 22-08 have repeatedly warned that leveraged ETFs are designed for short-term trading and are generally not suitable for retail investors who plan to hold them for extended periods. The guidance specifically highlights daily reset compounding and fee drag as concerns.

2. Sheila failed to complete her own firm's written exception process - a supervisory control designed precisely for this situation. Under FINRA Rule 3110 and the firm's own WSPs, the absence of formal written approval is a procedural violation regardless of the substantive merits.
3. Sheila did not present or evaluate alternative leveraged strategies (margin account, futures, LEAPS options) that could have achieved similar 3x equity exposure at significantly lower ongoing cost. The 0.97% expense ratio compounding on a leveraged product creates a substantial drag (estimated 2-3% annually relative to alternatives) that may not serve the client's best interest even if the client is sophisticated.
4. Under Reg BI Rule 15l-1, the advisor has an affirmative obligation to consider costs and reasonably available alternatives. Recommending the most expensive way to achieve leverage without documenting why cheaper alternatives were unsuitable could be viewed as a failure of the care obligation.
5. The firm's internal guidelines treating 30-day holds as presumptively unsuitable create an internal standard that, if not properly overridden through the exception process, exposes both the advisor and the firm to liability.
6. FINRA RN 22-08 on complex products emphasizes that firm-level controls, including written approvals and enhanced supervision, are not optional safeguards but required elements of a compliance program for complex product sales.

The fee analysis is nuanced: the 0.97% expense ratio applied to a 3x leveraged product effectively means the investor pays roughly 0.32% per unit of exposure, which is higher than institutional leverage costs but not dramatically out of line with retail alternatives when accounting for the convenience, no-margin-call feature, and simplicity of the ETF wrapper. However, the cumulative dollar impact over a 20-year hold could exceed \$100,000 in fee drag relative to cheaper alternatives.

Why Borderline

This is genuinely ambiguous because the client profile is nearly ideal for aggressive strategies - young, high-income, sophisticated, and self-directed - yet the product carries well-documented regulatory warnings about long-term holding. The academic literature the client cited is legitimate and growing, creating tension with longstanding regulatory guidance designed to protect less sophisticated investors. The procedural lapse (missing written exception form) is clear, but the substantive question of whether the recommendation itself harmed or could harm the client is far less certain. Additionally, the fee differential is real but not extreme when contextualized against the convenience and structural protections of the ETF wrapper versus margin-based alternatives.

Borderline Factors

- Client initiated the strategy based on independent academic research and demonstrated genuine understanding of product mechanics
- Client profile (age 34, \$285K income, maximum risk tolerance, 20+ year horizon, no dependents) is among the strongest possible cases for aggressive leveraged exposure
- Expense ratio of 0.97% is objectively high relative to unleveraged alternatives but provides structural benefits (no margin calls, limited loss to invested capital) that alternatives lack
- Firm's internal 30-day holding guideline creates a procedural standard that was substantively discussed with supervision but not formally documented
- Emerging academic literature supports long-term LETF holding for young risk-tolerant investors, creating tension with existing regulatory guidance
- Advisor did not document consideration of lower-cost leveraged alternatives (margin, futures, options)

- The position appreciated significantly, making any harm theory speculative rather than demonstrated
- 32% allocation is substantial but leaves majority of liquid assets unleveraged and includes a documented de-risking schedule

Likely Outcome

A regulator would most likely find a procedural violation for failure to complete the firm's required written exception process for holding leveraged ETFs beyond 30 days, resulting in a supervisory deficiency finding against both the advisor and the branch manager. On the substantive recommendation itself, the outcome is less certain. A regulator influenced by FINRA RN 09-31 and 22-08 guidance would likely issue a cautionary finding noting the failure to document consideration of lower-cost alternatives, but would struggle to find clear customer harm given the client's exceptional profile, demonstrated sophistication, and positive investment outcome. The most probable result is a letter of caution or minor fine focused on the procedural failure, with the firm required to strengthen its exception documentation process, rather than a finding that the underlying recommendation was unsuitable or failed to meet best interest standards.

Borderline Scenario 32

Topic: *leveraged_etf_unsuitable* | Standard: *FINRA Rule 2111 (Suitability, including customer-specific, reasonable-basis, and quantitative)*

Fact Pattern

Marcus Webb, a 58-year-old semi-retired petroleum engineer, opened a brokerage account in March 2022 with Ridgeline Financial Partners. Webb listed his net worth at \$3.4 million, annual income of \$185,000 (combination of consulting fees and rental property income), investment experience of 30+ years, and a "growth" investment objective with a stated time horizon of 5-10 years. His risk tolerance was marked as "aggressive" on the new account form. Webb held a separate retirement account at another firm worth approximately \$1.2 million invested in index funds and bonds. The Ridgeline account represented roughly \$420,000, or about 9% of his total investable assets.

Webb's financial advisor, Danielle Cho, had multiple conversations with Webb about his interest in the energy sector. Webb explained that he believed oil prices were entering a multi-year supercycle based on underinvestment in exploration and geopolitical supply constraints. He told Cho he wanted "maximum exposure to energy upside" and specifically asked about leveraged energy products after reading about them in an investment newsletter. Cho explained that a 2x leveraged daily-resetting energy ETF would amplify daily returns but could diverge significantly from the underlying index over longer periods, particularly in volatile or choppy markets. She sent Webb a product-specific fact sheet and the fund's prospectus summary, which included examples of how daily compounding could erode returns even when the underlying index was flat or mildly positive over multi-month periods.

In April 2022, Cho recommended Webb allocate \$125,000 (approximately 30% of the Ridgeline account, but roughly 2.7% of his total wealth) to the ProShares Ultra Energy ETF (2x daily leveraged). She documented in her notes that Webb understood the daily reset mechanism and volatility decay risk, and that Webb intended to hold for "at least several months but possibly 12-18 months" to capture what he viewed as a structural trend. Cho set a calendar reminder to review the position with Webb quarterly. She also noted that Webb declined her suggestion to use unleveraged energy sector ETFs or energy-focused

equity holdings as alternatives, stating he wanted the leverage.

Over the next seven months, energy prices were volatile but generally trended upward. By November 2022, Webb's position had gained approximately 38%, and during their quarterly review, Cho recommended trimming or exiting the position to lock in gains. Webb declined, saying the thesis was intact and he wanted to hold through at least mid-2023. Cho documented his refusal and reiterated the risks of extended holding.

From December 2022 through June 2023, energy prices experienced significant whipsaw volatility—rising sharply, falling 15%, recovering, then declining again. By July 2023, the underlying energy index was approximately 4% above its April 2022 level, but Webb's leveraged ETF position had actually declined roughly 11% from his original purchase price due to volatility decay and the path-dependent nature of daily compounding. Webb's total loss was approximately \$13,750 on the position. Webb filed a complaint alleging the recommendation was unsuitable given his age, the product's complexity, and the extended holding period, and that Cho should never have recommended a leveraged ETF for a hold period beyond a few weeks.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations that make the outcome genuinely uncertain.

Arguments that Cho violated applicable standards:

1. Regulatory guidance in FINRA Regulatory Notices 09-31 and 22-08 explicitly warns that leveraged and inverse ETFs that reset daily are generally unsuitable for investors who plan to hold them for longer than one trading session, absent active monitoring and a sophisticated understanding of compounding effects. Webb held for approximately 15 months.
2. Webb was 58 years old and semi-retired, a demographic profile that typically warrants heightened caution with complex, speculative products. Even with an aggressive risk tolerance, age-related factors should inform product selection.
3. A 12-18 month intended holding period for a daily-resetting leveraged product is precisely the scenario regulators have flagged as problematic. The fact that Cho knew this was the intended horizon and still recommended the product could be viewed as a failure under both the former suitability standard (FINRA Rule 2111) and the current Regulation Best Interest (Rule 15l-1) care obligation.
4. FINRA RN 22-08 reinforced that firms must have robust supervision frameworks for complex products, and a single quarterly review cadence may be insufficient for a 2x leveraged product in a volatile commodity sector.

Arguments that Cho acted appropriately:

1. The position represented only ~2.7% of Webb's total investable assets (\$3.4M net worth plus other accounts), well within a speculative allocation for an aggressive investor. The concentration was meaningful within the Ridgeline account (30%) but modest in context of total wealth.
2. Webb was a highly experienced investor (30+ years) with deep sector-specific knowledge as a petroleum engineer. He was not a naive retail investor being sold a product he didn't understand.
3. Cho provided meaningful disclosure: she explained daily reset mechanics, sent the prospectus and fact

sheet with compounding examples, documented Webb's understanding, and even suggested unleveraged alternatives that Webb rejected.

4. Cho actively monitored the position, recommended profit-taking when the position was up 38%, and documented Webb's refusal to exit. This demonstrates ongoing diligence rather than a 'set and forget' approach.

5. Under Reg BI, the care obligation requires consideration of reasonably available alternatives and the costs, risks, and rewards of the recommendation. Cho considered alternatives (unleveraged energy ETFs) and the client specifically rejected them. The recommendation was consistent with Webb's stated objective (maximum energy exposure), risk tolerance (aggressive), and investment thesis.

6. The actual dollar loss (\$13,750) was modest relative to Webb's wealth and fell within the range of outcomes Webb was warned could occur.

7. Some practitioners argue that leveraged ETFs can be appropriate for medium-term directional bets by sophisticated investors who understand the risks, even if regulators have expressed skepticism about holding periods beyond one day.

Why Borderline

This scenario sits in genuine gray territory because the advisor took meaningful steps to educate the client, document understanding, monitor the position, and recommend exiting at a profit—all of which are hallmarks of compliant conduct. However, the core recommendation of a daily-resetting 2x leveraged ETF for a 12-18 month holding period directly contradicts the thrust of repeated regulatory guidance. The tension between a well-documented, carefully managed recommendation to a sophisticated client and the near-categorical regulatory skepticism of extended leveraged ETF holding periods creates the ambiguity. Additionally, the position sizing is defensible in the context of total wealth but aggressive within the account, and the client's age cuts against speculative products even though his experience and stated tolerance support them.

Borderline Factors

- Client was highly sophisticated with 30+ years of investment experience and deep sector expertise as a petroleum engineer
- Position was only ~2.7% of total investable assets despite being 30% of the specific account
- Advisor provided detailed risk disclosures, prospectus materials, and documented client understanding
- Advisor recommended profit-taking at +38% gain and client refused, with refusal documented
- Intended holding period of 12-18 months directly conflicts with regulatory guidance on daily-resetting products
- Client was 58 and semi-retired, a profile that typically warrants caution with complex speculative products
- Actual loss was modest (\$13,750) relative to total wealth but demonstrated the exact volatility decay risk regulators warn about
- Client specifically requested leveraged exposure and rejected unleveraged alternatives
- Quarterly monitoring cadence may be inadequate for a 2x leveraged product in a volatile sector

Likely Outcome

A regulator would most likely find a violation, but with mitigating factors that could reduce sanctions. The core issue is that the explicit and repeated regulatory guidance (FINRA RN 09-31, 12-03, 22-08) establishes a strong presumption that daily-resetting leveraged ETFs are unsuitable for holding periods beyond one trading day absent extraordinary circumstances. While Cho's documentation, disclosure, and

monitoring efforts were commendable and would likely reduce any penalty, the deliberate recommendation of a 2x leveraged daily-resetting product for a 12-18 month hold-regardless of the client's sophistication-runs directly counter to the regulatory framework. Regulators tend to view the product-level unsuitability concern as difficult to overcome through disclosure alone. However, a hearing panel might weigh the small position size relative to total wealth, the client's insistence, and the advisor's active management as sufficient to find no violation or impose only a cautionary letter rather than significant sanctions. This is a case that could genuinely go either way depending on the panel.

Borderline Scenario 33

Topic: failure_to_know_customer | Standard: FINRA Rule 2111 (Suitability), including the reasonable-basis, customer-specific, and c

Fact Pattern

Marcus Bellingham, a financial advisor at a mid-size broker-dealer in Phoenix, Arizona, had been working with client Denise Kowalski since March 2021. Kowalski, age 52, was a semi-retired software engineer who had sold her cybersecurity startup in 2019 for \$4.2 million. Her brokerage account held approximately \$1.8 million, with the remainder of her wealth in real estate and retirement accounts. On her new account form completed in March 2021, Kowalski listed her investment objective as 'Growth,' her risk tolerance as 'Aggressive,' her time horizon as '5-10 years,' her annual income as \$95,000 (consulting), and her liquid net worth as \$2.6 million. She had 25 years of investing experience and indicated familiarity with options, futures, and leveraged products. Kowalski had previously traded 3x leveraged sector ETFs in a self-directed account at another firm, generating mixed results.

In June 2022, with the technology sector declining sharply, Kowalski called Bellingham and expressed strong conviction that the semiconductor sector was going to rebound within 'a few months.' She asked about a 3x daily-leveraged bullish semiconductor ETF. Bellingham discussed the product with her over a 40-minute phone call, during which he explained that the fund reset daily, that compounding could cause returns to diverge significantly from 3x the index return over periods longer than one day, and that in choppy, sideways markets the fund could lose value even if the underlying index was flat over time. Kowalski acknowledged the risks and said she understood from her prior experience. Bellingham's notes from the call reflect these disclosures.

Bellingham recommended that Kowalski allocate \$180,000-roughly 10% of the brokerage account-to the 3x leveraged semiconductor ETF. He set a calendar reminder to review the position after 30 days. However, the firm's internal product review committee had designated all 3x leveraged ETFs as 'complex products requiring enhanced due diligence,' and the firm's written supervisory procedures called for the advisor to document the customer's 'specific short-term trading thesis, defined exit strategy, and prior quantitative understanding of daily-reset mechanics' before recommending any leveraged product with a multiplier above 2x. Bellingham's notes from the call included Kowalski's thesis ('semiconductor rebound in a few months') and the general risk disclosures he provided, but he did not document a specific exit strategy-such as a target price, stop-loss level, or maximum holding period-nor did he formally assess her 'quantitative understanding of daily-reset mechanics' beyond her verbal assertion that she understood from past experience.

Kowalski held the position for 14 weeks. During that period, the semiconductor index experienced significant volatility—rising 8%, then falling 12%, then rising again 6%—ultimately ending roughly 1.5% above where it had been when she purchased the ETF. Due to the effects of daily compounding in a volatile environment, the 3x leveraged ETF had lost approximately 11% of its value over the same period, resulting in a loss of roughly \$19,800 on her \$180,000 position. Kowalski filed a complaint alleging that Bellingham had not adequately understood her situation or the product before recommending it, and that she had not truly appreciated how severely volatility decay could erode her investment even if the index moved in the direction she predicted.

Notably, Bellingham had not updated Kowalski's customer profile since March 2021—over 15 months prior to the recommendation. In the interim, Kowalski had mentioned casually in an April 2022 email that she was 'thinking about winding down consulting to focus on health issues,' but Bellingham did not follow up on this comment or update her income, liquidity needs, or risk tolerance. Additionally, the firm's compliance department had circulated an internal memo in May 2022 reminding advisors that customer profiles for complex product recommendations should be 'current within 6 months and reflect any known changes in circumstances.' Bellingham's supervisor approved the trade based on the March 2021 profile without flagging the staleness of the data or the incomplete documentation of the exit strategy.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Bellingham violated applicable standards:

1. ****Stale customer profile****: Under FINRA Rule 2111 and Reg BI's Care Obligation (Rule 15l-1), a broker must have a reasonable basis for believing a recommendation is suitable based on the customer's investment profile. The firm's own written supervisory procedures required profiles to be current within six months for complex product recommendations. Bellingham relied on a profile that was 15 months old, and he had received an email suggesting a material life change—potential loss of consulting income and health concerns—that he failed to investigate. FINRA Regulatory Notice 12-03 emphasizes that heightened scrutiny is required for complex products, which includes ensuring current and complete customer information.
2. ****Incomplete documentation per firm procedures****: FINRA RN 09-31 and RN 22-08 both stress the importance of establishing that customers who hold leveraged/inverse ETFs understand the specific risks, including daily-reset mechanics and path dependency. The firm's enhanced due diligence protocol explicitly required documentation of a defined exit strategy and assessment of the client's quantitative understanding of daily-reset mechanics. Bellingham documented a general thesis and general risk disclosures but omitted these specific elements. A failure to follow firm WSPs can constitute a violation independent of the substantive suitability determination.
3. ****14-week holding period****: Leveraged ETFs are generally designed for short-term tactical trading. A 14-week hold through significant volatility is precisely the scenario that produces the compounding losses warned about in multiple regulatory notices. Although Bellingham set a 30-day review reminder, there is no evidence he conducted the review or recommended any action at that point.

Arguments that Bellingham acted reasonably:

1. **Sophisticated, experienced client**: Kowalski was a former tech entrepreneur with 25 years of investing experience, prior hands-on experience trading 3x leveraged ETFs, and familiarity with derivatives. She initiated the inquiry and expressed a specific thesis. Her aggressive risk tolerance and growth objective, even on the older profile, supported exposure to high-risk instruments.
2. **Appropriate position sizing**: The \$180,000 allocation represented approximately 10% of the brokerage account and roughly 7% of her total liquid net worth. This is not a concentrated bet by most standards. The actual loss of \$19,800 represented about 1.1% of the account and 0.76% of liquid net worth-meaningful but not devastating.
3. **Substantive risk disclosure**: Bellingham spent 40 minutes discussing the product, explicitly covered daily-reset mechanics, volatility decay in sideways markets, and the divergence from the underlying index. His contemporaneous notes reflect these disclosures. The client affirmatively acknowledged understanding.
4. **Proactive monitoring intent**: Bellingham set a 30-day review calendar reminder, suggesting awareness of the need for active monitoring. While execution of this review is undocumented, the intent shows conscientiousness.
5. **Client autonomy and hindsight bias**: The complaint arose after a loss driven by an inherently unpredictable volatility pattern. The recommendation was directionally correct (the index did rise slightly), and the loss was a function of path dependency-a risk that was disclosed. Kowalski's claim that she did not 'truly appreciate' volatility decay is difficult to square with her prior experience trading the same category of products.
6. **The health comment was ambiguous**: The April 2022 email about 'winding down consulting to focus on health issues' was casual and did not explicitly state a change in financial circumstances, risk tolerance, or investment objectives. An advisor could reasonably interpret this as preliminary musing rather than a definitive life change requiring immediate profile revision.

Why Borderline

This scenario sits in genuine gray territory because the substantive suitability analysis-experienced aggressive investor, appropriate position size, thorough verbal disclosure, client-initiated thesis-is strong. However, the procedural deficiencies-stale profile, ignored potential red flag about changing circumstances, incomplete documentation of exit strategy and quantitative understanding per firm WSPs, and unclear follow-through on the 30-day review-create legitimate regulatory concern. The tension is between a recommendation that was likely substantively appropriate for the client as she existed at the time, and an advisor who cut procedural corners that were specifically designed to protect against the exact type of loss that materialized. Regulators increasingly view process failures in the complex products space as independently actionable, while practitioners argue that substance should prevail over form when the client is genuinely sophisticated.

Borderline Factors

- Customer had documented prior experience trading the exact same category of leveraged ETFs at another firm
- Customer profile was 15 months stale versus firm requirement of 6-month currency for complex products
- Advisor received but did not follow up on ambiguous email suggesting potential change in income and health status
- Firm WSPs required documentation of specific exit strategy and quantitative understanding assessment, which advisor partially but not fully completed
- Position size was a moderate 10% of account, limiting potential for catastrophic loss
- Actual loss of approximately \$19,800 was painful but not ruinous relative to client's total wealth
- Advisor provided substantive 40-minute verbal disclosure of daily-reset and volatility decay risks with contemporaneous notes
- 14-week holding period falls in ambiguous zone-longer than typical tactical trade but shorter than a truly long-term hold
- The supervisor approved the trade without flagging documentation deficiencies, raising questions about supervisory responsibility versus advisor responsibility
- Client initiated the product inquiry based on her own sector thesis

Likely Outcome

A regulator would most likely find a technical violation based on the procedural failures-specifically the stale customer profile in the face of a known potential change in circumstances and the incomplete documentation required by the firm's own enhanced due diligence procedures for 3x leveraged products. However, given the client's sophistication, the substantive risk disclosures provided, the moderate position sizing, and the relatively modest loss, sanctions would likely be limited to a supervisory deficiency finding, potentially a modest fine, and required remediation of WSP compliance processes rather than a finding of substantive unsuitability. The supervisor who approved the trade on a stale profile without flagging the documentation gaps would also likely face scrutiny under the firm's supervisory obligations. The case would likely not result in disgorgement or customer restitution given the strong substantive suitability argument.

Borderline Scenario 34

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or investment s

Fact Pattern

Marcus Delgado, age 34, is a software engineer at a large technology company earning \$245,000 annually. He has approximately \$1.8 million in total investable assets, including \$620,000 in a taxable brokerage account, \$410,000 in his 401(k), and \$770,000 in a Roth IRA he has been aggressively funding through backdoor conversions since age 26. He has no debt other than a \$2,400/month apartment lease and has an emergency fund of approximately \$85,000 in a money market account. Delgado holds a Master's degree in computational finance in addition to his computer science background, and previously worked for 14 months at a quantitative trading desk before transitioning to software engineering. His new account form, completed in January 2023, lists his risk tolerance as 'aggressive,' his investment objective as 'growth,' and his time horizon as '20+ years.' He signed a complex products disclosure acknowledgment at account opening.

In March 2023, Delgado's financial advisor, Kendra Wu at Ridgepoint Wealth Partners, recommended that Delgado allocate 30% of his taxable brokerage account—approximately \$186,000—to a 3x leveraged S&P 500 ETF (ticker: SPXL). Wu documented that Delgado specifically asked about leveraged products during their second meeting and expressed familiarity with daily reset mechanics, volatility drag, and path dependency from his quantitative finance background. Wu's notes from the meeting reflect a 40-minute discussion in which she explained that the product resets daily, that compounding effects could cause significant deviation from 3x the index return over periods longer than one day, and that the position could lose substantially more than a traditional index fund in a downturn. She also noted that Delgado stated he understood the product could lose 70-90% of its value in a sustained bear market and that he was 'comfortable with that tail risk given his long horizon and ability to dollar-cost average back in.'

Wu recommended that Delgado hold the position as part of a long-term buy-and-hold strategy, rebalancing quarterly back to the 30% target allocation. She did not recommend stop-losses or any hedging overlay. The remaining 70% of the taxable account was allocated to a diversified mix of low-cost index funds. Wu's rationale, documented in her recommendation memo, was that academic research suggested leveraged ETFs could serve as a wealth accumulation tool for young, risk-tolerant investors with long time horizons, particularly those who could not access margin or futures in their retirement accounts, and that the quarterly rebalancing discipline would help manage volatility decay. She referenced her firm's investment committee discussion from February 2023 in which the committee acknowledged that leveraged ETFs 'may be appropriate for a narrow subset of highly risk-tolerant, financially sophisticated clients with long time horizons' but did not issue a blanket prohibition.

By December 2023, the position had grown to approximately \$241,000 due to strong equity markets. Wu recommended maintaining the allocation. However, during a hypothetical stress-test review conducted at year-end, the firm's compliance department flagged the position because internal surveillance parameters automatically flag any leveraged or inverse ETF position held longer than 90 days. A compliance officer contacted Wu and asked her to justify the long-term hold. Wu provided her recommendation memo, Delgado's educational background, the signed complex products acknowledgment, and the meeting notes. The compliance officer noted the documentation was 'thorough' but expressed concern that the firm's product due diligence materials for leveraged ETFs stated they were 'designed for short-term trading and may not be suitable for investors who plan to hold them for longer than one trading session,' language that appeared to contradict Wu's recommendation.

Delgado has not filed a complaint. He is aware of the risks, has periodically discussed the position with Wu, and as of April 2025 the position is valued at approximately \$310,000, having weathered a 28% drawdown in mid-2024 before recovering. He has never expressed dissatisfaction and continues to request that the allocation be maintained.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations that make the analysis genuinely difficult.

Arguments that Wu violated applicable standards:

1. Product design mismatch: Leveraged ETFs with daily reset mechanisms are explicitly designed for short-term, tactical use. FINRA Regulatory Notices 09-31 and 12-03 specifically warn that these products are 'typically unsuitable for retail investors who plan to hold them for more than one trading session' due to the mathematical certainty of volatility decay and path dependency over longer periods. Wu recommended a buy-and-hold strategy that directly contradicts the product's stated design and the issuer's own prospectus disclosures.
2. Firm's own due diligence materials: The firm's product materials stated leveraged ETFs were 'designed for short-term trading,' yet Wu recommended the opposite. Under FINRA Rule 2111 and Reg BI's care obligation (Rule 15l-1(a)(2)(ii)), the advisor must exercise reasonable diligence and consider reasonably available alternatives. A 60/40 portfolio with conventional margin, or a standard equity allocation with a higher equity tilt, might have achieved similar expected returns without the structural drag of daily rebalancing.
3. Concentration in a single complex product: A 30% allocation to a single 3x leveraged product creates notional equity exposure equivalent to approximately 90% of the taxable account in a single index, raising concentration concerns even though the remaining 70% is diversified.
4. FINRA RN 22-08 heightened standards: The 2022 regulatory notice on complex products reinforces that firms must have robust policies for evaluating whether complex products are in clients' best interests, and that client sophistication alone does not necessarily make a complex product appropriate.

Arguments that Wu acted within applicable standards:

1. Client profile strongly supports risk tolerance: Delgado is 34 years old with a \$245,000 income, \$1.8 million in assets, minimal liabilities, a 20+ year time horizon, and an aggressive risk tolerance. The taxable account represents only about one-third of his total wealth. A 30% allocation of one-third of his assets means the leveraged ETF represents roughly 10% of his total portfolio, which is significantly less alarming in context.
2. Genuine financial sophistication: Unlike a typical retail investor, Delgado has a Master's in computational finance and worked on a quantitative trading desk. He demonstrated specific understanding of daily reset mechanics, volatility drag, and path dependency. This is not a case of an advisor papering over a client's lack of understanding.
3. Thorough documentation and disclosure: Wu conducted a 40-minute discussion, documented the risks including catastrophic loss scenarios, obtained a signed complex products acknowledgment, and prepared a written recommendation memo with an investment rationale grounded in academic research. This exceeds typical documentation standards.
4. Emerging academic support: While regulatory guidance has historically cautioned against long-term holding of leveraged ETFs, academic literature (including the referenced paper) has increasingly explored scenarios where leveraged ETFs may be welfare-enhancing for sufficiently risk-tolerant, long-term

investors-particularly young investors whose human capital acts as an implicit bond holding. Wu's recommendation is not without intellectual foundation.

5. Rebalancing discipline: Quarterly rebalancing back to the 30% target partially mitigates the worst effects of volatility decay and prevents the position from growing to dominate the portfolio during bull markets or becoming negligible during bear markets.

6. Firm did not prohibit the strategy: The investment committee acknowledged leveraged ETFs could be appropriate for a narrow subset of clients. Wu's recommendation fell within this acknowledged exception.

7. Favorable outcome and ongoing consent: While outcome is not determinative of suitability at the time of recommendation, Delgado's continued informed consent and the position's performance undercut any inference of harm.

Why Borderline

This is a genuine gray area because it pits longstanding regulatory guidance (that leveraged ETFs are generally unsuitable for long-term holding) against a client profile that represents perhaps the strongest possible case for an exception: young, wealthy, highly educated in quantitative finance, aggressive risk tolerance, long time horizon, and the leveraged ETF represents a modest share of total wealth. The advisor's documentation is unusually thorough, yet the recommendation directly contradicts both the product's design purpose and the firm's own due diligence materials. Reasonable regulators could disagree about whether exceptional client characteristics and robust process can overcome the near-categorical warnings in regulatory guidance about these products.

Borderline Factors

- Client has genuine quantitative finance expertise far exceeding typical retail investor sophistication
- 30% of taxable account sounds aggressive, but represents only ~10% of total investable assets
 - Advisor documentation is exceptionally thorough, including 40-minute risk discussion and written recommendation memo
- Recommendation directly contradicts firm's own product due diligence materials describing product as short-term
 - Academic research increasingly supports potential long-term use for risk-tolerant investors, but regulatory guidance remains cautionary
- Quarterly rebalancing partially mitigates volatility decay but does not eliminate it
- Firm investment committee acknowledged narrow suitability window without issuing prohibition
- No client complaint and continued informed client consent, though this is not determinative
- 3x leverage creates extreme tail risk (potential 70-90% drawdown) even for an aggressive investor
 - Availability of less structurally costly alternatives (margin, futures, higher equity allocation) that could achieve similar exposure

Likely Outcome

A regulator would most likely find a technical violation but potentially decline to impose severe sanctions given the mitigating factors. The primary basis for a finding would be that the recommendation to hold a daily-resetting 3x leveraged ETF as a long-term buy-and-hold position contradicts the product's fundamental design and the firm's own due diligence characterization, and that the advisor failed to

adequately consider reasonably available alternatives (such as margin, futures, or a higher conventional equity allocation) that could provide similar leverage without structural volatility decay. However, the robust documentation, the client's extraordinary sophistication, the modest allocation relative to total wealth, and the absence of realized harm would likely mitigate any penalty significantly. The firm's compliance department would likely be directed to either update its due diligence materials to explicitly carve out the narrow exception the investment committee discussed, or to prohibit the strategy altogether-the current ambiguity between the committee's position and the product materials creates supervisory risk. A hearing panel could reasonably go either way on whether the recommendation itself was a violation, but the supervisory gap at the firm level would likely draw scrutiny under complex products supervision requirements.

Borderline Scenario 35

Topic: high_fees_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or investment strate

Fact Pattern

Margaret Solano, age 58, is a recently retired elementary school principal with a \$1.2 million rollover IRA and a modest state pension of \$3,400/month. She has listed her investment experience as 'moderate,' noting she previously held a diversified portfolio of mutual funds for 20 years through her employer's 403(b) plan. Her stated goals on the new account form are 'growth with some income' and she has a 'moderate' risk tolerance. She told her financial advisor, Keith Brennan, that she was worried about a potential market downturn in the next 12-18 months and wanted to 'protect her nest egg while still participating in upside.' Brennan recommended allocating \$180,000 (15% of the portfolio) into a 2x leveraged S&P 500 ETF and another \$120,000 (10%) into a -1x inverse S&P 500 ETF, explaining this as a 'barbell hedge strategy' that would give her amplified upside exposure while cushioning any correction. He documented in his notes that the inverse position would act as a 'partial portfolio hedge.' The remaining 75% of the portfolio was placed in a balanced mix of low-cost index funds and investment-grade bond funds. Brennan provided Margaret with the ETF prospectuses and a one-page summary he created explaining that leveraged and inverse products reset daily and are 'designed for short-term tactical use,' but he also told her verbally that the positions would be 'monitored quarterly' and adjusted as needed. Over the next 14 months, the S&P 500 experienced significant volatility - dropping 11% over three months, recovering, then dropping again 8%, before ultimately finishing 2% higher than where it started. During this period, Brennan conducted two reviews of Margaret's account, at month 5 and month 10. At the month-5 review, the 2x leveraged ETF was down 9% despite the index being down only 4% at that point, and the inverse ETF was up 2.5%. Brennan noted the drag but recommended holding the positions, saying 'the strategy needs more time to play out.' At the month-10 review, the leveraged ETF was down 14% while the index had nearly recovered to flat; the inverse ETF was down 6%. Again Brennan recommended holding. By month 14, when Margaret called concerned about her statements, the 2x leveraged ETF had lost approximately \$38,000 (21% of the \$180,000 invested) and the inverse ETF had lost approximately \$16,200 (13.5% of the \$120,000 invested), for a combined loss of roughly \$54,200 on those positions - even though the underlying index was up 2% over the same period. The total expense ratios on these two ETFs were 0.91% and 0.89% respectively, compared to the 0.04%-0.15% expense ratios on Margaret's other holdings. Over the 14-month period, the cumulative fee drag from the leveraged and inverse ETFs was approximately \$3,600, compared to roughly

\$900 that would have been incurred in comparable unleveraged index products. Brennan earned a standard advisory fee of 1.0% on total assets under management and received no additional transaction-based compensation on the ETF purchases. Margaret filed a complaint alleging the products were too expensive, too risky, and entirely unsuitable for a retiree drawing down savings. Brennan's firm had a general policy requiring 'enhanced review' for complex product recommendations but did not have specific holding-period limits or mandatory stop-loss protocols for leveraged or inverse ETFs. The firm's supervisory principal approved the initial trade tickets but did not follow up on the quarterly monitoring Brennan had promised.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Brennan violated applicable standards: Margaret is a recently retired investor with moderate risk tolerance relying on her portfolio for long-term income supplementation. Leveraged and inverse ETFs are daily-resetting instruments subject to path dependency and volatility decay, meaning their returns can deviate dramatically from the underlying index over multi-month holding periods - precisely the kind of loss that occurred here. Industry guidance has repeatedly warned that these products are generally unsuitable for buy-and-hold retail investors. The 14-month holding period, with only two interim reviews, is inconsistent with the daily-resetting nature of these products. Despite observing significant performance drag at the month-5 and month-10 reviews, Brennan failed to liquidate or reduce the positions, effectively converting what he described as 'short-term tactical' tools into long-term holdings. The \$54,200 combined loss on a position that was supposed to 'protect' the portfolio, during a period when the index ended roughly flat, illustrates the destructive effect of volatility decay. The fee differential, while not enormous in absolute terms (\$3,600 vs. \$900), compounds the unsuitability argument - Margaret was paying materially higher expense ratios for products that actively eroded her capital. Additionally, the firm's supervisory framework was inadequate: the 'enhanced review' policy lacked teeth, with no holding-period limits, no automated alerts, and no supervisory follow-up on Brennan's stated monitoring plan.

Arguments that Brennan acted within acceptable bounds: The allocation to leveraged and inverse products represented only 25% of the total portfolio, with 75% in conservative, low-cost holdings - a construction that could be viewed as reasonable portfolio-level risk management. Brennan documented a specific tactical rationale (hedging downside exposure during anticipated volatility) and provided the client with prospectuses and a written summary disclosing the daily-reset mechanism. Margaret had 20 years of investment experience and a moderate risk tolerance, not a conservative one. Brennan did conduct two interim reviews and documented his reasoning for holding. The total advisory fee was a standard 1.0% AUM fee with no additional transaction-based compensation, eliminating any incentive to churn or push products for commission. The expense ratio differential of approximately \$2,700 over 14 months on a \$1.2 million portfolio is modest. Brennan could argue the strategy was reasonable in concept but was undone by an unusually volatile and mean-reverting market environment that maximized the negative effects of daily resetting - an outcome that was possible but not certain ex ante. The question of exactly when to exit a tactical position involves professional judgment, and Brennan's decision to hold through volatility could be defended as consistent with his original thesis that a correction was coming.

Why Borderline

This case sits at the intersection of several genuinely debatable questions: (1) whether a 25% allocation to leveraged/inverse ETFs within an otherwise conservative portfolio is categorically unsuitable for a moderate-risk retiree or represents a defensible tactical overlay; (2) whether 14 months with two interim reviews constitutes impermissible long-term holding of daily-resetting products or falls within the range of acceptable 'short-to-intermediate term' tactical use; (3) whether the fee differential is material enough to constitute a standalone suitability concern or is de minimis in the context of the overall portfolio; and (4) whether the losses were caused by an unsuitable recommendation or by an unforeseeable market pattern that happened to maximize volatility decay. The advisor did take several steps - documentation, disclosure, partial monitoring - that show awareness of the products' risks, but arguably those steps were insufficient given the products' mechanics.

Borderline Factors

- Allocation was limited to 25% of total portfolio with 75% in low-cost conservative holdings
- Advisor provided prospectuses and written disclosure about daily-reset mechanics
- Client had moderate (not conservative) risk tolerance and 20 years of investing experience
 - 14-month holding period is longer than typical guidance suggests but shorter than truly egregious multi-year holds
- Advisor conducted two interim reviews but failed to act on observable volatility decay
- Fee differential was meaningful but not extreme in absolute dollar terms
- No transaction-based compensation or incentive conflict on the ETF purchases
- Firm had an enhanced review policy for complex products but lacked specific holding-period limits or monitoring protocols
- The tactical hedge rationale was documented and arguably reasonable at inception
- The \$54,200 loss was driven partly by an unusually volatile, mean-reverting market pattern that amplified path dependency effects

Likely Outcome

A regulator would more likely than not find a violation, though the severity of sanctions would be debated. The core issue is that daily-resetting leveraged and inverse ETFs were held for 14 months in a retiree's IRA with only two reviews - a holding period fundamentally inconsistent with the products' design and the advisor's own written disclosure that they were 'designed for short-term tactical use.' The failure to act at the month-5 and month-10 reviews, when volatility decay was already visibly eroding returns, would be viewed as a failure to monitor and a failure to act in the customer's interest. The fee differential, while secondary, supports the argument that lower-cost alternatives could have achieved the hedging objective more efficiently. However, the 25% portfolio allocation limit, the documented rationale, and the disclosure provided would likely be viewed as mitigating factors that reduce but do not eliminate liability. The firm's supervisory failures - approving the initial trades without follow-up monitoring protocols - would likely result in supervisory deficiency findings as well.

Borderline Scenario 36

Topic: senior_investor_exploitation | Standard: FINRA Rule 2111 (Suitability) and SEC Regulation Best Interest (Rule 15l-1) both apply

Fact Pattern

Margaret Collings, age 71, is a retired aerospace engineer with a PhD in applied mathematics. She has a \$2.4 million portfolio at Ridgemont Securities, managed by her advisor, Derek Vaughn, since 2017. Her account documents list her risk tolerance as 'aggressive,' her investment objective as 'growth,' and her time horizon as '10+ years.' She receives \$58,000 annually from Social Security and a pension, which fully covers her living expenses. She has no dependents, owns her home outright, and carries no debt. She has been trading options in her personal brokerage account since 2003 and maintains a separate \$800,000 account at another firm where she actively trades volatility products.

In March 2023, Margaret approached Derek with a specific strategy: she wanted to allocate \$180,000 (approximately 7.5% of her Ridgemont portfolio) to a 3x leveraged semiconductor ETF (SOXL), which resets daily. She explained to Derek that she understood the daily compounding mechanics and that the product would deviate from 3x the cumulative return of the underlying index over time, particularly in volatile, range-bound markets. She referenced 'volatility drag' by name and described it as a mathematical consequence of geometric versus arithmetic return compounding. Derek documented this conversation in his notes.

Derek discussed the risks, including the possibility of severe drawdowns - noting that during the 2022 semiconductor sell-off, SOXL had declined approximately 85% from its highs. Margaret acknowledged this and stated she viewed it as a 'high-conviction tactical allocation' based on her belief in a coming semiconductor upcycle driven by AI demand. She said she planned to hold for 6 to 18 months and would monitor the position weekly, setting a mental stop-loss at a 40% decline.

Derek approved the purchase. Over the next 10 months, the position performed well, gaining approximately 94% by January 2024. Margaret then asked to increase the position to \$350,000 - now roughly 12% of her total portfolio. Derek again documented a conversation about the amplified risks of a larger allocation, and Margaret reiterated her understanding and conviction. Derek processed the additional purchase.

In April 2024, a sharp correction in semiconductor stocks caused SOXL to decline 38% over three weeks. Margaret did not sell. By June 2024 the position had partially recovered, and Margaret liquidated the entire position at an overall gain of approximately \$62,000 across both tranches.

Margaret's adult niece, who holds power of attorney for healthcare but not financial matters, subsequently filed a complaint alleging that Derek exploited her elderly aunt by allowing her to make unsuitable, speculative investments in a dangerous leveraged product. The niece stated that no 71-year-old retiree should be permitted to invest in 3x leveraged ETFs regardless of background, and that the advisor had a duty to protect her aunt from potential catastrophic losses. The niece also noted that Margaret had been diagnosed with early-stage mild cognitive impairment in November 2023, though Margaret's physician had not placed any restrictions on her financial decision-making capacity and Margaret continued to manage her other brokerage account independently.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations that cut sharply in both directions.

Arguments that Derek acted appropriately:

1. Margaret possessed extraordinary sophistication for a retail investor - a PhD in applied mathematics, nearly 20 years of options trading experience, and demonstrated knowledge of the specific mathematical mechanics (volatility decay, path dependency, geometric vs. arithmetic compounding) that make leveraged ETFs risky for uninformed investors.
2. The allocation was moderate relative to her total wealth - 7.5% initially, rising to approximately 12% - not a concentrated bet that threatened her financial security.
3. Her living expenses were fully covered by pension and Social Security income, meaning even a total loss of the position would not have impaired her lifestyle or financial independence.
4. Derek documented risk discussions on multiple occasions, including specific references to historical drawdowns (the 85% SOXL decline in 2022).
5. Margaret initiated the strategy herself - this was not a product pushed by the advisor.
6. The position was ultimately profitable, and Margaret exited voluntarily.
7. Margaret maintained a separate account where she independently traded volatility products, demonstrating ongoing financial decision-making capacity.

Arguments that Derek may have fallen short:

1. Under Regulation Best Interest, the advisor has an affirmative obligation that goes beyond the customer's own stated preferences. Even a sophisticated customer's request must be evaluated against whether the recommendation (or facilitation) is in their best interest, considering reasonably available alternatives.
2. Daily-resetting 3x leveraged ETFs are classified as complex products by most broker-dealers' internal policies. Many firms have implemented outright prohibitions or enhanced approval requirements for these products in accounts of investors over age 65, regardless of sophistication.
3. The increase in position size in January 2024 occurred approximately two months after Margaret's diagnosis of mild cognitive impairment. While her physician did not restrict her financial capacity, the diagnosis creates a heightened duty of care. Derek may not have been aware of the diagnosis, but some regulators would argue that adequate supervision of senior accounts should include periodic reassessment of cognitive fitness, particularly before approving increased exposure to complex products.
4. Holding a daily-resetting 3x leveraged ETF for 6-18 months goes well beyond the single-day holding period for which these products are designed. Even for a mathematician who understands volatility decay theoretically, the behavioral risks of holding through a 38% drawdown without executing a stop-loss suggest the theoretical understanding may not fully translate to disciplined risk management.
5. FINRA has repeatedly emphasized in multiple regulatory notices (09-31, 12-03, 22-08) that leveraged ETFs are generally not suitable for long-term holding, and firms must have robust supervisory systems for complex products, particularly for senior investors.
6. Ridgmont Securities' supervisory system should have flagged both the initial purchase and the position increase for enhanced review under any reasonable complex products supervision framework.

The cognitive impairment diagnosis is the most challenging factor. Derek may have had no knowledge of it, and Margaret was not legally incapacitated. However, the trend in regulatory expectations is toward proactive protective measures for senior investors, including trusted contact persons and escalation procedures when red flags arise.

Why Borderline

This is a genuine gray area because the customer profile simultaneously triggers senior investor protection concerns and demonstrates a level of product-specific sophistication that exceeds many professional financial advisors. The cognitive impairment diagnosis adds complexity but was mild, unaccompanied by any legal restriction, and unknown to the advisor. The position sizing was moderate, the customer was self-directed in her request, the advisor documented risk disclosures, and the investment was ultimately profitable. Yet regulatory guidance has been increasingly categorical about leveraged ETFs and senior investors, and reasonable regulators could conclude that age-based heightened scrutiny should have led to either denial of the trade or escalation to a principal, regardless of the customer's mathematical sophistication.

Borderline Factors

- Customer possesses PhD-level quantitative expertise and specifically articulated understanding of volatility decay and path dependency mechanics
- Customer is 71 years old, triggering senior investor protection considerations regardless of sophistication
- Mild cognitive impairment diagnosed during the holding period, but without legal capacity restrictions and unknown to the advisor
- Position size was moderate (7.5-12% of portfolio) relative to total wealth, with living expenses fully covered by guaranteed income
- Holding period of 6-18 months far exceeds the daily-reset design of the product, despite customer awareness of this mismatch
- Customer initiated the strategy and the advisor did not solicit or push the product
- Advisor documented multiple risk conversations including specific historical drawdown examples
- Customer maintained a separate account trading volatility products independently, demonstrating ongoing financial autonomy
- Many firms' internal policies categorically restrict leveraged ETF purchases for investors above age 65
- The complaint was filed by a family member without financial power of attorney, not by the customer herself

Likely Outcome

A regulator would most likely find this to be a close case but would probably not sustain a full violation, while potentially criticizing supervisory deficiencies. The customer's extraordinary sophistication, self-directed nature of the trades, moderate position sizing relative to total assets, documented risk discussions, and the fact that guaranteed income fully covered living expenses all weigh heavily in Derek's favor. However, the firm would likely face scrutiny for inadequate complex products supervision procedures - specifically, the lack of a principal review or escalation mechanism triggered by the combination of a senior investor and a 3x leveraged daily-resetting product. The cognitive impairment diagnosis, while not known to Derek, would prompt regulators to examine whether the firm had adequate procedures for periodic reassessment of senior client capacity. The most probable outcome is a supervisory deficiency finding against the firm's systems rather than a personal suitability violation against Derek, with a potential letter of caution or minor fine. If Derek had known about the cognitive impairment diagnosis and failed to escalate, the outcome would shift significantly toward a violation finding.

Borderline Scenario 37

Topic: *leveraged_etf_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) and its component obligations (reasonable-basis, customer*

Fact Pattern

Marcus Pellegrino, a registered representative at a mid-sized broker-dealer in Chicago, recommended a 2x leveraged S&P 500 ETF (ticker: SSO) to his client, Dr. Anita Chowdhury, a 52-year-old radiologist earning approximately \$485,000 annually. Dr. Chowdhury had a brokerage account with a total value of \$1.8 million, a separate retirement account worth \$2.4 million, and owned her home outright valued at \$1.1 million. She had no outstanding debts. Her account documents listed her risk tolerance as 'aggressive,' her investment objective as 'growth,' and her time horizon as '10+ years.' She had been investing for 18 years and previously held individual equities including several technology stocks, options on blue-chip names, and sector-focused ETFs. She had a Series 7 license from a brief stint in financial services early in her career, though she had not been registered for over 15 years.

In February 2022, Dr. Chowdhury told Pellegrino she was strongly bullish on the U.S. large-cap equity market over the next 12 to 18 months and wanted amplified exposure. Pellegrino discussed several alternatives, including buying S&P 500 call options, increasing equity allocation in standard index funds, or using the 2x leveraged ETF. He explained that the leveraged ETF resets daily and that in choppy or declining markets, the compounding effect could cause performance to diverge significantly from twice the index return over longer periods. He provided the fund's prospectus and a one-page summary of daily reset mechanics. Dr. Chowdhury signed an acknowledgment form confirming she understood the product characteristics. Pellegrino noted in his CRM that the client 'understands daily reset risk, has experience with leveraged products through options trading, and wants tactical exposure for 12-18 months.'

The position represented approximately \$270,000—roughly 15% of her brokerage account. Pellegrino set a calendar reminder to review the position quarterly. During their April 2022 review, the position had declined roughly 18% as the broader market sold off. Pellegrino recommended trimming or exiting. Dr. Chowdhury declined, expressing continued conviction. He documented her refusal. By October 2022, the position was down approximately 39%, while the underlying index was down roughly 23% over the same period—reflecting the volatility decay he had warned about. Pellegrino again recommended selling; again, Dr. Chowdhury declined. He documented both conversations.

In December 2022, Dr. Chowdhury held through year-end. By mid-2023, the market had recovered substantially, and her leveraged ETF position had recovered to approximately a 4% loss from her original cost basis, while the underlying index was nearly flat over the same full period. In August 2023, she finally sold the position at a modest 2% gain.

Dr. Chowdhury subsequently filed a complaint alleging that Pellegrino should never have recommended a daily-resetting leveraged product for a holding period beyond a single trading day, that the product was inherently unsuitable for any retail investor intending to hold for months, and that she suffered unnecessary risk and emotional distress during the drawdown period. She claimed the acknowledgment form was 'boilerplate' and that Pellegrino did not adequately stress-test or model the potential losses in a volatile environment. Pellegrino's firm countered that Dr. Chowdhury was a wealthy, sophisticated investor with relevant experience, that the position was appropriately sized, that detailed disclosures were made, and

that Pellegrino actively monitored the position and twice recommended exiting during the downturn.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: Leveraged ETFs with daily reset mechanisms are widely understood by regulators to be inappropriate for holding periods beyond a single trading session. Regulatory guidance has repeatedly emphasized that the compounding effects of daily resetting can cause returns to deviate dramatically from the expected multiple of the underlying index over time, particularly in volatile markets. A 12-to-18-month intended holding period clearly exceeds a single day, and the fact that the client experienced a 39% drawdown versus a 23% decline in the underlying index demonstrates the exact volatility decay risk regulators have flagged. The complaint argues that no amount of disclosure can cure a fundamentally unsuitable recommendation, and that the signed acknowledgment was insufficient given the complexity of the product. Some regulatory panels have found that even experienced investors can be harmed by these products when advisors facilitate longer-term holding.

Arguments against a violation: Dr. Chowdhury was an exceptionally wealthy investor with a net worth exceeding \$5 million, aggressive risk tolerance, a growth objective, and direct experience with leveraged financial instruments through options trading. She also held a Series 7 license, albeit lapsed, giving her foundational knowledge of securities products. The \$270,000 position was only 15% of her brokerage account and roughly 5% of her total investable assets—well within reasonable concentration limits for an aggressive investor. Pellegrino provided the prospectus, a written summary of daily reset mechanics, obtained a signed acknowledgment, documented his rationale, set up quarterly reviews, and twice recommended exiting when the position deteriorated—recommendations the client rejected. The intended holding period of 12-18 months, while not intraday, reflects a tactical allocation rather than a long-term buy-and-hold strategy. Importantly, the client ultimately exited with a small gain, and the actual financial harm was limited to unrealized interim losses and the opportunity cost of not being in a standard index fund. The advisor's conduct reflects a process-oriented approach with meaningful disclosure and ongoing monitoring.

The tension at the core of this case is whether regulatory concern about leveraged ETFs creates a near-categorical bar on recommending them for any period beyond a single day, or whether the regulatory guidance allows room for sophisticated, wealthy investors making informed tactical decisions with proper disclosure, sizing, and monitoring.

Why Borderline

This case sits in a genuine gray zone because the advisor followed a robust process—disclosure, documentation, appropriate sizing, active monitoring, and repeated recommendations to exit—yet recommended a product that regulators have consistently flagged as problematic for any holding period beyond a single trading day. The client's exceptional wealth, investment sophistication, and prior experience with leveraged instruments cut against a finding of unsuitability, but the product's well-documented structural risks and the significant interim losses cut in the other direction. Reasonable practitioners and regulators could disagree on whether the advisor's process and the client's profile are sufficient to overcome the near-presumptive concern about multi-month holding of daily-resetting leveraged

products.

Borderline Factors

- Client's high net worth (\$5.3M+ total) and aggressive risk profile versus the inherent structural risks of daily-resetting leveraged ETFs
- Client's prior Series 7 licensure and options trading experience versus the argument that even sophisticated investors are harmed by these products
- Position sizing at 15% of brokerage account (5% of total assets)-moderate concentration that could be seen as either reasonable or excessive for this product type
- Intended 12-18 month tactical holding period-far shorter than 'buy and hold' but far longer than the single-day reset period
- Advisor provided prospectus, written summary, obtained signed acknowledgment, and documented CRM notes versus complaint that disclosures were boilerplate and lacked stress-testing
- Advisor twice recommended selling during drawdown and client refused-raises question of whether ongoing unsuitability attaches to advisor or client's autonomous decision
- Client ultimately exited at a modest gain, limiting actual financial harm but not eliminating the volatility decay experienced during the holding period
- Regulatory guidance strongly warns against long-term holding but does not explicitly prohibit recommendations to sophisticated investors for tactical periods

Likely Outcome

A regulator would likely find this to be a close call but would probably not sustain a violation. The combination of the client's exceptional wealth and sophistication, the advisor's thorough disclosure and documentation process, the reasonable position sizing, the active monitoring with documented recommendations to exit, and the minimal ultimate financial harm would likely be viewed as sufficient to support the recommendation under the circumstances. However, the regulator would likely issue cautionary guidance that the advisor should have provided quantitative scenario analysis showing potential losses under various volatility regimes, and that the firm's supervisory procedures should require such analysis before approving leveraged ETF recommendations with multi-month holding periods. A different panel could reach the opposite conclusion by emphasizing that regulatory guidance creates a strong presumption against holding daily-resetting leveraged products beyond a single session, regardless of client sophistication.

Borderline Scenario 38

Topic: failure_to_know_customer | Standard: FINRA Rule 2111 (Suitability) - particularly the customer-specific suitability obligation re

Fact Pattern

Marcus Heller, a financial advisor at a mid-sized broker-dealer in Phoenix, Arizona, has serviced the account of Diane Choi, age 58, since 2019. Ms. Choi retired early from her career as a software engineering manager at a major tech company in 2018, receiving a \$1.4 million lump-sum pension distribution and holding approximately \$2.3 million in various brokerage and retirement accounts. Her new account form, completed in January 2019, listed her investment objective as 'growth with moderate risk,' her annual income as \$48,000 (from rental properties), her liquid net worth as \$3.2 million, her investment

time horizon as '10+ years,' and her investment experience as 'extensive' based on 25 years of self-directed investing in individual equities and exchange-traded funds. She indicated familiarity with options and leveraged products, though the form did not specify the depth, frequency, or recency of that experience.

In March 2021, Ms. Choi told Heller she was 'very bearish on the tech sector over the next several months' and wanted to profit from a decline. Heller discussed several approaches, including purchasing put options on a tech index, short-selling a tech ETF, and purchasing a triple-leveraged inverse technology ETF (the 'Fund'), which was designed to deliver -3x the daily return of a technology benchmark index. Ms. Choi expressed interest in the inverse leveraged ETF because she said she understood ETFs well and 'didn't want to deal with options expiration or margin calls from short selling.' Heller explained that the product reset daily and that returns over periods longer than one day could differ significantly from -3x the index's cumulative return due to compounding effects. He provided her with the fund's prospectus and a one-page fact sheet.

Ms. Choi initially invested \$185,000 - approximately 5.6% of her total portfolio - into the triple-leveraged inverse tech ETF on March 22, 2021. Over the following weeks, the tech sector experienced mixed performance, declining modestly in April before rebounding in May and June. By late June 2021, the position had declined approximately 28% to roughly \$133,200. Heller did not proactively contact Ms. Choi during this period about the position or its performance.

In mid-July 2021, Ms. Choi called Heller and asked about adding to the position, stating that she believed a bigger tech correction was 'imminent.' Heller told her the product was 'really designed for short-term tactical use' but acknowledged her conviction and processed her order to invest an additional \$120,000, bringing her total investment to \$305,000 (approximately 9.3% of her original portfolio). He did not update her account documentation or re-evaluate her risk profile at this time.

Ms. Choi held both positions through the remainder of 2021. The technology sector rallied significantly in Q3 and Q4 of 2021, and by December 31, 2021, her combined position in the inverse leveraged ETF had declined to approximately \$87,000, representing a total loss of roughly \$218,000 - a 71.5% decline on her invested capital - even though the underlying tech index had only risen approximately 18% from her initial purchase date. Ms. Choi filed a complaint in February 2022 alleging that Heller never truly understood her financial situation, risk capacity, or investment knowledge, and that he failed to adequately monitor the position or warn her about the escalating losses. She claims the checkbox on the account form indicating 'extensive' experience with leveraged products was inaccurate - she says she had purchased a 2x leveraged S&P 500 ETF only twice in 2015 and 2016, holding each position for less than a week, and had never used a triple-leveraged or inverse product before.

Heller's firm did not have a specific surveillance system for monitoring holding periods of leveraged or inverse ETFs. The firm's written supervisory procedures stated that 'complex products should be reviewed periodically for continued suitability' but did not define a specific review interval or trigger for leveraged ETF positions. Heller's branch manager approved both trades but testified that he relied on the account form's notation of extensive leveraged product experience and did not independently verify that characterization with Ms. Choi.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuinely contested question across multiple dimensions.

****Arguments supporting a violation:****

1. ****Failure to know the customer (FINRA Rule 2111(a) - Customer-Specific Suitability):**** The account form indicated 'extensive' experience with leveraged products, but Ms. Choi's actual experience was minimal - just two short-term trades in a 2x (not 3x) long (not inverse) product six years earlier. A reasonable advisor exercising due diligence should have probed beyond a checkbox to understand the nature, recency, and depth of a client's experience with leveraged and inverse instruments, particularly a -3x daily-resetting product, which behaves fundamentally differently from a 2x long ETF. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs 'are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets,' and that firms and advisors must go beyond surface-level account documentation.
2. ****Failure to update customer information and reassess suitability at the time of the second purchase (Reg BI - Care Obligation, 17 CFR 240.15l-1(a)(2)(ii)):**** When Ms. Choi sought to add \$120,000 to a position that had already lost 28%, Heller processed the order without updating her risk profile or account documentation. Under Regulation Best Interest, the advisor must exercise reasonable diligence, care, and skill at the time of each recommendation. The second purchase represented a materially changed circumstance - a larger allocation to a product already demonstrating the precise path-dependency risk that had been disclosed. FINRA RN 22-08 reinforced obligations around ongoing assessment of complex product positions.
3. ****Inadequate monitoring and follow-up:**** Despite providing an initial disclosure about daily resetting and compounding risk, Heller did not proactively contact Ms. Choi during the three months between her initial purchase and her July call, even as the position deteriorated significantly. FINRA RN 12-03 highlighted the importance of post-recommendation supervision and monitoring for complex products.
4. ****Supervisory failures:**** The branch manager's approval was perfunctory, relying solely on the account form without independent verification. The firm lacked automated surveillance for holding periods of leveraged/inverse ETFs - a gap specifically identified as problematic in FINRA guidance.

****Arguments against a violation:****

1. ****Reasonable reliance on customer representations:**** Heller relied on Ms. Choi's own representation of 'extensive' experience on the account form. She was a sophisticated individual - a former senior technology professional with 25 years of active investing experience, including self-directed trading in individual stocks and ETFs. She affirmatively chose the inverse leveraged ETF over alternatives (puts, short selling) for articulated reasons, demonstrating engagement with the decision.

2. **Adequate disclosure of key risks:** Heller explained the daily-reset mechanism, the risk of compounding divergence over longer holding periods, and provided both the prospectus and a fact sheet. He explicitly warned at the time of the second purchase that the product was 'really designed for short-term tactical use.' He did not pressure or solicit the second purchase - Ms. Choi initiated it.

3. **Reasonable position size:** The initial allocation of 5.6% of total portfolio, growing to 9.3%, is not an outsized concentration for a client with \$3.2 million in liquid net worth and a growth-oriented risk tolerance. Even the full \$218,000 loss represented approximately 6.8% of her total liquid net worth - painful but not financially devastating.

4. **Customer agency and conviction:** Ms. Choi had a clear, well-articulated investment thesis (bearish on tech). She was not a passive, unsophisticated investor being steered into an unsuitable product. She doubled down of her own initiative despite Heller's cautionary language.

5. **No explicit holding-period mandate:** While FINRA guidance has repeatedly warned about the risks of holding daily-resetting products long-term, there is no bright-line rule prohibiting a holding period beyond one day. The suitability of any holding period depends on market conditions, client profile, and the totality of circumstances.

Why Borderline

The core tension is between the advisor's documented disclosure of product risks and reliance on the customer's self-reported experience versus the advisor's deeper obligation to truly understand the customer's actual knowledge and experience with the specific type of complex product being recommended. Ms. Choi's sophistication in general investing cuts in the advisor's favor, but the dramatic difference between her claimed and actual leveraged-product experience cuts against him. The failure to update documentation and the passive monitoring posture add cumulative weight to the violation side, but the moderate position sizing and client-initiated second purchase provide meaningful counterarguments. Reasonable practitioners and arbitrators regularly split on cases with this fact pattern.

Borderline Factors

- Customer self-reported 'extensive' leveraged product experience that was materially overstated, but advisor relied on it in good faith
- Customer was genuinely sophisticated (25 years investing, former tech executive) but had almost no actual experience with inverse or 3x leveraged instruments
- Advisor provided verbal disclosure and written materials about daily-reset risk but did not implement a holding-period check-in or monitoring protocol
- Second purchase was customer-initiated and the advisor expressed caution, but he processed the order without updating account documentation or formally reassessing suitability
- Position size was moderate relative to total portfolio (5.6% initially, 9.3% after addition) - not a classic concentration case
- Firm lacked automated surveillance for leveraged/inverse ETF holding periods despite written supervisory procedures referencing periodic review of complex products
- The 71.5% loss on invested capital was dramatic but resulted partly from the customer's independent decision to hold through a sustained rally contrary to her thesis
- No bright-line regulatory rule prohibits multi-month holding of daily-resetting products, though extensive

guidance warns against it

Likely Outcome

A regulator would most likely find a violation, though possibly a moderate one resulting in a cautionary action or fine rather than severe sanctions. The strongest basis would be the failure to truly know the customer's actual experience with leveraged and inverse products - the gap between 'extensive' on the form and two brief trades in a different type of leveraged ETF years earlier is material, and the advisor had an obligation to inquire further before recommending a -3x daily-resetting inverse product. The failure to update the customer profile or conduct any documented reassessment before processing the second \$120,000 purchase would compound the finding. However, the customer's general sophistication, the advisor's verbal warnings, the moderate position sizing, and the customer-initiated nature of the second trade would likely serve as significant mitigating factors, reducing the severity of any sanctions. The firm's supervisory shortcomings - particularly the lack of holding-period surveillance and the branch manager's failure to verify claimed experience - would likely result in a separate supervisory finding against the firm.

Borderline Scenario 39

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and quant*

Fact Pattern

Marcus Webb, age 58, is a senior mechanical engineer at a defense contractor earning \$195,000 annually with a net worth of approximately \$1.4 million, including \$820,000 in his 401(k) and \$340,000 in a brokerage account at Ridgeline Securities. His stated investment objective on his new account form is 'growth' with a risk tolerance marked as 'moderate to aggressive.' He has 22 years of investing experience, primarily in individual equities and broad market index ETFs, and he holds no professional financial certifications. His account application notes that he has a 7-to-10-year time horizon before retirement.

In March 2023, Webb's financial advisor, Linda Chao, recommended that Webb allocate \$51,000 (approximately 15% of the brokerage account) to a 2x leveraged daily-resetting ETF tracking the S&P 500. Chao documented in her notes that Webb had called her specifically asking about leveraged products after reading an article about how leveraged bull ETFs had dramatically outperformed the S&P 500 during the 2020-2023 recovery. During the call, Chao explained that the product resets daily, that returns over periods longer than one day can deviate significantly from 2x the index return, and that in choppy or declining markets the fund could lose substantially more than the underlying index. She sent Webb a product-specific risk disclosure document via email, which Webb acknowledged receiving by reply email the same day.

Chao's notes also indicate that she suggested Webb consider a smaller allocation of 5-8% rather than 15%, but Webb pushed back, stating he was 'comfortable with volatility' and referenced his experience holding individual tech stocks through the 2020 downturn without selling. Chao ultimately agreed to the 15% allocation. She did not set any stop-loss orders, trailing stops, or calendar-based review triggers on the position. Webb's account had no margin and no options activity.

Webb held the position for 14 months. During that period, the S&P 500 experienced a relatively flat stretch with two sharp drawdowns of roughly 8% each, followed by recoveries. By May 2024, the S&P 500 was up

approximately 6% from the date of purchase, but the leveraged ETF position was up only 4.2% - underperforming even a 1x return on the index due to volatility decay and the compounding effect of daily resets during the whipsaw periods. Webb's \$51,000 investment was worth approximately \$53,142, versus the roughly \$54,060 it would have been worth in a standard S&P 500 ETF.

Webb did not file a complaint. However, during a routine branch examination, a compliance reviewer flagged the position because the firm's internal guidelines designated all leveraged and inverse ETFs as 'complex products' requiring enhanced supervision, and the firm's written supervisory procedures stated that leveraged ETFs were 'generally unsuitable for holding periods beyond 30 trading days absent documented, affirmative justification for extended holding.' The branch manager, Tom Kersey, had approved the initial trade but had not conducted any interim reviews of the position during the 14-month holding period. Kersey stated in his interview with compliance that he believed the position was appropriate because it was a bull fund in a client account with a growth objective and aggressive tolerance, and that it represented a minority of the overall portfolio.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents several competing considerations.

Arguments that Chao violated applicable standards:

1. The firm's own written supervisory procedures flagged leveraged ETFs as generally unsuitable for holding periods beyond 30 trading days without documented justification. The position was held for 14 months - roughly 290 trading days - with no documented rationale for the extended hold and no interim review by the branch manager. Under FINRA Rule 3110, firms must enforce their own supervisory procedures, and advisors are expected to operate within them.
2. Under Regulation Best Interest (Rule 15l-1), the care obligation requires that advisors exercise reasonable diligence, care, and skill in making recommendations, including understanding the risks and rewards of the product and having a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. A 2x daily-resetting leveraged ETF is specifically designed for short-term tactical use. Recommending a 15% allocation in a pre-retiree's account for an indefinite hold period raises questions about whether the advisor truly understood the product's mechanics in the context of this client's profile.
3. FINRA Regulatory Notices 09-31 and 22-08 specifically warn that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because of path dependency and volatility decay. The product's actual performance - underperforming even a 1x index return despite the index being up 6% - illustrates exactly the risk these notices describe.
4. Webb is 58 years old and 7-10 years from retirement. While his risk tolerance is marked 'moderate to aggressive,' the combination of his age, retirement timeline, and the product's inherent daily-reset risk creates tension. A 15% allocation to a product that can experience accelerated losses is a meaningful

concentration for someone in the accumulation-to-preservation transition phase.

5. Chao did not implement any guardrails - no stop-losses, no calendar reviews, no rebalancing triggers - despite the firm's own guidance suggesting the product was inappropriate for extended holds.

Arguments that Chao acted appropriately:

1. Webb was an experienced investor with 22 years of market experience, a growth objective, and a self-described comfort with volatility. He specifically sought out leveraged products and initiated the conversation. Under the customer-specific component of suitability (FINRA Rule 2111.05), an advisor may consider a customer's investment experience and stated preferences.

2. Chao provided meaningful disclosure: she explained daily resetting, deviation from benchmark returns over time, and the risk of amplified losses. She sent a product-specific risk document, and Webb acknowledged it. Under Reg BI's disclosure obligation, this is substantive.

3. Chao actually recommended a smaller allocation (5-8%) and documented that the client pushed for the larger 15% position. This shows she exercised professional judgment and attempted to moderate the client's enthusiasm.

4. The actual financial harm was minimal - Webb's position gained 4.2% versus 6% for the underlying index over 14 months. The difference was approximately \$918. This is not a case of catastrophic loss; it's modest underperformance.

5. The position represented only 15% of the brokerage account and approximately 3.6% of total investable assets when including the 401(k). In the context of the overall portfolio, the risk was contained.

6. Webb has no complaint and appears satisfied. While the absence of a complaint does not determine compliance, it does suggest the client's expectations were managed.

Supervisory failure is clearer than the advisor-level question. Branch manager Kersey approved the trade but conducted zero interim reviews over 14 months despite the firm's WSPs requiring documented justification for holds beyond 30 days. This is a supervision deficiency under FINRA Rule 3110 regardless of whether the initial recommendation was appropriate.

Why Borderline

The scenario sits in a genuine gray zone because the advisor made meaningful disclosures, documented the client's preference for a larger allocation, and the actual financial harm was de minimis. The client was experienced, had a growth objective, and specifically requested the product. However, the advisor allowed a daily-resetting leveraged product to be held for 14 months without any monitoring or documented justification, in apparent violation of the firm's own supervisory procedures, in the account of a pre-retiree. The tension between client autonomy/experience and the product's inherent unsuitability for long holding periods - combined with the small dollar impact - makes this genuinely debatable.

Borderline Factors

- Client initiated the discussion about leveraged products and pushed back on a smaller allocation
- Advisor documented the recommendation for a smaller position and provided written risk disclosures
- Client had 22 years of investing experience and a self-described aggressive risk tolerance
- The 15% brokerage allocation represented only ~3.6% of total investable assets
- Actual financial underperformance was minimal (~\$918 over 14 months)
- The product was held for 14 months despite firm WSPs flagging holds beyond 30 trading days
- No stop-losses, calendar reviews, or rebalancing triggers were implemented
- Branch manager approved initial trade but conducted zero interim reviews
- Client is 58 years old and 7-10 years from retirement, creating tension with leveraged product use
- The performance outcome demonstrated exactly the volatility decay risk that regulators have warned about

Likely Outcome

A regulator would most likely find a supervisory violation against the branch manager for failure to conduct interim reviews consistent with the firm's own written supervisory procedures, and would likely issue a cautionary finding or minor sanction against the advisor. The initial recommendation, while questionable, benefits from the client's experience, the advisor's documented attempt to limit the allocation, and the meaningful disclosures provided. However, the 14-month hold without any monitoring or documented justification for exceeding the firm's 30-day guidance would likely be viewed as a failure of ongoing care, particularly under Reg BI's care obligation, which encompasses not just the initial recommendation but the investment strategy involving the recommendation. The minimal harm would likely mitigate sanctions but would not eliminate the finding.

Borderline Scenario 40

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2111 (Suitability) and its three components (reasonable-basis, customer-sp

Fact Pattern

Margaret Whitfield, age 58, is a recently retired pharmaceutical executive with a \$3.2 million portfolio at Ridgemont Securities. Her intake paperwork from January 2023 lists her risk tolerance as 'moderate-to-aggressive,' her investment objective as 'growth with some income,' and her time horizon as '10+ years.' She has 30 years of investing experience including direct stock trading, options strategies, and commodity futures in a personal account. She holds an MBA from Wharton and previously served as CFO of a mid-cap biotech company. Her annual income from pension and deferred compensation is approximately \$185,000, and she has no debt.

In March 2023, her advisor, Kevin Royce, recommended she allocate approximately \$320,000 - roughly 10% of her portfolio - to a 2x leveraged daily-resetting ETF tracking the Nasdaq-100 index. Royce explained the product's daily reset mechanism, the concept of compounding deviations over time, and provided a written one-page summary illustrating how returns could diverge significantly from 2x the index return over periods longer than one day, particularly in volatile or sideways markets. Margaret signed an acknowledgment form confirming she understood the product was designed for short-term trading and that long-term holding could produce unexpected results.

Royce's internal notes from the meeting state that Margaret expressed strong conviction that the tech sector would rally over the next 12 to 18 months and that she wanted amplified exposure without using margin. He noted she was comfortable with the possibility of losing up to 40% of the allocated amount. Royce set a calendar reminder to review the position quarterly but did not establish any automatic stop-loss, rebalancing trigger, or written plan for when to exit.

Over the following 14 months, Margaret held the position without any changes. The Nasdaq-100 rose approximately 22% on a cumulative basis during this period, but experienced significant intraday and weekly volatility, including three drawdowns of 8-12% each. Due to volatility decay and the compounding effect of daily resets, Margaret's leveraged ETF position gained only 29% - well below the naively expected 44% (2x the index return). In dollar terms, she earned approximately \$92,800 on the \$320,000 position, compared to the \$140,800 she might have expected. She did not lose money in absolute terms, but the \$48,000 performance gap troubled her.

During the 14-month holding period, Royce conducted three quarterly reviews. At each review, he noted the position, discussed market conditions, and Margaret elected to continue holding. No written summaries of these conversations were produced beyond brief CRM entries such as 'Discussed LETF position, client wants to hold, still bullish on tech.' In October 2024, Margaret filed a complaint alleging that Royce placed her in a product that was inconsistent with her actual risk profile as a recent retiree seeking to preserve wealth, and that the quarterly reviews were inadequate given the product's complexity. She also noted that despite the acknowledgment form, she did not truly appreciate how dramatically the daily reset would erode returns even in a rising market.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Royce violated applicable standards: Margaret was 58, recently retired, and despite aggressive-sounding paperwork, a regulator might argue her true circumstances - fixed income, no employment income, retirement phase - warranted more conservative treatment. Regulatory guidance has repeatedly emphasized that leveraged daily-resetting products are generally unsuitable for long-term buy-and-hold investors, and the 14-month holding period clearly exceeded the one-day design horizon. Although quarterly reviews occurred, they were minimally documented and did not include any quantitative analysis of path dependency effects or updated projections. The absence of a formal exit strategy, stop-loss, or rebalancing protocol could be seen as a failure of reasonable diligence given the known risks of holding these products over extended periods. Some regulators would argue the signed acknowledgment form is insufficient if the advisor did not take affirmative steps to prevent the very harm the disclosure warned about.

Arguments that Royce acted appropriately: Margaret was extraordinarily sophisticated - an MBA, former CFO, with decades of experience including options and futures. The allocation was only 10% of her total portfolio, meaning even a total loss would not have materially impaired her retirement. Her documented risk tolerance was moderate-to-aggressive with a growth objective, and she had substantial ongoing income from pension and deferred compensation. Royce provided written disclosure about the daily-reset mechanism, obtained a signed acknowledgment, conducted quarterly reviews, and at each review Margaret

affirmatively chose to continue holding. The position was profitable - she earned \$92,800. The complaint essentially alleges underperformance relative to expectations, not actual loss. Royce could argue he reasonably relied on the client's expressed preferences, documented sophistication, and affirmative decisions at each review point. Furthermore, the position served a legitimate economic purpose: amplified tech exposure without margin, which is exactly what leveraged ETFs are designed to provide.

Why Borderline

This scenario is genuinely ambiguous because it pits extremely high client sophistication and a profitable outcome against the well-documented regulatory concern about holding daily-resetting leveraged products beyond their intended time horizon. The client profile contains contradictory signals - recently retired (suggesting conservation) but highly sophisticated with aggressive documented preferences and ample resources. The advisor took meaningful disclosure steps but arguably insufficient ongoing supervisory action. The position made money but underperformed expectations due to the exact phenomenon regulators have flagged. Reasonable practitioners could disagree about whether a 10% allocation by a Wharton-educated former CFO who signed an acknowledgment form and reaffirmed the position quarterly represents a genuine suitability problem or an informed investor exercising autonomy.

Borderline Factors

- Client's exceptional sophistication (MBA, former CFO, options/futures experience) versus her recently-retired status and age
- 10% portfolio allocation - material enough to matter but small enough to be considered a satellite position
- Signed acknowledgment form specifically addressing daily-reset risks versus whether written disclosure alone satisfies advisor obligations
- 14-month hold period clearly exceeds product design horizon, but client affirmatively chose to hold at each quarterly review
- Position was profitable in absolute terms (\$92,800 gain) but underperformed naive expectations by \$48,000
- Quarterly reviews were conducted but only minimally documented without quantitative path-dependency analysis
- No automatic exit strategy, stop-loss, or rebalancing triggers were established despite known compounding risks
- Client's documented risk tolerance (moderate-to-aggressive, growth) aligns with the recommendation, but retirement status arguably signals need for preservation
- Substantial pension income (\$185,000/year) and zero debt reduce the practical risk to retirement security

Likely Outcome

A regulator would most likely find a partial or technical violation focused on the inadequacy of ongoing supervision rather than the initial recommendation. The initial recommendation is defensible given Margaret's documented sophistication, risk tolerance, portfolio size, the modest allocation percentage, and the signed disclosure. However, the 14-month holding period without any formal reassessment of whether continued holding remained appropriate - beyond cursory CRM notes - would likely be viewed as falling short of the heightened supervision expected for complex products. A regulator would probably not award significant damages given the position was profitable, but might impose supervisory deficiency findings and require enhanced documentation protocols. The outcome would hinge heavily on whether the firm had specific policies governing maximum holding periods or mandatory escalation for leveraged ETF positions.

held beyond a defined threshold, and whether those policies were followed.

Borderline Scenario 41

Topic: *leveraged_etf_unsuitable* | Standard: FINRA Rule 2111 (Suitability); Reg BI Rule 15l-1 (Care Obligation, including ongoing monitoring)

Fact Pattern

Marcus Webb, a 58-year-old semi-retired aerospace engineer, opened a brokerage account with Pinnacle Securities in January 2023. His account application listed his net worth at \$2.8 million, annual income of \$175,000 from consulting work and rental properties, liquid assets of \$1.4 million, an investment objective of 'growth with moderate risk,' a time horizon of 7-10 years, and 32 years of self-directed investing experience. Webb had previously traded options, sector ETFs, and individual equities at two prior firms, and his account history showed he had held leveraged energy ETFs for periods of 2-6 weeks at a prior brokerage in 2020-2021, generating mixed results.

In March 2023, Webb contacted his advisor, Diana Cortez, and expressed strong conviction that the semiconductor sector was entering a prolonged multi-year upcycle driven by AI demand. He asked Cortez about a 3x daily-leveraged semiconductor ETF (ticker: SOXL) and said he wanted to allocate \$180,000—roughly 6.4% of his net worth and about 12.8% of his liquid assets—to this position. Cortez explained that the product resets daily and that holding it beyond short periods could produce returns that diverge significantly from three times the underlying index's cumulative return, especially in volatile or sideways markets. She walked him through two hypothetical scenarios: one where the index rose steadily and the leveraged product outperformed, and one where the index experienced choppy, range-bound trading and the leveraged product lost value even as the index ended flat. Webb said he understood and referenced his prior experience with leveraged energy ETFs. He also mentioned he had read the fund's prospectus summary on the issuer's website.

Cortez documented the conversation in a file memo, noting Webb's experience, his stated understanding of the compounding and decay risks, and that he acknowledged the position could lose a substantial portion of its value. She processed the buy order. Over the following nine months, Webb held the position without any follow-up contact from Cortez. She did not set any stop-loss triggers, did not schedule periodic check-ins to review the position, and did not flag the holding in any internal surveillance system for monitoring. The firm's written supervisory procedures required that leveraged and inverse product positions be reviewed if held beyond 60 days, but the branch manager, Tom Fielding, did not conduct any documented review of Webb's position during this period.

During the holding period, the semiconductor index experienced significant volatility—rising 18% through July 2023, then declining 14% through October, before recovering to end December 2023 approximately 9% above where it was when Webb purchased. The 3x leveraged ETF, however, was up only about 11% over the same period rather than the roughly 27% ($3 \times 9\%$) a naive investor might expect. Webb did not complain about performance. In January 2024, Webb sold the position at a modest gain of approximately \$19,800. He subsequently filed a complaint alleging that Cortez failed to adequately warn him about the risks of long-term holding, that she should have proactively contacted him to recommend selling or trimming

the position during the volatile summer and fall months, and that the firm's failure to conduct the required 60-day supervisory review constituted negligent oversight.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises layered questions about the initial recommendation, ongoing duties, and supervisory obligations.

Arguments that no violation occurred at the point of sale:

- Webb was a wealthy, experienced investor with 32 years of market experience, including prior direct experience holding leveraged ETFs for multi-week periods. His \$180,000 allocation represented only 6.4% of his net worth, a concentration level that many practitioners would consider reasonable for a growth-oriented, experienced investor.
- Cortez provided meaningful oral disclosure about daily resetting, compounding risk, and volatility decay, including walking through two illustrative scenarios. She documented the conversation in a contemporaneous file memo. Webb also represented that he had reviewed the prospectus.
- The recommendation was customer-initiated rather than advisor-driven, which under Reg BI's care obligation and legacy suitability analysis can be a mitigating factor, though it does not eliminate the advisor's obligations.
- Webb ultimately realized a gain on the position, which, while not dispositive, undermines claims of harm from the initial purchase.

Arguments that a violation occurred:

- Under Reg BI and FINRA's repeated guidance in Regulatory Notices 09-31, 12-03, and 22-08, leveraged ETFs that reset daily are generally unsuitable for holding periods beyond one trading session absent exceptional circumstances. A nine-month hold is far beyond the product's intended use case, and the advisor had an affirmative obligation to monitor and potentially recommend exiting the position.
- Cortez made no follow-up contact during the nine-month holding period. Even if the initial purchase was appropriate, the lack of any ongoing monitoring-no check-in calls, no stop-loss protocols, no rebalancing discussion-could constitute a failure to act in the customer's best interest, particularly for a product whose risks compound over time.
- The firm's own written supervisory procedures mandated review of leveraged product positions held beyond 60 days. Branch manager Fielding's failure to conduct any documented review is a clear supervisory deficiency under FINRA Rule 3110, regardless of the outcome for the customer.
- The fact that Webb only gained 11% on a 3x product when the underlying index gained 9% vividly illustrates the volatility decay and path dependency that regulators have warned about. A non-leveraged semiconductor ETF would have delivered a similar return with substantially less risk.
- Webb's prior experience with leveraged ETFs involved holding periods of only 2-6 weeks, not nine months. His experience may not have been sufficient to understand the compounding effects over such a prolonged period.

The supervisory failure is the strongest element of the complaint. Even if the initial recommendation and disclosure were adequate, the firm's written procedures created an obligation that was clearly not met. The

more difficult question is whether the advisor personally had a duty to proactively reach out to recommend selling or trimming the position-particularly when the customer was experienced, the position was profitable, and the customer never expressed concern.

Why Borderline

This is genuinely ambiguous because the customer was experienced, the position was a modest percentage of net worth, meaningful disclosure was provided and documented, the trade was customer-initiated, and the customer ultimately profited. However, the nine-month holding period far exceeds what regulators consider appropriate for a daily-resetting leveraged product, the advisor conducted zero follow-up monitoring, and the firm's own supervisory procedures were not followed. The tension between respecting an experienced investor's autonomy and the heightened obligations surrounding complex products-especially regarding ongoing monitoring duties-makes this a legitimate gray zone.

Borderline Factors

- Customer was highly experienced with 32 years of investing and prior leveraged ETF experience, but prior holds were much shorter (2-6 weeks vs. 9 months)
- Position represented only 6.4% of net worth-a moderate concentration-but 12.8% of liquid assets
- Advisor provided meaningful verbal and scenario-based disclosure and documented the conversation, but did not follow up during a nine-month hold
- Trade was customer-initiated based on a strong personal conviction, but the advisor still bore obligations regarding ongoing monitoring
- Customer realized a modest profit, undermining harm claims, but the return (11%) was dramatically lower than a naive 3x expectation (27%) and barely exceeded what a 1x product would have returned
- Firm's written supervisory procedures explicitly required 60-day review of leveraged product positions, and no such review was documented
- Regulatory guidance has repeatedly warned that leveraged ETFs are generally inappropriate for holding beyond one day, but the customer's profile was far from a typical unsophisticated retail investor

Likely Outcome

A regulator would most likely find a supervisory violation against the firm for failing to conduct the 60-day review mandated by its own written supervisory procedures, resulting in a fine and required remediation of supervisory systems. As to the advisor personally, the outcome is closer to a coin flip. The initial recommendation, given the disclosure provided and the customer's profile, would likely survive scrutiny. However, the complete absence of follow-up monitoring over nine months for a daily-resetting leveraged product could be found to violate the ongoing care component of best interest obligations-even for an experienced customer. A panel or examiner sympathetic to investor protection would likely find a violation based on the monitoring failure; one focused on customer autonomy and the absence of actual harm might not. On balance, a regulator would probably issue a cautionary action or letter of caution to the advisor rather than a formal sanction, while imposing meaningful consequences on the branch manager and firm for the supervisory lapse.

Borderline Scenario 42

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2111 (Suitability) and its three component obligations (reasonable-basis, c*

Fact Pattern

Marcus Webb, a registered representative at a mid-size broker-dealer in Tampa, Florida, had worked with client Diane Kowalski for approximately four years. Kowalski, age 58, was a semi-retired pharmaceutical sales executive who had taken early retirement with a \$1.4 million rollover IRA and a \$380,000 taxable brokerage account. Her new account form listed her investment objective as 'growth with income,' her risk tolerance as 'moderate to aggressive,' her annual income as \$85,000 (from rental properties and consulting), and her liquid net worth as \$1.9 million. Kowalski had a bachelor's degree in biology and had taken two continuing education courses in personal finance at a local community college. She had traded individual stocks and conventional ETFs actively for roughly six years and had some experience with options (selling covered calls). In January 2023, Webb recommended that Kowalski allocate approximately \$95,000 - roughly 5.3% of her total portfolio - to a 2x leveraged daily-resetting ETF tracking the semiconductor sector, ticker symbol SOXL. Webb's rationale was that AI-driven demand would produce a sustained uptrend in semiconductors over 2023 and that a leveraged position would amplify returns during what he described as a 'generational opportunity.' Webb emailed Kowalski a two-page summary he had written explaining how the product worked, including a paragraph noting that the fund resets daily and 'may underperform a simple 2x return of the index over periods longer than one day, especially in choppy markets.' He also verbally told her it was 'not a buy-and-forget kind of holding' and suggested she monitor the position weekly. Kowalski signed an acknowledgment form provided by the firm that she understood the product's daily reset mechanism and heightened risk. However, Webb did not specifically discuss the mathematical concept of volatility decay or path dependency, did not provide any hypothetical scenario showing how the fund could lose money even if the underlying index was flat or slightly positive over several months, and did not run any Monte Carlo simulation or back-test illustrating drawdown risk. Webb's notes from the meeting state: 'Client understands leverage, has actively traded for years, comfortable with risk. Position sized small relative to portfolio.' Over the next eleven months, the semiconductor index experienced significant volatility - rising 18% but with multiple sharp drawdowns of 10-15% in between. The leveraged ETF gained only 22% rather than the 36% a naive investor might have expected. Kowalski did not lose money - in fact, she made roughly \$20,900 in profit - but she held the position for the entire eleven months without Webb proactively reaching out to reassess whether continued holding remained appropriate. Webb's firm had an internal product review committee that had approved 2x leveraged ETFs for sale to clients meeting certain criteria (minimum liquid net worth of \$500,000, moderate-aggressive or aggressive risk tolerance, and signed acknowledgment), and Kowalski met all three criteria. However, the firm's written supervisory procedures also stated that representatives 'should periodically review leveraged and inverse ETF positions with clients to evaluate whether continued holding is consistent with the client's investment objectives and risk profile,' without specifying a mandatory review frequency. Webb's supervisor, Linda Chao, reviewed the initial trade at the time of execution and approved it, but did not follow up during the eleven-month holding period. In March 2024, Kowalski filed a complaint alleging that Webb never truly explained the risks of holding the leveraged ETF for an extended period, that she would not have held the position for eleven months had she understood volatility decay, and that she believed the 22% gain should have been closer to 36%. She did not allege a dollar loss but claimed she suffered an 'opportunity cost' of approximately \$13,000 in foregone returns compared to what she expected.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Webb violated applicable standards: (1) Despite providing a written summary, Webb did not explain the specific mechanics of volatility decay or path dependency in concrete terms - he did not show numerical examples of how compounding of daily returns diverges from period returns in volatile markets. Regulatory guidance has consistently emphasized that investors in leveraged daily-resetting products must understand this specific mathematical phenomenon, not just that the product 'may underperform.' (2) Webb recommended the product as a play on a 'sustained uptrend' lasting many months, which is fundamentally inconsistent with a product designed for daily tactical use. This suggests Webb himself may not have fully understood or properly communicated the product's intended use case. (3) Webb failed to conduct periodic reviews of the position despite his own firm's supervisory procedures recommending such reviews. Over eleven months, there were multiple sharp drawdowns that should have triggered a reassessment. (4) The know-your-customer obligation extends beyond checking boxes on net worth and risk tolerance - it requires understanding whether the client genuinely comprehends the specific risks of the specific product being recommended.

Arguments that Webb did not violate applicable standards: (1) Kowalski was a relatively sophisticated investor - she was 58, college-educated, had six years of active trading experience, had options experience, and had taken personal finance courses. (2) The position was conservatively sized at approximately 5.3% of total portfolio assets, limiting potential harm. (3) Webb did provide written disclosure about the daily reset mechanism and verbally cautioned that it was not a 'buy-and-forget' holding. Kowalski signed an acknowledgment form. (4) The firm's product review committee had approved the product and Kowalski met all eligibility criteria. (5) Kowalski actually made money - \$20,900 in profit. Her complaint is essentially about underperformance relative to expectations, not actual losses. (6) The firm's WSPs called for periodic review but did not mandate a specific frequency, making the supervisory failure arguably attributable to the firm's procedures rather than the individual representative. (7) Kowalski had a 'moderate to aggressive' risk tolerance and growth-oriented objectives, which are not obviously inconsistent with a small leveraged ETF position. (8) The obligation to know your customer does not necessarily require a graduate-level lecture on mathematical compounding - a reasonable plain-language explanation that the product may underperform over longer periods could suffice for a sophisticated client.

Why Borderline

This case sits in genuine gray territory because the advisor did take several meaningful steps - written disclosure, verbal warning, conservative position sizing, and compliance with firm eligibility criteria - yet arguably fell short of ensuring the client truly understood the specific risk that materialized (volatility decay over an extended holding period). The client was sophisticated but not expert-level, and the product performed positively but below naive expectations. There is no actual dollar loss. The question of how much explanation is 'enough' for a leveraged ETF recommendation to a moderately sophisticated client, and whether the ongoing holding period without review constitutes a separate failure, divides reasonable practitioners and regulators.

Borderline Factors

- Client was relatively sophisticated with active trading and options experience but was not shown specific numerical examples of volatility decay or path dependency
- Position sizing was conservative at 5.3% of total assets, limiting actual risk exposure
- Written and verbal disclosures were provided but lacked concrete scenario analysis showing how daily compounding diverges from period returns

- Client actually profited (\$20,900) - complaint is about opportunity cost and unmet expectations rather than realized losses
- Advisor recommended holding a daily-resetting product as a multi-month thematic trade, arguably inconsistent with product design, but the product did produce a positive return
- Firm supervisory procedures called for periodic review of leveraged ETF positions but did not specify mandatory frequency, creating ambiguity about the representative's obligation
- Client signed an acknowledgment form and met all firm-established eligibility criteria for the product
- Advisor's own framing of the trade as a 'generational opportunity' suggesting long-term holding arguably conflicts with the daily-reset nature of the product
- Supervisor approved the initial trade but conducted no follow-up during the eleven-month holding period

Likely Outcome

A regulator would likely find a partial violation, focusing less on the initial recommendation (which was reasonably supported given position sizing, client profile, and disclosures) and more on two deficiencies: (1) the failure to adequately explain volatility decay with concrete examples, given that regulatory guidance has specifically and repeatedly emphasized that generic risk disclosures are insufficient for leveraged daily-resetting products; and (2) the failure to conduct any periodic review during an eleven-month holding period for a product that all industry guidance identifies as inappropriate for long-term buy-and-hold strategies. However, the absence of actual financial loss and the client's relative sophistication would likely result in modest sanctions - perhaps a cautionary letter or fine rather than a suspension. The firm's supervisor might face more scrutiny for the gap in ongoing oversight. The 'opportunity cost' damage theory (\$13,000 in foregone returns) would likely be viewed skeptically, as the client did profit and the gap between actual and expected returns was a function of a risk she was warned about, albeit incompletely.

Borderline Scenario 43

Topic: *leveraged_etf_unsuitable* | Standard: *FINRA Rule 2111 (Suitability - reasonable basis, customer-specific, and quantitative suitability)*

Fact Pattern

Marcus Devlin, a financial advisor at a mid-sized broker-dealer in Charlotte, North Carolina, recommended a 2x leveraged S&P 500 ETF (ticker: SSO) to his client, Dr. Priya Ramaswamy, a 52-year-old radiologist earning approximately \$485,000 annually with a liquid net worth of roughly \$3.2 million. Dr. Ramaswamy had been investing for over 20 years, maintained several brokerage accounts, and had previously traded options on individual equities, though she described her options activity as 'occasional' and 'mostly covered calls.' Her account application listed her risk tolerance as 'aggressive,' her investment objective as 'growth,' and her time horizon as '5-10 years.' She told Marcus during their initial meeting in February 2022 that she was 'very bullish on the U.S. economy over the next several years' and wanted to 'amplify her equity exposure without using margin.'

Marcus allocated approximately \$280,000 - roughly 8.7% of her liquid portfolio - to the 2x leveraged S&P 500 ETF. He documented in his notes that he explained the product resets daily and that returns over periods longer than one day would differ from simply doubling the index's return. He also noted that he told her about 'compounding effects in volatile markets' and that 'the product is designed for short-term tactical use, but some investors hold for longer depending on conviction.' He did not provide any written materials

or prospectus excerpts to Dr. Ramaswamy, nor did he run any hypothetical return scenarios illustrating volatility decay. His firm's written supervisory procedures flagged leveraged ETFs for enhanced review when positions exceeded 10% of an account, but the \$280,000 allocation was just under that threshold.

Dr. Ramaswamy held the position for approximately 14 months, through March 2023. During this period, the S&P 500 experienced significant volatility - declining roughly 18% from February through October 2022 before recovering substantially by early 2023. Over the 14-month period, the S&P 500 returned approximately +2.1%, while Dr. Ramaswamy's 2x leveraged ETF position returned approximately -3.8%, a meaningful deviation from the +4.2% return one might naively expect from doubling the index. Her unrealized loss on the position was approximately \$10,640. She filed a complaint stating that Marcus never adequately explained that holding the product for over a year in a volatile market could result in losses even when the underlying index was positive, and that she believed she was simply getting 'double the S&P 500 return' over her holding period.

Marcus's supervisor reviewed and approved the initial trade. The firm's compliance department had issued an internal bulletin in late 2021 reminding advisors that leveraged products require 'heightened client communication' but did not mandate specific disclosure forms, return simulations, or holding-period limitations. Marcus had passed his firm's internal product training module on leveraged and inverse ETFs with a score of 88% in January 2022, one month before the recommendation. His call notes reference the daily-reset discussion but contain no client acknowledgment signature. Three other clients of Marcus held the same product, two for periods under 30 days and one for approximately 9 months without complaint.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Marcus violated applicable standards: (1) Leveraged ETFs are widely recognized as complex products that carry risks fundamentally different from traditional equity ETFs. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs that reset daily are 'typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' The 14-month holding period without any documented reassessment or follow-up contact is arguably inconsistent with the product's intended use. (2) Under Regulation Best Interest (Rule 15l-1 under the Exchange Act), the Care Obligation requires a broker-dealer to exercise reasonable diligence, care, and skill in making a recommendation, considering the investment's risks, rewards, and costs in light of the customer's profile. While Marcus verbally discussed daily resetting, he did not provide written materials, prospectus excerpts, or hypothetical return scenarios illustrating path dependency and volatility decay - a gap that could be viewed as insufficient diligence, particularly for a product whose risks are counterintuitive. (3) FINRA RN 22-08 reinforces that firms must establish robust supervisory frameworks for complex products, including consideration of whether existing communications are adequate. The firm's 10% threshold for enhanced review, which Marcus's allocation narrowly avoided, suggests the supervisory system may not have caught a position that still warranted deeper scrutiny. (4) Dr. Ramaswamy's complaint that she believed she would receive 'double the S&P return' over her holding period suggests a gap in her understanding that arguably reflects an inadequate explanation.

Arguments that Marcus did NOT violate applicable standards: (1) Dr. Ramaswamy is a high-income,

high-net-worth investor with over 20 years of experience, options trading experience, and a self-described aggressive risk tolerance. She is not a prototypical unsophisticated retail investor. The \$280,000 allocation represented only 8.7% of her liquid net worth - a position size that, even with a total loss, would not materially impair her financial situation. (2) Marcus documented that he discussed daily resetting and compounding effects in volatile markets. While he did not provide written materials or run simulations, no specific regulation mandates these precise disclosure steps; the question is whether the totality of communication was reasonable given the client's sophistication. (3) The actual loss was approximately \$10,640, or roughly 0.3% of her liquid net worth - a de minimis amount in the context of her overall portfolio. The S&P 500 was volatile but ultimately positive; the negative deviation from a naive 2x return was roughly 8 percentage points, which is notable but not catastrophic. (4) Under FINRA Rule 2111 and Reg BI, suitability and best interest are assessed at the time of the recommendation, not with hindsight. At the time Marcus recommended the product in February 2022, a bullish client seeking amplified equity exposure without margin had a reasonable basis for considering a 2x leveraged S&P 500 ETF. The product was one of the most liquid and well-known leveraged ETFs on the market. (5) The firm's supervisory procedures were followed - the position was under the enhanced-review threshold, Marcus completed the required training module, and the trade was supervisor-approved.

Why Borderline

This scenario is genuinely ambiguous because the client has strong sophistication indicators (high income, substantial net worth, options experience, self-identified aggressive risk tolerance) and the position size was moderate relative to her portfolio, yet the advisor's verbal-only disclosure of a complex product's counterintuitive risks - combined with a 14-month hold that arguably should have triggered a follow-up conversation - falls in the uncertain space between adequate and inadequate communication. The product was not per se unsuitable for the client's profile, but the holding period and the client's apparent misunderstanding of path dependency raise legitimate questions about whether the recommendation process was sufficiently thorough.

Borderline Factors

- Client is high-income and high-net-worth with aggressive risk tolerance and options experience, but may not have genuinely understood volatility decay and path dependency despite verbal disclosure
- Position size was 8.7% of liquid net worth - meaningful but not concentrated - and narrowly under the firm's 10% enhanced review threshold, raising questions about whether the threshold was gamed or simply coincidental
- Advisor documented a verbal discussion of daily resetting and compounding but did not provide written materials, prospectus excerpts, or return simulations - the adequacy of verbal-only disclosure for complex products is debatable
- 14-month holding period substantially exceeded the product's intended daily use case, but no regulation explicitly prohibits longer holding and the advisor's notes suggest he disclosed that some investors hold longer
- Actual financial harm was relatively small (\$10,640, or ~0.3% of liquid net worth), but the principle of whether the product's risks were adequately communicated does not depend solely on outcome
- Firm had general guidance ('heightened client communication') but did not mandate specific disclosure procedures, raising the question of whether supervisory systems were adequate without being clearly deficient

Likely Outcome

A regulator would likely conclude that the initial recommendation was not per se unsuitable given Dr. Ramaswamy's sophisticated profile, aggressive risk tolerance, and the moderate position size. However, the regulator would likely find the advisor's disclosure process deficient under Reg BI's Care Obligation - specifically, the lack of any written materials, hypothetical illustrations, or documented client acknowledgment for a product whose risks are widely recognized as counterintuitive. The absence of any documented follow-up or reassessment during a 14-month hold in a volatile market would further weigh against the advisor. The most probable outcome is a finding of a supervisory deficiency at the firm level and a potential violation by the advisor for inadequate disclosure, but with mitigating factors (client sophistication, small loss, partial verbal disclosure) that would likely reduce any sanctions to a cautionary action or fine rather than a suspension.

Borderline Scenario 44

Topic: high_fees_unsuitable | Standard: FINRA Rule 2111 (Suitability) and its quantitative, reasonable-basis, and customer-specific

Fact Pattern

Margaret Ellison, age 58, is a semi-retired corporate attorney who transitioned to part-time consulting work in 2021. She has a brokerage account with \$1.4 million in investable assets, an annual income of approximately \$185,000, and a stated investment objective of 'growth with moderate risk.' She has 25 years of investing experience, has previously traded individual options, and holds a Series 65 license from a prior stint at an advisory firm in the early 2000s, though she has not used it professionally in over a decade. Her risk tolerance questionnaire score placed her in the 'moderate-aggressive' category.

In March 2023, her financial advisor, Kevin Roark, recommended she allocate \$140,000 (10% of her portfolio) to a 2x leveraged S&P 500 ETF (expense ratio 0.89%) as a tactical position to capture what Roark described as an anticipated bull market rally over the next 6 to 12 months. Roark's written recommendation email stated: 'Given the current macro backdrop and your growth objective, a leveraged position here could significantly enhance returns if the market trends upward over the next several months. I'd recommend we revisit the position quarterly.' He also sent her a two-page fact sheet from the ETF provider that included a section titled 'Important Information About Daily Resetting' and a hypothetical showing how a 2x leveraged ETF could underperform 2x the index return over periods longer than one day.

Ellison agreed to the purchase. Roark set a calendar reminder and contacted Ellison in June 2023 for a quarterly review. At that point, the position was up 14%, and both agreed to maintain it. In September 2023, Roark again reviewed the position, which had given back some gains and was up only 3%. He recommended holding through year-end, noting the position was still positive. By December 2023, the S&P 500 had rallied strongly, and Ellison's leveraged ETF position was up approximately 31%.

However, Ellison did not sell. In January 2024, Roark was out on medical leave for six weeks. During that time, no one at the firm contacted Ellison about the position. When Roark returned in mid-February, the leveraged ETF had declined to a 12% gain due to a choppy, volatile market in January. Roark recommended selling, and Ellison agreed. The total holding period was approximately 11 months.

Ellison later filed a complaint, alleging that the leveraged ETF was unsuitable because of its high internal costs-pointing out that the 0.89% expense ratio was roughly four times higher than a comparable unleveraged S&P 500 ETF charging 0.20%, and that the compounding drag from daily resetting acted as an additional hidden cost that was never adequately quantified for her. She also noted that during Roark's medical leave, no one monitored the position, and that an 11-month holding period was inappropriate for a daily-resetting product. She is seeking \$18,000 in damages representing the difference between her actual return and what a hypothetical 2x unleveraged allocation (via margin or a non-daily-resetting vehicle) would have earned, plus the excess fees paid.

Roark's firm responds that the 10% allocation was reasonable, Ellison is a sophisticated investor with options experience and a securities license, the position was reviewed quarterly and generated a positive 12% return, the ETF fact sheet with daily-reset disclosures was provided before purchase, and the holding period was within the 6-to-12-month tactical window originally discussed. The firm acknowledges the gap during Roark's medical leave but notes the position remained profitable throughout.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Roark violated applicable standards: The leveraged ETF carried an expense ratio more than four times that of a standard index ETF, and the compounding effects of daily resetting introduce a structural cost that is difficult to quantify but well-documented by regulators as a source of performance drag in volatile markets. Regulatory guidance has repeatedly warned that leveraged and inverse ETFs are generally unsuitable for holding periods beyond a single trading day and that firms must have heightened supervision procedures for these products. An 11-month hold significantly exceeds the single-day design horizon. The gap in supervision during Roark's medical leave-six weeks with no coverage on a leveraged position-suggests a supervisory failure. Additionally, while Roark provided the ETF fact sheet, there is no documentation that he specifically discussed or quantified the volatility decay risk, the path dependency of returns, or the implicit cost of daily resetting beyond forwarding the issuer's own materials. Under a best interest framework, the advisor must consider reasonably available alternatives; here, Ellison could have achieved leveraged S&P 500 exposure through margin borrowing at potentially lower all-in cost, or through options strategies she was already familiar with.

Arguments that Roark acted appropriately: Ellison is not a typical retail investor. She has 25 years of experience, has traded options, and holds a Series 65 license. The allocation was only 10% of her portfolio-a measured tactical bet, not a concentrated position. Roark articulated a specific thesis with a defined time horizon of 6-12 months and conducted quarterly reviews, which is more monitoring than many advisors provide. The position was profitable at every review point and at liquidation. The ETF fact sheet with daily-reset disclosures was provided prior to purchase, and Ellison-a former licensed professional-had every capacity to understand the risks. The 0.89% expense ratio, while higher than a plain index fund, is standard for leveraged ETFs and reflects the cost of the embedded leverage; comparing it to an unleveraged ETF ignores that the product delivers a fundamentally different exposure. The client's claimed damages of \$18,000 are speculative, based on a hypothetical alternative strategy that carries its own risks (margin calls, option expiration). The holding period of 11 months, while long for a daily-resetting product,

was within the originally stated tactical window, and the product performed largely as expected given market conditions.

Why Borderline

This case sits at the intersection of several genuinely contested issues: (1) whether a sophisticated, formerly licensed investor can be deemed unsuitable for a product that regulators have flagged as problematic for retail investors generally; (2) whether a 10% tactical allocation held for under a year with quarterly monitoring constitutes the kind of inappropriate long-term holding that regulatory guidance warns against, especially when it was profitable; (3) whether the higher expense ratio of a leveraged ETF represents an 'excessive cost' or simply the fair price of embedded leverage; and (4) whether the supervisory gap during medical leave transforms an otherwise reasonable recommendation into a violation. Reasonable practitioners could disagree on each point.

Borderline Factors

- Client sophistication is unusually high (Series 65 license, options experience, 25 years investing) but she is not currently a market professional
- 10% allocation is modest and within common tactical allocation thresholds, but it was in a product with daily-reset compounding risk
- Holding period of 11 months exceeds the single-day design horizon but was within the originally stated 6-12 month tactical plan
- Quarterly reviews were conducted, which exceeds typical monitoring but a 6-week gap during medical leave went uncovered
- The 0.89% expense ratio is standard for leveraged ETFs but roughly 4x a comparable unleveraged fund-the question is whether the comparison is appropriate
- Position was profitable at every review point and at final sale, undermining a damages theory but not necessarily negating a process-based violation
- ETF fact sheet with daily-reset disclosure was provided but no personalized discussion of volatility decay or quantification of path-dependent costs was documented
- Alternative strategies (margin, options) existed but carry their own distinct risks that may not clearly be superior

Likely Outcome

A regulator would most likely find a partial violation focused on the supervisory gap during medical leave and insufficient documentation of the volatility-decay discussion, rather than concluding the initial recommendation itself was unsuitable. The high sophistication of the client, modest allocation size, defined tactical thesis, quarterly monitoring, and profitable outcome all weigh heavily in the advisor's favor on the initial recommendation. However, regulators applying heightened supervision standards for complex products would likely criticize the firm's failure to assign coverage during Roark's absence and the lack of documented, personalized cost-benefit analysis comparing the leveraged ETF to reasonably available alternatives. The fee differential alone is unlikely to be dispositive, as the 0.89% expense ratio is market-standard for this product category. Damages would likely be limited or denied given the position's profitability, but the firm might face a supervisory deficiency finding and be required to enhance its complex-product monitoring protocols.

Borderline Scenario 45

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2111 (Suitability)* - particularly the customer-specific suitability obligation re

Fact Pattern

Marcus Delgado, a financial advisor at a mid-sized broker-dealer in Phoenix, Arizona, had been working with client Priya Ramanathan since March 2021. Ms. Ramanathan, age 52, was a senior software architect at a major tech company earning \$285,000 annually with a liquid net worth of approximately \$1.9 million. Her new account form listed her investment objective as 'growth,' her risk tolerance as 'aggressive,' her time horizon as '10+ years,' and her investment experience as 'extensive' - she had been self-directing trades in individual equities and options for approximately 15 years through a separate online brokerage account.

In September 2022, during a volatile period in the energy markets, Ms. Ramanathan contacted Delgado and expressed strong conviction that natural gas prices would decline over the following months based on her own research into storage levels and weather forecasts. She specifically asked about leveraged inverse natural gas ETFs. Delgado pulled up her account records and reviewed her profile, noting her aggressive risk tolerance and extensive experience. He discussed the product with her over the phone for approximately 12 minutes, during which he mentioned that the fund reset daily and that returns over longer periods could diverge significantly from the underlying index performance. He did not, however, ask Ms. Ramanathan whether she had ever specifically traded leveraged or inverse exchange-traded products before, nor did he ask about her understanding of compounding effects on daily-resetting products, or whether she had experience with commodity-linked instruments as opposed to equity options and stocks.

Delgado recommended she allocate \$95,000 - roughly 5% of her liquid portfolio - into a 2x leveraged inverse natural gas ETF. Ms. Ramanathan agreed and purchased the position on September 19, 2022. Natural gas prices did decline meaningfully over the next several weeks, and by mid-October the position was up approximately 28%. Delgado did not contact her to discuss taking profits or reassess the holding. Ms. Ramanathan, encouraged by the gains, held the position.

Over the following three months, natural gas prices became extremely volatile, with large daily swings in both directions. By late January 2023 - roughly four months after the initial purchase - natural gas spot prices had actually declined approximately 40% from September levels, which might have suggested enormous gains for an inverse position. However, due to the daily reset mechanism and extreme volatility in the underlying commodity, the 2x leveraged inverse ETF had gained only about 11%, far less than what a naive investor might expect. Ms. Ramanathan finally sold in February 2023 after holding for nearly five months, netting a gain of approximately \$10,450 on the \$95,000 investment.

Ms. Ramanathan filed a complaint in April 2023, alleging that Delgado failed to adequately understand her actual knowledge base before recommending a complex product. She stated that while she had years of experience trading stocks and vanilla call and put options, she had never traded any leveraged or inverse ETF, had no experience with commodity-linked instruments, and did not truly understand the implications of daily resetting and volatility decay despite Delgado's brief phone explanation. She contended that had she understood the mechanics, she would have taken profits in October when the position was up 28%, or would have set a more disciplined short-term exit strategy. She acknowledged she made a profit but argued

the gains were far below what she should have earned given the magnitude of the decline in natural gas, and that her lack of understanding caused her to hold through a period of severe volatility decay.

Delgado's firm conducted an internal review. His notes from the September call indicated he discussed the daily reset feature and recommended the position based on her aggressive profile, high income, extensive trading experience, and the relatively modest 5% allocation. The firm's product review committee had approved the leveraged inverse ETF for sale to clients with aggressive risk tolerances and extensive experience, though the firm's written supervisory procedures called for advisors to 'make reasonable efforts to ascertain the customer's familiarity with the specific product type being recommended.' Delgado's supervisor had approved the trade based on the account profile flags without additional inquiry. The firm's records showed no documentation that Delgado asked about Ms. Ramanathan's specific experience with leveraged, inverse, or commodity-linked products.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario raises a genuine tension between the adequacy of a 'know your customer' inquiry and the reasonable reliance on a client's documented profile.

Arguments that Delgado violated applicable standards:

1. Under FINRA Rule 2111 (the suitability rule) and its 'reasonable-basis,' 'customer-specific,' and 'quantitative' components, an advisor must have a reasonable basis for believing a recommendation is suitable. The customer-specific obligation requires the advisor to have a reasonable basis to believe the recommendation is suitable for the particular customer based on that customer's investment profile, which includes the customer's 'other investments, financial situation and needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information the customer may disclose.' Critically, 'investment experience' is not monolithic - experience trading equity options does not necessarily translate to familiarity with daily-resetting leveraged commodity ETFs.
2. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs are complex products that 'typically are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' RN 12-03 and RN 22-08 further emphasized firms' obligations regarding complex products, including heightened suitability and supervision requirements. These notices make clear that advisors should go beyond generic risk tolerance designations when recommending these products.
3. Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making a recommendation, including understanding the risks, rewards, and costs of the product and having a reasonable basis to believe the recommendation is in the customer's best interest. A 12-minute phone conversation that did not probe the customer's specific familiarity with leveraged/inverse products or commodity instruments could be viewed as insufficient diligence.

4. The firm's own written supervisory procedures required advisors to ascertain the customer's familiarity with the specific product type. The absence of any documentation showing this inquiry was made suggests a procedural failure. The supervisor's approval based solely on account profile flags, without deeper review, may also represent a supervisory deficiency under FINRA Rule 3110.

Arguments that Delgado did not violate applicable standards:

1. Ms. Ramanathan's documented profile - aggressive risk tolerance, \$285,000 income, \$1.9 million liquid net worth, 15 years of self-directed trading including options - presents a sophisticated investor for whom a 5% allocation to a leveraged inverse ETF is not facially unsuitable. Options trading itself involves leverage, time decay, and complex Greek variables, suggesting she had the intellectual framework to understand similar concepts in ETF form.

2. Delgado did discuss the daily reset feature and the potential for returns to diverge from the underlying index. While the conversation was only 12 minutes, there is no prescribed minimum duration for product discussions, and the key risk factor was addressed.

3. The position represented only 5% of liquid assets - a modest allocation that limits concentration risk and potential harm.

4. Ms. Ramanathan actually profited on the trade. While she argues she should have profited more, the suitability and best interest standards do not guarantee optimal outcomes. Her decision to hold through volatility was her own; Delgado did not recommend a specific holding period beyond the initial purchase recommendation.

5. There is a reasonable argument that a 15-year veteran of self-directed stock and options trading has sufficient general market sophistication that an advisor can rely on her stated 'extensive' experience without conducting a product-by-product quiz. The distinction between equity options knowledge and leveraged ETF knowledge may be viewed as a fine line rather than a chasm.

6. Under Reg BI, the standard is 'reasonable diligence, care, and skill' - not perfection. An advisor who reviewed the client's profile, discussed the product's key feature (daily reset), and allocated modestly may have met a reasonable standard even if the inquiry was not exhaustive.

Why Borderline

The scenario is genuinely ambiguous because the client's overall profile (aggressive, wealthy, experienced self-directed trader) strongly suggests sophistication, yet the advisor failed to distinguish between general trading experience and specific familiarity with the exact product type - a distinction that regulatory guidance emphasizes for complex products. The modest allocation and actual profit further complicate the analysis, as does the client's own agency in holding the position. Reasonable compliance professionals could disagree on whether the advisor's 12-minute discussion and reliance on the documented profile constituted adequate know-your-customer diligence for a complex product, or whether the failure to probe specific leveraged ETF and commodity experience represents a meaningful gap.

Borderline Factors

- Client had 15 years of self-directed trading experience including options, suggesting general sophistication, but had never traded leveraged/inverse ETFs or commodity products specifically
- Advisor discussed the daily reset feature but did not document inquiring about client's specific familiarity with the product type, despite firm procedures requiring this
- Position was only 5% of liquid portfolio - a modest, non-concentrated allocation
- Client actually realized a profit (\$10,450), though significantly less than a naive expectation given the underlying commodity's 40% decline
- Client's own decision to hold for five months rather than taking profits contributes to the suboptimal outcome, raising questions about shared responsibility
- 12-minute phone discussion may or may not constitute adequate disclosure depending on the complexity threshold applied
- Firm's WSPs required specific product-type familiarity inquiry, creating an internal compliance gap even if external regulatory standards might be met
- Supervisor approved the trade based on automated profile flags without additional review, raising supervisory adequacy questions

Likely Outcome

A regulator would most likely find a technical violation, though the sanction would likely be modest. The failure to document any inquiry into the client's specific experience with leveraged, inverse, or commodity-linked products - particularly when the firm's own supervisory procedures required it - creates a documentable gap in the know-your-customer obligation. Regulatory guidance on complex products has consistently emphasized that generic risk tolerance and experience labels are insufficient; advisors must understand whether the customer comprehends the specific risks of the product recommended, including path dependency and volatility decay. However, the modest allocation size, the client's overall sophisticated profile, the advisor's verbal discussion of the daily reset mechanism, and the fact that the client profited would all serve as significant mitigating factors. The most likely outcome would be a finding of inadequate due diligence with a letter of caution or minor fine, rather than a significant sanction, with the firm potentially facing a supervisory deficiency finding for the rubber-stamp approval process.

Borderline Scenario 46

Topic: high_fees_unsuitable | Standard: FINRA Rule 2111 (Suitability - reasonable basis, customer-specific, and quantitative suitability)

Fact Pattern

Marcus Reinhardt, age 52, is a senior mechanical engineer earning \$185,000 annually with a net worth of approximately \$1.4 million, including his home equity. He has a brokerage account with \$310,000 and a separate 401(k) with \$480,000. His investment objective on file is "growth with moderate risk," and his time horizon is listed as 10-15 years until retirement. Marcus has 20 years of investing experience, primarily in index mutual funds and blue-chip stocks, and he indicated on his new account form that he has "some knowledge" of options and leveraged products, having briefly traded options in a self-directed account in 2019.

In March 2024, Marcus met with his advisor, Brian Delacroix, and expressed frustration that his portfolio had underperformed the S&P 500 over the prior two years. He told Brian he wanted to "juice returns" and

that he'd been reading online about leveraged ETFs that could double market gains. Brian discussed several options with Marcus, including a 2x leveraged S&P 500 daily-resetting ETF (expense ratio of 0.91%) and a traditional S&P 500 index ETF (expense ratio of 0.03%). Brian explained that the leveraged product resets daily and that returns over periods longer than one day could differ significantly from 2x the index return, particularly in volatile or sideways markets. Brian provided Marcus with the ETF's prospectus and a one-page summary document that his firm had developed explaining daily resetting mechanics, compounding effects, and historical performance divergence examples.

Marcus acknowledged the risks verbally during the meeting and signed a leveraged/inverse ETF acknowledgment form. Brian then allocated \$93,000 - roughly 30% of the brokerage account - to the 2x leveraged S&P 500 ETF. The remaining 70% of the account stayed in a diversified mix of index funds and individual equities. Brian set a calendar reminder to review the position quarterly.

Over the next 14 months, the S&P 500 experienced significant volatility: a 12% drawdown from April to June 2024, a recovery through October, another 8% pullback in early 2025, and then a rally. By May 2025, the S&P 500 was up approximately 11% from the date of purchase. The 2x leveraged ETF, however, was up only about 14% - well short of the 22% that a naive investor might expect from a 2x product. The \$93,000 position was now worth approximately \$106,000. During the same period, Marcus paid roughly \$960 in embedded expense ratio costs on the leveraged ETF, compared to approximately \$32 he would have paid on an equivalent position in the standard index ETF - a difference of about \$928. Brian conducted three quarterly reviews, during each of which he discussed the position and Marcus confirmed he wanted to maintain it.

In June 2025, Marcus filed a complaint alleging that Brian recommended an unsuitable, expensive product that underperformed expectations and that the ongoing fees were excessive relative to a simple index fund. Marcus stated that he did not truly understand the compounding and volatility decay effects despite the disclosures, and that Brian should have steered him toward a less costly alternative. Brian's firm countered that Marcus was a sophisticated, high-income investor who specifically requested leveraged exposure, received thorough disclosures, and that the 30% allocation was a measured approach rather than a full-account concentration. The firm also noted that the position was profitable and was reviewed regularly.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Brian violated applicable standards:

1. The 2x leveraged daily-resetting ETF is widely recognized as a complex product designed for short-term, tactical trading - not for buy-and-hold investors with 10-15 year horizons. Regulatory guidance in FINRA Regulatory Notice 09-31 explicitly warns that leveraged and inverse ETFs that reset daily are 'typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' Holding the product for 14 months appears inconsistent with its intended use.
2. Under Regulation Best Interest (Rule 15l-1), the Care Obligation requires that the advisor exercise reasonable diligence to understand the product and have a reasonable basis to believe the

recommendation is in the customer's best interest, considering reasonably available alternatives. A standard S&P 500 index ETF would have delivered nearly identical directional exposure at a fraction of the cost (0.03% vs. 0.91% expense ratio), without the path-dependency risk and volatility decay drag. The cost differential - while modest in absolute dollar terms here - is emblematic of unnecessary fee leakage for an equivalent exposure goal.

3. FINRA Regulatory Notice 22-08 reinforces heightened obligations around complex products, including the expectation that firms have reasonable procedures to assess whether customers can understand and bear the risks, and that recommendations account for the specific features (daily reset, compounding effects) of these instruments. Marcus's self-described 'some knowledge' of leveraged products and his misunderstanding of return expectations suggest the disclosures may not have been sufficient to ensure genuine comprehension.

4. A 30% allocation to a daily-resetting leveraged product in a growth-with-moderate-risk account is arguably disproportionate, even if the remaining portfolio was diversified. The concentration amplifies the impact of volatility decay and path dependency on overall portfolio returns.

Arguments that Brian did NOT violate applicable standards:

1. Marcus specifically requested leveraged exposure and was the one who initiated the conversation about 'juicing returns.' Under both the suitability framework (FINRA Rule 2111) and Reg BI, a customer's stated investment objective and expressed preferences are relevant factors. Brian did not cold-call Marcus with this idea; he responded to the customer's articulated goal.

2. Brian provided meaningful disclosures: the fund prospectus, a firm-developed summary document explaining daily resetting and compounding effects, and a signed acknowledgment form. He also conducted three quarterly reviews where Marcus affirmatively chose to hold the position. This suggests a process-oriented approach consistent with the disclosure and care obligations.

3. The allocation was limited to 30% of the brokerage account, which itself represents only about 22% of Marcus's total investable assets (\$310K of \$790K in financial assets). Viewed against total investable wealth, the leveraged exposure was roughly 6.6% of his financial portfolio - a position size that many practitioners would consider reasonable for a growth-oriented, high-income investor with decades of experience.

4. The position was profitable - up approximately 14% in 14 months. While the return lagged the theoretical 2x expectation due to volatility decay (a known and disclosed feature), the investor still earned a positive absolute and relative return. The fee differential of \$928 over 14 months, while real, is modest relative to the \$93,000 position and the \$13,000 gain.

5. Regarding the holding period, while regulatory guidance cautions against long-term holding, Brian reviewed the position quarterly and the market environment - while volatile - ultimately trended upward. The guidance in RN 09-31 describes typical unsuitability, not an absolute prohibition. Some compliance professionals argue that monitored, size-appropriate positions in leveraged ETFs can be maintained

beyond a single session if the advisor has a reasonable basis and conducts ongoing review.

6. Marcus's 20 years of investing experience, prior options trading, high income, and substantial net worth all support a finding that this was not a vulnerable or unsophisticated investor who was taken advantage of.

Why Borderline

This scenario sits in a genuine gray zone because the advisor followed a reasonable process (disclosures, acknowledgment, periodic review, limited allocation) in response to a customer-initiated request, yet recommended a product widely flagged by regulators as inappropriate for holding periods beyond one day - and held it for over a year. The fee differential is real but modest in absolute terms, and the position was profitable, complicating a pure harm-based analysis. The customer's experience level and expressed desires cut against a finding of unsuitability, but his admitted lack of true understanding of volatility decay and his moderate-risk profile cut in favor. Reasonable compliance professionals could disagree on whether the quarterly-review-and-hold approach adequately addressed the daily-reset risk, or whether a less expensive, non-leveraged product achieving similar directional goals should have been recommended as a lower-cost alternative under the best interest standard.

Borderline Factors

- Customer-initiated request for leveraged exposure versus advisor's duty to recommend in the customer's best interest regardless of customer demands
- 14-month holding period for a daily-resetting product, reviewed quarterly - longer than intended use but with active monitoring
- 30% of brokerage account but only ~6.6% of total investable assets - the framing of concentration depends on denominator choice
- Expense ratio of 0.91% versus 0.03% for equivalent unleveraged exposure - meaningful percentage difference but modest absolute dollar cost (\$928 over 14 months)
- Signed acknowledgment form and prospectus delivery versus customer's claimed lack of genuine understanding of volatility decay
- Moderate risk tolerance on file versus customer's verbal request for more aggressive positioning
- Position was profitable in absolute terms but underperformed naive 2x expectations, raising questions about whether the product delivered the value the customer was seeking
- 20 years of investing experience with some options knowledge versus limited specific experience with leveraged ETF mechanics

Likely Outcome

A regulator would most likely find a technical violation but impose limited sanctions. The 14-month holding period for a daily-resetting leveraged ETF, combined with the moderate-risk investment objective on file and the availability of far cheaper alternatives achieving equivalent directional exposure, would likely be viewed as inconsistent with the Care Obligation under Reg BI and the reasonable-basis and customer-specific components of the suitability rule. However, the mitigating factors - customer-initiated request, meaningful disclosures, quarterly reviews, limited allocation as a percentage of total assets, profitable outcome, and the customer's relative sophistication - would likely result in a cautionary letter or minor fine rather than severe sanctions. The firm's supervisory procedures would face scrutiny regarding whether its policies on maximum holding periods for leveraged/inverse ETFs were adequate and enforced, per the heightened supervision expectations in FINRA RN 22-08.

Borderline Scenario 47

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2111 (Suitability), including supplementary material .07 regarding customer*

Fact Pattern

Marcus Reilly, a financial advisor at a mid-size broker-dealer in Denver, had been working with client Diane Kowalski, age 58, for approximately three years. Kowalski was a recently retired electrical engineer with a \$1.4 million rollover IRA and a separate \$320,000 taxable brokerage account. Her new account form, completed in 2020, listed her investment objective as 'growth,' her risk tolerance as 'moderate to aggressive,' her time horizon as '10+ years,' her annual income as \$72,000 (pension plus rental income), and her liquid net worth as \$1.9 million. She had 30 years of investing experience and had previously held individual stocks, mutual funds, and options (covered calls only) in a self-directed account before consolidating with Reilly.

In February 2023, Kowalski called Reilly and told him she had been reading about leveraged ETFs that provided 2x daily exposure to the S&P 500 and the Nasdaq-100. She said several members of her investment club had been holding these products for months and were 'making a killing.' She asked Reilly to purchase \$45,000 worth of a 2x daily-resetting leveraged S&P 500 ETF (approximately 3.2% of her total portfolio) in her taxable account. Reilly explained that these products reset daily and that holding them longer than one day could produce returns that diverge significantly from twice the index return over the same period, particularly in volatile or choppy markets. He told her the product was 'really designed for day traders' but acknowledged it could work in a strong trending market. Kowalski said she understood and wanted to proceed.

Reilly executed the purchase but did not update Kowalski's account profile, which still reflected the 2020 information. He did not document the specific conversation about daily resetting or volatility decay in his notes, though he did note 'client-directed trade in leveraged ETF, client aware of risks.' He did not ask Kowalski any follow-up questions about whether she intended to hold the position for days, weeks, or months, nor did he set any alerts or calendar reminders to revisit the position. His firm had a policy requiring enhanced due diligence for complex products, including a questionnaire about the client's understanding of compounding effects and intended holding period, but Reilly did not complete this form because he considered the allocation size immaterial.

Kowalski held the position for eleven months. During the first five months, the S&P 500 rose approximately 9%, and her leveraged ETF position gained roughly 16%, slightly below the theoretical 2x return due to volatility drag. She called Reilly once during this period to say she was happy with the performance and planned to keep holding. Reilly said 'sounds good' but again did not document the conversation in detail or revisit the holding period question. Over the next six months, the market experienced a choppy, sideways-to-slightly-down pattern. By January 2024, the S&P 500 was up about 4% from Kowalski's purchase date, but her leveraged ETF position was up only about 2.5% - underperforming even a 1x index fund, let alone delivering 2x returns. Kowalski's total dollar underperformance relative to her expectations was approximately \$2,475.

Kowalski filed a complaint alleging that Reilly never truly understood her situation or goals, failed to ask critical questions about her intended holding period, never explained that the product could underperform a

simple index fund over longer periods, and ignored his firm's own internal procedures for complex products. Reilly's firm countered that the position was a small percentage of a large, diversified portfolio, that Kowalski was a sophisticated investor who initiated the trade, that Reilly did provide a verbal warning, and that the actual dollar loss relative to expectations was modest.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations that make it genuinely difficult to resolve.

Arguments that Reilly violated applicable standards:

1. ****Failure to complete firm-mandated procedures****: Under FINRA Rule 3110 and the firm's own written supervisory procedures, Reilly was required to complete an enhanced due diligence questionnaire for complex products. His unilateral decision that the allocation was 'immaterial' does not excuse non-compliance. FINRA Regulatory Notices 09-31 and 22-08 specifically emphasize that firms must have robust supervisory systems for leveraged and inverse ETFs, including ensuring advisors document the customer's understanding and intended holding period.
2. ****Inadequate customer profile update****: FINRA Rule 2111 (suitability) and Regulation Best Interest (Rule 15l-1 under the Exchange Act) both require advisors to have a reasonable basis for recommendations and to know their customer. Reilly had not updated Kowalski's profile in three years. While the trade was client-directed, Reilly's failure to ask about holding period - the single most critical variable for leveraged ETF suitability - represents a gap in his know-your-customer obligation. Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill in making or facilitating a recommendation or, arguably, in acquiescing to a client's request involving a complex product.
3. ****Ongoing duty****: When Kowalski called after five months to say she planned to keep holding, Reilly had a second opportunity to address the holding period risk and failed to do so meaningfully. FINRA RN 09-31 specifically warns that leveraged ETFs held beyond their reset period can produce results that differ dramatically from the underlying index, and advisors should monitor these positions.
4. ****Documentation deficiency****: Reilly's note - 'client-directed trade in leveraged ETF, client aware of risks' - is conclusory and does not memorialize the substance of his risk disclosure, making it difficult to demonstrate compliance.

Arguments that Reilly did NOT violate applicable standards:

1. ****Client-directed transaction****: Under FINRA Rule 2111.07, when a customer directs a specific transaction, the suitability obligation may not apply in the same way as when the advisor recommends. Kowalski, an engineer with 30 years of investing experience and prior options trading, initiated this trade based on her own research and investment club discussions. She was not a vulnerable or unsophisticated investor.

2. ****De minimis allocation****: The \$45,000 position represented only 3.2% of Kowalski's total portfolio. Even with volatility decay, the impact on her overall financial plan was minimal. The actual underperformance was approximately \$2,475 - arguably not a material harm.

3. ****Verbal disclosure was provided****: Reilly did tell Kowalski the product resets daily, that returns could diverge from the index, and that it was designed for day traders. While not perfectly documented, a verbal warning was delivered.

4. ****Modest harm****: The leveraged ETF still produced a positive return (2.5%). Kowalski's complaint is essentially about relative underperformance versus her expectations, not an actual loss of principal. This weakens the regulatory case.

5. ****Sophisticated investor****: Kowalski's background, experience, and financial resources suggest she was capable of understanding the risks, even if the formal documentation was incomplete.

The Reg BI framework (Rule 15l-1) imposes obligations at the point of recommendation. If the transaction is truly client-directed, the advisor's obligation shifts more toward disclosure and away from the affirmative duty to ensure suitability. However, Reilly's failure to complete the firm's internal complex product questionnaire, failure to document the conversation adequately, and failure to follow up on holding period concerns create supervisory and procedural violations even if the substantive suitability question is closer to the line.

Why Borderline

The case sits at the intersection of several genuinely debatable issues: (1) whether a client-directed trade in a complex product triggers the same know-your-customer and suitability obligations as an advisor-recommended trade; (2) whether a small allocation relative to total portfolio size can excuse procedural non-compliance for complex products; (3) whether verbal risk disclosure without documentation satisfies the advisor's duties when the firm's own procedures require more; and (4) whether modest relative underperformance (not actual loss) constitutes sufficient harm to support a violation finding. Reasonable compliance professionals and arbitrators could disagree on each of these points.

Borderline Factors

- Client initiated the trade based on her own research and investment club discussions, not on the advisor's recommendation
- Client had 30 years of investing experience including options trading, suggesting genuine sophistication
- Position represented only 3.2% of total portfolio, limiting overall financial impact
- Actual underperformance was approximately \$2,475, with no loss of principal
- Advisor provided verbal risk disclosure about daily resetting and volatility divergence
- Advisor failed to complete firm-mandated complex product enhanced due diligence questionnaire
- Advisor did not update the customer profile in three years
- Advisor failed to document the substance of risk discussions beyond a conclusory note
- Advisor had a second opportunity to address holding period risk during the mid-holding phone call and did not act
- Firm's WSPs specifically required enhanced procedures for leveraged ETFs that were not followed

Likely Outcome

A regulator would most likely find a procedural violation for failure to follow the firm's internal supervisory procedures regarding complex products (failure to complete the enhanced due diligence questionnaire and inadequate documentation), but would likely not find a substantive suitability violation given the client-directed nature of the trade, the client's sophistication, the small allocation, and the modest harm. The firm could face a supervisory deficiency finding under FINRA Rule 3110, and Reilly could face a minor sanction for failure to follow WSPs. However, a full-blown suitability or Reg BI violation would be difficult to sustain given the client-directed nature and de minimis impact. In an arbitration context, the small dollar amount makes it unlikely Kowalski would recover significant damages, though a panel might award the \$2,475 differential plus fees as a compromise.

Borderline Scenario 48

Topic: senior_investor_exploitation | Standard: FINRA Rule 2111 (Suitability - customer-specific, reasonable-basis, and quantitative)

Fact Pattern

Margaret Ellsworth, age 71, is a retired chemical engineer with a PhD and 35 years of industry experience. She retired in 2019 with a \$2.8 million portfolio, a \$4,200/month pension, Social Security income of \$2,900/month, and no mortgage on her home. Her annual living expenses total roughly \$68,000, well covered by her pension and Social Security. She described her risk tolerance on account opening documents as 'moderate to aggressive' and listed her investment objective as 'growth with some income.' She had previously traded individual stocks and options in a self-directed brokerage account for over 15 years, and her new account application reflected 'extensive' investment knowledge and experience with leveraged products.

In March 2022, Margaret met with her financial advisor, David Chen, at a full-service brokerage firm. Margaret told David she was convinced that the semiconductor sector would experience a sustained rally over the next 12-18 months due to global chip shortages and government subsidies. She specifically asked about leveraged semiconductor ETFs, naming a 3x daily-resetting leveraged semiconductor ETF (ticker: SOXL) that she had researched. David discussed the product with her, including that it reset daily and that holding it for extended periods could produce returns that diverged significantly from three times the underlying index's return over the same period. He provided her with a two-page product summary sheet and noted in his file that he explained 'daily compounding effects and the risk of volatility decay over multi-month holding periods.' Margaret signed an acknowledgment form stating she understood the risks of leveraged ETFs.

David recommended that Margaret allocate \$280,000 - roughly 10% of her portfolio - to SOXL. The remaining 90% of her portfolio was invested in a diversified mix of municipal bonds (\$1.1 million), large-cap equity index funds (\$900,000), a short-term Treasury fund (\$320,000), and \$200,000 in cash equivalents. David set a calendar reminder to review the SOXL position with Margaret every 60 days.

Over the next ten months, the semiconductor index experienced significant volatility - a sharp 28% decline between April and October 2022, followed by a partial recovery. By January 2023, the underlying

semiconductor index was down approximately 6% from Margaret's entry point. However, due to the daily-resetting leverage and path dependency effects during the volatile period, Margaret's SOXL position had lost approximately 41% of its value, declining from \$280,000 to roughly \$165,000 - a loss of \$115,000.

David conducted three scheduled review calls with Margaret during this period (May 2022, July 2022, and November 2022). During the May call, when the position was down about 15%, Margaret said she wanted to hold. In July, with losses around 35%, David recommended she consider reducing the position by half, but Margaret declined, saying 'semiconductors will come roaring back.' In November, with the position down about 38%, David again suggested trimming or exiting, and Margaret again declined. David documented all three conversations.

In February 2023, Margaret filed a complaint alleging that David should never have recommended a triple-leveraged daily-resetting ETF to a 71-year-old retiree, regardless of her background, and that the product was fundamentally unsuitable for someone in her stage of life. She argued that the \$115,000 loss was devastating to her retirement security. Her total portfolio at the time of the complaint was approximately \$2.55 million, and her pension and Social Security continued to fully cover her living expenses.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case presents compelling arguments on both sides.

Arguments that David violated applicable standards:

- Margaret is a 71-year-old retiree, and leveraged daily-resetting ETFs are widely recognized by regulators as inappropriate for long-term holding. FINRA Regulatory Notices 09-31, 12-03, and 22-08 all caution that these products are generally unsuitable for retail investors, particularly those with longer holding horizons. RN 09-31 specifically states that leveraged and inverse ETFs 'typically are unsuitable for retail investors who plan to hold them for longer than one trading session.'
- Under Regulation Best Interest (Rule 15l-1), the Care Obligation requires a broker to exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile including age and life stage. A triple-leveraged product with known path dependency risks for a retiree could be viewed as failing this standard regardless of the customer's sophistication.
- FINRA Rule 2111 (suitability) includes customer-specific, reasonable-basis, and quantitative suitability components. While David may satisfy customer-specific suitability given Margaret's background, reasonable-basis suitability requires that the advisor have a reasonable basis for believing the recommendation is suitable for at least some investors - and a 10-month hold of a 3x daily-resetting product may fail this test.
- The firm's supervisory obligations under FINRA's complex products guidance (RN 22-08) require heightened supervision for complex products recommendations to retail investors, including consideration of whether less complex alternatives could achieve the client's goals.

Arguments that David acted appropriately:

- Margaret is not a typical senior investor. She holds a PhD in a technical field, has 15+ years of active trading experience including options, self-identified as having extensive knowledge of leveraged products,

and specifically requested SOXL by ticker before David made his recommendation. Her sophistication is genuine, not nominal.

- The allocation was 10% of a \$2.8 million portfolio, with the remaining 90% in conservative-to-moderate investments. Her living expenses were fully covered by pension and Social Security, meaning the leveraged position represented risk capital, not funds needed for living expenses.
- David provided written disclosures, explained daily reset mechanics and volatility decay, obtained a signed acknowledgment, and scheduled regular reviews - exceeding what many advisors do.
- On two separate occasions when losses mounted, David affirmatively recommended reducing or exiting the position, and Margaret expressly declined. David documented these conversations. Under the 'customer-specific' prong, Margaret's informed refusal to exit is significant.
- Reg BI does not categorically prohibit any product for any age group. The standard is whether the recommendation is in the customer's best interest at the time it is made, considering the full investment profile. A blanket age-based prohibition would be inconsistent with the rule's framework.
- Margaret's total portfolio loss was approximately 4% (\$115,000 of \$2.8 million), and her remaining \$2.55 million portfolio with guaranteed income streams does not suggest her retirement security was genuinely jeopardized.

Why Borderline

This is a genuine gray area because the customer's exceptional sophistication, technical background, explicit product request, informed consent, and the advisor's documented recommendations to exit all cut strongly in the advisor's favor. However, the regulatory guidance on leveraged ETFs has consistently emphasized that these products are generally unsuitable for long-term holding by retail investors, and heightened obligations apply when recommending complex products to seniors regardless of their sophistication. The tension between individualized suitability analysis (which may support the recommendation) and categorical product-level concerns about daily-resetting leveraged ETFs for multi-month holding (which may condemn it) is precisely where reasonable practitioners and regulators disagree.

Borderline Factors

- Customer is 71 years old (senior investor protections apply) but has a PhD, 15+ years of trading experience, and extensive leveraged product knowledge
- Customer specifically requested the product by ticker symbol before the advisor made the formal recommendation
- 10% portfolio allocation - meaningful but not concentrated - with 90% in conservative holdings
- All living expenses covered by pension and Social Security, making the position arguably risk capital
- Advisor provided written disclosures, explained volatility decay, and obtained signed acknowledgment
- Advisor recommended reducing/exiting the position twice during the holding period and was overridden by the customer
- Position was held for approximately 10 months - well beyond the daily-resetting design horizon
- Volatility decay caused losses (\$115,000 / 41%) dramatically exceeding the underlying index decline (6%)
- Regulatory guidance consistently warns that daily-resetting leveraged ETFs are unsuitable for long-term holding by retail investors
- Firm may have had an obligation to impose position limits or automatic review triggers for leveraged ETFs held by senior clients

Likely Outcome

A regulator would most likely find this to be a close case but would probably conclude that a violation occurred, albeit a mitigated one. The core issue is that recommending a 3x daily-resetting leveraged ETF for a multi-month holding period runs directly counter to extensive regulatory guidance, and the advisor's initial recommendation - rather than merely facilitating an unsolicited order - creates liability under both suitability and best interest standards. However, the well-documented disclosures, the customer's genuine sophistication, the reasonable allocation size, the advisor's subsequent recommendations to exit, and the customer's repeated informed refusals to follow that advice would likely result in significantly reduced sanctions. A panel might find a technical violation with minimal or no monetary damages, or the case might settle for a modest amount. The firm's supervisory system would also be scrutinized - specifically whether it had adequate protocols for monitoring the duration of leveraged ETF positions held by senior clients.

Borderline Scenario 49

Topic: failure_to_know_customer | Standard: FINRA Rule 2111 (Suitability) - particularly the customer-specific suitability obligation re

Fact Pattern

Marcus Devlin, a registered representative at a mid-size broker-dealer in Phoenix, Arizona, has managed the account of Helen Tsao, age 59, since 2019. Helen is a recently retired electrical engineer who took early retirement from a defense contractor with a \$1.4 million rollover IRA and a \$380,000 taxable brokerage account. Her new account form, completed in January 2019, lists her investment objective as 'growth,' her risk tolerance as 'moderate to aggressive,' her time horizon as '10+ years,' her annual income as \$62,000 (pension and rental income), her liquid net worth as \$1.9 million, and her investment experience as 'extensive' - noting 30 years of self-directed stock trading, options trading (covered calls and cash-secured puts), and experience with leveraged ETFs. Helen holds a master's degree in electrical engineering and has stated in emails that she 'understands compounding math better than most advisors.'

In March 2022, Helen contacted Marcus and said she had strong conviction that the technology sector would recover from its recent selloff within 6 to 18 months. She asked Marcus to allocate \$190,000 - approximately 10% of her combined portfolio - into a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 index (TQQQ). Marcus discussed the product with her over a recorded phone call lasting 22 minutes, during which he explained that the fund resets daily and that returns over periods longer than one day can deviate significantly from three times the index return, particularly in volatile or sideways markets. He used a specific example: he told her that if the Nasdaq-100 fell 10% and then recovered to flat over two months, the 3x leveraged ETF would likely still be down several percent due to the daily compounding effect. Helen responded that she was 'well aware of volatility drag' and said she had traded TQQQ and its inverse counterpart profitably in 2020 during the COVID crash recovery. Marcus's notes from the call state: 'Client fully understands daily reset, path dependency. Plans to hold 6-18 months. Willing to accept total loss of position.'

Marcus executed the purchase. However, Marcus did not update Helen's customer profile to reflect that she was now retired and drawing on her portfolio for living expenses - her 2019 form still listed her employment status as 'employed, defense contractor.' He also did not document whether Helen's \$62,000 annual

income from pension and rentals was sufficient to cover her living expenses without portfolio withdrawals, or whether the \$190,000 allocation to a triple-leveraged product might affect her ability to fund retirement. The firm's product review committee had approved TQQQ for use in client accounts but required that representatives document a client's 'specific understanding of daily-reset compounding risk and maximum tolerable loss' - Marcus's call notes arguably satisfy this, though no formal acknowledgment form was signed.

Over the next 14 months, through May 2023, the Nasdaq-100 experienced significant volatility, declining roughly 15% from March through October 2022 before recovering strongly through early 2023. Helen's TQQQ position dropped to approximately \$88,000 at its low point in October 2022 - a 54% loss - before recovering to approximately \$152,000 by May 2023. Helen did not sell during the drawdown. In June 2023, Helen's daughter filed a complaint alleging that Marcus had placed her mother in an unsuitable speculative investment without adequately understanding her financial situation as a retiree, and that Marcus had failed to update critical account information including her employment status and income needs. Marcus's firm opened an investigation. Helen herself submitted a written statement saying she had made the investment voluntarily, understood the risks, and was 'frustrated' by her daughter's complaint, but acknowledged she had begun taking \$4,000 monthly distributions from her IRA starting in January 2022 to supplement her pension and rental income.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations that pull in opposite directions.

Arguments that Marcus violated applicable standards:

1. Failure to update customer profile: Marcus failed to update Helen's account form to reflect her retirement, which occurred before the 2022 recommendation. Her employment status still showed active employment at a defense contractor. Under FINRA Rule 2111 (Suitability) and its three component obligations - reasonable-basis, customer-specific, and quantitative suitability - the advisor must make reasonable efforts to ascertain the customer's investment profile, including employment status, financial situation, and needs. Under Regulation Best Interest (Rule 15l-1 under the Exchange Act), the Care Obligation requires the broker to exercise reasonable diligence, care, and skill in understanding the customer's investment profile. An outdated profile reflecting employment rather than retirement is a meaningful gap.
2. Income sufficiency analysis: Helen was taking \$48,000/year in IRA distributions (\$4,000/month starting January 2022), meaning she was drawing on her retirement portfolio. Marcus did not document whether her combined income (pension + rental + distributions) covered her expenses, or whether a severe loss on the \$190,000 TQQQ position could impair her retirement security. FINRA Regulatory Notices 09-31 and 22-08 specifically warn that leveraged and inverse ETFs carry unique risks for retail investors and that firms must conduct enhanced due diligence on customer-specific suitability before recommending these products.
3. Holding period risk: Although Marcus explained daily-reset mechanics, Helen's stated plan to hold for 6-18 months - a period during which volatility decay can significantly erode returns - raises the question of

whether a 3x leveraged daily-resetting product was suitable for this time horizon. FINRA RN 09-31 explicitly cautions that leveraged ETFs that reset daily are 'typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' While Helen's sophistication is relevant, the holding period concern is a regulatory focal point.

4. Firm procedures: The firm required documentation of the client's 'specific understanding of daily-reset compounding risk and maximum tolerable loss.' Marcus's call notes arguably address understanding, but no formal acknowledgment was signed, and the 'maximum tolerable loss' element is only loosely captured by the notation that Helen was 'willing to accept total loss.'

Arguments that Marcus acted appropriately:

1. Customer sophistication and initiative: Helen is a highly educated former engineer with 30 years of trading experience, including specific prior experience trading TQQQ during the 2020 COVID recovery. She initiated the recommendation and explicitly demonstrated understanding of volatility drag and path dependency during the recorded call. Under both suitability and Reg BI frameworks, customer sophistication and experience are relevant factors. FINRA RN 22-08 on complex products acknowledges that investor experience and knowledge are part of the suitability calculus.

2. Reasonable allocation size: The \$190,000 position represented approximately 10% of Helen's total portfolio (\$1.78 million). This is a meaningful but not outsized allocation, and even the worst drawdown (\$88,000 loss at the October 2022 low) would not have threatened her overall financial security given her remaining \$1.59 million in assets plus pension and rental income.

3. Documented risk discussion: The 22-minute recorded call includes Marcus's explanation of daily-reset mechanics with a concrete numerical example and Helen's knowledgeable response. This is more thorough than many advisors' risk disclosures.

4. Helen's own testimony: Helen herself states the investment was voluntary and she understood the risks. While a third-party complaint by a family member is valid, the customer's own contemporaneous and post-hoc statements support the advisor's position.

5. Outcome context: While the position suffered a severe interim drawdown, it had recovered to \$152,000 by the time of the complaint - a 20% loss from cost basis, but in the context of a highly volatile leveraged product, not an extreme outcome. The position was not liquidated at the low.

The stale customer profile is the most problematic element. Even if the recommendation might have been suitable for Helen's actual (updated) profile, the failure to document current circumstances means the firm cannot demonstrate that customer-specific suitability or the Reg BI Care Obligation was properly discharged. However, the substantive question - whether the recommendation itself was inappropriate - is much closer, given Helen's sophistication, the allocation size, and her demonstrated understanding.

Why Borderline

This case sits at the intersection of a procedural failure (outdated customer profile, missing retirement

status and income-needs analysis) and a substantively reasonable recommendation (sophisticated client-initiated trade, modest portfolio allocation, documented risk discussion). Regulators could view the stale profile as a clear know-your-customer failure that tainted the entire recommendation process, or they could view it as a technical documentation gap that did not affect the substance of the recommendation given the advisor's actual knowledge of the client's situation. The client's own defense of her advisor and her demonstrated sophistication further complicate the analysis.

Borderline Factors

- Customer profile was not updated to reflect retirement and distribution activity, creating a documentary gap in the know-your-customer obligation
- Client initiated the recommendation and demonstrated specific, detailed knowledge of leveraged ETF mechanics including volatility decay
- Allocation was approximately 10% of total portfolio - significant but not concentrated
- Client was taking regular IRA distributions, suggesting reliance on the portfolio for living expenses, but pension and rental income provided a baseline income floor
- 22-minute recorded call with concrete risk examples arguably satisfies substantive disclosure requirements even without a signed acknowledgment form
- Client's own written statement contradicts the complaint and supports the advisor's account
- Holding period of 6-18 months exceeds the single-day intended use of daily-resetting leveraged products, a specific concern highlighted in regulatory guidance
- Firm's internal procedures required specific documentation that was arguably but not cleanly satisfied
- The 54% interim drawdown illustrates the exact path-dependency risk that regulators have flagged, even though the position partially recovered

Likely Outcome

A regulator would most likely find a violation, but a relatively narrow one focused on the failure to update the customer profile and adequately document the income-needs analysis for a retired client, rather than on the substantive unsuitability of the recommendation itself. The stale employment status, combined with the absence of any analysis of how the \$190,000 leveraged ETF position fit within Helen's retirement income plan, represents a failure to exercise reasonable diligence in understanding the customer's investment profile under both FINRA Rule 2111 and Reg BI's Care Obligation. However, mitigating factors - Helen's sophistication, her initiation of the trade, the recorded risk discussion, the moderate allocation size, and her own testimony - would likely result in a reduced sanction rather than a severe disciplinary outcome. The firm's supervisory system might also face scrutiny under FINRA RN 22-08's enhanced supervision requirements for complex products, given that the representative's documentation did not fully meet the firm's own internal requirements.

Borderline Scenario 50

Topic: *leveraged_etf_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) and its reasonable-basis, customer-specific, and quantitative*

Fact Pattern

Marcus Whitfield, a 58-year-old semi-retired petroleum engineer, opened a brokerage account in March 2022 with Preston Financial Group. His account application listed a net worth of \$3.2 million (excluding

primary residence), annual income of \$185,000 from consulting work and royalty payments, an investment time horizon of 5-10 years, and a risk tolerance of 'aggressive.' He had 30 years of investing experience including options trading, sector-concentrated stock positions, and prior use of leveraged products in a self-directed account at another firm. His stated investment objective was 'growth with speculative component.'

His advisor, Dana Reeves, who had eight years of industry experience and held Series 7 and Series 66 licenses, recommended that Whitfield allocate approximately \$320,000 - roughly 10% of his investable assets - into a 2x leveraged daily-resetting ETF tracking the energy sector. Reeves based the recommendation on Whitfield's deep professional expertise in the oil and gas industry, his expressed conviction that energy prices would rise significantly over the following 12-18 months due to supply constraints he observed firsthand in his consulting work, and his documented history of making concentrated sector bets.

Reeves provided Whitfield with the fund's prospectus and a separate one-page firm-produced document explaining that leveraged ETFs are designed to deliver a multiple of the daily return of an index and that holding periods beyond one day can produce returns that deviate significantly from the expected multiple. Whitfield signed an acknowledgment form confirming he understood the product's daily reset mechanism. Reeves noted in her internal records that she discussed 'compounding effects and tracking deviation over time' with the client.

However, Reeves did not provide any quantitative illustrations showing how volatility in the energy sector could erode returns even if the underlying index ended higher over the planned holding period. She did not model any specific scenarios demonstrating path dependency - for example, what would happen to the position if the energy index experienced 30% annualized volatility (which was roughly consistent with historical norms for energy sector indices). She also did not establish a formal monitoring schedule, stop-loss parameters, or a written plan for periodic review of the position.

Whitfield held the position for 14 months, from March 2022 through May 2023. During that period, the underlying energy index rose approximately 9%. However, due to significant intra-period volatility - the energy sector experienced multiple sharp drawdowns and recoveries - the 2x leveraged ETF returned only approximately 4%, well below the roughly 18% that Whitfield expected based on his understanding of the 2x leverage. Whitfield lost approximately \$44,800 in opportunity cost relative to simply holding a standard (1x) energy sector ETF, which would have returned approximately \$28,800 on the same capital.

Whitfield filed a complaint alleging that Reeves failed to adequately explain how volatility decay would impact his returns over his intended holding period and that the recommendation was inappropriate for a multi-month hold. Preston Financial Group's compliance department had a written supervisory procedure requiring enhanced review for leveraged ETF purchases over \$100,000, but the evidence showed the branch manager approved the trade after reviewing only the signed acknowledgment form and Whitfield's account profile, without examining whether any volatility scenario analysis had been conducted or whether a monitoring plan was in place.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Reeves violated applicable standards: The daily-resetting nature of 2x leveraged ETFs is well-documented as creating significant risk for holding periods beyond a single trading session. Regulatory guidance has repeatedly emphasized that these products are generally unsuitable for buy-and-hold strategies, and a 14-month holding period clearly exceeds the daily intended use. Although Reeves provided the prospectus and a summary document, she failed to provide quantitative volatility decay illustrations that would have concretely demonstrated how path dependency could erode returns - this is particularly significant given that energy sector indices have historically exhibited high volatility, making the compounding risk especially acute. The absence of a formal monitoring schedule or stop-loss plan is problematic because it effectively left a complex, daily-resetting product unmanaged in a client account for over a year. The firm's supervisory procedures required enhanced review for leveraged ETF purchases over \$100,000, yet the branch manager's review was perfunctory, limited to checking a signed acknowledgment and account profile without verifying that scenario analysis or monitoring protocols existed. This suggests a supervisory failure layered on top of the advisor-level concern.

Arguments that Reeves acted appropriately: Whitfield was a sophisticated investor by most measures - he had 30 years of experience, prior use of leveraged products, an aggressive risk tolerance, professional expertise in the specific sector, and substantial wealth relative to the position size (10% of investable assets). The allocation was not outsized relative to his portfolio. He signed a written acknowledgment specifically addressing daily reset and compounding effects. Reeves documented an oral discussion about compounding and tracking deviation. Whitfield's investment thesis - a supply-driven energy price increase - was informed by his own professional expertise, not a speculative tip from the advisor. The actual financial harm was an opportunity cost of approximately \$44,800 on a \$3.2 million portfolio (roughly 1.4% of total assets), not a catastrophic loss. The position was profitable in absolute terms. Furthermore, Whitfield could have liquidated at any time and chose not to, suggesting he was exercising his own judgment as a knowledgeable investor.

The tension lies in whether disclosure quality matters when the customer is genuinely sophisticated, and whether the absence of quantitative scenario analysis and formal monitoring constitutes a material deficiency or merely an imperfect but adequate process given the client's profile.

Why Borderline

This scenario sits in a genuine gray zone because the customer profile strongly supports the recommendation - aggressive risk tolerance, sector expertise, prior leveraged product experience, and reasonable position sizing - while the process deficiencies are real but not egregious. The advisor did provide disclosures and discuss compounding, but stopped short of the quantitative scenario analysis and formal monitoring that regulators have increasingly expected. The actual harm is modest in absolute and relative terms, and the client retained a profit on the position. Reasonable practitioners could disagree on whether a sophisticated, wealthy investor with sector expertise requires the same level of quantitative illustration and monitoring scaffolding as a less experienced retail investor, and whether the acknowledgment form and oral discussion constituted sufficient disclosure for this particular client.

Borderline Factors

- Client had 30 years of investing experience and prior use of leveraged products at another firm
- Position represented only 10% of investable assets for a client with \$3.2 million net worth
- Client had direct professional expertise in the specific sector underlying the leveraged ETF
 - Advisor provided prospectus, summary disclosure document, and documented oral discussion of compounding effects
- No quantitative volatility decay scenario analysis was provided despite the planned multi-month holding period
- No formal monitoring schedule, stop-loss parameters, or periodic review plan was established
- The position was held for 14 months - far beyond the daily intended reset period - but was still profitable in absolute terms
- Actual financial harm was modest (~\$44,800 opportunity cost on a \$3.2M portfolio)
- Firm supervisory review was perfunctory despite written procedures requiring enhanced review for large leveraged ETF trades
- Client signed written acknowledgment of daily reset mechanism and compounding risk

Likely Outcome

A regulator would most likely find a technical violation, but the severity of sanctions would be significantly mitigated by the client's sophistication and the modest harm. The key deficiencies - lack of quantitative scenario analysis for a planned multi-month hold and absence of a monitoring plan - are process failures that regulators have specifically flagged as essential for leveraged ETF recommendations regardless of client sophistication. The supervisory lapse (rubber-stamping the enhanced review) would likely draw additional scrutiny. However, the client's experience, wealth, sector expertise, signed acknowledgment, and the position's absolute profitability would all serve as meaningful mitigating factors. The most likely outcome would be a finding of inadequate reasonable diligence and supervisory deficiency, resulting in a cautionary action or modest fine rather than severe sanctions, with the firm required to enhance its leveraged ETF supervision procedures.

Borderline Scenario 51

Topic: failure_to_know_customer | Standard: FINRA Rule 2111 (Suitability) - including reasonable-basis, customer-specific, and qua

Fact Pattern

Marcus Whittaker, age 58, is a recently retired operations manager from a mid-size manufacturing firm. He rolled over \$640,000 from his 401(k) into a brokerage account with Keystone Wealth Partners in March 2023. His new account paperwork listed his investment objective as 'growth and income,' his risk tolerance as 'moderate,' a time horizon of '10+ years,' his liquid net worth as \$810,000 (including the rollover), and annual income of \$42,000 from a modest pension plus Social Security. He indicated prior experience trading individual stocks and standard index ETFs over a 15-year period, executing roughly 8-12 trades per year. Under 'investment knowledge,' he checked 'good' out of options ranging from 'none' to 'extensive.' His account form did not include any specific questions about experience with leveraged, inverse, or derivative-based products.

His advisor, Derek Simmons, age 34, had been licensed for seven years and held Series 7 and Series 66 registrations. In their initial meeting, Whittaker told Simmons he wanted to 'keep up with the market but also

have some protection if things go south,' noting he was worried about a potential recession in late 2023. Simmons's notes from this meeting reference Whittaker's desire for 'downside hedging' and 'market-matching growth.'

On April 5, 2023, Simmons recommended a portfolio allocation that placed 72% of the rollover (\$460,800) into a diversified mix of blue-chip stocks and bond funds. He placed 18% (\$115,200) into a 2x leveraged S&P 500 ETF (daily-resetting), reasoning that a smaller allocation to a leveraged product could deliver market-like returns with less capital committed, freeing up the remaining 10% (\$64,000) for a short-term Treasury ETF as a liquidity buffer. Simmons explained to Whittaker that the leveraged ETF 'moves twice as much as the S&P 500 each day' and that 'you get the same market exposure with half the dollars.' According to Simmons's file notes, he told Whittaker the position should be 'reviewed quarterly' and that 'this isn't a set-it-and-forget-it holding.' However, there is no documentation that Simmons explained volatility decay, daily resetting mechanics, or the risk that the product could significantly underperform the underlying index over multi-month or multi-year periods. The firm's product catalog listed the 2x leveraged ETF as 'approved for different strategies' but did not specifically restrict it to short-term use.

Whittaker signed a general acknowledgment that he understood the risks of his portfolio but there was no product-specific risk disclosure for the leveraged ETF. Over the next eleven months, from April 2023 through February 2024, the S&P 500 experienced significant volatility - dropping about 8% between August and October 2023 before recovering to roughly flat by February 2024. During this period, the 2x leveraged S&P 500 ETF lost approximately 11.4% of its value due to the compounding effects of daily resets through the volatile stretch, even though the underlying index was nearly unchanged. The \$115,200 position declined to roughly \$102,067.

Simmons conducted one portfolio review call with Whittaker in July 2023, during which they discussed general market conditions and the blue-chip portion of the account. Simmons's notes indicate the leveraged ETF was mentioned only briefly: 'Client aware of leveraged position, no changes requested.' The next review occurred in late February 2024, when Whittaker noticed the loss and called to complain. He stated he never understood the product could lose money even when the market was flat and that he thought it would simply 'double his returns over time.' Simmons responded by liquidating the position and placing the proceeds into a standard S&P 500 index fund.

Whittaker filed a complaint alleging roughly \$13,000 in losses, asserting Simmons never adequately explained how the product worked and that his moderate risk tolerance and retirement status made the product inappropriate. Simmons and the firm counter that Whittaker was an experienced stock investor, that the leveraged ETF represented only 18% of the portfolio, that Simmons did flag the need for periodic review, and that the position was part of a coherent strategy to achieve market exposure with less capital at risk.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations on both sides.

Arguments that Simmons violated applicable standards:

1. ****Inadequate customer knowledge gathering (failure to know the customer):**** The new account form did not specifically inquire about Whittaker's experience with leveraged, inverse, or complex products. Under FINRA Rule 2111 and its reasonable-basis, customer-specific, and quantitative suitability components, an advisor must make reasonable efforts to understand a customer's investment profile, including their experience with the specific type of product being recommended. FINRA Regulatory Notice 09-31 and 12-03 both emphasize that leveraged and inverse ETFs are complex products requiring enhanced suitability analysis and that firms should assess whether customers understand the unique risks, particularly daily resetting and volatility decay. The absence of any targeted questioning about Whittaker's familiarity with leveraged products is a significant gap.
2. ****Insufficient disclosure of product mechanics:**** Simmons's file notes show he explained the daily 2x multiplier effect but contain no evidence he explained path dependency, volatility decay, or the critical distinction between daily and long-term compounding. FINRA RN 09-31 explicitly warns that leveraged ETFs 'typically are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' The failure to document any explanation of these core risks undermines Simmons's defense.
3. ****Customer profile mismatch:**** Whittaker was 58, recently retired, with moderate risk tolerance, relying substantially on this portfolio for long-term retirement security. A daily-resetting 2x leveraged product introduces a form of risk (compounding/decay risk) that is qualitatively different from standard equity volatility and arguably inconsistent with a 'moderate' risk profile, even at 18% of the portfolio.
4. ****Inadequate monitoring:**** Under Regulation Best Interest (Rule 15l-1), while there is no explicit ongoing monitoring duty for broker-dealers in all contexts, the advisor himself set the expectation of quarterly review. Only two reviews occurred over 11 months, and the July review barely addressed the leveraged position. FINRA RN 22-08 on complex products supervision emphasizes firms' obligations to have reasonably designed supervisory systems, including monitoring of complex product positions.

Arguments that Simmons acted within acceptable bounds:

1. ****Rational strategy with limited allocation:**** The 18% allocation to the leveraged ETF was part of a deliberate capital-efficiency strategy. By using a 2x product, Simmons allocated half the capital that would otherwise be needed for equivalent notional S&P 500 exposure, freeing up assets for Treasury bills and diversified holdings. This is a recognized institutional technique (capital-efficient portfolio construction), and the total notional equity exposure of the portfolio was not excessive.
2. ****Customer sophistication:**** Whittaker had 15 years of active stock and ETF trading experience, checked 'good' investment knowledge, and signed a general risk acknowledgment. He was not a novice investor.
3. ****Modest losses in context:**** The \$13,000 loss on a \$640,000 portfolio represents approximately 2% of total assets - a relatively modest drawdown that may not rise to the level of material harm typically targeted

by enforcement.

4. ****Advisor flagged need for review:**** Simmons's notes reflect he communicated the product was not a passive holding and that periodic review was necessary. The client did not raise concerns during the July call.

5. ****Firm approval:**** The product was on the firm's approved list without explicit short-term-only restrictions, suggesting the firm's compliance function did not categorize it as per se unsuitable for longer-duration strategies.

Why Borderline

This case sits in a genuine gray zone because the advisor had a defensible strategic rationale for the leveraged ETF allocation (capital efficiency within a diversified portfolio), the client had meaningful investment experience, and the allocation was not outsized. However, the advisor's documentation of risk disclosure was deficient - he failed to explain the signature risk of the product (volatility decay/path dependency), the account form never specifically probed for complex product experience, and the customer profile (recently retired, moderate risk tolerance, pension-dependent income) creates tension with a product that introduces non-intuitive compounding losses. The firm's own product governance was ambiguous, neither restricting the product to short-term use nor requiring enhanced disclosures. Reasonable compliance professionals could disagree on whether the 18% allocation to a leveraged ETF, within an otherwise sound portfolio, for a moderately experienced investor crosses the line - or whether it represents an acceptable, if imperfect, advisory judgment.

Borderline Factors

- 18% allocation is significant but not dominant - smaller than typical flagged concentrations, yet material enough to cause noticeable losses
- Client had 15 years of equity/ETF trading experience but no documented experience with leveraged or derivative-based products specifically
 - Advisor articulated a coherent capital-efficiency rationale but failed to document explanation of the product's core distinguishing risk (volatility decay and path dependency)
- The firm's approved product list included the leveraged ETF without explicit holding period restrictions or enhanced disclosure requirements, creating shared supervisory responsibility
- The \$13,000 loss (roughly 2% of total portfolio) is modest in absolute terms but resulted from a product characteristic the client claims was never explained
- Advisor set a quarterly review expectation but conducted only two reviews over 11 months, with minimal discussion of the leveraged position during the first review
 - Client's stated objective of 'downside hedging' and 'market-matching growth' could arguably support a capital-efficient leveraged strategy or could indicate the client wanted conservative protection - the language is ambiguous
- Retirement status and moderate risk tolerance cut against complex product use, but the overall portfolio was diversified and majority-conservative

Likely Outcome

A regulator would most likely find a violation, though potentially a moderate one focused on documentation and disclosure failures rather than a finding that the recommendation was per se unsuitable. The strongest

basis for the finding would be the failure to know the customer's experience with complex products specifically (the account form had no such inquiry), combined with the absence of documented disclosure about volatility decay and daily-resetting mechanics. FINRA examiners applying the standards from RN 09-31 and RN 22-08 would likely conclude that recommending a daily-resetting 2x leveraged ETF without (a) specifically assessing the client's understanding of the product's unique risks and (b) documenting an explanation of path dependency was a failure of reasonable diligence. However, the disciplinary outcome might be limited - a letter of caution, fine, or required enhanced supervision - rather than a severe sanction, given the portfolio-level diversification, the advisor's partial efforts at review, and the relatively modest loss. The firm would likely face parallel criticism for inadequate supervisory procedures around complex product approvals and monitoring.

Borderline Scenario 52

Topic: high_fees_unsuitable | Standard: FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and quantitative

Fact Pattern

Sandra Kowalski, age 58, is a semi-retired corporate attorney who transitioned to part-time consulting in 2021. She has a \$1.4 million brokerage account, a \$900,000 IRA, and a pension that will pay \$85,000 annually starting at age 62. She describes her risk tolerance as 'moderate to moderately aggressive' and her investment objective as 'growth with some income.' She has 30 years of investing experience, previously managed her own options portfolio, and holds a Series 7 license from an earlier career stint at a brokerage firm in the 1990s, though she has not been registered for over 20 years.

Her financial advisor, Craig Denholm, recommended allocating approximately 12% of her brokerage account-roughly \$168,000-across three leveraged ETFs: a 2x daily-resetting bull fund tracking the S&P 500 (\$72,000), a 2x daily-resetting semiconductor sector fund (\$54,000), and a 3x daily-resetting bull fund tracking the Nasdaq-100 (\$42,000). The combined expense ratios for these products ranged from 0.89% to 1.05%, significantly higher than comparable unleveraged index ETFs charging 0.03% to 0.10%. Craig also recommended she hold these positions as medium-term tactical allocations for 4 to 9 months, not as day trades or short-term swing trades.

Craig documented in his notes that Sandra specifically requested leveraged exposure because she wanted to 'juice returns' on a portion of her portfolio during what she believed was a strong bull market cycle, and that she understood the daily-resetting mechanism. He provided her with the fund prospectuses and a one-page summary he created explaining compounding effects and volatility decay over time. Sandra signed an acknowledgment form stating she understood the risks of leveraged products.

Over the next seven months, the S&P 500 rose approximately 6%, but Sandra's 2x S&P fund returned only 9.8% instead of the expected 12%, due to interim volatility. The semiconductor 2x fund lost 11% as the sector experienced a sharp correction and partial recovery. The 3x Nasdaq fund gained 14%, but after a period of significant daily swings, it underperformed a hypothetical 3x return of the index by roughly 5 percentage points. After all fees and the effects of daily compounding, Sandra's combined leveraged ETF positions gained approximately \$4,200 over seven months-a return of about 2.5%-while a simple

unleveraged allocation to the same indices would have gained approximately \$12,600, or about 7.5%.

Sandra filed a complaint alleging that Craig's recommendations were inappropriate because the high internal costs and structural drag of the leveraged products caused her to significantly underperform what a simpler, cheaper strategy would have achieved. She argues the fee differential alone—roughly \$1,100 to \$1,400 in excess expense ratios over the holding period—combined with the compounding losses from volatility decay, made these products fundamentally unsuitable for a holding period beyond a few days. Craig counters that the 12% allocation was modest, that Sandra was exceptionally knowledgeable, that she specifically requested leveraged exposure, and that the underperformance was driven by unpredictable market volatility rather than any failure in his recommendation process.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations that pull in different directions.

Arguments that Craig violated applicable standards:

1. **Product-level unsuitability for the holding period**: Leveraged and inverse ETFs that reset daily are widely understood to be designed for short-term—typically single-day—holding periods. FINRA Regulatory Notice 09-31 explicitly warned that these products 'are typically not suitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' Craig recommended holding periods of 4 to 9 months, which directly contradicts the designed use case and regulatory guidance.
2. **Fee drag and structural cost**: The expense ratios of 0.89%-1.05% are roughly 10 to 30 times higher than unleveraged alternatives. Over a multi-month holding period, this fee differential compounds alongside the mathematical certainty of volatility decay in a daily-resetting product. FINRA RN 22-08 reinforces that firms must evaluate whether the costs associated with complex products are justified by reasonably expected benefits to the customer.
3. **Quantifiable harm**: Sandra's leveraged ETF allocation returned approximately \$4,200 compared to approximately \$12,600 from an unleveraged alternative—a shortfall of roughly \$8,400. This underperformance was substantially attributable to the structural characteristics of the products (volatility decay and higher fees), not merely bad luck.
4. **Reg BI's care obligation** (Rule 15l-1(a)(2)(ii)) requires that a broker-dealer exercise reasonable diligence, care, and skill in making recommendations, including evaluating costs. The cost analysis here arguably should have flagged that the structural expense of these products over a multi-month period would likely erode a significant portion of any leveraged upside.

Arguments that Craig acted reasonably:

1. **Customer sophistication**: Sandra is a former Series 7 holder, longtime self-directed investor, and experienced options trader. She is far from a typical retail investor. FINRA Rule 2111's customer-specific

suitability analysis permits advisors to consider a client's investment experience, knowledge, and financial sophistication. Sandra's background strongly suggests she could understand path dependency and volatility decay.

2. ****Customer-initiated request****: Craig documented that Sandra specifically requested leveraged exposure to capitalize on a perceived bull market. While customer requests do not relieve an advisor of independent obligations, they are relevant context under both suitability and Reg BI frameworks.

3. ****Modest allocation****: The 12% allocation to leveraged products within a \$1.4 million account, with substantial additional retirement assets and a guaranteed pension, represents a bounded risk. This was not a concentrated or reckless bet. Quantitative suitability (FINRA Rule 2111.05(c)) is generally concerned with excessive activity in the aggregate, and a 12% tactical tilt is modest.

4. ****Disclosure and acknowledgment****: Craig provided prospectuses, a custom summary of compounding effects, and obtained a signed acknowledgment. While disclosure alone does not satisfy suitability requirements, it demonstrates process and good faith.

5. ****Reasonable basis****: Craig's thesis-that leveraged ETFs could enhance returns during a sustained bull trend-is not inherently unreasonable. Many professional portfolio managers use leveraged ETFs tactically over multi-week or multi-month periods. The 4-to-9-month time frame, while longer than a single day, is not the multi-year buy-and-hold scenario that regulators have most aggressively criticized.

6. ****Unpredictable volatility****: The semiconductor sector correction was not foreseeable. The underperformance relative to a hypothetical unleveraged allocation is partially attributable to realized volatility that was higher than historical averages, not solely to product structure.

Why Borderline

This case sits in genuine tension because the customer's sophistication and explicit request for leveraged exposure conflicts with clear regulatory guidance that daily-resetting leveraged ETFs are generally unsuitable for holding periods beyond a single trading session. The 4-to-9-month recommended holding period is significantly longer than a day but significantly shorter than the multi-year holding periods that have generated the most egregious retail losses. The 12% allocation is meaningful but not concentrated. The customer had unusual expertise but had not been actively registered for two decades. The underperformance was real but partly driven by unpredictable sector-specific volatility. Reasonable compliance professionals could disagree on whether the advisor's process and the customer's profile sufficiently justified the recommendation.

Borderline Factors

- Customer held a Series 7 license historically and had decades of investing experience including options, but had not been registered for 20+ years
- The recommended holding period of 4-9 months is longer than the product's designed single-day use case but shorter than multi-year holds regulators most criticize
- 12% allocation is a moderate tactical tilt, not a concentrated position, within a diversified \$1.4M account with additional retirement assets
- Customer specifically requested leveraged exposure and signed an acknowledgment of risks

- Expense ratios 10-30x higher than unleveraged alternatives created meaningful fee drag over the holding period
- Actual underperformance of ~\$8,400 versus unleveraged alternatives was driven by a combination of structural volatility decay and unforeseeable sector volatility
- Advisor created and delivered supplemental educational materials on compounding effects beyond standard prospectus delivery
- The 3x Nasdaq product carries materially higher volatility decay risk than the 2x products, potentially warranting different suitability analysis for the same customer

Likely Outcome

A regulator would likely find a partial violation. The advisor would probably be credited for the customer's unusual sophistication, the modest allocation size, thorough documentation, and the customer-initiated nature of the request. However, the recommended 4-to-9-month holding period for daily-resetting leveraged ETFs-particularly the 3x product-would likely be viewed as inconsistent with the product's design and with extensive regulatory guidance. The regulator would probably conclude that while the 2x S&P 500 allocation might be defensible given the customer profile and modest size, the recommendation to hold a 3x daily-resetting product for months, combined with the significant fee differential and predictable compounding drag, fell short of the required standard of care. The likely result would be a finding of violation focused primarily on the 3x fund recommendation and holding-period guidance, with mitigating factors reducing any sanctions. The firm's supervisory procedures for complex product approvals would also face scrutiny regarding whether they permitted multi-month holding recommendations for 3x leveraged products.

Borderline Scenario 53

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest (Rule 15l-1) u

Fact Pattern

Margaret Kowalski, age 58, is a retired schoolteacher in suburban Phoenix with a \$410,000 IRA rollover account and a modest state pension providing \$2,800/month. She has no college degree in finance but has maintained a self-directed brokerage account for roughly nine years, during which she traded individual stocks and broad-market index ETFs approximately 15-20 times per year. Her risk tolerance questionnaire, completed in January 2023, indicated 'moderate-to-aggressive' growth as her objective, with a stated 7-10 year time horizon before she would need significant withdrawals. She listed her investment knowledge as 'good' and noted experience with options (she had sold a handful of covered calls in prior years) and leveraged products (she had previously held a 2x leveraged S&P 500 ETF for approximately three weeks in 2021).

In March 2023, her financial advisor, Derek Hollis (12 years of industry experience, Series 7 and 66 licensed), recommended she allocate \$61,500-approximately 15% of her IRA-to a 2x daily-resetting leveraged ETF tracking the Nasdaq-100 index. Hollis explained verbally that the product 'amplifies daily gains and losses' and that it was 'designed for short-term tactical use.' He provided the fund's prospectus and a one-page fact sheet, both of which contained language about daily reset mechanics and the risk that returns over periods longer than one day could differ significantly from 2x the index return. Margaret signed

an acknowledgment form stating she understood the product carried 'enhanced risk and was intended for short-term trading.'

Hollis's stated rationale was that the Nasdaq-100 had been beaten down in 2022 and was poised for a strong rebound driven by artificial intelligence tailwinds, and that a tactical leveraged position could accelerate Margaret's recovery of prior-year losses of roughly \$55,000 in her tech-heavy portfolio. He told her to 'keep an eye on it' and suggested she consider exiting within 30-60 days if the trade worked, though he did not set a formal stop-loss, price target, or calendar reminder. He did not document a specific exit strategy in his notes.

The Nasdaq-100 did rally, and by mid-April 2023 the position was up approximately 24%. Margaret did not sell. Hollis did not proactively contact her. Over the following months, the index experienced two sharp pullbacks of roughly 7% each (in June and August), followed by recoveries. Due to the compounding and path-dependency effects of the daily-resetting leverage, Margaret's position was up only about 14% by late September-versus roughly 19% for a hypothetical unleveraged Nasdaq-100 ETF over the same period. Margaret continued to hold through year-end 2023.

By January 2024, Margaret's position had been held for approximately ten months. The leveraged ETF had returned roughly 38% on her \$61,500 investment (bringing it to approximately \$84,900), while an equivalent unleveraged Nasdaq-100 ETF would have returned approximately 29% over the same period (\$79,300). Margaret was satisfied with the dollar gain but had not been contacted by Hollis about the position after the initial recommendation until a routine annual review in February 2024, at which point he recommended she exit.

Margaret's daughter, a CPA, later reviewed the account and filed a complaint alleging that Hollis recommended an unsuitable complex product to an unsophisticated retiree and then failed to monitor the position, exposing her mother to unnecessary compounding risk. The firm's compliance department noted that the position ultimately generated a profit and that Margaret had signed the acknowledgment form. Hollis's branch manager had approved the initial trade ticket but had not followed up on the holding period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Hollis violated applicable standards: (1) Daily-resetting leveraged ETFs are widely recognized as complex products unsuitable for long-term holding; regulatory guidance (FINRA RN 09-31, RN 12-03) has repeatedly warned that these products are designed for sophisticated, short-term traders and that holding them beyond a single trading session introduces compounding/volatility-decay risk. (2) Margaret, despite some trading experience, is a retired schoolteacher relying on her IRA for future income; placing 15% of a retirement account in a daily-resetting 2x leveraged product raises concentration and risk-profile concerns. (3) Under Reg BI (Rule 15l-1) and FINRA Rule 2111, the advisor must have a reasonable basis for believing the recommendation is in the customer's best interest at the time it is made, considering cost, risk, and the customer's profile. (4) Hollis failed to establish any formal exit strategy, stop-loss, or monitoring protocol-a critical lapse given that the product's own prospectus warns against long-term holding. The ten-month holding period, with no proactive outreach, arguably constitutes a failure

of ongoing care. (5) FINRA RN 22-08 reinforces that firms should have robust supervisory systems for complex products, including post-trade monitoring; the branch manager's failure to follow up on the holding period suggests a supervisory gap.

Arguments that Hollis did not violate applicable standards: (1) At the time of the recommendation, the allocation was only 15% of the portfolio-a meaningful but not dominant position. (2) Margaret's risk questionnaire indicated moderate-to-aggressive growth objectives with a long time horizon, and she had prior (albeit limited) experience with leveraged ETFs and options. (3) Hollis provided the prospectus, a fact sheet, and obtained a signed acknowledgment form, satisfying disclosure obligations. (4) The recommendation had a sound tactical thesis (post-2022 Nasdaq recovery), and Hollis verbally communicated a 30-60 day intended holding period. (5) The position ultimately made money-Margaret earned approximately \$23,400 (38% return) over ten months, outperforming the unleveraged alternative by roughly \$5,600. While profitability does not by itself establish suitability, it undercuts damages claims. (6) Margaret had agency: she was told to 'keep an eye on it,' she had access to her account online, and she chose not to sell after the initial rally. (7) The product was held in a self-directed-style IRA where Margaret historically made her own trading decisions, which complicates the argument that Hollis bore sole monitoring responsibility.

The gray zone deepens because there were periods (June-September 2023) where volatility decay actually caused the leveraged ETF to underperform the unleveraged index-exactly the scenario regulators warn about-but the overall strong upward trend ultimately bailed out the position. A different market environment could have magnified losses dramatically.

Why Borderline

This scenario sits in a genuine gray area because: the product was complex and held far beyond its intended design window, which typically triggers regulatory concern-but the client had some relevant experience, signed disclosures, was told the intended time frame, and ultimately profited. The lack of a formal monitoring/exit protocol is troubling, yet the client also bore some responsibility for not acting on verbal guidance. The 15% allocation is meaningful but not extreme. Regulators have been clear that leveraged ETFs are problematic for long-term holding, but they have not categorically prohibited such recommendations to experienced retail investors. The profitable outcome does not excuse process failures but makes enforcement less likely.

Borderline Factors

- Client had limited but non-zero experience with leveraged ETFs and options, falling between sophisticated and unsophisticated
- 15% allocation is significant for a retiree but not an overwhelming concentration
- Verbal exit guidance of 30-60 days was given but never formalized or monitored
- Ten-month holding period far exceeds the product's intended daily use, but the client was aware of the short-term design
- Position was ultimately profitable, outperforming the unleveraged alternative, which undercuts harm-based arguments
- Prospectus, fact sheet, and signed acknowledgment were provided, satisfying baseline disclosure
- No proactive advisor contact for ten months despite the product's known path-dependency risks
- Branch manager approved the initial trade but performed no post-trade supervision

- Volatility decay was observable during mid-2023 pullbacks, creating periods of underperformance that went unaddressed
- Client's retirement account status heightens regulatory scrutiny versus a taxable speculative account

Likely Outcome

A regulator would most likely find a partial violation focused on the failure to monitor and the absence of a documented exit strategy, rather than deeming the initial recommendation per se unsuitable. The initial recommendation, while aggressive, was supported by some reasonable basis given the client's stated risk tolerance, prior experience, disclosure provided, and the tactical rationale. However, the complete absence of post-trade monitoring for a daily-resetting leveraged product-held for ten months in a retirement account-would likely be viewed as inconsistent with the care obligation under Reg BI and with the supervisory expectations articulated in regulatory guidance on complex products. The firm's branch-level supervision would also likely be cited as deficient. Sanctions would likely be moderate (fine, enhanced supervision requirements) rather than severe, given the absence of actual customer losses and the presence of baseline disclosure. The profitable outcome would likely reduce but not eliminate regulatory concern, because the standard evaluates the process and reasonableness at the time of recommendation and during the holding period, not solely the result.

Borderline Scenario 54

Topic: senior_investor_exploitation | Standard: FINRA Rule 2111 (Suitability) and its three component obligations (reasonable-basis,

Fact Pattern

Margaret Ellison, age 71, is a retired electrical engineer who spent 35 years at a Fortune 500 technology company. She has a \$2.1 million portfolio, a \$48,000 annual pension, Social Security income of \$2,800 per month, and no debt. Her home is fully paid off. She lists her risk tolerance as 'moderate to aggressive' on her new account form and checks the box indicating she has 'extensive' investment knowledge. She tells her advisor, Craig Fulton, at a regional broker-dealer that she spent years managing her own portfolio and is familiar with options, ETFs, and technical analysis. She subscribes to three financial newsletters and follows market commentary daily.

In March 2023, Margaret expresses strong conviction that the semiconductor sector will rally over the next several months due to the AI boom. She specifically asks Craig about a 2x leveraged daily-resetting semiconductor ETF. Craig explains that the product resets daily, that returns over periods longer than one day can deviate significantly from 2x the index return, and that in volatile or flat markets the product can lose value even if the underlying index ends up roughly where it started. He provides her the fund's prospectus and a two-page supplemental disclosure document his firm requires for leveraged products. Margaret signs an acknowledgment form indicating she understands the risks of daily-resetting leveraged ETFs.

Craig recommends she allocate no more than 8% of her portfolio-approximately \$168,000-to the 2x leveraged semiconductor ETF. Margaret agrees but over the following weeks calls Craig three times asking to increase the position. Craig declines the first two requests but on the third call, after Margaret explains she has done additional research and reiterates her understanding of volatility decay, he agrees to increase

the allocation to 14% of her portfolio, or roughly \$294,000.

Margaret holds the position for approximately five months. During that period, the underlying semiconductor index rises 18%, but due to significant intraday volatility and two sharp drawdowns of 12% and 9% that subsequently recovered, Margaret's leveraged ETF position gains only 22%-well below the 36% that a naive investor might expect from a 2x product. Margaret is disappointed but still has a positive return of roughly \$64,680.

However, she continues to hold through a turbulent October and November 2023. By late November, the semiconductor index has given back 7% from its peak but is still up 10% from her entry point. Margaret's leveraged ETF is now up only about 6% from her purchase price due to compounding effects and volatility drag, representing a gain of approximately \$17,640 on her \$294,000 position. She finally sells in December 2023 at roughly breakeven after a further dip.

Margaret's daughter, who works in banking compliance, reviews the account statements and files a complaint alleging that Craig never should have allowed a 71-year-old retiree to put \$294,000 into a leveraged daily-resetting ETF, that he failed to adequately supervise the holding period, and that the original 8% allocation was already too aggressive. The complaint notes that Margaret's other holdings are a mix of blue-chip stocks, municipal bonds, and a balanced mutual fund, and that the leveraged ETF position was inconsistent with her overall portfolio profile. Craig's firm's written supervisory procedures require a supervisor to review any leveraged or inverse ETF position monthly and to contact customers holding such products beyond 30 days, but the branch manager only conducted the first monthly review and did not follow up in subsequent months. Craig himself checked in with Margaret by phone roughly every three weeks.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Craig violated applicable standards: Margaret is 71 years old and retired, placing her in a demographic category that regulators view as particularly vulnerable. A \$294,000 position (14% of portfolio) in a 2x leveraged daily-resetting ETF represents a significant concentration in a complex product that is explicitly designed for short-term trading, not multi-month holding. Regulatory guidance in FINRA Regulatory Notices 09-31 and 22-08 specifically warns that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who plan to hold them for longer than one trading session. The fact that Craig initially set the allocation at 8% suggests he recognized the risk, and his subsequent agreement to increase it to 14% could be seen as capitulating to customer pressure rather than exercising independent professional judgment. The firm's supervisory procedures were not fully followed-the branch manager failed to conduct required monthly reviews after the first month, which is a supervision failure under FINRA Rule 3110. The product's path-dependent return profile ultimately eroded most of Margaret's gains despite the underlying index finishing positive, illustrating exactly the risk that leveraged ETF disclosures are meant to address.

Arguments that Craig acted appropriately: Margaret is not a typical unsophisticated senior investor. She is a retired engineer with 35+ years of investing experience, self-described extensive knowledge, and

demonstrated engagement with financial markets through newsletters and daily market monitoring. She specifically requested the product. Craig provided the prospectus, supplemental disclosures, and a verbal explanation of daily resetting mechanics and volatility decay. Margaret signed an acknowledgment form. The initial 8% allocation was reasonable for a \$2.1 million portfolio with moderate-to-aggressive risk tolerance and no liquidity needs beyond pension and Social Security income. Craig resisted two escalation requests before agreeing to 14%, and even at 14% the position would need to decline roughly 85% before materially threatening Margaret's financial security. Craig maintained regular contact approximately every three weeks. Margaret ultimately broke even-she did not suffer significant losses. Under Regulation Best Interest (Rule 15l-1), the recommendation must be in the customer's best interest considering the customer's investment profile, and here the customer's profile included genuine sophistication, strong conviction, adequate diversification in other holdings, and no near-term income dependence on the invested funds.

The supervisory lapse is more clear-cut: the firm's WSPs required monthly reviews that were not conducted, which is a potential violation of supervisory obligations regardless of the outcome for the customer.

Why Borderline

This scenario sits in a genuine gray zone because the customer exhibits real sophistication and financial resilience that distinguish her from the stereotypical vulnerable senior investor, yet she is still a 71-year-old retiree holding a daily-resetting leveraged product for nine months at a 14% portfolio concentration-a use case that regulators have repeatedly flagged as problematic. The advisor took meaningful steps to educate and initially restrain the customer, but ultimately accommodated an increased allocation and did not implement any stop-loss or time-based exit strategy. The customer did not lose money in absolute terms, but the path-dependent return erosion demonstrates the exact risk that makes these products complex. Reasonable practitioners could disagree on whether the advisor's disclosures and the customer's sophistication are sufficient to justify the recommendation, or whether the product is per se unsuitable for a retiree at this concentration level regardless of sophistication.

Borderline Factors

- Customer is 71 and retired, triggering heightened scrutiny for senior investors, but has genuine investment sophistication and 35+ years of self-directed investing experience
- Initial allocation of 8% was defensible; the increase to 14% at the customer's repeated insistence creates tension between respecting client autonomy and exercising professional judgment
- Advisor provided prospectus, supplemental disclosures, verbal explanation of volatility decay, and obtained signed acknowledgment-but question remains whether disclosure alone satisfies obligations for complex products
- Holding period of approximately nine months far exceeds the one-day intended holding period for daily-resetting products, but no explicit prohibition exists on longer holding
- Customer suffered no net financial loss, which complicates a damages theory but does not necessarily negate a suitability violation
- Firm supervisory procedures were not fully followed (missed monthly reviews), but the advisor himself maintained approximately tri-weekly contact
- Customer's other holdings (blue chips, munis, balanced fund) suggest a conservative-to-moderate core portfolio, making the leveraged ETF position arguably inconsistent with overall profile

- Customer's pension and Social Security fully cover living expenses, meaning the \$294,000 at risk was genuinely discretionary capital

Likely Outcome

A regulator would most likely find a supervisory violation against the firm for failing to conduct required monthly reviews of the leveraged ETF position as mandated by its own written supervisory procedures. Regarding the advisor's individual liability, the outcome is less certain. A panel or regulator could find that the initial 8% recommendation was defensible given Margaret's sophistication, financial profile, and the disclosures provided, but that agreeing to increase the allocation to 14% and failing to implement any holding-period guardrails or exit strategy for a daily-resetting product held over nine months fell below the standard of care. The most probable result would be a finding of violation with mitigating factors-the advisor took meaningful disclosure steps and the customer was genuinely sophisticated, but the extended holding period without active management of a product explicitly designed for daily trading, combined with the increased concentration at the customer's insistence, would likely be viewed as a failure to exercise reasonable diligence and professional judgment. Sanctions would likely be moderate given the absence of customer losses and the advisor's good-faith efforts at disclosure.

Borderline Scenario 55

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2111 (Suitability) requires reasonable-basis, customer-specific, and quantitat

Fact Pattern

Gerald Whitmore, age 58, is a semi-retired mechanical engineer who manages a portfolio of approximately \$1.4 million across two brokerage accounts. He has 22 years of active trading experience, holds no professional securities licenses, but has previously traded options, futures, and various ETF products. His account application lists his risk tolerance as 'aggressive,' his investment objective as 'speculation/trading,' and his time horizon as '1-3 years.' His annual income from consulting work is approximately \$95,000, and he has a paid-off home worth \$620,000. In March 2023, Gerald's financial advisor, Lena Marchetti, recommended a 3x leveraged bull semiconductor ETF as a tactical position, suggesting Gerald allocate approximately \$140,000 (roughly 10% of his liquid portfolio) to the product. Lena explained verbally that the product resets daily and is designed for short-term trading, and Gerald signed a supplemental risk disclosure acknowledging the daily-reset mechanism and potential for significant losses. Lena's internal notes from the meeting state: 'Client wants concentrated upside exposure to semiconductor sector over next several months pending AI-driven earnings cycle. Discussed daily compounding risk and volatility drag. Client comfortable with potential total loss of position.' Over the following seven months, Gerald held the position without any follow-up contact from Lena. During this period, the underlying semiconductor index experienced two sharp drawdowns of 14% and 11% respectively, interspersed with recoveries. By October 2023, the underlying index was up approximately 9% from Gerald's entry point, but his 3x leveraged ETF position was down approximately 6%, a loss of roughly \$8,400. Gerald called Lena in October to ask why his leveraged ETF was losing money when the sector was up. Lena explained volatility decay and path dependency for the first time in concrete numerical terms. Gerald stated he had not understood that the product could lose money even when the underlying index gained, despite having signed the risk disclosure. He continued holding the position. By January 2024, after further volatility, the index was up 14% from Gerald's entry, but his leveraged position was up only 18% rather than the 42% he

expected (3x the index return). Gerald filed a complaint alleging that Lena recommended a product inconsistent with his actual investment goals and failed to monitor the position or provide adequate ongoing guidance about when to exit. Lena's firm had no automated alerts or supervisory triggers for leveraged ETF positions held beyond 30 days, though the firm's product training materials stated that leveraged ETFs 'are generally not suitable for holding periods beyond one trading session.' Gerald's account generated approximately \$2,200 in commissions on the initial purchase and a subsequent partial rebalance Lena recommended in June 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents arguments cutting in both directions. On one side, several factors support the advisor's position: Gerald is a highly experienced investor with over two decades of trading history including derivatives; he self-identified as aggressive with a speculative objective; he signed a supplemental risk disclosure specifically addressing daily-reset mechanics; the position represented only 10% of his liquid portfolio, a meaningful but not devastating allocation; and the advisor's contemporaneous notes document a discussion of compounding risk and volatility drag. The recommendation of a leveraged ETF to a self-described aggressive speculator with relevant experience is not facially unreasonable. On the other side, significant concerns exist. First, the advisor recommended a product designed for single-day holding periods as a multi-month tactical position, which conflicts with the product's stated investment objective and the firm's own training materials. Second, the advisor failed to conduct any follow-up or monitoring for seven months despite the firm's materials implicitly flagging holding periods beyond one day as problematic. Third, Gerald's complaint reveals that despite signing the disclosure, he did not actually understand the concrete implications of volatility decay - suggesting the disclosure process may have been inadequate in substance even if formally completed. Fourth, Gerald's age (58) and semi-retired status introduce considerations about whether the aggressive risk tolerance designation truly captured his financial situation, as a significant loss at this life stage could materially affect his retirement security. The \$140,000 allocation, while only 10% of liquid assets, represents more than a full year of his consulting income. The absence of firm-level supervisory controls for extended holding periods of leveraged products suggests a systemic supervision gap. The June 2023 partial rebalance suggests some engagement but also raises the question of why the broader holding-period concern was not addressed at that time. The ultimate performance shortfall - earning 18% instead of the expected 42% on a 14% index gain - illustrates exactly the path-dependency risk that regulators have repeatedly highlighted with these products, though it did not result in an absolute loss.

Why Borderline

The scenario is genuinely ambiguous because it pits a sophisticated, self-directed aggressive investor who signed specific risk disclosures against an advisor who recommended a product in a manner inconsistent with its design (multi-month hold of a daily-reset product) and then failed to monitor the position. The customer's documented experience and risk tolerance strongly support the initial recommendation, but the lack of ongoing monitoring and the gap between formal disclosure and actual customer comprehension create real regulatory concerns. Reasonable practitioners could disagree about whether the advisor's obligations were satisfied at the point of recommendation or extended to ongoing position monitoring, and whether a signed disclosure is sufficient when the customer demonstrably did not grasp the key risk.

Borderline Factors

- Customer had 22 years of active trading experience including options and futures, supporting capacity to understand complex products
- Customer signed a supplemental risk disclosure specifically addressing daily-reset mechanics and volatility drag
- Position size was 10% of liquid portfolio - meaningful but not concentrated enough to be clearly unsuitable
- Advisor's contemporaneous notes document discussion of key risks at point of recommendation
- Product was recommended for a multi-month holding period despite being designed for single-day use, conflicting with the product's own prospectus guidance
- No follow-up contact or monitoring for seven months despite firm materials flagging holding periods beyond one day
- Customer demonstrably did not understand volatility decay despite signing disclosure, raising questions about informed consent
- Customer's semi-retired status at age 58 creates tension with aggressive risk designation
- Firm lacked automated supervisory alerts for extended holding of leveraged ETFs
- Actual losses were modest in absolute terms (\$8,400 at one point, with position ultimately profitable) rather than catastrophic

Likely Outcome

A regulator would most likely find a partial violation, focused primarily on the failure to monitor and supervise the position rather than on the initial recommendation itself. The initial recommendation to an experienced, aggressive investor with appropriate disclosure is defensible, though not without criticism given the multi-month intended holding period. However, the complete absence of monitoring for seven months, combined with the firm's own materials stating leveraged ETFs are generally unsuitable for holding beyond one session, creates a strong supervisory failure argument. The advisor's obligation likely extended beyond point-of-sale to include reasonable ongoing attention to a position in a product specifically known for time-decay risk. The firm's lack of automated alerts would likely be cited as a supervisory deficiency. Mitigating factors include the customer's sophistication, the signed disclosure, the moderate position size, and the fact that the position was ultimately profitable (albeit underperforming expectations). Any sanctions would likely be moderate - enhanced supervision requirements, potential fine, and mandatory additional training rather than severe penalties.

Borderline Scenario 56

Topic: failure_to_know_customer | Standard: FINRA Rule 2111 (Suitability) - particularly 2111(a) requiring reasonable-basis, custom

Fact Pattern

Marcus Trellini, a financial advisor at a mid-sized regional broker-dealer in Denver, Colorado, had been working with client Diane Kowalski, age 58, since 2019. Kowalski was a retired electrical engineer with a \$1.4 million portfolio, a state pension generating \$62,000 annually, and no dependents. Her account documents from the initial onboarding in 2019 listed her investment objective as 'growth,' her risk tolerance as 'moderate-to-aggressive,' her time horizon as '10+ years,' and her investment experience as 'extensive,'

noting she had previously managed her own portfolio of individual stocks and options for over 15 years. Kowalski had a liquid net worth of approximately \$1.8 million and no outstanding debts.

In March 2022, Kowalski contacted Trellini and expressed strong conviction that the technology sector was entering a prolonged downturn due to rising interest rates and overvaluation. She asked Trellini about ways to profit from a decline in the Nasdaq-100. Trellini discussed several alternatives, including buying put options, shorting individual tech stocks, and inverse ETFs. Kowalski said she preferred something 'simple and straightforward' and didn't want the margin requirements of short selling.

Trellini recommended a 3x leveraged inverse Nasdaq-100 ETF (ticker: SQQQ), explaining that it was designed to deliver three times the inverse of the Nasdaq-100's daily return. During a recorded phone call, Trellini told Kowalski that the product 'resets daily, so it's really designed for short-term tactical positions - most people hold it for days to a couple of weeks.' Kowalski responded, 'I understand that, but I think this downturn could last months. I'll keep an eye on it.' Trellini allocated \$140,000 - approximately 10% of her portfolio - to the position in late March 2022.

Trellini's notes from the call documented Kowalski's bearish thesis and her statement that she intended to monitor the position. However, he did not document any specific plan for periodic review, did not set any stop-loss or time-based exit parameters, and did not update her customer account profile to reflect any change in her investment objectives or the addition of leveraged products to her experience profile. His firm's new account form, last updated in 2019, contained no checkbox or field for 'experience with leveraged/inverse products' specifically.

The Nasdaq-100 fell roughly 12% between late March and mid-June 2022, during which time the SQQQ position gained approximately 28%, reaching about \$179,000 in value. Kowalski emailed Trellini on June 10 saying 'Looks like our thesis is playing out - I want to stay in.' Trellini responded via email: 'Great, just remember this is a daily-resetting instrument. The longer you hold, the more the compounding effect can work against you, especially in choppy markets. But your call - it's your money.' He did not follow up further or flag the position for supervisory review.

Between June and December 2022, the Nasdaq-100 experienced significant volatility - multiple swings of 5-8% in both directions over short periods - but ended the period roughly flat relative to its mid-June level. Despite the index being approximately 12% below its late March starting point by year-end, Kowalski's SQQQ position had eroded due to volatility decay and daily compounding, falling from its \$179,000 peak to approximately \$108,000 by December 30, 2022 - a loss of about \$32,000 from her original \$140,000 investment, even though the index had moved in her predicted direction overall.

Kowalski finally sold the position in January 2023 at approximately \$95,000, realizing a total loss of \$45,000. She subsequently filed a complaint alleging that Trellini failed to adequately understand her intention to hold the product long-term and failed to update her customer profile or implement any monitoring system appropriate for such a complex product. Trellini's firm countered that Kowalski was a sophisticated investor who was explicitly warned - both orally and in writing - about the risks of holding the product beyond a short-term horizon, and that she affirmatively chose to maintain the position against his cautionary advice.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuine tension between an advisor's duty to know the customer and maintain an updated profile versus the customer's autonomy and demonstrated sophistication.

Arguments that Trellini violated applicable standards:

1. ****Failure to update the customer profile****: Under FINRA Rule 2111 and Reg BI (Rule 15l-1), a broker must make reasonable efforts to know the customer's investment profile. Trellini's firm had not updated Kowalski's new account form since 2019 - three years before the leveraged inverse ETF purchase. The form lacked any specific field for experience with leveraged/inverse products, and Trellini never updated it to reflect this new dimension of Kowalski's investing activity. FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs are 'typically unsuitable for retail investors who plan to hold them for longer than one trading session' and places affirmative obligations on firms to understand customer intent regarding holding period.
2. ****Inadequate monitoring and follow-up****: FINRA RN 22-08 on complex products emphasizes that firms must implement reasonably designed policies for ongoing supervision of complex product positions. Trellini set no review dates, stop-losses, or escalation triggers. When Kowalski expressed intent to hold beyond the short-term window in June, Trellini's response - while containing a warning - was passive and did not escalate to supervision or formally document a reassessment of whether the continued holding was suitable.
3. ****Insufficient documentation of the initial recommendation****: While Trellini's notes captured Kowalski's bearish thesis, they did not document a specific assessment of why a 3x leveraged inverse product was appropriate rather than a 1x inverse ETF, put options, or other alternatives that might not carry the same degree of path dependency risk. FINRA's care obligation under Reg BI requires consideration of reasonably available alternatives.
4. ****The 10% allocation to a daily-resetting 3x leveraged product****: Even for a moderate-to-aggressive investor with extensive experience, allocating \$140,000 to a single 3x leveraged inverse product with daily reset carries concentration and complexity risks that warranted enhanced scrutiny.

Arguments that Trellini acted reasonably:

1. ****Customer sophistication and autonomy****: Kowalski was a 58-year-old retired engineer with 15+ years of self-directed investing experience including options trading. She had a clear, articulate investment thesis, understood the product's daily-reset mechanism (as evidenced by the recorded call), and made an informed, autonomous decision to hold. Under Reg BI's care obligation, the advisor must act in the customer's best interest but is not required to override a knowledgeable customer's informed investment decisions.

2. **Explicit and documented warnings**: Trellini warned Kowalski both verbally (on a recorded call) and in writing (via email in June) about the risks of holding the product long-term and the compounding/volatility decay effects. He specifically used the phrase 'daily-resetting instrument' and warned about 'choppy markets.' This demonstrates reasonable disclosure.

3. **Reasonable initial allocation**: The \$140,000 position was approximately 10% of her \$1.4M portfolio and roughly 7.8% of her total liquid net worth. Given her risk tolerance, pension income providing baseline needs, and no dependents, this was not an outsized allocation relative to her overall financial picture. The ultimate \$45,000 loss represented about 2.5% of her liquid net worth.

4. **The product initially performed as intended**: The SQQQ gained 28% during the initial downturn, validating both Kowalski's thesis and the recommendation for the period it was designed to cover. The losses resulted from Kowalski's independent decision to continue holding through a volatile, range-bound market - precisely the scenario Trellini warned her about.

5. **Customer-directed hold**: The June email clearly shows Kowalski directing Trellini to maintain the position after being warned. Trellini did not recommend holding; the customer insisted.

Why Borderline

This case sits at the intersection of advisor duty and client autonomy. Trellini demonstrably warned Kowalski about the key risk that ultimately materialized, and she was a sophisticated investor who chose to hold. However, the advisor's customer profile was stale, lacked specific leveraged product experience documentation, and no formal monitoring framework was established - all of which are emphasized in regulatory guidance on complex products. The question of whether passive acquiescence to a sophisticated client's informed choice, after documented warnings, constitutes a failure to know the customer is genuinely debatable. The loss amount (\$45,000 on a \$1.8M liquid net worth) was material but not devastating, further complicating the proportionality analysis.

Borderline Factors

- Customer had 15+ years of self-directed investing experience including options, suggesting genuine sophistication, but had no documented prior experience with leveraged/inverse ETFs specifically
- Advisor provided explicit verbal and written warnings about daily reset and volatility decay risks, but took no concrete follow-up action when client ignored those warnings
- Customer affirmatively directed the hold decision after being cautioned, creating tension between advisor duty and client autonomy
- 10% portfolio allocation is within reasonable bounds for a moderate-to-aggressive investor but was concentrated in a single 3x leveraged product
- Customer account profile had not been updated in three years and lacked any field for leveraged product experience
- The firm had no specific supervisory protocol triggered by leveraged ETF holding periods exceeding a defined threshold
- The \$45,000 loss was meaningful but represented only 2.5% of liquid net worth, and the client had stable pension income covering living expenses
- Path dependency and volatility decay - the precise risk warned about - caused the loss, raising the question of whether the advisor bears responsibility when the client was informed of and accepted that

exact risk

Likely Outcome

A regulator would most likely find a partial violation focused on the procedural and documentation failures rather than the substance of the initial recommendation. Specifically, a panel or examiner would likely conclude that: (1) the initial recommendation of SQQQ was marginally suitable given Kowalski's profile, bearish thesis, and the tactical nature of the position; (2) however, the failure to update the customer profile, the absence of any formal monitoring or review framework for the leveraged position, and the lack of supervisory escalation when the client expressed intent to hold long-term constituted deficiencies under the duty to know the customer and the firm's complex products supervision obligations. The advisor's documented warnings would serve as significant mitigating factors, likely reducing any sanctions. The firm itself might face greater scrutiny for lacking leveraged ETF-specific supervisory procedures. Probable outcome: a cautionary action or fine in the lower range, with the firm receiving a deficiency letter regarding its supervisory framework for complex products, rather than a severe sanction against the individual advisor.

Borderline Scenario 57

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2111 (Suitability - reasonable basis, customer-specific, and quantitative con*

Fact Pattern

Marcus Delaney, age 52, is a semi-retired aerospace engineer who left his full-time corporate position in 2021 but continues to earn approximately \$85,000 annually through part-time consulting. His liquid investment portfolio totals \$1.4 million, with an additional \$600,000 in retirement accounts. He has traded options actively for over 15 years and maintains a margin account. His account documents list his risk tolerance as 'aggressive,' his investment objective as 'growth,' and his time horizon as '5-10 years.' He has no immediate liquidity needs, as his consulting income covers his living expenses.

In March 2023, Marcus contacted his financial advisor, Patricia Wynn, at a mid-sized broker-dealer, and expressed a strong conviction that the semiconductor sector was poised for a sustained rally over the next 12 to 18 months due to growing AI demand. He asked Patricia about leveraged ETFs that tracked semiconductor indices. Patricia recommended a 3x daily-leveraged semiconductor ETF and explained that it was designed to deliver three times the daily return of the underlying index. She provided Marcus with a product fact sheet and verbally noted that the fund resets daily and that holding it for longer periods could produce returns that diverge significantly from three times the index's cumulative return, particularly in volatile or choppy markets.

Marcus acknowledged this and told Patricia he understood the compounding effect from his options trading experience. He said he planned to hold the position for 'several months at least, probably closer to a year,' and would monitor it actively. Patricia documented this conversation in her notes but did not send a follow-up written disclosure or require Marcus to sign any additional acknowledgment specific to leveraged products. She also did not set any stop-loss levels, rebalancing triggers, or scheduled review dates for the position.

Marcus invested \$210,000 - approximately 15% of his liquid portfolio - into the 3x leveraged semiconductor ETF. The semiconductor sector experienced significant volatility over the following nine months: the underlying index ultimately gained approximately 18% on a cumulative basis, but along a highly choppy path with multiple drawdowns exceeding 10%. Due to the daily-reset compounding effect (volatility decay), the 3x leveraged ETF returned only about 21% over that period - far less than the roughly 54% ($3 \times 18\%$) Marcus had anticipated. While Marcus did not lose money in absolute terms, he calculated that the volatility drag cost him approximately \$69,000 in expected gains compared to a hypothetical product that simply delivered 3x the cumulative index return.

Marcus filed a complaint alleging that Patricia failed to adequately explain the risks of long-term holding and that the product was unsuitable for his stated 12-to-18-month holding period. He argued that a 3x leveraged ETF was fundamentally incompatible with anything other than intraday or very short-term tactical trading. Patricia's firm countered that Marcus was a highly sophisticated investor with extensive derivatives experience, that the position represented a reasonable allocation of his portfolio, that he earned a positive return, and that Patricia had verbally explained the daily-reset mechanism and path-dependency risk. The firm also noted that Marcus had stated he would actively monitor the position, and that he chose not to exit despite having full authority and knowledge to do so at any time during the nine-month holding period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuine tension between investor sophistication and the structural unsuitability of daily-resetting leveraged products for multi-month holding periods.

Arguments that a violation occurred:

1. Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Rule 15l-1 under the Exchange Act), a financial advisor must have a reasonable basis to believe that a recommendation is suitable for the particular customer. FINRA Regulatory Notices 09-31 and 09-31 explicitly warn that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who plan to hold them for longer than one trading session, due to the mathematical certainty of volatility decay (path dependency) eroding returns in choppy markets.
2. FINRA RN 09-31 specifically states that 'inverse and leveraged ETFs that are reset daily typically are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' Marcus explicitly told Patricia he planned to hold for 12-18 months. A recommendation of a 3x daily-leveraged product for that holding period arguably fails the customer-specific suitability obligation regardless of the investor's sophistication.
3. Under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)(B)), the advisor must exercise reasonable diligence, care, and skill to understand the risks and rewards of the recommendation and have a reasonable basis to believe it is in the customer's best interest. The structural mismatch between a daily-reset product and a multi-month holding horizon raises questions about whether this standard was met.

4. FINRA RN 22-08, addressing complex products, emphasizes heightened supervisory and disclosure obligations. Patricia did not provide written risk disclosure specific to leveraged ETFs, did not establish monitoring protocols, stop-losses, or periodic review triggers. The firm's supervisory system apparently did not flag a \$210,000 position in a 3x leveraged product held for nine months.

5. The verbal disclosure, while documented in notes, may be insufficient. FINRA guidance and Reg BI's Disclosure Obligation contemplate that material risks should be communicated clearly and prominently, and many firms require written acknowledgments for complex products.

Arguments that no violation occurred:

1. Marcus was demonstrably sophisticated - 15 years of active options trading experience, an engineering background, and an aggressive risk profile. He was not a typical retail investor unfamiliar with leverage, compounding, or path dependency.

2. Marcus did not lose money. He earned a 21% return (\$44,100) on a \$210,000 investment over nine months. His complaint is essentially about opportunity cost relative to a hypothetical product that does not exist in the market. Suitability and best interest standards are generally evaluated based on the information known at the time of recommendation, not hindsight.

3. The position represented 15% of his liquid portfolio - a meaningful but not dominant allocation for an investor with an aggressive risk tolerance, no immediate liquidity needs, and income covering expenses. This is not a case of concentration destroying a retiree's nest egg.

4. Patricia did explain the daily-reset mechanism and path-dependency risk verbally, and documented the conversation. Marcus acknowledged understanding. He also represented he would actively monitor the position. At any point during the nine months, Marcus could have exited - he chose not to.

5. FINRA RN 09-31 uses the word 'typically' when stating these products are unsuitable for longer holding periods - it does not create an absolute prohibition. For a sophisticated investor with active monitoring capability and an aggressive profile making a tactical sector bet with a minority allocation, a reasonable advisor could conclude the recommendation was suitable.

6. The underlying thesis (semiconductor rally driven by AI) proved correct. The product delivered a positive return. The 'harm' is relative underperformance due to a well-known mathematical property that the customer acknowledged understanding.

Why Borderline

This case sits at the intersection of several competing considerations. The regulatory guidance strongly disfavors long-term holding of daily-leveraged ETFs, but it does not create an absolute prohibition, and the customer here was unusually sophisticated and experienced with leveraged instruments. The position size was significant but not reckless relative to the portfolio. The advisor provided verbal but not written disclosure. The customer suffered no actual loss - only underperformance relative to expectations. Reasonable regulators could disagree on whether sophistication and positive returns overcome the

structural mismatch between the product's design and the stated holding period, and whether verbal disclosure plus documentation meets the heightened obligations for complex products.

Borderline Factors

- Customer had 15+ years of active options trading experience and an engineering background, suggesting genuine understanding of leverage and compounding
- The 12-to-18-month intended holding period directly conflicts with regulatory guidance that daily-reset leveraged ETFs are designed for single-session holding
- Position was 15% of liquid assets - meaningful but not portfolio-destroying concentration
- Advisor provided verbal explanation of daily-reset and path-dependency risk and documented it, but did not provide written disclosure or obtain written acknowledgment
- No stop-loss orders, rebalancing triggers, or periodic review schedule was established despite the known risks of extended holding
- Customer earned a positive absolute return (21%) and suffered only relative underperformance versus expectations
- Customer had full ability to exit at any time during the nine-month period and chose not to
- Customer explicitly stated he would actively monitor the position
- Firm supervisory system did not flag extended holding of a 3x leveraged ETF
- The 'aggressive' risk tolerance and 'growth' objective on file are facially consistent with leveraged products, though the 5-10 year time horizon is not

Likely Outcome

A regulator would most likely find a partial violation, primarily centered on inadequate disclosure procedures and supervisory deficiencies rather than a fundamental suitability failure. The recommendation itself is defensible given the customer's sophistication, aggressive profile, and minority allocation. However, the lack of written risk disclosure specific to leveraged ETFs, the absence of any monitoring protocol or review triggers for extended holding, and the firm's failure to flag the position through supervisory systems would likely be cited as failures under complex product supervision standards. The regulator would probably not award full damages (given positive returns and customer sophistication) but might impose a censure, fine, or require enhanced procedures. A panel might find the advisor should have either refused the recommendation for the stated holding period or implemented robust written disclosures and active monitoring protocols with pre-set exit criteria.

Borderline Scenario 58

Topic: leveraged_etf_unsuitable | Standard: FINRA Rule 2111 (Suitability); SEC Regulation Best Interest, Rule 15l-1, including the C

Fact Pattern

Gerald Whitfield, age 52, is a senior mechanical engineer earning \$185,000 annually with a net worth of approximately \$1.4 million, including a \$620,000 401(k) and \$310,000 in a taxable brokerage account at Ridgeview Financial. Gerald has been actively trading for over 15 years and maintains a separate day-trading account at another broker-dealer where he frequently uses options and futures. His risk tolerance on file at Ridgeview is marked 'aggressive,' and his investment objective is listed as 'growth/speculation.' He told his advisor, Marcus Chen, on multiple occasions that he closely follows

semiconductor stocks and has strong conviction that the sector would outperform over the next 12 to 18 months based on AI-driven demand.

In March 2023, Marcus recommended that Gerald allocate \$62,000 (approximately 20% of the taxable account) into a 3x leveraged daily-resetting semiconductor ETF. Marcus explained that the product resets daily and that long-term returns could diverge significantly from 3x the underlying index return, particularly in volatile or sideways markets. Gerald signed a supplemental risk disclosure specific to leveraged products that Ridgeview required, which included a hypothetical table showing how a 3x leveraged fund could lose money even if the underlying index was flat over 60 trading days. Marcus also emailed Gerald a brief written summary noting that the fund was 'designed for short-term tactical use' and that holding beyond 30 days 'increases the risk of return divergence from the benchmark.'

Gerald held the position for approximately nine months, through December 2023. During this period, the underlying semiconductor index rose approximately 26%. However, due to significant intraday volatility spikes-particularly in May and October 2023-and the compounding mechanics of the daily reset, the 3x leveraged ETF returned only about 54%, well short of the 78% ($3 \times 26\%$) a naive investor might have expected. Gerald's \$62,000 grew to approximately \$95,500, a gain of roughly \$33,500. Nevertheless, Gerald filed a complaint alleging that Marcus should not have recommended the product for anything beyond a few weeks and that Marcus failed to monitor the position or proactively contact him to suggest trimming or closing it as months passed. Gerald argued that \$16,500 in 'lost' returns (the difference between 78% of \$62,000 and his actual gain) represented damages caused by structural decay.

Marcus's records show that Gerald logged into his account an average of four times per week and that Gerald independently added \$8,000 to the same leveraged ETF position in July 2023 without consulting Marcus. Marcus did not send any follow-up communications after the initial purchase recommending that Gerald exit or reduce the position. Ridgeview's internal compliance system flagged the leveraged ETF holding at 60 days and again at 90 days, generating automated alerts, but the branch manager reviewed the alerts and noted Gerald's experience and aggressive profile before clearing them without requiring further action. Gerald has no history of complaints and has never claimed unfamiliarity with complex products.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Marcus violated applicable standards:

1. Under FINRA Rule 2111 (Suitability) and SEC Regulation Best Interest (Rule 15l-1), a recommendation must be suitable and in the customer's best interest at the time it is made, and there is an ongoing obligation regarding recommended strategies. FINRA Regulatory Notices 09-31 and 12-03 specifically warn that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because volatility decay and path dependency erode returns over time. The initial recommendation of a 3x leveraged product for a position that the customer explicitly described as a 12-to-18-month thesis raises questions about whether the product matched the customer's stated time horizon.

2. FINRA RN 22-08 reinforces heightened supervision obligations for complex products, including leveraged ETFs, and expects firms to implement reasonably designed policies to evaluate whether such products are in the customer's interest. While Marcus provided disclosures, providing a disclosure does not cure an unsuitable recommendation-disclosure is not a defense to a fundamentally mismatched product-to-time-horizon pairing.

3. Marcus failed to follow up or recommend closing the position as months passed, despite knowing that the product was designed for short-term use and despite the firm's own compliance alerts at 60 and 90 days. Under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)(B)), when a recommendation involves an investment strategy with a temporal dimension-such as daily resetting-failure to monitor or follow up may constitute a deficiency.

Arguments that Marcus did NOT violate applicable standards:

1. Gerald is a highly sophisticated, experienced trader with 15+ years of active trading, separate accounts using options and futures, an aggressive risk profile, and a high income and net worth. He signed specific leveraged-product risk disclosures and received a written explanation of daily-reset mechanics and return divergence. He independently added to the position months later, demonstrating autonomous decision-making and continued conviction.

2. The position represented approximately 20% of one account (roughly 4.4% of total net worth), which is not an outsized concentration for an aggressive speculative investor. Gerald logged in to his account roughly four times per week, meaning he was actively monitoring the position and could have exited at any time.

3. Critically, Gerald did not lose money. He earned approximately \$33,500 (a 54% return in nine months). His complaint is about underperformance relative to a theoretical linear 3x return, not actual losses. The concept of 'volatility decay damages' when the investor is still profitable is a difficult theory to sustain in arbitration or regulatory proceedings.

4. The branch manager reviewed and cleared the automated compliance alerts after considering Gerald's profile, which suggests supervisory review did occur. FINRA RN 09-31 does not impose an absolute prohibition on holding leveraged ETFs beyond one day-it warns that such holding periods require careful analysis of whether the product remains suitable.

5. Under Reg BI, the obligation attaches to the recommendation, not to an ongoing monitoring duty (unlike the fiduciary duty under the Investment Advisers Act). Marcus made the recommendation and provided appropriate disclosures at the point of sale. Whether there was an ongoing duty to recommend exit depends on whether the account is advisory or brokerage; the facts suggest a brokerage account where ongoing monitoring obligations are more limited.

Why Borderline

This scenario is genuinely ambiguous because it pits strong customer-sophistication and

profitable-outcome factors against the well-documented regulatory concern that daily-resetting leveraged ETFs are structurally unsuitable for multi-month holding periods. The customer's own stated 12-to-18-month time horizon arguably conflicts with the product's design, yet the customer demonstrably understood the risks, added to the position independently, monitored it constantly, and still made a substantial profit. The advisor provided meaningful disclosure but did not proactively recommend an exit as months passed, and the firm's compliance system flagged the holding but the branch manager cleared the alerts. Reasonable regulators could disagree about whether the initial recommendation was flawed given the time-horizon mismatch, or whether the customer's sophistication, active involvement, and profitable outcome render the complaint meritless.

Borderline Factors

- Customer's stated 12-to-18-month investment thesis conflicts with a daily-resetting product's design purpose, but the advisor disclosed the mismatch explicitly in writing
- Customer is highly experienced with complex products and actively trades options and futures in a separate account, cutting against a finding of unsuitability
- Customer independently added to the position months after the initial recommendation without advisor involvement, suggesting autonomous decision-making
- Position was profitable (54% gain in 9 months) despite volatility decay, undermining a traditional damages theory
- Advisor provided both oral and written disclosures about daily-reset mechanics and return divergence but did not proactively recommend closing the position over the nine-month holding period
- Firm compliance system generated automated alerts at 60 and 90 days that were reviewed and cleared by the branch manager, raising questions about whether supervisory review was adequate or perfunctory
- The allocation (20% of one account, ~4.4% of net worth) is meaningful but not extreme for an aggressive speculative investor
- Customer logged in approximately four times per week, demonstrating ongoing awareness and ability to exit independently

Likely Outcome

A regulator would most likely find no violation, though it would be a close call that could result in a cautionary letter or heightened scrutiny of the firm's supervision. The combination of the customer's documented sophistication, the explicit written disclosures about daily-reset risk, the customer's independent decision to add to the position, the profitable outcome, and the branch manager's review of compliance alerts would likely tip the balance. However, the regulator might note that the initial recommendation of a daily-resetting 3x leveraged product to an investor with a stated 12-to-18-month holding period is difficult to square with the product's intended use, and that the advisor should have either recommended a non-leveraged sector ETF or established a clear exit timeline. The absence of any follow-up communication over nine months, despite knowing the product's temporal limitations, could be cited as a supervisory deficiency at the firm level even if the individual advisor escapes a suitability finding.

Borderline Scenario 59

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2111 (Suitability)* requires that a recommended transaction or investment s

Fact Pattern

Marcus Henley, age 34, is a software engineer at a publicly traded technology company earning \$215,000 per year. He has approximately \$180,000 in a 401(k), \$45,000 in a Roth IRA, and \$95,000 in a taxable brokerage account at Ridgeline Wealth Partners. He has no debt other than a \$2,100 monthly apartment lease and has stable employment with strong future earning potential. His new account form lists his risk tolerance as 'aggressive,' his investment time horizon as '20+ years,' and his investment objective as 'growth.' He has seven years of self-directed trading experience, including options and single-stock positions, and passed his employer's internal equity compensation training. In March 2023, Marcus met with his advisor, Denise Kowalski, to discuss his taxable account. He told Denise he had been reading academic research suggesting that leveraged index products could be beneficial for younger investors with long time horizons and high risk tolerance, and he wanted to allocate roughly 40% of his taxable account - about \$38,000 - to a 2x daily-leveraged S&P 500 ETF. Denise discussed with Marcus that the product resets daily and that over periods longer than one day, the returns can deviate significantly from twice the index return - sometimes positively, sometimes negatively - depending on volatility. She showed him a historical backtest illustrating a hypothetical scenario where a 2x leveraged S&P 500 ETF lost 15% over a 12-month period while the underlying index gained 2%, and another scenario where the leveraged product outperformed over a multi-year bull market. She documented in her notes that Marcus understood path dependency and volatility decay and stated he was 'comfortable with the possibility of significant drawdowns.' She also noted his remaining 60% of the account would stay in diversified equity index funds. Marcus signed a leveraged/inverse product acknowledgment form. Denise processed the trade. Over the next 18 months, Marcus held the position without rebalancing. By September 2024, the S&P 500 had risen approximately 32%, and his 2x leveraged ETF position had gained approximately 71%, growing to roughly \$65,000. However, during this period, there were two sharp corrections where the leveraged ETF temporarily declined 28% and 19% respectively, and Marcus called Denise during the second drawdown expressing concern. Denise reminded him of their original discussion and suggested he could reduce the position if his risk tolerance had changed, but Marcus elected to hold. In a subsequent internal compliance review, a supervisor flagged the recommendation as potentially unsuitable, noting that daily-resetting leveraged products are generally considered inappropriate for long-term holding periods and that the firm's internal guidance memo from 2021 stated that leveraged ETFs 'should typically not be recommended for holding periods exceeding 30 days absent documented justification.' Denise's documentation showed she had provided the justification memo at the time of the original recommendation, referencing Marcus's age, income stability, risk tolerance, and the academic literature Marcus had brought to her attention, but the supervisor noted the memo did not include a specific rebalancing plan or stop-loss parameters.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Denise violated applicable standards: Daily-resetting leveraged ETFs are widely understood to be designed for short-term tactical use. The product's prospectus and extensive regulatory guidance emphasize that holding these products for extended periods exposes investors to volatility decay and path-dependent returns that can result in significant deviation from the expected leveraged return of the underlying index. The firm's own internal policy stated that leveraged ETFs should generally not be held beyond 30 days without documented justification, and while Denise provided some justification, she failed to include a rebalancing schedule or risk mitigation framework, which the firm's policy arguably

contemplated. The absence of a concrete exit strategy or periodic review protocol could be seen as a failure of reasonable diligence. Furthermore, the fact that Marcus called during a drawdown expressing concern could suggest his actual risk tolerance was lower than documented. A regulator could argue that a prudent advisor would have established guardrails - such as automatic rebalancing triggers or periodic mandatory reviews - rather than simply processing a buy-and-hold leveraged ETF position.

Arguments that Denise acted appropriately: Marcus is a young, high-income, financially sophisticated investor with a documented aggressive risk profile, long time horizon, and substantial human capital (future earnings). The 2x leveraged ETF allocation represented only about 12% of his total investable assets (\$38,000 of roughly \$320,000 across all accounts) and 40% of a single taxable account. The academic literature Marcus referenced - and which has gained increasing attention - does suggest that for sufficiently risk-tolerant investors with long horizons, modest leverage on broad index exposure can be welfare-enhancing, particularly when human capital is considered. Denise provided detailed disclosures about path dependency and volatility decay, showed both favorable and unfavorable historical scenarios, obtained a signed acknowledgment, and documented the client's understanding and acceptance of risks. When Marcus expressed concern during a drawdown, she proactively offered to reduce the position - she did not pressure him to hold. The product ultimately performed well over the 18-month period. Denise did provide written justification for the extended holding period, even if it lacked specific rebalancing parameters. The recommendation was client-initiated, well-documented, and proportionate to the client's overall financial picture.

Why Borderline

This case sits at the intersection of evolving academic understanding of leveraged ETFs for long-term use and longstanding regulatory skepticism about holding daily-resetting products beyond their intended short-term design. The client profile - young, high-earning, sophisticated, aggressive risk tolerance, diversified overall - is arguably the strongest possible case for such a recommendation. The advisor provided meaningful disclosure and documentation. However, the firm's own internal policy suggested a 30-day holding guideline, and the advisor's justification memo lacked a concrete rebalancing or monitoring framework. The client's mid-drawdown anxiety call introduces ambiguity about whether his documented risk tolerance accurately reflected his true capacity for volatility. Reasonable compliance professionals could disagree on whether the advisor's documentation was sufficient to justify deviation from both the firm's internal guidance and the broader industry norm against long-term leveraged ETF holding.

Borderline Factors

- Client is young (34), high-income (\$215K), with 20+ year horizon - the academic case for leveraged index exposure is strongest for this profile
- Position represented only ~12% of total investable assets across all accounts, limiting concentration risk
- Firm internal policy created a soft 30-day holding guideline - advisor provided written justification but without a specific rebalancing plan or stop-loss framework
- Client initiated the idea based on academic research and had 7 years of trading experience including derivatives
 - Advisor provided both favorable and unfavorable historical scenarios and obtained signed acknowledgment form
- Client's mid-drawdown phone call expressing concern introduces ambiguity about whether documented aggressive risk tolerance matched actual behavioral risk tolerance

- Product ultimately performed well (71% gain vs. 32% index gain), though outcome is not dispositive of suitability at time of recommendation
- Emerging academic literature supports potential welfare gains from leveraged index products for risk-tolerant long-horizon investors, creating tension with traditional regulatory guidance

Likely Outcome

A regulator would likely find a technical deficiency but not a clear-cut violation. The advisor's failure to establish a specific rebalancing protocol or periodic review schedule - particularly given the firm's internal 30-day holding guidance - would likely be criticized as insufficient process and documentation, potentially resulting in a supervisory finding or enhanced supervision requirement. However, the strength of the client profile (young, high-income, sophisticated, aggressive, diversified), the thorough disclosure, the client-initiated nature of the recommendation, and the modest allocation relative to total assets make it unlikely a regulator would conclude the recommendation itself was fundamentally unsuitable. The most probable outcome is a supervisory deficiency letter to the firm regarding its oversight of leveraged product holding periods, with a requirement for Denise to implement a formal periodic review protocol for the position going forward, rather than a personal suitability violation finding against the advisor.

Borderline Scenario 60

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2111 (Suitability - reasonable-basis, customer-specific, and quantitative co*

Fact Pattern

Marcus Pellegrini, a registered representative at a mid-size broker-dealer in Phoenix, Arizona, had been working with client Diane Ostrowski since 2019. Ostrowski, age 54, was a semi-retired aerospace engineer who had taken early retirement with a \$1.8 million 401(k) rollover IRA and a separate taxable brokerage account with approximately \$420,000. Her new account form, completed in February 2019, listed her risk tolerance as 'moderate to aggressive,' her investment objective as 'growth,' her annual income as \$62,000 (from consulting and rental properties), her liquid net worth as \$2.4 million, and her investment experience as '15+ years - stocks, options, mutual funds.' She held a bachelor's degree in electrical engineering and an MBA. She indicated a time horizon of '10+ years' and noted she had no immediate liquidity needs.

In March 2021, during a phone call, Ostrowski told Pellegrini she was concerned about a potential market downturn and wanted 'some kind of hedge' in her taxable account. She mentioned she had read about leveraged and inverse ETFs online and thought they could be useful. Pellegrini discussed several options with her and ultimately recommended she allocate \$63,000 - approximately 15% of her taxable account - into a 2x leveraged inverse S&P 500 ETF (a daily-resetting product). He explained that the product was designed to deliver twice the inverse daily return of the S&P 500 and mentioned that performance could diverge from the index over longer periods. He did not, however, update her account profile or conduct any additional documentation regarding her understanding of compounding effects, volatility decay, or path dependency. He did not provide her with the ETF's prospectus or the issuer's educational materials about daily resetting mechanics. The firm's internal product classification system flagged leveraged and inverse ETFs as 'complex/speculative' products requiring a supervisor's written pre-approval before purchase, and the firm's compliance manual stated that advisors should document the client's specific understanding of daily-resetting risks. Pellegrini obtained his branch manager's verbal approval over the phone on the same

day as the trade, but no written pre-approval was documented before execution.

Ostrowski held the position for 14 months - from March 2021 through May 2022. During this period, the S&P 500 experienced significant volatility: it rose approximately 18% from March to December 2021, then declined roughly 15% from January through May 2022. Despite the fact that the index was only modestly higher on a net basis over the full 14-month period, Ostrowski's 2x inverse position lost approximately \$29,400, or roughly 47% of the initial investment, due to the compounding and volatility decay effects inherent in daily-resetting leveraged products.

Pellegrini did not initiate any follow-up conversations specifically about the inverse ETF position during the 14-month holding period. His normal practice was quarterly portfolio reviews, and he conducted four such reviews with Ostrowski. He stated in his notes that they 'discussed overall portfolio performance and market outlook' during each review but did not specifically document whether the inverse ETF was discussed or whether he recommended she exit or reduce the position. Ostrowski later said she assumed the product would function as a straightforward long-term hedge against market declines and did not realize the extent to which daily resetting would erode value in a volatile but sideways-to-up market.

After liquidating the position at a \$29,400 loss, Ostrowski filed a complaint alleging that Pellegrini failed to adequately understand and document her knowledge level regarding complex products, failed to explain the material risks of holding a daily-resetting leveraged inverse ETF beyond a single trading day, and failed to monitor the position. Pellegrini responded that Ostrowski was a highly educated, experienced investor who specifically requested a hedging product, that the allocation represented a modest percentage of her overall portfolio, that he did explain performance divergence over time, and that her documented risk tolerance and investment experience supported the recommendation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario involves intersecting issues of know-your-customer obligations, complex product supervision, and ongoing monitoring, all under both the legacy suitability framework and the enhanced best interest standard.

****Arguments Supporting a Violation:****

1. ****Inadequate Customer-Specific Inquiry (Know Your Customer):**** Under FINRA Rule 2111(a) and Regulation Best Interest (Rule 15l-1 under the Exchange Act), a broker must have a reasonable basis to believe a recommendation is in the customer's best interest based on that customer's investment profile. FINRA Regulatory Notices 09-31, 12-03, and 22-08 have repeatedly warned that leveraged and inverse ETFs are complex products and that firms must ensure customers understand the unique risks of daily resetting, path dependency, and volatility decay. Pellegrini did not update Ostrowski's account profile to reflect her specific understanding of these risks, nor did he document any assessment of whether she comprehended the compounding mechanics. Her general investment experience (stocks, options, mutual funds) does not necessarily demonstrate familiarity with daily-resetting leveraged products. The mere fact that she 'read about' these products online is insufficient evidence that she understood them.

2. ****Failure to Follow Firm Procedures:**** The firm classified leveraged/inverse ETFs as complex/speculative and required written pre-approval from a supervisor. Pellegrini obtained only verbal approval. The firm's compliance manual also required documentation of the client's specific understanding of daily-resetting risks, which was not completed. Violations of firm supervisory procedures, while not per se violations of industry rules, are considered strong evidence of failure to meet the care obligation under Reg BI and the reasonable-basis and customer-specific components of the suitability rule.

3. ****Failure to Monitor / Implicit Hold Recommendation:**** FINRA RN 22-08 reinforces that when a broker has an ongoing relationship with a customer, failure to recommend selling an unsuitable position can itself constitute a violation. Holding a 2x inverse daily-resetting product for 14 months is inconsistent with the product's design and the well-documented warnings about long-term holding. During four quarterly reviews, there is no documented discussion of this specific position or recommendation to exit.

4. ****Prospectus and Educational Materials:**** Not providing the prospectus or the issuer's own risk disclosures about daily resetting is a significant gap, particularly for a product flagged as complex by the firm.

****Arguments Against a Violation:****

1. ****Sophisticated, Experienced Client:**** Ostrowski held an engineering degree and an MBA, had 15+ years of investment experience including options trading, had \$2.4 million in liquid net worth, and self-selected a moderate-to-aggressive risk tolerance with a growth objective. She independently researched leveraged/inverse ETFs and specifically requested a hedging strategy. Under the customer-specific component of suitability analysis, her profile is materially different from a typical unsophisticated retail investor.

2. ****Modest Allocation / Portfolio Context:**** The \$63,000 allocation represented approximately 15% of the taxable account and roughly 2.8% of her total investable assets (~\$2.22 million). The loss of \$29,400 was approximately 1.3% of total assets. In the context of a sophisticated investor seeking a tactical hedge, this is a limited and arguably appropriate allocation.

3. ****Pellegrini Did Discuss Divergence Risk:**** He stated he explained that performance could diverge from the index over longer periods. While the documentation was thin, this represents some level of disclosure. The question is whether his explanation was adequate, not whether he was completely silent.

4. ****Customer-Directed Element:**** Ostrowski raised the idea of leveraged/inverse ETFs herself. While this does not eliminate the advisor's obligation to ensure suitability, it is a mitigating factor and may shift some responsibility to the client under a comparative fault analysis.

5. ****Hindsight Bias:**** The loss was driven by specific market conditions (volatility and an initial upward move followed by a decline). If the market had simply declined steadily, the 2x inverse product would have significantly outperformed a simple short or put position. The recommendation was not irrational at the time; the issue is primarily one of holding period and monitoring.

****Supervisory Failures:**** The branch manager's failure to provide written pre-approval and the firm's apparent lack of follow-up on the complex product documentation requirement suggest supervisory failures under FINRA Rule 3110, independent of the representative's individual conduct.

Why Borderline

This is a genuine gray area because the client's sophistication, self-directed research interest, moderate allocation size, and documented aggressive risk tolerance all cut against a finding that the product was categorically unsuitable at the point of recommendation. However, the advisor's failure to update KYC documentation specific to this complex product, failure to follow internal firm procedures requiring written pre-approval and documented client understanding, failure to provide the prospectus, and failure to actively monitor and discuss a position that is widely understood to be inappropriate for long-term holding all cut in favor of a violation. Reasonable compliance professionals could disagree on whether the initial recommendation was deficient given the client's profile, or whether the primary failure was one of ongoing monitoring and documentation rather than initial suitability.

Borderline Factors

- Client was highly educated (MBA, engineering degree) with 15+ years of investment experience including options, yet had no documented experience with daily-resetting leveraged products specifically
- Client self-identified the product category and requested a hedge, but the advisor shaped the specific recommendation
- Allocation was 15% of the taxable account but only ~2.8% of total investable assets - modest in absolute terms but concentrated within one account
- Advisor verbally explained divergence risk but did not document the explanation, provide the prospectus, or assess the client's comprehension of volatility decay and compounding
- Firm's internal procedures required written pre-approval and documented client understanding for complex products, neither of which was completed, but verbal supervisor approval was obtained
- Product was held for 14 months despite being designed for daily or short-term tactical use, with no documented discussion of the position during quarterly reviews
- The \$29,400 loss (47% of position) was significant in isolation but represented only ~1.3% of total assets
- Market conditions (volatility plus net upward movement) were the primary driver of the loss, and the hedge concept was not inherently unreasonable

Likely Outcome

A regulator would most likely find a violation, though potentially with mitigated sanctions. The strongest basis would be the failure to follow the firm's own complex product procedures (written pre-approval, documented client understanding), failure to provide the prospectus, and failure to actively monitor and recommend exiting a daily-resetting product held for 14 months - particularly given the extensive regulatory guidance in FINRA RN 09-31, 12-03, and 22-08 warning that these products are generally unsuitable for long-term holding. While the client's sophistication and modest allocation are genuine mitigating factors on the initial recommendation, the cumulative weight of documentation failures and the extended holding period without active monitoring would likely tip the balance. Under Reg BI's care obligation, an arbitration panel or examiner would likely conclude that the advisor failed to exercise reasonable diligence, care, and skill in both the recommendation process and ongoing account management. The firm would also likely face supervisory deficiency findings for the branch manager's failure to complete required written

pre-approval.

Borderline Scenario 61

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and quant

Fact Pattern

Margaret Kowalski, age 58, is a semi-retired pharmaceutical sales executive who transitioned to part-time consulting in 2021. She has a brokerage account with \$1.4 million in assets, a separate 401(k) worth \$820,000, and owns her home outright valued at \$650,000. Her annual consulting income is approximately \$95,000, and she has no outstanding debts. She has traded options occasionally over the past decade, including covered calls and protective puts, and previously held a small allocation in commodity futures through a managed account. Her account paperwork lists her risk tolerance as 'aggressive growth' and her investment time horizon as '5-10 years,' both of which she confirmed during her most recent annual account review in January 2023.

In March 2023, her financial advisor, Derek Simmons, recommended she allocate approximately \$140,000 - roughly 10% of her brokerage account - to a 2x leveraged S&P 500 ETF (a daily-resetting product). Simmons explained that he believed the equity market was entering a sustained bull phase following the 2022 downturn, and that this position could amplify her portfolio's recovery. During the conversation, which was documented in his CRM notes, Simmons told Kowalski that the product 'resets daily and can behave differently than expected over longer periods' and that 'if markets chop around sideways, the leverage can work against you.' He also sent her the fund's prospectus and a one-page fact sheet. Kowalski replied by email that she 'understood the risks' and wanted to proceed.

Simmons planned this as a tactical allocation to be held for 6 to 12 months. He set a calendar reminder to review the position quarterly. In practice, the S&P 500 experienced a roughly flat but volatile stretch from March through September 2023 - the index ended the period up about 2%, but experienced several sharp drawdowns and recoveries along the way. Due to the daily compounding and path dependency effects, the 2x leveraged ETF gained only about 0.8% over that same period, significantly underperforming the expected 2x return of approximately 4%. By December 2023, after further volatility, Kowalski's position had actually declined by about 3.2% despite the underlying index being up approximately 5.4% from her entry point.

Kowalski contacted Simmons in January 2024 expressing frustration that her leveraged position had lost money while the market was up. Simmons reviewed the position and recommended she exit, which she did, realizing a loss of approximately \$4,480. He did not recommend re-entry.

Kowalski subsequently filed a complaint, alleging the product was unsuitable given her age and approaching retirement, and that she was not adequately warned about the compounding decay phenomenon. She stated that while she had some options experience, she had never previously invested in leveraged ETFs and did not fully appreciate how daily resetting would erode returns in a volatile environment. Simmons counters that the position was a small tactical allocation within a well-diversified

portfolio, that Kowalski's documented risk profile supported it, that he provided appropriate disclosures, and that a \$4,480 loss on a \$1.4 million portfolio is de minimis.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Simmons violated applicable standards: Kowalski was 58 years old and semi-retired, placing her in a demographic category where regulators have expressed heightened concern about complex, speculative products. Leveraged daily-resetting ETFs are explicitly identified in FINRA Regulatory Notices 09-31 and 22-08 as products that are generally unsuitable for buy-and-hold investors and require enhanced supervision. Even though Simmons described this as a 6-to-12-month tactical position, this still represents a holding period well beyond the single trading day for which the product is designed. The actual performance demonstrated exactly the path-dependency risk that regulators have warned about - the fund returned 0.8% and then declined 3.2% while the underlying index rose, confirming that the compounding decay phenomenon materialized. While Simmons mentioned daily resetting verbally, Kowalski's complaint suggests she did not truly understand volatility decay, and merely sending a prospectus may not constitute adequate explanation of a complex mathematical concept to a retail investor. Under Regulation BI's care obligation (Rule 15l-1), a broker must exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the product's risks, costs, and alternatives. A reasonable question is whether a standard index ETF or even a modestly leveraged product with monthly rebalancing would have better served Kowalski's stated goals with less decay risk.

Arguments that Simmons did not violate applicable standards: Kowalski's documented risk profile was 'aggressive growth' with a 5-10 year horizon, both confirmed in her most recent review. She had meaningful derivatives experience through options and commodity futures, indicating she was not a novice to complex or leveraged instruments. The allocation represented only 10% of her brokerage account and roughly 5% of her total investable assets - a sizing that reflects proportionate risk management rather than reckless concentration. Simmons documented his rationale, disclosed the daily-resetting mechanism and the risk of sideways markets, provided the prospectus, and received email confirmation of understanding. He also planned and executed quarterly reviews and exited the position when it underperformed, limiting the loss to approximately 0.3% of the total brokerage portfolio. The absolute dollar loss of \$4,480 is modest, and the recommendation had a reasonable basis given market conditions in early 2023. FINRA Rule 2111 and Reg BI do not categorically prohibit leveraged ETF recommendations to retail investors; they require a reasonable basis, customer-specific suitability, and adequate disclosure - all of which Simmons arguably provided.

Why Borderline

This scenario sits in a genuine gray zone because the customer profile contains contradictory signals - she has aggressive risk tolerance documentation and derivatives experience, but she is also 58, semi-retired, and approaching a life stage where capital preservation typically becomes more important. The product allocation was modest and the advisor documented disclosures, but regulators have repeatedly expressed concern about any holding period beyond a single day for daily-resetting leveraged products, and a 6-to-12-month planned hold is well beyond that threshold. The actual loss was small, which cuts against a finding of customer harm, but the underperformance pattern perfectly illustrates the exact risk regulators

have flagged. The question of whether the customer truly understood volatility decay - despite receiving disclosures - is inherently subjective and difficult to resolve definitively.

Borderline Factors

- Customer's documented aggressive risk tolerance and derivatives experience versus her age (58) and semi-retired status
- 10% allocation is a modest tactical position but still involves a complex daily-resetting product held for months
- Advisor provided verbal and written disclosures about daily resetting but customer claims she did not truly understand path dependency and volatility decay
- The \$4,480 realized loss is de minimis relative to total portfolio but the product behaved exactly as regulators have warned it would
- Planned 6-to-12-month holding period is far beyond the single-day design horizon but shorter than a true buy-and-hold strategy
- Availability of alternative products (standard ETF, monthly-rebalanced leveraged fund) that could have achieved similar goals with less decay risk
- Advisor monitored and exited the position, demonstrating ongoing supervision and limiting harm

Likely Outcome

A regulator would most likely find this to be a close call but would probably not sustain a full suitability violation, given the modest allocation size, documented aggressive risk profile, derivatives experience, and the advisor's disclosure and monitoring efforts. However, the regulator would likely issue supervisory concerns or enhanced scrutiny findings, noting that the planned multi-month hold of a daily-resetting product created foreseeable decay risk, and that the advisor's disclosure - while present - may not have been sufficiently tailored to ensure the customer genuinely understood the specific mathematical phenomenon of volatility decay. A supervisory deficiency finding against the firm's complex products oversight procedures is more probable than a personal suitability violation against Simmons, particularly given the small realized loss and documented exit strategy.

Borderline Scenario 62

Topic: *leveraged_etf_unsuitable* | Standard: *FINRA Rule 2111 (Suitability - customer-specific, reasonable-basis, and quantitative con*

Fact Pattern

Marcus Webb, a financial advisor at a mid-sized broker-dealer in Denver, recommended a 2x leveraged S&P 500 ETF (daily-resetting) to his client, Dr. Priya Nair, a 52-year-old cardiothoracic surgeon earning approximately \$780,000 per year with a liquid net worth of \$4.2 million. Dr. Nair had been investing for over 20 years, held a diversified portfolio of individual stocks, bonds, and index funds, and had previously traded options in a self-directed brokerage account. She described her risk tolerance as 'aggressive' on her new account form and stated her investment objective was 'growth with speculation.' In February 2022, Dr. Nair told Webb during a recorded phone call that she was 'extremely bullish on the S&P over the next 12 to 18 months' and wanted a way to 'amplify my upside without using margin.' Webb recommended she allocate \$320,000 - roughly 7.6% of her liquid portfolio - to a 2x leveraged S&P 500 ETF. During the call, Webb explained that the product resets daily, that it was 'designed for short-term trading,' and that holding it for

extended periods could lead to returns that deviate significantly from twice the index's cumulative return, especially in choppy or sideways markets. He used the phrase 'compounding drag' and gave a hypothetical example of how the ETF could lose money even if the index was flat over several months. He emailed her the fund's prospectus and a one-page summary of daily-reset mechanics. Dr. Nair acknowledged the risks in a reply email, writing: 'I understand the compounding issue. I've read about it. I still want to go ahead - I'm making a directional bet and I'll monitor it.' Webb did not set any stop-loss orders or establish a formal review schedule, though his notes from the call indicate he told her to 'check in with me if things get volatile or if you want to reassess.' The firm's written supervisory procedures required heightened review for leveraged ETF purchases exceeding \$100,000, and a principal reviewed and approved the transaction within two days. Dr. Nair held the position for 14 months through a period of significant market volatility. During that time, the S&P 500 rose approximately 3.1% cumulatively, but the 2x leveraged ETF returned only 1.8% - well below the expected 6.2% that a naive investor might expect. Dr. Nair lost approximately \$4,800 relative to what a standard S&P 500 index fund position of the same size would have returned. She did not file a complaint, but the firm's compliance department flagged the position during a retrospective review of leveraged ETF holdings exceeding 90 days. The compliance review noted that Webb had no documented follow-up contacts with Dr. Nair between the purchase date and the flag date, despite the extended holding period and elevated market volatility during that stretch.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Webb violated applicable standards: (1) Leveraged ETFs with daily-resetting mechanisms are widely recognized as short-term tactical instruments, and recommending one to a client who expressed a 12-to-18-month holding horizon arguably conflicts with the product's intended use. FINRA Regulatory Notice 09-31 explicitly warns that leveraged ETFs 'are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' (2) While Webb verbally disclosed the risks of holding the product long-term, he failed to implement any guardrails - no stop-losses, no formal periodic review schedule, no documented check-ins - to mitigate the known risk of path dependency and volatility decay over time. FINRA RN 22-08 emphasizes that complex product recommendations require not just point-of-sale disclosure but ongoing supervisory attention. (3) Under Regulation Best Interest (Rule 15l-1), the care obligation requires that a broker-dealer exercise reasonable diligence, care, and skill, which arguably includes post-recommendation monitoring when the product's risk profile is inherently time-sensitive. The absence of any follow-up over 14 months could be viewed as a failure of the care component. (4) The firm's supervisory procedures flagged the position, suggesting the firm itself recognized the holding period as problematic.

Arguments that Webb did not violate applicable standards: (1) Dr. Nair is a high-income, high-net-worth investor with 20+ years of experience, options trading history, and a self-described aggressive risk tolerance - she is not the typical unsophisticated retail investor that leveraged ETF warnings primarily target. (2) The \$320,000 allocation represented only 7.6% of her liquid portfolio, a non-concentrated position that would not threaten her overall financial health even in a worst-case scenario. (3) Webb provided thorough oral and written disclosure of the daily-reset mechanics, compounding drag, and the product's short-term design. Dr. Nair affirmatively acknowledged these risks in writing and expressly stated she was making a directional bet she intended to monitor. (4) The actual loss attributable to volatility decay

was approximately \$4,800 on a \$320,000 position - a modest shortfall relative to a plain index fund, not a catastrophic outcome. (5) FINRA Rule 2111 requires that a recommendation be suitable at the time it is made. Some practitioners argue that the holding period is the client's decision, particularly when the client has been informed of the risks and has chosen to hold. Webb told her to contact him if she wanted to reassess. (6) The principal reviewed and approved the transaction in accordance with firm procedures. (7) Regulation BI does not explicitly require ongoing monitoring of every position; the duty is primarily at the point of recommendation.

Why Borderline

This scenario sits in the genuine gray zone because the advisor made a thorough, documented disclosure of the product's risks and the client was sophisticated, wealthy, and acknowledged the risks in writing - yet the advisor recommended a product with a well-known time-decay problem to a client who explicitly stated a 12-to-18-month holding horizon, and then failed to follow up during an extended holding period marked by elevated volatility. The relatively small dollar loss and non-concentrated position cut against a finding of harm, but the absence of any monitoring framework for a product that regulators have repeatedly flagged as unsuitable for long-term holding cuts in favor of a violation. Reasonable compliance professionals disagree about whether the care obligation extends to post-recommendation monitoring and whether a sophisticated client's informed consent can cure a product-horizon mismatch.

Borderline Factors

- Client explicitly stated a 12-to-18-month holding horizon, which conflicts with the daily-resetting product's intended use, but was fully informed of the mismatch
- Client was highly sophisticated, high-income, with options experience and aggressive risk tolerance - not a typical unsuitable-recommendation victim
- Position size was 7.6% of liquid net worth - meaningful but not concentrated
- Advisor provided robust oral and written disclosure and client acknowledged risks in writing
- No formal monitoring schedule or stop-loss was established despite the product's known time-sensitivity
- Actual dollar loss from volatility decay was modest (~\$4,800), undermining a harm-based enforcement theory
- Firm supervisory procedures were followed at point of sale but the absence of follow-up was flagged internally
- Ambiguity about whether Reg BI care obligation requires post-recommendation monitoring for time-sensitive products
- Client did not complain and the flag was generated by internal compliance, not customer harm

Likely Outcome

A regulator would most likely conclude that this is a supervisory deficiency rather than a clear suitability violation. The initial recommendation, while debatable given the stated holding period, was accompanied by robust disclosure to a sophisticated client who gave informed consent. However, the complete absence of follow-up monitoring over 14 months for a daily-resetting leveraged product would likely draw criticism under the firm's supervisory obligations and the evolving expectations articulated in FINRA RN 22-08 regarding complex products. The most probable regulatory outcome would be a deficiency finding directed at the firm's supervisory framework - specifically, the lack of a mandatory periodic review trigger for leveraged ETF positions held beyond a defined threshold (e.g., 30 or 60 days) - rather than a personal suitability or Reg BI violation against Webb. If pursued, it would likely result in a cautionary letter or a

requirement to enhance supervisory procedures, not a fine or suspension.

Borderline Scenario 63

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2111 (Suitability) - requiring reasonable-basis, customer-specific, and quan

Fact Pattern

Marcus Reinhardt, age 52, is a senior mechanical engineer at a defense contractor earning \$195,000 annually with a net worth of approximately \$1.4 million, including his 401(k) and a brokerage account at Pinnacle Wealth Advisors. In March 2023, Reinhardt opened a new taxable account with advisor Danielle Cho, stating his investment objective was 'growth with moderate risk' and indicating a time horizon of 8-12 years for retirement planning. On his new account form, his risk tolerance was marked 'moderate to aggressive,' and he noted prior experience trading individual stocks and standard ETFs over the past 15 years, including some options trading in 2019-2020 that he described as 'small positions, mostly covered calls.'

In April 2023, Reinhardt told Cho he was concerned about a potential market correction in the technology sector and wanted to 'hedge' his existing portfolio, which was approximately 40% concentrated in large-cap technology stocks through individual holdings and a Nasdaq-100 index ETF. After a 45-minute phone consultation, Cho recommended he allocate \$70,000 (roughly 12% of his liquid investable assets of \$580,000) to a 2x leveraged inverse Nasdaq-100 ETF as a tactical hedge. Cho documented in her notes that she explained the product resets daily, that it was designed for short-term trading, and that holding it beyond a few weeks could produce returns that significantly diverge from the expected inverse performance of the underlying index. Cho's notes indicate she recommended a holding period of 'no more than 30-60 days' and that Reinhardt acknowledged understanding the risks.

Reinhardt purchased \$70,000 of the leveraged inverse ETF on April 18, 2023. The Nasdaq-100 declined roughly 4% over the next three weeks, and Reinhardt's position gained approximately 7.2%, reaching about \$75,040. Cho sent Reinhardt an email on May 10 suggesting he consider closing the position or reducing it, noting the original thesis had partially played out. Reinhardt replied that he wanted to 'let it ride a bit longer' because he believed further declines were coming. Cho responded reiterating the risks of extended holding but did not place any sell order or escalate the matter.

Over the next four months, the Nasdaq-100 rallied sharply, gaining roughly 18% from its May low through September 2023. Due to the compounding effects of daily resetting and volatility during this period, Reinhardt's leveraged inverse ETF position declined to approximately \$34,500 - a loss of roughly \$35,500, or about 51% of his initial investment. When Reinhardt received his September quarterly statement, he called Cho upset, saying he 'never understood how badly these things could bleed' and that she should have 'pulled the plug' when the trade went against him. He filed a complaint alleging the recommendation was unsuitable for his moderate risk profile and that Cho failed to adequately monitor the position.

Pinnacle's supervisory system flagged leveraged and inverse ETF purchases and generated automated alerts at 30, 60, and 90 days if positions remained open. The 30-day alert was acknowledged by Cho's

branch manager on May 19 with a note: 'Advisor has communicated with client about exit strategy; client wishes to hold.' The 60-day and 90-day alerts were similarly acknowledged with references to Cho's documented communications. Pinnacle's written supervisory procedures required advisors to 'actively monitor leveraged and inverse ETF positions and make reasonable efforts to ensure clients understand the risks of holding beyond the intended time frame,' but did not mandate forced liquidation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Cho violated applicable standards: Reinhardt's account documents reflect a 'moderate to aggressive' risk tolerance with a 'growth with moderate risk' objective and an 8-12 year time horizon - a profile more aligned with buy-and-hold equity investing than tactical short-term trading with leveraged inverse products. A 2x leveraged inverse ETF is widely recognized as a complex product designed for sophisticated, active traders, and Reinhardt's prior experience was limited to stock picking, standard ETFs, and modest covered call writing - arguably insufficient background for a product with path dependency and volatility decay characteristics. Even at 12% of liquid assets, the \$70,000 allocation represented a meaningful sum whose total loss would materially affect his retirement planning. A regulator could argue that the initial recommendation was unsuitable given the mismatch between the product's characteristics and the customer's documented profile, regardless of the hedge rationale.

Moreover, once the position moved against Reinhardt and he refused to follow Cho's exit recommendation, Cho arguably had a continuing duty to do more than send emails. The losses accelerated over a four-month period during which the firm's own alerts were triggered three times. A regulator might view the branch manager's rote acknowledgment of alerts as inadequate supervision, and Cho's failure to escalate or take more assertive action - such as a formal written warning, a mandatory phone call with compliance, or presenting a stop-loss analysis - as falling below the standard of care for monitoring complex products.

Arguments that Cho acted appropriately: The recommendation had a reasonable, articulable basis: Reinhardt had a genuinely concentrated tech exposure (~40% of portfolio), expressed a specific concern about a sector correction, and wanted a hedge. A leveraged inverse ETF is a recognized hedging tool, and the 12% allocation was proportionate to the risk being hedged. Cho documented a clear explanation of the product mechanics, including daily reset, short-term intended holding period, and divergence risk. The initial trade actually worked as intended - the position gained ~7% in three weeks as the Nasdaq declined, validating the recommendation's thesis.

Critically, the losses materialized only because Reinhardt overrode Cho's explicit recommendation to exit. Cho sent a written recommendation to close or reduce the position on May 10, and Reinhardt affirmatively chose to hold. Cho followed up reiterating the risks. The firm's supervisory alerts were triggered and acknowledged with documentation of ongoing communication. Reinhardt is a high-earning, educated professional with 15 years of investment experience and some derivatives background; he was not a vulnerable or unsophisticated investor. Forcing liquidation against a client's wishes raises its own issues, and the firm's procedures did not require it. The account was a non-discretionary account, meaning Cho could not unilaterally sell without authorization.

The path dependency losses - while severe - resulted from a known and disclosed risk that the client chose to accept by refusing to exit. One could argue this case is more properly characterized as a customer-directed hold rather than an advisor failure.

Why Borderline

This scenario sits at the intersection of several genuinely contested issues: (1) whether a leveraged inverse ETF can ever be suitable as a 'hedge' for a moderate-risk retirement investor versus being categorically inappropriate for such profiles; (2) the scope of an advisor's ongoing monitoring duty when a client expressly overrides exit advice on a non-discretionary account; (3) whether the firm's escalating alert system and documented communications constitute adequate supervision or merely a paper trail that provided cover while real losses mounted; and (4) the degree to which a client's own investment experience and affirmative decision to hold should shift responsibility away from the advisor and firm. Reasonable practitioners disagree on whether an advisor must effectively refuse to maintain a position - or escalate to forced liquidation - when a client insists on holding a product the advisor recommended but now believes should be sold.

Borderline Factors

- Client's documented risk tolerance ('moderate to aggressive') partially supports but does not cleanly align with leveraged inverse product characteristics
- The recommendation had a rational hedging purpose tied to genuine portfolio concentration risk
- Advisor provided contemporaneous written disclosure of daily reset mechanics and short-term intended holding period
- The position initially performed as intended, undermining the argument it was unsuitable from inception
- Client explicitly overrode the advisor's documented exit recommendation on a non-discretionary account
 - Firm surveillance system generated multiple alerts that were acknowledged but resulted only in documentation rather than escalated intervention
- Client's experience included 15 years of stock/ETF investing and limited options trading, which is arguably in a gray zone between 'sophisticated enough' and 'insufficient for leveraged products'
- The 12% allocation was material but not outsized relative to total liquid assets, and the hedge rationale was proportionate to the 40% tech concentration
- The loss (\$35,500) was significant but not catastrophic relative to client's \$1.4M net worth
 - Firm procedures required 'active monitoring' and 'reasonable efforts' but did not mandate forced liquidation - leaving the adequacy of supervision open to interpretation

Likely Outcome

A regulator would most likely find a partial violation, focusing less on the initial recommendation - which had a defensible hedging rationale, was proportionate, and was accompanied by documented risk disclosure - and more on the adequacy of post-recommendation monitoring and supervision. While Cho documented her exit recommendation and the client's refusal, a regulator applying the enhanced obligations for complex products would likely conclude that sending two emails and passively acknowledging automated alerts over four months was insufficient when a daily-resetting leveraged product was steadily decaying in a client's account. The expected standard for complex product supervision increasingly demands that firms go beyond documentation of communications to implement more assertive protective measures - such as mandatory compliance-supervised conversations, formal written risk acknowledgments for continued holding, or preset stop-loss triggers established at the time of purchase. The branch manager's mechanical

sign-off on alerts without any escalation or direct client contact would likely be viewed as a supervisory deficiency. However, the customer's contributory conduct (overriding explicit exit advice) and the reasonable basis for the initial recommendation would likely result in a finding that falls short of egregious misconduct - potentially leading to a cautionary action, enhanced supervision requirements, or modest sanctions rather than severe penalties. Damages, if awarded, might be reduced to account for the client's own decision to hold.

Borderline Scenario 64

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transact

Fact Pattern

Margaret Kowalski, age 58, is a retired school librarian living in suburban Milwaukee with a \$410,000 IRA rollover account and a \$95,000 taxable brokerage account. Her stated investment objective on account documents is 'growth and income,' with a moderate risk tolerance and a 10-15 year time horizon to fund her retirement living expenses. She has no college degree in finance or business, has never traded options or futures, and her prior investment experience consisted entirely of target-date mutual funds in her employer 403(b) plan. Her annual income from a small pension and Social Security is approximately \$38,000.

In March 2023, her financial advisor, Derek Hamlin, age 34, began recommending a series of changes to her taxable brokerage account. Hamlin had been her advisor for two years and had previously recommended only broad-market index ETFs and investment-grade bond funds. During a meeting, Hamlin explained that he believed the energy sector was poised for significant gains over the coming months due to geopolitical tensions and OPEC production decisions. He recommended she allocate \$19,000 - roughly 20% of her taxable account - into a 2x leveraged daily-resetting energy sector ETF.

Hamlin's notes from the meeting indicate he spent approximately 25 minutes explaining how the product worked, including that it resets daily and is designed to deliver twice the daily return of an energy sector index. He noted that he told her the product 'works best as a shorter-term tactical position' and that he planned to 'actively monitor' the holding and exit within 60 to 90 days. He documented that Margaret said she understood and was 'excited about the opportunity.' She signed a supplemental risk disclosure form provided by the firm that described leveraged ETFs in general terms.

Over the next four months, the energy sector index experienced significant volatility - rising 8% in April, falling 11% in May, rising 6% in June, and falling 4% in July. Despite the underlying index finishing the four-month period down only about 1.5%, the 2x leveraged ETF lost approximately 14.2% of its value due to the compounding effects of daily resetting during the volatile period. Hamlin did not sell the position during this time. His records show he reviewed the account monthly but concluded each time that the 'thesis was still intact' and that energy prices would eventually rally.

In August 2023, Margaret called Hamlin after reviewing her quarterly statement and was alarmed to see that her \$19,000 investment was now worth approximately \$16,300. Hamlin recommended holding, saying a recovery was likely in Q4. Margaret agreed to hold. By November 2023, the position had recovered

slightly to \$17,100, at which point Hamlin finally sold. Margaret's total loss was approximately \$1,900, or 10% of her initial investment.

Margaret did not file a complaint. The situation came to light during a routine branch audit when the firm's compliance department flagged the holding period of a leveraged ETF in a moderate-risk-tolerance retiree's account. Hamlin's supervisor had approved the initial trade but had not followed up on the holding period. The firm's written supervisory procedures state that leveraged and inverse ETFs 'generally should not be held for periods exceeding 30 calendar days' without a documented updated suitability review, but the procedures do not explicitly prohibit longer holding periods if the advisor documents an ongoing rationale.

Hamlin argues that the \$19,000 allocation represented less than 4% of Margaret's total investable assets, that she signed the risk disclosure, that he had a reasonable short-term thesis that simply didn't play out as expected, and that the \$1,900 loss was modest relative to her overall portfolio. He also points out that the rest of her portfolio - both the IRA and the remainder of the taxable account - remained conservatively invested and performed in line with expectations, and that her overall net worth actually increased during the same period due to gains elsewhere.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Hamlin violated applicable standards: Margaret's investment profile - retired, moderate risk tolerance, no experience with complex products, reliance on the account for retirement income - is the archetype of a customer for whom leveraged daily-resetting ETFs are generally considered unsuitable. Regulatory guidance has repeatedly warned that these products are designed for sophisticated, short-term traders and are not appropriate for buy-and-hold retail investors. The product's daily reset mechanism and path dependency make it fundamentally different from a simple 2x bet on energy, and a 25-minute explanation to someone with no derivatives or complex product experience may not constitute meaningful informed consent. Moreover, Hamlin's own stated plan was a 60-90 day tactical hold, yet he held the position for approximately five months (March through August decision to continue holding, with final sale in November - roughly eight months total), violating even his own articulated strategy. The firm's supervisory procedures required a documented updated suitability review after 30 days for leveraged ETFs, and no such review occurred. Hamlin's monthly reviews noting the 'thesis was still intact' do not appear to constitute the formal suitability reassessment contemplated by the firm's WSPs. The supervisor's failure to follow up on holding period represents a supervision failure as well.

Arguments that Hamlin acted reasonably: The allocation was genuinely small - \$19,000 represented only about 3.8% of Margaret's combined \$505,000 in investable assets. The loss of \$1,900 was approximately 0.38% of her total portfolio. Hamlin did provide an oral explanation and obtained a signed risk disclosure. His investment thesis was not irrational - energy sector bets based on geopolitical factors are common among professional investors. He did monitor the position monthly (even if informally), and Margaret herself expressed enthusiasm and later agreed to continue holding when given the option to sell. The remainder of her portfolio was appropriately conservative. Some practitioners argue that a small tactical allocation to a higher-risk product is acceptable even for moderate-risk clients, provided the overall portfolio remains consistent with the client's objectives, which it did. Hamlin did eventually exit the position, and the loss was

contained.

The path dependency issue is central: the underlying index lost only 1.5%, but the leveraged ETF lost 14.2% - exactly the kind of non-intuitive outcome that makes these products problematic for unsophisticated investors. However, one could argue this risk was disclosed and that the modest dollar amount limited the actual harm.

The supervision question adds complexity. The firm's WSPs had a 30-day review trigger that was not followed. However, the WSPs used permissive language ('generally should not') rather than a hard prohibition, creating ambiguity about whether the hold itself was a procedural violation or merely a matter requiring documentation.

Why Borderline

This scenario sits in a genuine gray zone because the product is widely flagged as unsuitable for retail investors like Margaret, yet the allocation was very small relative to total assets, the client received some disclosure and expressed consent, the advisor had a reasonable (if ultimately wrong) investment thesis, and the actual financial harm was modest. The holding period exceeded both the advisor's own stated plan and the firm's soft 30-day guideline, but the firm's procedures were ambiguous rather than prohibitive. Reasonable practitioners disagree about whether small tactical allocations to leveraged products can ever be appropriate for moderate-risk retirees when the overall portfolio remains conservative.

Borderline Factors

- Very small allocation (3.8% of total assets) limited actual harm to \$1,900
- Client signed a risk disclosure form and verbally expressed understanding and enthusiasm
- Advisor had a documented, reasonable short-term investment thesis even though it failed
- Client's overall portfolio remained conservatively invested and gained value during the period
- Holding period of ~8 months far exceeded the advisor's own 60-90 day plan and the firm's 30-day soft review trigger
- Client had no prior experience with complex or leveraged products
- Path dependency caused a 14.2% loss in the ETF while the underlying index lost only 1.5%, illustrating the exact risk regulators warn about
- Firm's written supervisory procedures used permissive language ('generally should not') rather than a hard prohibition
- Supervisor approved the initial trade but never followed up on holding period
- Client was given the opportunity to exit in August but agreed to continue holding on advisor's recommendation

Likely Outcome

A regulator would most likely find a violation, though potentially a moderate one resulting in a cautionary letter or fine rather than severe sanctions. The core issue is that the holding period dramatically exceeded both the advisor's stated plan and the firm's internal guidelines, and no formal updated suitability review was conducted - this is the clearest procedural failure. The product's unsuitability for Margaret's profile would be viewed through the lens of regulatory guidance that has consistently warned these products are inappropriate for long-term holding by retail investors, regardless of allocation size. However, the small allocation, limited losses, client consent, and otherwise appropriate portfolio management would likely

mitigate the severity of the finding. The supervisor and the firm would also face scrutiny for inadequate follow-through on their own supervisory procedures. The fact that the client did not complain and the issue was self-identified in a branch audit may also mitigate the outcome somewhat.

Borderline Scenario 65

Topic: *leveraged_etf_unsuitable* | Standard: *FINRA Rule 2111 (Suitability)* - requiring reasonable-basis, customer-specific, and quan

Fact Pattern

Gerald Hoffman, age 52, is a semi-retired petroleum engineer who left his full-time role at a major oil company in 2021 but continues to consult part-time, earning approximately \$120,000 per year. He has a liquid net worth of \$2.4 million, a total net worth of \$3.8 million including real estate, and has been actively trading his own brokerage accounts since 2008. His account application lists his investment objective as 'growth with speculation,' his risk tolerance as 'aggressive,' and his time horizon as '5-10 years.' He signed the firm's leveraged and inverse product acknowledgment form, which described daily reset mechanics, compounding effects, and the possibility of significant deviation from the underlying index over periods longer than one trading day.

In February 2023, Gerald's financial advisor, Danielle Chung, recommended that Gerald allocate approximately \$180,000 - roughly 7.5% of his liquid portfolio - to a 3x leveraged bull semiconductor ETF. Gerald told Danielle that he had a strong conviction that semiconductor demand would surge over the next 12 to 18 months due to artificial intelligence infrastructure buildout, and he wanted 'magnified exposure without using margin.' Danielle discussed the product's daily reset feature, showed Gerald a hypothetical illustration of how a 3x leveraged ETF could underperform in a choppy, sideways market even if the underlying index ended flat, and noted that the product's expense ratio of 0.95% was significantly higher than a standard semiconductor ETF at 0.35%. She documented this conversation in her CRM notes.

Gerald acknowledged the risks but said he had previously held 2x leveraged energy ETFs for periods of three to six months in a different brokerage account and understood 'how these things work in volatile markets.' He stated he planned to monitor the position weekly and would exit if semiconductors pulled back more than 15% from his entry point. Danielle entered the trade.

Over the following ten months, the semiconductor sector experienced significant volatility: a 22% drawdown from March to May 2023, followed by a sharp 40% rally through September, then another 12% pullback, before ultimately finishing December 2023 approximately 28% above where it stood when Gerald entered the position. However, due to volatility decay and the compounding effects of daily resets, Gerald's 3x leveraged ETF gained only 54% - well short of the roughly 84% ($3 \times 28\%$) a naive investor might have expected. Gerald's position was worth approximately \$277,000, representing a gain of about \$97,000.

Gerald did not exit during the 22% drawdown, despite his stated 15% stop-loss plan. Danielle sent Gerald two emails during the drawdown - one in late March and one in mid-April - reminding him of the pullback and asking whether he wanted to revisit the position. Gerald responded to the first email saying he was 'holding tight' and did not respond to the second. No further outreach occurred until a quarterly review in

July 2023, at which point the position had recovered.

In January 2024, Gerald filed a complaint alleging that Danielle should never have recommended a 3x leveraged product for a holding period beyond a few days, that the product was unsuitable regardless of his stated experience, and that the \$27,000 shortfall relative to 3x the index return represented a tangible harm caused by the product's structural decay. He also alleged that Danielle failed to intervene more aggressively during the drawdown period when his stated stop-loss was breached. The firm's compliance department notes that Gerald's account generated a gain of \$97,000 on the position, that he had documented prior experience with leveraged products, and that Danielle's disclosures and follow-up emails were above average relative to the firm's other representatives.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Danielle violated applicable standards: (1) Leveraged 3x ETFs with daily reset mechanisms are designed for short-term, typically single-day holding periods, and recommending one to a client who expressed a 12-to-18-month investment thesis could be considered fundamentally inconsistent with the product's intended use. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs 'are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' (2) Danielle knew or should have known that Gerald's bullish thesis over a multi-month horizon would be subject to significant path dependency risk, meaning the product's return would likely deviate materially from 3x the index's cumulative return. The \$27,000 shortfall relative to naive expectations is quantifiable evidence of this structural drag. (3) When Gerald failed to execute his own stated stop-loss during the 22% drawdown - which would have translated to a roughly 50-60% drawdown in the 3x product - Danielle sent only two emails rather than making phone calls or escalating the matter. Under Reg BI Rule 15l-1's care obligation, a broker-dealer must exercise reasonable diligence, care, and skill in making recommendations, and ongoing monitoring of a known high-risk position arguably required more proactive intervention. (4) FINRA RN 22-08 reinforces heightened supervisory obligations for complex products, including ensuring that recommendations are consistent with the customer's actual (not merely stated) investment profile.

Arguments that Danielle acted appropriately: (1) Gerald was a sophisticated, high-net-worth investor with documented prior experience trading leveraged ETFs over multi-month holding periods, an aggressive risk tolerance, a speculative investment objective, and a liquid portfolio large enough that the \$180,000 position represented only 7.5% of liquid assets - a reasonable allocation for a speculative satellite position. (2) Danielle provided meaningful, documented disclosure of the daily reset mechanism, showed hypothetical performance scenarios including sideways/volatile markets, and obtained Gerald's signed acknowledgment. This goes beyond what many advisors do. (3) Gerald ultimately earned \$97,000 on the trade - a 54% return in ten months. While this was less than 3x the index, it was still a substantial positive return that reflected the general accuracy of Gerald's directional thesis. The concept of 'harm' is difficult to sustain when the client profited significantly. (4) Danielle proactively reached out twice during the drawdown, and Gerald affirmatively chose to hold. Under FINRA Rule 2111, the recommendation must be suitable at the time it is made; it does not impose a continuing duty to override client decisions. The care obligation under Reg BI similarly focuses on the point of recommendation. (5) Gerald's failure to follow his own stop-loss plan was

his choice, and the advisor cannot be faulted for a client's autonomous decision to deviate from a discussed exit strategy, especially after documented outreach. (6) The position size was moderate relative to the portfolio, the client's experience was genuine, and the product was consistent with the stated speculative objective.

Why Borderline

This scenario sits in a genuine gray zone because the client profile (sophisticated, aggressive, experienced with leveraged products, moderate allocation) cuts strongly in favor of the advisor, while the product's structural characteristics (daily reset, 3x leverage, documented volatility decay) and the extended holding period cut against the recommendation. The client profited substantially, making a 'harm' argument difficult, yet regulators have consistently warned that leveraged ETFs held beyond one day may be unsuitable regardless of outcome. The advisor's disclosures and follow-up were above average but arguably insufficient given the magnitude of the drawdown. Reasonable compliance professionals could disagree on whether the combination of client sophistication, documented disclosure, moderate position sizing, and positive outcome outweighs the inherent tension between a daily-reset product and a multi-month investment thesis.

Borderline Factors

- Client had documented prior experience holding 2x leveraged ETFs for multi-month periods at another firm
- Position represented only 7.5% of liquid net worth - moderate concentration for a speculative allocation
- Advisor provided above-average disclosure including hypothetical volatility decay illustrations and signed acknowledgment
- Client earned a \$97,000 profit (54% return), making traditional harm analysis difficult despite volatility decay shortfall
- 12-to-18-month intended holding period directly conflicts with product's daily-reset design and regulatory guidance on intended use
- Client stated a stop-loss plan but failed to execute it; advisor followed up twice but did not escalate further
- 3x leverage (versus 2x) amplifies path dependency and decay effects, raising the bar for suitability
- Client's self-described understanding of leveraged products may not have extended to the mathematical realities of 3x daily compounding over volatile multi-month periods
- No evidence advisor recommended ongoing holding - the original recommendation was the entry point

Likely Outcome

A regulator would most likely find this to be a close call but would probably not sustain a violation, albeit with criticism of the advisor's practices. The combination of documented client sophistication, the signed leveraged product acknowledgment, above-average CRM documentation of risk discussions, moderate position sizing (7.5% of liquid assets), and the substantial positive outcome (\$97,000 gain) would likely be viewed as sufficient to support the recommendation at the time it was made. However, a regulator might issue a cautionary letter or require enhanced supervisory procedures, noting that: (a) the 12-to-18-month intended holding period was inconsistent with the product's daily-reset design; (b) the advisor's follow-up during the drawdown, while documented, could have been more assertive given the breach of the client's stated stop-loss; and (c) a 3x product carries heightened path-dependency risk that warrants more robust ongoing monitoring than a standard equity position. If the client had suffered a loss rather than a gain, the

outcome analysis would likely shift toward a finding of violation.

Borderline Scenario 66

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or investment s

Fact Pattern

Maria Shelton, age 58, is a semi-retired pharmaceutical executive who left her corporate role in 2021 with a \$2.8 million portfolio. She retained \$450,000 in deferred compensation and receives \$72,000 annually from rental properties. She opened an account with Derek Caine, a financial advisor at Ridgeline Wealth Partners, in March 2022. On her new account form, Maria selected 'aggressive growth' as her investment objective and 'high' as her risk tolerance. She noted a 7-10 year investment horizon and listed her investment experience as 'extensive,' citing 22 years of participating in her company's stock option program and managing a self-directed brokerage account where she had previously traded options, sector ETFs, and individual equities.

In April 2022, Maria told Derek she was convinced that the technology sector was entering a prolonged downturn due to rising interest rates and wanted to profit from the decline. Derek recommended she allocate \$280,000—roughly 10% of her total investable assets—into a 3x inverse Nasdaq-100 ETF (a daily-resetting product). Derek explained in a documented meeting that the product resets daily, that holding it beyond a few days to weeks introduces 'tracking drift,' and that in volatile or choppy markets the product could lose value even if the index ultimately declined. He provided the ETF's fact sheet, which contained examples of how daily compounding can erode returns over time. Maria signed an acknowledgment form specific to leveraged and inverse products, confirming she understood the risks.

Maria initially saw gains as the Nasdaq dropped through June 2022. By late July, the position was up approximately 38%. Derek sent Maria an email on August 3 recommending she 'consider taking profits or at minimum reducing the position by half,' noting that the trade had performed well and that continued holding increased the risk of volatility decay. Maria responded that she wanted to 'let it ride' and believed the downturn had further to go. Derek documented her response and did not liquidate.

Between August and December 2022, the Nasdaq experienced significant volatility—sharp drops followed by sharp recoveries. By December 31, the Nasdaq was down approximately 11% from Maria's April entry point, yet her 3x inverse position was down 14%, reflecting the effects of daily resetting and path dependency in a volatile environment. Maria continued to hold the position through March 2023. By that time, the Nasdaq had largely recovered to its April 2022 level, and Maria's inverse ETF position had lost approximately \$115,000, or 41% of her original \$280,000 investment.

Maria filed a complaint in June 2023, alleging that Derek recommended a product that was fundamentally unsuitable for someone within seven years of full retirement and that a 10% allocation to a 3x inverse daily-resetting product was irresponsible regardless of her stated risk tolerance. She argued that Derek should have known that her self-assessed experience with stock options and sector ETFs did not translate to genuine understanding of leveraged inverse products. She also contended that once the position began

deteriorating, Derek had an obligation to liquidate it rather than merely suggest she consider doing so.

Derek's firm responded that Maria's risk profile, stated experience, and documented objectives supported the recommendation. They noted the position represented only 10% of her total assets, that Derek provided product-specific disclosures and risk warnings, that he proactively recommended profit-taking which the client declined, and that Maria had the knowledge and sophistication to understand the product. The firm also pointed to their internal procedures, which required leveraged/inverse product acknowledgment forms and flagged any allocation above 15% for supervisory review-Maria's allocation fell below that threshold.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Derek violated applicable standards: First, a 3x inverse daily-resetting ETF is widely recognized as a complex product designed for short-term tactical trading, not multi-month or multi-quarter holding periods. Maria held the position for nearly a year, and the product's daily reset mechanism and path dependency made it structurally likely to underperform a simple short or put position over that timeframe. Second, while Maria selected 'aggressive growth' and 'high' risk tolerance, she was 58, semi-retired, and within a reasonable planning horizon for retirement income needs. A regulator could argue that the advisor had an independent obligation to assess whether her stated risk profile was internally consistent with her actual financial situation. Third, Maria's experience with stock options and sector ETFs, while meaningful, is qualitatively different from understanding compounding effects of daily-resetting leveraged products. The acknowledgment form she signed may have been a procedural safeguard, but regulators have questioned whether such forms truly ensure comprehension. Fourth, when Derek recommended profit-taking and Maria refused, one could argue Derek should have escalated to his supervisor or taken more assertive action rather than simply documenting the refusal.

Arguments that Derek acted appropriately: The allocation was 10% of total investable assets-a position size that, even with total loss, would not fundamentally impair Maria's financial situation given her \$2.8 million portfolio and \$72,000 rental income. Derek documented the recommendation, provided specific written risk disclosures about daily resetting and volatility decay, obtained a signed product-specific acknowledgment, and proactively recommended reducing the position when it was profitable. Maria was an experienced investor who explicitly overrode her advisor's recommendation to take profits. Her stated investment objectives and risk tolerance were consistent with aggressive tactical positions. The firm's supervisory procedures specifically addressed leveraged products with an allocation threshold, and this position fell within the approved range. The loss, while painful, occurred because the client chose to hold against advice-not because the initial recommendation was inherently unsuitable for her profile.

Why Borderline

This case sits in genuine gray territory because the initial recommendation was arguably reasonable for a sophisticated, high-risk-tolerance investor as a limited tactical allocation, and the advisor took multiple documented steps to disclose risks and later recommend an exit. However, the product's fundamental design as a short-duration trading instrument creates tension with any holding period beyond a few weeks, and the client's proximity to retirement raises questions about whether her self-selected risk profile should have been accepted at face value. The critical question is whether an advisor's obligation extends to

overriding a knowledgeable client's explicit instructions when the client refuses a recommended exit, and whether the initial recommendation of a daily-resetting 3x product was appropriate regardless of position sizing and disclosed risks.

Borderline Factors

- 10% allocation is modest relative to total portfolio, but the product itself is among the most volatile available to retail investors
- Client had genuine investment experience, but not specifically with daily-resetting leveraged/inverse products
- Advisor provided documented risk disclosures and product-specific acknowledgment forms
- Advisor proactively recommended taking profits, which client explicitly declined
- Client was 58 and semi-retired-aggressive risk tolerance may be inconsistent with actual circumstances
- Holding period extended far beyond the short-term tactical window appropriate for daily-resetting products
- Firm supervisory thresholds were met (allocation below 15% flag), but the threshold itself may be questioned as too permissive
- Loss resulted primarily from client's refusal to follow advisor's profit-taking recommendation rather than from the initial recommendation

Likely Outcome

A regulator would likely find this a close case but would probably not sustain a full suitability violation for the initial recommendation, given the limited allocation size, documented disclosures, client sophistication, and the advisor's proactive profit-taking suggestion. However, a regulator might criticize the firm's supervisory framework for not requiring mandatory exit triggers or holding-period limits on daily-resetting 3x products, and might find that the advisor should have escalated more aggressively when the client refused to exit a deteriorating position in a product not designed for long-term holding. The most likely outcome is a supervisory deficiency finding against the firm rather than a personal suitability violation against the advisor, with possible enhanced procedures required going forward.

Borderline Scenario 67

Topic: senior_investor_exploitation | Standard: FINRA Rule 2111 (Suitability - reasonable basis, customer-specific, and quantitative)

Fact Pattern

Margaret Thornton, age 71, is a retired chemical engineer with a PhD who spent 35 years at a major petrochemical company. She retired in 2019 with a \$2.8 million portfolio, a \$4,200/month pension, Social Security of \$2,900/month, and no debt on her paid-off home. Her stated investment objective on her new account form was 'growth with income,' her risk tolerance was marked 'moderate to aggressive,' and her time horizon was listed as '10+ years' given her intention to leave most of the portfolio to her grandchildren's education trusts. She had previous experience trading options and individual equities during her working years, including sector-specific energy stocks.

In January 2022, her financial advisor, Kevin Mallory, age 44 and with 18 years of industry experience, discussed with Margaret her strong conviction that natural gas prices would rise significantly over the next

12-18 months due to European energy supply disruptions. Margaret told Mallory she had been following the geopolitical situation closely and wanted 'leveraged exposure to natural gas' specifically. Mallory recommended she allocate \$140,000 - roughly 5% of her portfolio - to a 2x daily-leveraged natural gas ETF. He explained verbally that the product resets daily and that returns over longer periods could deviate significantly from 2x the underlying index return, particularly in volatile markets. He did not provide written materials specific to the product's compounding mechanics, nor did he document this verbal explanation in his notes. Margaret signed a general complex products acknowledgment form that her brokerage firm required.

Over the next nine months, natural gas prices were extremely volatile - spiking 48% through August 2022 before declining 35% by October. Due to the daily reset mechanism and the severe volatility in the underlying commodity, the 2x leveraged ETF gained only 11% during the period when the underlying commodity was still up approximately 19% from her purchase date. Margaret held the position throughout. In November 2022, Mallory contacted Margaret and recommended she exit the position, noting the effects of daily compounding in the volatile environment. Margaret refused, stating she still believed in the long-term thesis. Mallory documented this call and her refusal.

By March 2023, natural gas had fallen sharply and the ETF had lost approximately 61% of its value - a \$85,400 loss - even though the underlying commodity index was down only about 28% from her original entry point. Margaret's overall portfolio, which remained diversified across blue-chip equities, bonds, and REITs, was valued at approximately \$2.55 million. Margaret filed a complaint alleging that Mallory should never have recommended a daily-resetting leveraged product to a 71-year-old retiree and that the verbal explanation was insufficient for someone her age, regardless of her background. Mallory's firm noted that his accounts were reviewed quarterly by a supervisor who was aware of the leveraged ETF position but did not flag it or require additional documentation beyond the signed acknowledgment form.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations that make it genuinely difficult to resolve.

Arguments that Mallory violated applicable standards:

1. Age-related concerns: Margaret was 71 at the time of the recommendation. Regulatory guidance has repeatedly emphasized that leveraged and inverse ETFs are generally unsuitable for retail investors, and heightened scrutiny applies to senior investors. A daily-resetting 2x leveraged commodity ETF is among the most volatile and complex products available to retail clients, and recommending it to a retiree raises significant red flags regardless of her background.
2. Inadequate disclosure of compounding risk: While Mallory verbally explained the daily reset mechanism, he did not provide written materials explaining volatility decay and path dependency specific to the product. He also did not document his verbal explanation. Under Reg BI's care obligation and FINRA's complex products guidance (RN 09-31, 22-08), firms and representatives must ensure customers understand the material risks of complex products. The lack of written materials and contemporaneous documentation

weakens his defense.

3. Holding period: Leveraged ETFs are designed as short-term tactical instruments. Margaret held the position for over 14 months. Even though Mallory recommended exiting in November 2022, the initial recommendation did not include a defined exit strategy, stop-loss parameters, or a specific monitoring protocol. Regulatory notices have consistently warned that these products can produce devastating losses when held beyond their intended daily time horizon.

4. Supervisory gaps: The firm's quarterly review process did not trigger any escalation despite the presence of a leveraged commodity ETF in a 71-year-old's account. FINRA RN 22-08 emphasizes that firms must have robust supervisory systems specifically tailored to complex products, including flagging accounts where such products are held for extended periods.

Arguments that Mallory acted appropriately:

1. Sophisticated investor profile: Margaret holds a PhD in chemical engineering, has decades of experience with energy-sector investments, and had prior options trading experience. She specifically requested leveraged natural gas exposure based on her own independent geopolitical analysis. She was not a passive or unsophisticated investor being steered into a product she didn't understand.

2. Reasonable allocation size: The \$140,000 position represented approximately 5% of a \$2.8 million portfolio. The remaining 95% was diversified across traditional asset classes. Even after the total loss on the leveraged ETF, Margaret's portfolio was approximately \$2.55 million - more than sufficient for her retirement needs given her pension and Social Security income covering living expenses. The position was sized as a speculative satellite allocation, not a core holding.

3. Customer-directed refusal to exit: When Mallory proactively recommended exiting the position in November 2022, Margaret explicitly refused. This was documented. A significant portion of the loss occurred after this recommendation. The advisor cannot force a liquidation against a client's wishes, and his documented attempt to mitigate losses demonstrates ongoing attention to the position.

4. Verbal explanation was provided: While not documented in writing with product-specific materials, Mallory did explain the daily reset mechanism and compounding risk verbally. Margaret signed the firm's complex products acknowledgment. Given her educational background and investment experience, the verbal explanation may have been sufficient for her to understand the risks.

5. The initial thesis was reasonable: Natural gas did spike significantly in the months following the purchase. The recommendation was not inherently irrational; it was the extreme two-way volatility and Margaret's decision to hold through the reversal that caused the magnified losses.

Regulatory framework analysis: Under FINRA Rule 2111 (suitability) and Reg BI (Rule 15l-1), the advisor must have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, considering the customer's investment profile. FINRA Regulatory Notices 09-31 and 22-08 specifically warn that leveraged and inverse ETFs are complex products that require enhanced suitability

analysis, robust disclosure, and active monitoring. RN 09-31 explicitly states that 'inverse and leveraged ETFs that are reset daily typically are unsuitable for retail investors who plan to hold them for longer than one trading session.' However, this guidance does not create an absolute prohibition - it establishes a heightened standard of care.

Why Borderline

This case sits at the intersection of several competing principles: respect for a sophisticated senior investor's autonomy and self-directed conviction versus the heightened protective obligations owed to elderly clients regarding complex products. The 5% allocation was prudently sized, the client had genuine expertise, and the advisor attempted to mitigate losses - but the product category carries near-categorical regulatory skepticism for retail accounts, the documentation was deficient, and the client's age triggers enhanced scrutiny regardless of sophistication. The absence of a written monitoring plan or defined exit strategy for a daily-resetting product is a meaningful gap, but the advisor's November 2022 documented recommendation to sell partially addresses this.

Borderline Factors

- Client was 71 years old (senior investor protections apply) but held a PhD and had decades of sophisticated investment experience including options trading
- Position was only 5% of a \$2.8 million portfolio with ample income from pension and Social Security - not a concentration risk
- Advisor verbally explained daily reset mechanics but did not provide written product-specific risk disclosures or document the conversation
- Client specifically requested leveraged natural gas exposure based on her own independent research and conviction
- Advisor proactively recommended exiting in November 2022 and documented the client's refusal - significant losses occurred afterward
- Firm's supervisory system did not flag or escalate a leveraged ETF held for months in a senior investor's account
- No written monitoring protocol, exit strategy, or stop-loss was established at the time of the initial recommendation
- The signed complex products acknowledgment was generic rather than product-specific
- Daily-resetting leveraged commodity ETFs carry near-categorical regulatory skepticism for retail investors regardless of sophistication

Likely Outcome

A regulator would most likely find a partial violation, focusing primarily on documentation and supervisory deficiencies rather than the recommendation itself. The initial recommendation, while aggressive, is defensible given Margaret's sophistication, explicit request, and the small allocation relative to her total portfolio. However, the failure to provide written product-specific disclosures about volatility decay and path dependency, the absence of a documented monitoring plan or exit strategy for a daily-resetting product, and the firm's failure to flag the holding in a senior's account through its supervisory system would likely be cited as violations of complex products supervision requirements under FINRA RN 09-31 and 22-08. The advisor's documented attempt to recommend an exit in November 2022 would be viewed as a mitigating factor. The likely result would be a finding against the firm for supervisory failures and potentially against the advisor for inadequate documentation, with modest sanctions rather than full disgorgement - perhaps a

censure, fine in the range of \$10,000-\$25,000, and required enhanced procedures. Full restitution of the \$85,400 loss is unlikely given the client's sophistication, documented refusal to sell, and the speculative nature of her own conviction-driven request.

Borderline Scenario 68

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and quant*

Fact Pattern

Margaret Hsu, age 58, is a semi-retired software engineering consultant who earns approximately \$140,000 per year from contract work and has a net worth of \$2.1 million, including a \$1.4 million brokerage account at Ridgeline Financial Group. She holds a master's degree in computer science, previously worked at two technology startups (one of which went public), and has been actively trading stocks and options for over 15 years. Her account records show she has traded leveraged ETFs on at least a dozen occasions over the prior three years, typically holding positions for one to three weeks. Her account documents list her risk tolerance as 'aggressive,' her investment objective as 'growth,' and her time horizon as 'medium-term (5-10 years).' In March 2023, her financial advisor, Derek Boland, recommended that she allocate approximately \$210,000-roughly 15% of her brokerage portfolio-into a 3x leveraged daily-resetting ETF tracking the semiconductor sector. Boland explained to Hsu that the product resets daily and that returns over periods longer than a single day could deviate significantly from three times the index return, particularly in choppy or volatile markets. He documented this conversation in his notes and Hsu signed an acknowledgment form specific to leveraged products. Hsu initially planned to hold the position for two to four weeks to capture what she believed would be a short-term rally in semiconductor stocks driven by an upcoming earnings cycle. However, after the position gained 18% in the first 10 trading days, Hsu decided on her own-without consulting Boland-to continue holding the position. Boland's firm had an internal policy requiring a 'check-in' communication for leveraged ETF positions held beyond 30 calendar days, but the policy did not mandate forced liquidation or even a formal written warning; it required only that the advisor 'reach out to discuss the position.' Boland sent Hsu an email on day 32 asking if she wanted to reassess the holding. Hsu replied that she was aware of the risks and intended to hold. Over the following five months, the semiconductor index experienced significant volatility-declining 14%, then recovering 11%, then declining again by 9%, before partially recovering. Due to the compounding effects of daily resetting and the volatile path, Hsu's \$210,000 position eroded to approximately \$126,000 by October 2023, even though the underlying semiconductor index was down only about 7% from her entry point over the same period. Hsu filed a complaint alleging that Boland should never have recommended a 3x leveraged product representing 15% of her portfolio and that he failed to adequately monitor the position or insist she exit when it became clear the short-term thesis had not played out. Boland countered that the original recommendation was suitable given Hsu's extensive trading experience, aggressive risk profile, stated short-term holding intention, and the fact that the allocation was a defined percentage of a much larger diversified portfolio. He also noted that Hsu independently chose to extend her holding period against the product's intended use case and that he did follow up as required by firm policy.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario involves several competing considerations. On one side, the initial recommendation appears to have been made with attention to the customer's profile: Margaret Hsu was an experienced, aggressive-growth investor with a documented history of trading leveraged products, significant net worth, and a stated short-term holding period that aligned with the daily-resetting nature of the 3x leveraged ETF. The advisor disclosed the product's path-dependency risks both orally and through a signed acknowledgment, and the position represented a defined 15% allocation of a larger diversified account. Under FINRA Rule 2111 (Suitability) and its three components—reasonable basis, customer-specific, and quantitative suitability—the recommendation at the point of sale has meaningful support. Similarly, under Regulation Best Interest (Rule 15l-1), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. The advisor's documentation of the discussion, the customer's experience, and the tactical nature of the trade provide evidence that the Care Obligation was met at inception.

On the other side, FINRA Regulatory Notices 09-31 and 22-08 emphasize that leveraged and inverse ETFs are complex products that may be unsuitable for retail investors who hold them beyond a single trading session, and that firms must maintain heightened supervision over such products. RN 09-31 specifically warned that 'whatever the direction of the leverage, the daily reset can create significant deviation from the expected return' over longer periods. RN 22-08 reinforced these concerns and expanded guidance around complex product supervision, emphasizing that firms must consider whether customers truly understand the risks. A 15% allocation to a single 3x leveraged sector-specific ETF is aggressive even for an experienced trader, and some regulators might argue this concentration in an inherently volatile and path-dependent product was excessive regardless of the customer's risk tolerance. The argument gains force when considering Hsu's age (58) and semi-retired status, which could suggest a need for more capital preservation than her stated risk tolerance might indicate.

The post-recommendation monitoring issue adds another layer. While Boland followed his firm's internal policy by sending a check-in email at day 32, the policy itself may be viewed as inadequate by regulators. FINRA has indicated that firms must have robust supervisory procedures for complex products, and a single email check-in without escalation mechanisms—particularly when a 3x leveraged product is being held through a volatile market for months—could be seen as insufficient. However, the customer explicitly and voluntarily chose to continue holding against the product's intended short-term use, which complicates any argument that the advisor bears primary responsibility for losses incurred during the extended holding period.

The volatility decay and path dependency that caused Hsu's losses are precisely the risks that were disclosed, and the losses materialized because the customer deviated from the originally discussed time horizon. The question becomes whether the advisor's obligation extends to actively preventing a knowledgeable customer from holding a position the customer independently chose to maintain.

Why Borderline

This case is genuinely ambiguous because the initial recommendation had a reasonable basis given the customer's experience, risk profile, and intended holding period, yet the product's inherent characteristics

(3x leverage, daily resetting, sector concentration) and the customer's demographic profile (age 58, semi-retired) create tension with the aggressive allocation size. The key gray area lies at the intersection of three issues: (1) whether 15% of a portfolio in a single 3x leveraged sector ETF is ever appropriate regardless of experience; (2) whether the advisor's post-sale monitoring obligations extend beyond following firm policy when the customer independently extends the holding period; and (3) whether a customer's documented experience and voluntary decisions can relieve an advisor of responsibility for foreseeable losses in a complex product. Reasonable compliance professionals and arbitrators could land on either side.

Borderline Factors

- Customer had 15+ years of trading experience including prior leveraged ETF transactions, but was 58 and semi-retired
- 15% portfolio allocation to a single 3x leveraged sector ETF is aggressive but within the bounds of an account marked 'aggressive growth'
- Advisor provided oral and written disclosure of daily-reset and volatility-decay risks at the time of recommendation
- Customer independently chose to extend the holding period well beyond the originally discussed 2-4 week time frame
- Firm's internal supervisory policy for leveraged ETF monitoring was followed but arguably insufficient (email check-in only, no escalation)
- Losses were substantially attributable to path dependency and volatility decay during the extended holding period, not the initial recommendation period
- The underlying index declined only 7% but the 3x leveraged product lost 40%, illustrating the exact risk that was disclosed
- Customer signed a leveraged product acknowledgment form but the form's adequacy in conveying compounding risks over months is debatable

Likely Outcome

A regulator would most likely find a partial violation, focusing less on the initial recommendation (which had reasonable support) and more on the adequacy of the firm's supervisory framework for complex products and the advisor's post-sale monitoring. While the initial recommendation could survive scrutiny given the customer's profile and the documented disclosures, regulators applying the standards articulated in FINRA RN 09-31 and RN 22-08 would likely view the firm's check-in policy as insufficient for a 3x leveraged product held for months through significant volatility. The advisor's single email at day 32 without follow-up escalation, combined with the large allocation size relative to a semi-retired customer's portfolio, would likely result in a finding that the ongoing monitoring fell short of supervisory expectations for complex products-even though the customer voluntarily chose to continue holding. The initial recommendation itself might be upheld as suitable, particularly given that the customer deviated from the agreed-upon time horizon. Damages would likely be reduced significantly by the customer's contributory conduct.

Borderline Scenario 69

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2111 (Suitability) and its three components - reasonable-basis, customer-sp*

Fact Pattern

Marcus Ellison, a 58-year-old semi-retired mechanical engineer, opened a brokerage account with Ridgeline Financial Services in March 2022. His new account form listed his net worth at \$2.1 million (excluding primary residence), annual income of \$95,000 from part-time consulting, investment experience of 32 years, and a risk tolerance marked as 'aggressive.' His stated investment objective was 'growth,' and his time horizon was listed as '5-10 years.' He held approximately \$1.4 million across various retirement accounts at other firms, with the Ridgeline account funded at \$310,000. His advisor, Patricia Huang, had been in the industry for 14 years and held her Series 7 and Series 66 licenses.

During their initial meeting, Ellison told Huang that he had been actively trading leveraged ETFs in a self-directed account at another firm for approximately three years, specifically 2x and 3x daily-resetting products tracking the S&P 500 and the Nasdaq-100. He showed Huang his trade confirmations from that account, which reflected dozens of round-trip trades in products like ProShares UltraPro QQQ (TQQQ) and Direxion Daily S&P 500 Bull 3X (SPXL), with typical holding periods ranging from 2 to 14 trading days. He told Huang he understood these were daily-resetting products and said he was 'very comfortable' with the mechanics of compounding and volatility decay.

In April 2022, Huang recommended that Ellison allocate approximately 22% of his Ridgeline portfolio (\$68,000) to a mix of 3x leveraged bull ETFs tracking the semiconductor sector and 2x leveraged inverse ETFs tracking the Russell 2000 as a partial hedge. She documented in her notes that the inverse position was intended to offset some downside risk during what she anticipated would be a volatile period for small caps, and that the semiconductor allocation reflected Ellison's conviction in long-term chip demand. She noted the strategy was designed for a 30-to-90-day tactical window, and she set calendar reminders to review the positions monthly.

Over the following five months, the semiconductor 3x ETF lost approximately 47% of its value as the sector declined roughly 22%, with volatility decay exacerbating the losses. The 2x inverse Russell 2000 ETF gained approximately 18%, partially offsetting losses but not fully compensating due to the asymmetry in position sizing (\$45,000 in the semiconductor 3x bull vs. \$23,000 in the inverse). Huang conducted reviews at the 30-day and 60-day marks as planned. At the 30-day review, the semiconductor position was down about 19%, and Huang discussed with Ellison whether to close or reduce the position. Ellison instructed her to hold, citing his belief in a semiconductor recovery. Huang documented this conversation. At the 60-day review, the position was down 31%, and Ellison again declined to exit. Huang again documented his instruction but did not override his decision or escalate the matter to her branch manager.

By September 2022, Ellison's overall Ridgeline account was down approximately \$28,000, with the leveraged positions accounting for nearly all the losses. Ellison filed a complaint alleging that Huang never should have recommended 3x leveraged sector ETFs to a 58-year-old nearing retirement, that his risk profile was inaccurately recorded as 'aggressive,' and that the 22% allocation to leveraged and inverse products was excessive regardless of his stated experience. Ridgeline's compliance department noted that Ellison's account application was signed by him, that his self-directed trading history at the other firm corroborated his experience claims, and that Huang had conducted documented periodic reviews and offered to close the positions. However, the firm's internal guidance suggested that leveraged ETF allocations exceeding 15% of account value should receive enhanced supervisory review, and there was no

evidence that Huang sought or received such review for the 22% allocation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Huang violated applicable standards: First, the customer was 58 and semi-retired, which raises questions about whether an 'aggressive' risk profile was truly appropriate regardless of what the customer stated. Regulators have repeatedly emphasized that advisors cannot simply accept a customer's self-characterization without independent assessment of whether the stated risk tolerance is consistent with the customer's overall financial situation, age, and objectives. A 5-10 year time horizon combined with semi-retirement status and age 58 creates tension with aggressive risk tolerance. Second, the allocation to leveraged and inverse products (22%) exceeded the firm's own internal threshold of 15% for enhanced supervisory review, and Huang failed to obtain the required enhanced review. Failure to follow internal firm procedures, while not independently dispositive, is often viewed by regulators as evidence of inadequate supervision and can support a finding of a violation. Third, the use of 3x leveraged sector-specific ETFs - as opposed to broad-market leveraged products - introduced concentrated sector risk compounded by triple leverage, which amplifies both volatility decay and downside exposure. Even with a 30-90 day intended holding period, these products can experience dramatic losses during volatile markets, and the semiconductor sector was particularly volatile in 2022. Fourth, while Huang documented reviews and Ellison's refusal to exit, the advisor has an independent obligation beyond merely presenting options - some would argue she should have more forcefully recommended closing the position or escalated to her supervisor when the customer refused to act on her review.

Arguments that Huang acted appropriately: The customer had documented, verifiable experience trading the exact same types of products (3x leveraged daily-resetting ETFs) for three years at another firm, with holding periods in the same general range as the intended tactical window. This is not a case of an inexperienced retail investor being introduced to complex products for the first time. The customer's net worth of \$2.1 million (excluding residence) plus \$1.4 million in retirement assets elsewhere means the \$68,000 leveraged allocation represented roughly 1.9% of his total investable assets - a far less alarming figure when viewed in the context of his full financial picture rather than solely the Ridgeline account. Huang established a clear tactical timeframe, conducted documented periodic reviews, and offered to exit the positions when losses mounted. The customer exercised his own judgment to hold. The 'aggressive' risk tolerance designation, while debatable, was consistent with the customer's demonstrated behavior over three years of self-directed trading in identical products. Huang also incorporated a partial hedge through the inverse position, showing thoughtfulness in portfolio construction rather than a purely speculative recommendation. The ultimate losses of \$28,000, while meaningful, represent roughly 9% of the Ridgeline account and approximately 0.8% of total investable assets - significant but not financially devastating.

Why Borderline

This case sits in a genuine gray area because the customer had real, documented experience with the exact products at issue, substantial total wealth that made the allocation relatively modest in context, and the advisor conducted documented reviews with exit recommendations that the customer rejected. At the same time, the advisor exceeded the firm's own internal supervisory threshold without obtaining required review, the customer's age and semi-retired status create real tension with a 3x leveraged sector bet, and

the advisor arguably had a duty to do more than simply document the customer's refusal to exit a deteriorating position. Reasonable regulators could disagree about whether the advisor's overall conduct constituted a meaningful failure or a well-documented, experience-appropriate tactical recommendation that simply didn't work out.

Borderline Factors

- Customer had three years of verifiable, self-directed experience trading identical leveraged ETF products
- Allocation was 22% of the Ridgeline account but only ~1.9% of total investable assets across all accounts
- Advisor exceeded the firm's internal 15% threshold for enhanced supervisory review without obtaining such review
- Customer was 58 and semi-retired, creating tension with 'aggressive' risk profile despite demonstrated trading behavior
- Advisor conducted documented 30-day and 60-day reviews and recommended closing, but customer declined
- Use of 3x sector-specific leverage rather than broad-market leverage introduced concentrated risk
- Advisor incorporated a partial hedge via inverse ETFs, showing strategic intent rather than pure speculation
- Customer signed the account application including the aggressive risk designation
- Losses were meaningful in absolute terms (\$28,000) but modest relative to total wealth (~0.8%)

Likely Outcome

A regulator would most likely find a technical violation related to the failure to obtain enhanced supervisory review for the allocation exceeding the firm's 15% internal threshold, and would likely scrutinize whether the 'aggressive' risk designation was adequately justified for a 58-year-old semi-retired investor. However, the substantive suitability/best interest analysis is more nuanced. Given the customer's documented experience, total asset context, the advisor's periodic reviews, and the tactical (rather than buy-and-hold) framing, a regulator would likely stop short of finding a clear-cut substantive violation of the customer-level suitability or best interest obligation. The most probable outcome is a supervisory deficiency finding against the firm for inadequate enhanced review procedures, a potential letter of caution or minor sanction against Huang for the procedural lapse, and possible settlement of the customer complaint for a modest amount - but not a finding that the recommendation itself was fundamentally unsuitable given the totality of the customer's profile and experience.

Borderline Scenario 70

Topic: senior_investor_exploitation | Standard: FINRA Rule 2111 (Suitability) and SEC Regulation Best Interest (Rule 15l-1) govern v

Fact Pattern

Margaret Olsen, age 71, is a retired aerospace engineer with a PhD in applied mathematics. She has a brokerage account with \$2.4 million in assets, a separate \$1.8 million IRA, and receives \$6,200/month in pension income plus \$3,400/month in Social Security. She has no debt and owns her home outright. Her stated investment objective on file is "growth with moderate risk," and her risk tolerance is marked as "moderate to aggressive." She has traded options in prior years and maintains a margin-approved account.

In February 2023, Margaret contacted her financial advisor, David Nakamura, and explained that she had been independently researching leveraged inverse ETFs that provide 3x daily inverse exposure to the S&P 500. She told David she believed a significant market correction was imminent based on her own quantitative models and wanted to allocate \$180,000 (approximately 4.3% of her total liquid net worth) to a 3x daily-resetting inverse S&P 500 ETF. David discussed with Margaret the mechanics of daily resetting, explaining that the product rebalances daily and that over holding periods longer than one day, returns can deviate significantly from 3x the inverse of the index's cumulative return due to compounding effects, especially in volatile, sideways-moving markets. He provided her with a product fact sheet and the fund prospectus. Margaret acknowledged she understood these risks and signed a supplemental disclosure form. She stated she intended to hold the position for "four to eight weeks" as a tactical hedge against her broader equity portfolio. David executed the trade. Over the following months, the S&P 500 experienced choppy, range-bound trading with elevated volatility. After six weeks, Margaret's position had lost approximately 22% of its value (\$39,600) even though the S&P 500 was down only 1.2% over the same period - a textbook example of volatility decay in a daily-resetting leveraged product. Margaret called David twice during this period; in the first call at week three, David noted the position was underperforming her thesis and suggested she consider exiting, but Margaret insisted on holding, saying her models still predicted a downturn. In the second call at week five, David again recommended she exit and noted the compounding drag, but Margaret again declined. At week eight, Margaret finally sold at a \$39,600 loss. Seven months later, Margaret's daughter, who holds a securities license at another firm, reviewed her mother's statements and filed a complaint alleging that David should never have allowed a 71-year-old retiree to invest in a 3x leveraged inverse product, regardless of her sophistication. The complaint also alleges that Margaret had been diagnosed with early-stage mild cognitive impairment six months before the trade, though Margaret's medical records show the formal diagnosis came two months after the trade was executed, and David had no knowledge of any cognitive concerns. Margaret herself has not joined the complaint and when contacted stated she understood the risks and takes responsibility for the loss.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that David violated applicable standards: (1) Margaret is a 71-year-old retiree, and leveraged inverse ETFs are among the most complex and risky products available to retail investors. Regulatory guidance has consistently flagged these products as generally unsuitable for retail investors, especially seniors, because of daily-resetting mechanics and volatility decay. (2) Even though the allocation was relatively small (4.3% of liquid assets), the absolute dollar loss of \$39,600 is meaningful, and the product's behavior was predictable - a volatile, sideways market would erode a 3x inverse position, which an advisor should have anticipated. (3) The account documentation listed "moderate" risk elements, and a 3x leveraged inverse ETF arguably exceeds a moderate-to-aggressive risk tolerance. (4) Firms have heightened supervisory obligations for complex products sold to senior investors, and some regulators may view execution of the trade itself as a failure of the advisor's gatekeeping role regardless of client insistence. (5) The later-diagnosed cognitive impairment, while not known to David, could be seen as evidence that the client's judgment was already compromised.

Arguments that David acted appropriately: (1) Margaret is a PhD-level quantitative researcher with direct experience in options trading and margin accounts - she is not a typical retail senior investor. Her

sophistication level is arguably higher than many institutional traders. (2) The allocation represented only 4.3% of her total liquid portfolio, a modest tactical position rather than a concentrated bet. (3) David provided full disclosure of the product's daily-resetting mechanics, volatility decay risks, and provided the prospectus. Margaret signed a supplemental disclosure form. (4) David proactively recommended exiting the position on two separate occasions as the thesis was failing, and Margaret explicitly declined each time. The advisor did not passively allow the position to deteriorate. (5) Margaret's stated time horizon of 4-8 weeks was within the range that some practitioners consider reasonable for tactical use of leveraged/inverse ETFs, and she exited within that timeframe. (6) David had no knowledge or reasonable basis to suspect cognitive impairment at the time of the trade, and the formal diagnosis came after execution. (7) Margaret herself has not complained and has stated she understood the risks and accepts responsibility. (8) Under a best-interest framework, the recommendation must be evaluated at the time it was made based on information then available - and at that time, a small tactical inverse position for a highly sophisticated investor with ample assets could be viewed as reasonable.

Why Borderline

This scenario pits strong investor protection principles for seniors and complex product suitability against the genuine financial sophistication of a highly educated, experienced investor who independently initiated the trade, received full disclosure, and whose advisor actively tried to mitigate losses. The cognitive impairment diagnosis adds emotional weight but its legal relevance is questionable given the timing and the advisor's lack of knowledge. Reasonable regulators could disagree on whether an advisor's duty requires him to refuse a client's informed, unsolicited request for a complex product when the client profile - apart from age - strongly supports sophistication.

Borderline Factors

- Client is 71 years old, triggering heightened scrutiny for senior investor protections, but holds a PhD in applied mathematics and has prior options trading experience
- Position size was only 4.3% of total liquid assets - modest tactical allocation rather than concentrated speculation
- Advisor provided prospectus, explained daily-resetting mechanics and volatility decay, and obtained signed supplemental disclosure
- Advisor proactively recommended exiting on two occasions; client expressly declined each time
- Holding period of 6-8 weeks is in a gray zone - longer than one day but within the tactical window some practitioners consider acceptable for leveraged products
- Cognitive impairment was formally diagnosed after the trade, and the advisor had no knowledge or observable signs at the time
- The client herself has not complained and affirmatively states she understood the risks
- The complaint was initiated by a third party (the daughter) who holds an industry license and may be applying professional standards retrospectively
- Account documentation shows moderate-to-aggressive risk tolerance, which could arguably include or exclude 3x leveraged products depending on interpretation
- The loss (\$39,600) was driven by well-documented volatility decay that the advisor warned about, not by any misrepresentation

Likely Outcome

A regulator would likely find no violation, but the outcome is far from certain. The strongest factors favoring

the advisor are: (1) the client's exceptional sophistication and independent initiation of the trade idea, (2) the thorough disclosure and signed acknowledgment, (3) the small allocation relative to total assets, (4) the advisor's documented attempts to recommend an exit, and (5) the absence of a complaint from the client herself. However, a regulator influenced by recent guidance emphasizing that leveraged/inverse ETFs are presumptively unsuitable for long-term or buy-and-hold retail investors - and that firms must have robust supervisory frameworks for complex products sold to seniors - might conclude that the advisor should have declined to execute the trade or escalated to compliance for pre-approval. On balance, most arbitration panels and regulatory examiners would likely credit the advisor's diligence, but the firm could face supervisory criticism if it lacked a formal pre-approval or enhanced review process for leveraged product transactions in senior accounts.

Borderline Scenario 71

Topic: failure_to_know_customer | Standard: FINRA Rule 2111 (Suitability - including reasonable-basis, customer-specific, and quan

Fact Pattern

Margaret Chen, age 58, is a semi-retired pharmaceutical sales executive who transitioned to part-time consulting in 2021. She has a brokerage account with approximately \$1.4 million in assets, roughly 60% of her total liquid net worth. Her account documents from when she opened the account in 2018 list her investment objective as 'growth,' her risk tolerance as 'moderate to aggressive,' her time horizon as '10+ years,' and her annual income as \$185,000. Her investment experience is listed as '15+ years' with experience in stocks, bonds, mutual funds, and options (level 2 - covered calls and cash-secured puts). No updates to her account profile have been made since 2018, despite the fact that her income dropped to approximately \$95,000 after going part-time.

In March 2023, Margaret's advisor, David Park, recommended she allocate \$70,000 (5% of her account) to a 2x leveraged daily-resetting ETF tracking the semiconductor sector, ticker symbol similar to well-known products like SOXL. David had a 45-minute phone conversation with Margaret in which he explained that the product resets daily and is designed for short-term trading, that it uses swap contracts and futures to achieve 2x daily exposure, and that holding it longer than a few weeks could produce returns that significantly diverge from 2x the index's cumulative return due to compounding effects. He emailed her a product fact sheet and the ETF issuer's own educational brochure, which contained a hypothetical showing how a 2x leveraged ETF could lose money even when the underlying index was flat over 60 days. Margaret responded by email: 'Thanks David, I understand this is a short-term play. Semis are going to rip on the AI boom. Let's do it and I'll watch it closely.'

David executed the purchase. Over the next seven months, the semiconductor index rose approximately 34%, and the leveraged ETF gained roughly 61% - slightly below the theoretical 68% but still a strong gain. Margaret was pleased and told David in August 2023 she wanted to 'let it ride.' David responded verbally that she should 'keep a close eye on it' and that 'these things can turn fast,' but did not send a written follow-up or formally recommend she sell. He did not set any stop-loss triggers or calendar reminders for a portfolio review.

In October 2023, the semiconductor sector experienced a sharp 18% correction over three weeks, followed by a partial recovery and then another 12% drop in December. By January 2024, the leveraged ETF had given back all its gains and was down 11% from Margaret's purchase price - a loss of approximately \$7,700 - even though the underlying semiconductor index was still up about 9% from her purchase date. Margaret filed a complaint alleging that David never truly understood her current financial situation, never updated her profile to reflect her reduced income and approaching retirement, and should not have recommended a leveraged product or at minimum should have actively monitored the position and recommended an exit.

David's firm had a surveillance system that flagged leveraged ETF positions held beyond 60 days, but the flag generated only an internal report reviewed monthly by the branch compliance officer. The compliance officer noted the flag in September 2023 but took no action because the position was profitable at the time and represented only 5% of the account. The firm's written supervisory procedures required advisors to 'thoroughly document discussions about complex products and consider whether continued holding remains appropriate,' but did not mandate forced liquidation or mandatory outbound contact at any specific interval.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that David violated applicable standards:

1. Failure to update customer profile: David had not updated Margaret's account profile since 2018, despite knowing she had transitioned to part-time work with significantly reduced income. Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Rule 15l-1), an advisor must have a reasonable basis for recommendations that accounts for the customer's current financial situation. A stale profile with \$185,000 income versus actual \$95,000 income could mean the recommendation was based on materially inaccurate information. FINRA Regulatory Notice 22-08 specifically emphasizes that firms must exercise enhanced diligence with complex products, including ensuring customer account information is current.
2. Ongoing monitoring failure: While the initial recommendation may have been reasonable at 5% of the portfolio with documented disclosure, FINRA RN 09-31 and RN 12-03 both warn that leveraged ETFs that reset daily are generally unsuitable for holding periods beyond a single trading session or at most a few days. When Margaret said she wanted to 'let it ride' in August, this was effectively a new holding decision. David's vague verbal caution without a documented recommendation to sell or a formal review could be seen as a failure of the care obligation under Reg BI, which requires ongoing attention when the advisor has an ongoing relationship and knows the client is holding an unsuitable position.
3. Supervision failures: The firm's 60-day flag system identified the position but compliance took no action. FINRA RN 09-31 specifically calls on firms to have robust supervisory procedures for leveraged ETFs, including active surveillance of holding periods. A flag that generates no follow-up action is arguably a supervisory deficiency.

Arguments that David did NOT violate applicable standards:

1. Reasonable initial recommendation: The 5% allocation was modest relative to a \$1.4 million account.

Margaret had 15+ years of investment experience, options trading authorization (indicating some sophistication), a growth objective, and moderate-to-aggressive risk tolerance. Even under her actual reduced income, a \$70,000 speculative position in a diversified \$1.4 million account is arguably within the bounds of a growth-oriented, risk-tolerant investor's profile. The position sizing was conservative.

2. Adequate disclosure: David spent 45 minutes explaining the product, sent the fact sheet and issuer brochure with explicit examples of volatility decay, and Margaret acknowledged understanding in writing. This level of disclosure arguably exceeds what many advisors provide and demonstrates informed consent.

3. Client autonomy: Margaret explicitly chose to hold the position in August 2023 against David's verbal caution. Under both suitability and Reg BI frameworks, a client's informed decision to hold after receiving appropriate warnings has traditionally been given weight. David is not a discretionary manager - he cannot unilaterally sell positions.

4. The loss is modest: An \$7,700 loss (approximately 11% of the position, 0.55% of the total account) is not the kind of catastrophic loss typically associated with leveraged ETF complaints. The product actually performed as expected - the path dependency and volatility decay effects were precisely what David had warned about.

5. Profile staleness may not be material: Even with updated income of \$95,000, Margaret's other profile characteristics (risk tolerance, experience, time horizon, net worth) arguably still supported a small speculative allocation. The outdated income figure, while problematic procedurally, may not have changed the recommendation outcome.

Why Borderline

This case sits at the intersection of several genuinely contested issues: (1) whether a 5% allocation to a leveraged ETF can ever be suitable for a near-retiree even with documented disclosure and a growth objective, (2) whether an advisor's verbal caution to sell constitutes adequate discharge of ongoing obligations when the client declines, (3) whether a stale customer profile with a \$90,000 income discrepancy is a material deficiency when the overall financial picture (net worth, experience, risk tolerance) still arguably supports the recommendation, and (4) whether a firm's surveillance system that flags but doesn't act on leveraged ETF holding periods constitutes adequate supervision. The modest loss amount and small position size cut against finding a violation, but the procedural failures and the product's inherent unsuitability for long-term holding cut in favor.

Borderline Factors

- Customer profile not updated for 5 years despite known material change in income, but other profile factors (net worth, experience, risk tolerance) arguably still support the recommendation
- Position was only 5% of portfolio - conservative sizing for a speculative allocation - but product type is inherently problematic for holding periods beyond days
- Advisor provided extensive verbal and written disclosure about daily reset mechanics and volatility decay, with written client acknowledgment
- Client explicitly chose to continue holding against advisor's verbal warning, but advisor failed to document the warning or formally recommend a sale
- Firm's surveillance system flagged the holding period but compliance took no action because the position

was profitable and small

- Client approaching retirement age (58) with reduced income, but still classified herself as growth-oriented with moderate-to-aggressive risk tolerance
- Actual loss was modest (\$7,700 / 0.55% of account) but product performed exactly as warned - underlying index up 9% while leveraged ETF down 11%
- Advisor had no discretionary authority and could not force a sale without client consent

Likely Outcome

A regulator would most likely find a partial violation focused on procedural failures rather than the initial recommendation itself. The failure to update the customer profile for five years despite knowing of a material income reduction would likely be cited as a violation of the know-your-customer obligation under FINRA Rule 2111(a) and the customer investment profile requirements. The firm's supervisory system would likely be found deficient under FINRA's complex products supervision expectations outlined in RN 09-31 and RN 22-08, because a flag without follow-up action is not meaningful supervision. However, the initial recommendation itself - given the small allocation size, documented disclosure, client sophistication, and written acknowledgment - would likely survive scrutiny as a reasonable recommendation at the time it was made. The more difficult question is the August 2023 'let it ride' conversation, where a regulator could go either way on whether David's verbal warning was sufficient. Under Reg BI's care obligation, a regulator might expect a more affirmative documented recommendation to exit, but the lack of discretionary authority and the client's autonomous decision to hold would provide a meaningful defense. Most likely outcome: a letter of caution or minor fine focused on the profile update failure and supervisory deficiency, with the substantive suitability claim being a closer call that might or might not result in a finding depending on the specific arbitration panel or regulatory examiner.

Borderline Scenario 72

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2111 (Suitability) and its three component obligations (reasonable-basis, cu

Fact Pattern

Marcus Blevin, age 58, is a semi-retired aerospace engineer who left his full-time position in 2021 but continues to consult part-time, earning roughly \$95,000 annually. His liquid net worth is approximately \$1.4 million, split between a rollover IRA (\$820,000) and a taxable brokerage account (\$580,000). He has traded individual stocks and standard index ETFs actively for over 15 years and maintains a self-described 'aggressive growth' risk tolerance on his new account forms completed in March 2023. His stated investment objective is 'growth with some speculation,' and his time horizon is listed as '5-10 years.' He told his advisor, Danielle Prichard, at their initial meeting that he follows financial markets daily, reads earnings reports, and previously managed a small options account at another firm (though he closed it in 2019 after modest losses). He mentioned he was interested in using leveraged ETFs to 'amplify returns on sectors I have conviction in.'

In April 2023, Prichard recommended that Blevin allocate \$145,000 - roughly 25% of his taxable account - into a 3x leveraged daily-resetting semiconductor sector ETF. She explained that the product resets daily and that returns over periods longer than one day can diverge significantly from 3x the underlying index return, particularly in volatile or sideways markets. She provided him with the fund's prospectus and a

one-page summary she had prepared showing hypothetical scenarios of how daily compounding can erode value during choppy markets. Blevin signed an acknowledgment form stating he understood the daily reset mechanism and the risks of holding the product beyond a single trading session.

However, Prichard did not establish or recommend a specific exit strategy, stop-loss, or maximum holding period. She noted in her file that Blevin was 'sophisticated enough to manage the position actively' and that he planned to hold the ETF 'for a few weeks to a few months depending on the semiconductor cycle.' Over the following eight months, the semiconductor sector experienced significant volatility - a sharp rally in May and June 2023, followed by a 14% drawdown in August and September, then a recovery into November. Blevin held the position continuously throughout, never contacting Prichard to discuss it. By December 2023, the underlying semiconductor index was up approximately 22% from his purchase date, but Blevin's 3x leveraged ETF position had gained only 38% - well short of the roughly 66% a naive investor might expect from a 3x product. In dollar terms, his position was worth approximately \$200,100, a gain of \$55,100.

Blevin did not complain. However, in January 2024, the firm's compliance department flagged the position during a routine review of leveraged ETF holdings exceeding 90 days. The compliance reviewer noted that the customer's risk profile listed a 5-10 year time horizon, that 25% of the taxable account was concentrated in a single 3x daily-resetting product, and that the client was 58 years old approaching retirement. The reviewer also noted that while Blevin had signed the acknowledgment form, there was no documentation of ongoing monitoring or check-ins after the initial purchase. Prichard responded that Blevin was an experienced, self-directed investor who understood the product, had made money on the trade, and had explicitly asked for leveraged exposure. She pointed out that she had provided written risk disclosures and that the position represented only about 10% of Blevin's total liquid assets across both accounts.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Prichard violated applicable standards: (1) A 3x leveraged daily-resetting ETF is widely recognized as a complex product designed for short-term, tactical trading - not for multi-month holding periods. By failing to establish a defined holding period, stop-loss, or active monitoring protocol, Prichard arguably failed to exercise reasonable diligence in ensuring the recommendation was suitable, particularly given the well-documented risks of volatility decay and path dependency in daily-resetting products. (2) The customer's stated 5-10 year time horizon on his account documents is inconsistent with a product explicitly designed for intra-day or very short-term use. Even though Blevin verbally indicated a shorter holding intent, the mismatch between documented profile and product characteristics raises concerns. (3) A 25% concentration of the taxable account in a single 3x leveraged sector ETF represents meaningful concentration risk, amplified by the leverage factor, for a 58-year-old approaching retirement. (4) The absence of any documented follow-up or ongoing monitoring over eight months suggests a lack of the heightened supervision that complex products typically require. Regulatory guidance has consistently emphasized that firms must have robust supervisory systems for leveraged and inverse ETFs, including mechanisms for monitoring holding periods.

Arguments that Prichard acted appropriately: (1) Blevin has 15+ years of active trading experience, prior

options experience, and self-describes as aggressive. He specifically requested leveraged exposure, demonstrating both initiative and a baseline understanding of the product category. (2) Prichard provided the prospectus, prepared a custom risk summary illustrating daily compounding effects, and obtained a signed acknowledgment - exceeding what many advisors do in terms of point-of-sale disclosure. (3) The position constituted only about 10% of Blevin's total liquid net worth (\$1.4 million), which is a reasonable concentration level for a speculative allocation by an aggressive investor. (4) The trade was profitable - Blevin gained \$55,100 - undermining any argument of customer harm. (5) Blevin is a sophisticated individual (aerospace engineer, active market participant) who chose not to contact his advisor or exit the position despite having the knowledge and ability to do so. Holding the position was arguably Blevin's autonomous decision, not Prichard's ongoing recommendation. (6) The verbal discussion about a 'few weeks to a few months' holding period is arguably more relevant than the generic 5-10 year time horizon on the account form, which pertains to overall investment objectives rather than individual position duration.

Why Borderline

This case sits at the intersection of several genuinely contested issues: (1) whether a single recommendation to buy a leveraged ETF creates an ongoing duty to monitor the holding period and intervene, or whether that responsibility shifts to a knowledgeable client who chose to hold; (2) whether documented account-level time horizons should be read as applying to every individual position or only to the overall portfolio strategy; (3) whether adequate point-of-sale disclosure can offset the absence of a formalized monitoring framework; and (4) whether the absence of customer harm (the position was profitable) is relevant to a suitability or best-interest analysis, which technically focuses on the reasonableness of the recommendation at the time it was made. Reasonable compliance professionals genuinely disagree on each of these points.

Borderline Factors

- Client has genuine sophistication and active trading history but is nearing retirement age with a long-term stated time horizon
- Advisor provided meaningful written disclosures and obtained signed acknowledgment but did not implement ongoing monitoring or a defined exit strategy
- Position was 25% of taxable account but only ~10% of total liquid net worth - concentration analysis depends on which denominator is used
- Verbal discussion about short-term holding intent conflicts with documented 5-10 year account time horizon
- Client was profitable on the trade, complicating any harm-based enforcement theory
- Client never contacted advisor and independently chose to continue holding - raises questions about whether the 'recommendation' to buy also constitutes an ongoing recommendation to hold
- Firm's supervisory system flagged the position but only after 90 days, raising questions about whether the firm's own complex products supervision framework was adequate

Likely Outcome

A regulator would most likely find a supervisory deficiency at the firm level rather than a clear-cut individual suitability violation by Prichard. The initial recommendation, while aggressive, was supported by reasonable disclosure efforts and a plausible match to the client's stated risk tolerance and experience. However, the absence of any documented post-sale monitoring plan for a 3x leveraged daily-resetting product - particularly one held for eight months - would likely be cited as a failure of the firm's supervisory framework

for complex products. Prichard herself might receive a cautionary letter or enhanced supervision requirement rather than a formal disciplinary action, particularly given the client's sophistication, the disclosures provided, and the absence of financial harm. The firm would likely be required to enhance its policies around leveraged ETF holding period monitoring, including mandatory check-in protocols and escalation procedures.

Borderline Scenario 73

Topic: high_fees_unsuitable | Standard: FINRA Rule 2111 (Suitability) including the customer-specific, reasonable-basis, and quantifi

Fact Pattern

Marcus Delgado, age 58, is a recently retired civil engineer with a \$1.4 million rollover IRA and a separate \$320,000 taxable brokerage account. He has 22 years of investing experience, including active trading of individual stocks and options during the last decade of his career. His risk tolerance questionnaire rated him as 'moderately aggressive,' and he told his advisor, Brenda Castellano, that he wanted to generate income from the IRA but was comfortable using the taxable account for 'more tactical plays' to supplement his pension income. His pension covers roughly 70% of his monthly expenses, and Social Security will begin in four years.

In February 2023, Castellano recommended that Delgado allocate approximately \$80,000 (25% of the taxable account) to a 2x leveraged S&P 500 ETF with an expense ratio of 0.89% and daily reset mechanics. She explained that this would give him 'amplified upside exposure without needing margin,' and presented a one-page product summary noting the fund resets daily. She also recommended a separate \$45,000 position in a -1x inverse Nasdaq-100 ETF (expense ratio 0.95%) as a 'tactical hedge' against Delgado's concentrated technology holdings in his IRA, which included approximately \$210,000 in four large-cap tech stocks.

Castellano told Delgado during their meeting that these products were 'best used for shorter-term positioning' and noted in her internal file that the anticipated holding period was '3 to 6 months, with quarterly reviews.' However, she did not set any automatic stop-loss orders, calendar alerts for rebalancing, or written triggers for exiting the positions.

Over the next 14 months, the S&P 500 experienced moderate volatility, rising roughly 12% on a cumulative basis. However, due to volatility decay and path dependency from the daily reset, Delgado's 2x leveraged position gained only 16.2% instead of the 24% a simple 2x multiple would have suggested, costing him approximately \$6,200 in 'volatility drag.' The inverse Nasdaq ETF lost approximately \$11,800 as the Nasdaq rose 18% over the same period, with compounding losses exceeding what a simple -1x return would have predicted.

During this period, Castellano conducted two quarterly reviews - one in May 2023 and one in August 2023 - during which she discussed the positions with Delgado and recommended holding both, noting that 'the market could still pull back' and 'the leverage is still working in your favor on the long side.' Delgado agreed each time to maintain the positions. No review occurred after November 2023 due to Castellano's family

medical leave, and the positions remained open until April 2024, when Delgado called to liquidate after reading a financial blog about the dangers of holding leveraged products long-term.

Delgado's total fees on the two ETFs over 14 months amounted to approximately \$1,350 - higher than comparable unleveraged index ETFs (which would have charged roughly \$120 total over the same period) but substantially less than actively managed mutual funds. Delgado filed a complaint alleging that the products were unsuitable given his retirement status and that the fees and structural decay made the recommendations inappropriate, and that Castellano failed to monitor the positions adequately. Castellano's firm had an internal policy requiring enhanced review for complex exchange-traded products, but the policy stated only that a supervisor must approve the initial purchase and that 'ongoing monitoring should occur consistent with the account type' - the taxable account was a self-directed brokerage account with advisory overlay services.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: First, Delgado is a recent retiree relying partly on investment returns to supplement a pension, placing him in a category of investors for whom speculative, complex products demand heightened scrutiny. Second, the leveraged and inverse ETFs are daily-resetting instruments whose compounding mechanics can produce significant performance deviation from the underlying index over periods longer than one day. Industry guidance has repeatedly warned that these products are generally unsuitable for buy-and-hold retail investors. The positions were held for 14 months - well beyond the '3 to 6 month' horizon Castellano herself documented - and no mechanical safeguards (stop-losses, calendar rebalancing triggers) were established. Third, the failure to conduct the planned quarterly review after August 2023, leaving the positions unmonitored for approximately eight months, raises supervisory and monitoring concerns. Fourth, the inverse ETF as a 'hedge' was imprecise: it tracked the Nasdaq-100, not the specific tech stocks in Delgado's IRA, creating basis risk, and the daily reset made it a poor long-duration hedge.

Arguments against a violation: Delgado is not an unsophisticated investor - he has 22 years of experience, a decade of active stock and options trading, and a self-described comfort with tactical positions. He explicitly wanted the taxable account used for aggressive strategies. The \$125,000 combined allocation represented only about 7.3% of his total investable assets and roughly 25% of the taxable account only, preserving the vast majority of his retirement assets in more conservative holdings. Castellano did provide a product summary disclosing the daily reset feature and verbally communicated that the products were best used short-term. She conducted two quarterly reviews and each time Delgado affirmatively agreed to hold. The total fee differential (\$1,350 vs. \$120) is notable in percentage terms but modest in absolute dollars relative to the portfolio. The missed quarterly review was caused by an unexpected medical leave - an operational lapse rather than systemic negligence. The leveraged long position did generate a positive return (16.2%), and the inverse position's loss was consistent with its intended function during a rising market. Finally, the firm's enhanced review policy was followed at the point of purchase, and the account's hybrid self-directed/advisory structure creates ambiguity about the scope of ongoing monitoring obligations.

Why Borderline

This scenario is genuinely ambiguous because the customer profile cuts both ways: he is retired (suggesting conservatism) but experienced and explicitly seeking tactical exposure. The holding period exceeded the advisor's own stated plan, but the client agreed at each review to maintain positions. The products' structural costs (volatility decay and higher expense ratios) are real but modest in absolute dollar terms relative to a \$1.7 million total portfolio. The monitoring gap is concerning but was caused by an external event rather than willful neglect. Reasonable practitioners could disagree on whether the initial recommendation was appropriate for a retiree, whether the ongoing holding constituted a new implicit recommendation requiring fresh analysis, and whether the monitoring failure was material or excusable.

Borderline Factors

- Client is retired but has extensive trading experience and explicitly sought tactical/aggressive exposure in the taxable account
- Position sizing was moderate relative to total assets (~7.3%) but significant within the taxable account (~39% combined)
- Advisor documented a 3-6 month holding horizon but positions were held 14 months with client's repeated verbal consent
- Two of three planned quarterly reviews occurred; the missed review was due to medical leave rather than negligence
- Volatility decay cost approximately \$6,200 and inverse ETF losses were \$11,800 - meaningful but not catastrophic
- Fee differential vs. unleveraged alternatives was ~11x in percentage terms but only ~\$1,230 in absolute dollars
- Inverse ETF used as a 'hedge' had meaningful basis risk relative to the actual tech holdings it was supposed to offset
- Firm's complex products policy was ambiguous about ongoing monitoring scope for hybrid self-directed/advisory accounts
- Client ultimately learned about the products' risks from external sources, raising questions about disclosure adequacy

Likely Outcome

A regulator would most likely find a partial violation - specifically, that the ongoing recommendation to hold the positions beyond the documented 3-to-6-month window, combined with the absence of monitoring mechanisms and the eight-month gap in reviews, constituted a failure of reasonable diligence in monitoring complex products for a retired client. However, the initial recommendation would likely survive scrutiny given the client's experience, explicit risk appetite for the taxable account, reasonable position sizing relative to total assets, and the product disclosures provided. The firm's supervisory framework would likely be criticized as inadequate for failing to require time-based triggers or automatic escalation for leveraged/inverse ETF positions held beyond stated horizons. Any sanctions would likely be moderate - enhanced supervision requirements and possible restitution for losses attributable to the monitoring gap period (roughly November 2023 through April 2024) rather than disgorgement of all fees or full loss recovery.

Borderline Scenario 74

Fact Pattern

Margaret Dawson, age 58, is a retired elementary school teacher with a \$410,000 IRA and a \$95,000 taxable brokerage account. She has no college degree in finance but has been investing in mutual funds and blue-chip stocks for about 15 years through her previous advisor. Her new financial advisor, Kevin Trask, at a mid-sized broker-dealer, conducted an in-person meeting in March 2023 where Margaret expressed deep concern about a potential market downturn tied to banking sector instability. She told Kevin she 'wanted to protect her retirement' and 'maybe even make a little money if things go south.' She specifically mentioned seeing a segment on a financial news channel about an inverse ETF that 'goes up when the market goes down' and asked Kevin about it. Kevin explained that the product she saw—a 2x inverse S&P 500 daily-resetting ETF (ticker: SDS)—was designed to return twice the inverse of the S&P 500's daily performance. He told her the product was 'more of a short-term tool' and that 'holding it too long can eat into returns even if you're right about the direction.' He printed out the fund's fact sheet and gave it to her, and also showed her a hypothetical example on his whiteboard of how daily resetting can cause performance to diverge from twice the inverse of cumulative index returns over time. Margaret said she understood and wanted to go ahead, noting she would 'keep an eye on it' and sell within a few weeks. Kevin allocated \$28,500—approximately 30% of her taxable account and about 5.6% of her total investable assets—into the 2x inverse ETF within her taxable brokerage account, not her IRA. He documented her stated short-term intention and the explanation he provided in his CRM notes. He did not, however, set any automatic stop-loss or calendar-based alert, nor did he schedule a specific follow-up meeting to review the position. Over the following four months, the S&P 500 experienced choppy, range-bound trading with moderate volatility. By July 2023, the index was roughly flat, yet Margaret's inverse ETF position had declined approximately 11.2% due to volatility decay and the compounding effect of daily resets, a loss of about \$3,192. Margaret did not contact Kevin during this period and did not log into her online account. When she received her quarterly statement in July, she called Kevin upset, saying she didn't understand how she could lose money when the market 'didn't really go anywhere.' Kevin suggested she sell the position at that point, which she did, locking in the loss. Margaret later filed a complaint alleging Kevin should never have recommended the product to her given her lack of sophistication with complex instruments.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents genuine tension between competing considerations. Arguments supporting a violation: Margaret is a retired school teacher with no formal financial education and no prior experience with leveraged, inverse, or derivative-based products. The 2x inverse daily-resetting ETF is widely recognized by regulators as a complex product that poses unique risks to retail investors, particularly due to path dependency and volatility decay over holding periods exceeding one day. FINRA Regulatory Notices 09-31 and 22-08 have specifically flagged these products as generally unsuitable for typical retail investors who intend to hold beyond intraday periods. Kevin failed to implement any structured mechanism—such as a time-based alert, stop-loss order, or mandatory follow-up meeting—to ensure the position would actually be held only short-term as discussed. A 30% concentration within the taxable account, while only 5.6% of total assets, is still meaningful. The lack of active monitoring is particularly problematic given Kevin knew the

product's suitability depended entirely on a short holding period. Under Reg BI's care obligation (Rule 15l-1), a broker must exercise reasonable diligence, care, and skill, including understanding the risks and costs and having a reasonable basis that the recommendation is in the customer's best interest. The firm's supervisory obligations under FINRA Rule 3110 and the complex products supervision framework outlined in RN 12-03 may also be implicated if the firm had no heightened review procedures for leveraged ETF recommendations to retail clients. Arguments against a violation: Kevin did not cold-call Margaret with this idea-she came to him having already seen the product on television and specifically requested exposure to an inverse strategy. He provided a verbal and visual explanation of the daily-reset mechanism and its risks, gave her the fact sheet, and she affirmatively acknowledged understanding and stated a short-term holding intention. The allocation was limited to the taxable account (not the IRA), representing a modest 5.6% of total investable assets, which suggests some prudence in position sizing. Kevin documented the discussion and the client's stated intention. Margaret herself bore some responsibility for not monitoring the position or contacting her advisor during the four-month period, despite stating she would 'keep an eye on it.' The \$3,192 loss, while real, is not catastrophic relative to her total portfolio. Some practitioners would argue this was an informed client-directed trade with reasonable (if imperfect) disclosure.

Why Borderline

The scenario is genuinely gray because the advisor took several affirmative steps-client education, documentation, limiting position size, keeping the product out of the retirement account-that demonstrate some level of care, yet failed to implement the single most critical safeguard: a mechanism to ensure the admittedly short-term product was actually held short-term. The client initiated the idea and affirmed understanding, but her profile suggests she may not have truly grasped the mathematical concept of volatility decay despite the explanation. Reasonable regulators could disagree on whether the advisor's oral explanation and documentation were sufficient diligence for a complex product, or whether the absence of a concrete monitoring plan constituted a failure of care given the product's well-known risks.

Borderline Factors

- Client initiated the product idea after seeing it on financial television, reducing the advisor's role as a recommender versus an order-taker
- Advisor provided a whiteboard demonstration and fact sheet about daily-reset risk, but the client's ability to truly understand volatility decay with no quantitative background is questionable
- Position sizing was conservative at 5.6% of total assets and was kept out of the retirement account
- Advisor documented the discussion and client's stated short-term intention but set no automated alerts, stop-losses, or follow-up appointments
- The client failed to self-monitor as she said she would, contributing to the extended holding period
- The actual dollar loss of approximately \$3,192 is modest relative to total assets but the percentage loss on the position (11.2%) is significant for a period when the index was roughly flat
- The firm's supervisory procedures for complex product recommendations to retail clients are unknown and could shift culpability
- The distinction between a solicited recommendation subject to full best-interest analysis and an unsolicited client-directed order is unclear given the advisor discussed the product and facilitated the trade

Likely Outcome

A regulator would most likely find a violation, though possibly with mitigated sanctions. While the advisor's educational efforts and documentation demonstrate partial compliance, the failure to establish any concrete

monitoring mechanism for a product whose suitability is explicitly time-dependent would likely be viewed as a deficiency in the care obligation under Reg BI and in reasonable-basis suitability under FINRA standards. Regulators have consistently emphasized in guidance (RN 09-31, RN 22-08) that daily-resetting leveraged and inverse products require heightened supervision and that mere verbal disclosure of risk is insufficient when the product's fundamental suitability depends on holding period. The advisor's awareness that long-term holding was dangerous, combined with no follow-up mechanism, undercuts the argument that he exercised reasonable diligence. However, the small position size, client initiation, and documentation would likely result in a finding on the lower end of the sanctioning spectrum-perhaps a cautionary action or modest fine rather than severe discipline.

Borderline Scenario 75

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2111 (Suitability); Regulation Best Interest (Rule 15l-1) including the Care O

Fact Pattern

Margaret Holloway, age 58, is a recently retired mechanical engineer with a \$1.4 million portfolio at Ridgmont Financial Group. Her intake questionnaire from January 2023 listed her risk tolerance as 'moderate-aggressive,' her investment objective as 'growth with income,' and her time horizon as '10+ years.' She holds a \$620,000 IRA, a \$480,000 taxable brokerage account, and a \$300,000 fixed annuity. Her annual pension income is \$72,000, and she carries no debt. She has a Bachelor's degree in engineering and a minor in mathematics. During onboarding, she told her advisor, Derek Nash, that she had previously traded options in a self-directed account for about three years and described herself as comfortable with volatility. She signed a supplemental disclosure form acknowledging that she understood leveraged products could lose more than the underlying index over multi-day periods.

In March 2023, Nash recommended that Holloway allocate \$70,000 - roughly 5% of her total portfolio - into a 2x leveraged daily-resetting ETF tracking the S&P 500. Nash documented that the position was intended as a tactical allocation to amplify upside during what he projected would be a sustained equity rally, and that it would be monitored weekly with a planned exit within 90 days. He entered the trade and set a calendar reminder for quarterly review.

Over the following months, the S&P 500 experienced a choppy, sideways market with several sharp drawdowns and recoveries. Nash conducted phone check-ins in April and May, during which Holloway said she was 'fine with riding it out.' By mid-June, the underlying index was essentially flat, but the leveraged ETF had declined approximately 8.2% due to the compounding effects of daily resets in a volatile, range-bound market. The position was now worth roughly \$64,260.

Nash discussed the underperformance on a June 19 call, explaining that the sideways volatility was eroding value. He suggested holding through July because he expected a breakout to the upside based on earnings season catalysts. Holloway agreed. By the end of August 2023 - roughly five months after the initial purchase - the index had gained about 2%, but the leveraged ETF had recovered only partially, sitting at approximately \$66,500, a net loss of about 2.5% while the unleveraged index was up 2%. Nash liquidated the position on September 1, 2023, booking a loss of roughly \$3,500.

Holloway did not complain. However, during a routine branch audit in November 2023, the firm's compliance department flagged the holding period - noting that the leveraged ETF was held for 153 days, well beyond the product's stated daily reset objective and beyond Nash's own documented 90-day plan. The compliance reviewer also noted that although Holloway's risk profile was moderate-aggressive, her primary investment objective included an income component, and that she was within seven years of the age at which required minimum distributions would begin from her IRA. The \$70,000 position was held in the taxable brokerage account, not the IRA. Nash's supervisor had approved the initial trade ticket but had not been consulted when the hold period was extended beyond 90 days.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Nash violated applicable standards: The leveraged daily-resetting ETF was held for 153 days - more than five months - in a period of elevated volatility, which is precisely the scenario in which these products are known to underperform their underlying benchmark due to path dependency and volatility decay. FINRA Regulatory Notice 09-31 explicitly warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, and that in volatile markets, performance can diverge dramatically from the multiple of the index return. RN 22-08 reinforces that complex products demand heightened supervision and that firms must ensure that recommendations involving such products satisfy Reg BI's care obligation (Rule 15l-1), including the requirement to consider reasonably available alternatives and the costs associated with the recommendation. Nash himself documented a 90-day exit plan but then extended the hold without supervisor consultation, which could indicate a breakdown in the firm's supervisory procedures under FINRA Rule 3110 and the complex products supervision framework. The customer's stated objective of 'growth with income' arguably signals a preference for more balanced strategies rather than leveraged instruments prone to capital erosion.

Arguments that Nash did not violate applicable standards: The allocation was only 5% of Holloway's total \$1.4 million portfolio, a modest tactical position unlikely to jeopardize her overall financial plan. Holloway had documented experience trading options, signed supplemental disclosures about daily-reset mechanics, and verbally affirmed her comfort with the strategy on multiple occasions. Under FINRA Rule 2111 and Reg BI, the analysis considers the customer's entire financial picture - Holloway had a \$72,000 pension, a \$300,000 fixed annuity, no debt, and a moderate-aggressive risk tolerance. The absolute dollar loss was only \$3,500, well within tolerance for a portfolio of this size. Nash conducted regular check-ins, explained the volatility drag in real time, and ultimately exited the position within a reasonable timeframe. Many practitioners and compliance officers would note that a 5% tactical allocation in a leveraged equity ETF for a moderate-aggressive investor with options experience and strong income sources does not obviously breach either the quantitative or qualitative components of suitability. The hold period, while exceeding one day, was not the multi-year hold that regulatory guidance most strongly warns against. Nash also held the position in the taxable account rather than the retirement account, which mitigates some concerns about retirement asset preservation.

Why Borderline

This case sits at the intersection of several genuinely debatable factors: the allocation was small relative to total assets and the client had meaningful sophistication, yet the product was held well beyond its designed daily-reset horizon and beyond the advisor's own documented plan, during exactly the kind of volatile sideways market that maximizes the destructive effects of compounding. The loss was modest in both absolute and relative terms, but the question of whether the recommendation was in the client's best interest doesn't hinge solely on outcome - it also depends on the process, the nature of the product, and whether the advisor adequately weighed alternatives. Reasonable compliance officers could disagree on whether a 5% tactical position for a sophisticated moderate-aggressive investor crosses the line simply because the hold period exceeded the daily-reset design.

Borderline Factors

- Position size was only 5% of total portfolio, limiting potential harm
- Client had prior options trading experience and signed supplemental leveraged product disclosures
 - Hold period of 153 days significantly exceeded both the daily-reset design and the advisor's own documented 90-day exit plan
- Market conditions were choppy and sideways - precisely the environment that maximizes volatility decay in daily-resetting leveraged ETFs
- Client verbally consented to extended holding on recorded calls
- Advisor did not consult supervisor when extending beyond the documented plan
- Actual dollar loss was only \$3,500 on a \$1.4 million portfolio
- Client's investment objective included an income component, which arguably conflicts with leveraged speculative instruments
- Position was in taxable account, not retirement account, reducing fiduciary-adjacent concerns
- Client was 58 and within a few years of RMD age, though this position was not in the IRA

Likely Outcome

A regulator would most likely issue a cautionary finding or minor supervisory deficiency rather than a full suitability violation. The small position size, client sophistication, real-time communication, and modest loss make it difficult to sustain a finding that the recommendation was clearly unsuitable or failed the best interest standard at the time it was made. However, the firm's supervisory process would likely be cited as deficient: the advisor's failure to escalate the hold extension beyond his documented 90-day plan to his supervisor represents a gap in the complex product supervision framework. The firm might receive a deficiency letter focused on supervisory controls - specifically the lack of automated alerts or mandatory supervisor review when leveraged ETF positions exceed pre-set holding period thresholds - rather than a customer-harm-based enforcement action against the advisor personally.

Borderline Scenario 76

Topic: high_fees_unsuitable | Standard: FINRA Rule 2111 (Suitability) - requiring reasonable-basis, customer-specific, and quantitative

Fact Pattern

Margaret Kowalski, age 58, is a retired school administrator with a \$1.4 million rollover IRA and a modest pension providing \$3,200/month. She has 22 years of investing experience, primarily in index mutual funds and blue-chip stocks. Her risk tolerance questionnaire, completed in March 2022, indicated a "moderately

aggressive" profile, and she expressed strong concerns about a potential market downturn given rising interest rates. She told her advisor, Daniel Reeves, that she wanted to "protect the portfolio against a correction without selling her core equity holdings."

Reeves, who had been her advisor for six years, recommended allocating \$140,000 (10% of the portfolio) to a 3x inverse S&P 500 ETF (expense ratio 0.95%, with daily financing and swap costs effectively raising the total annual cost of ownership to approximately 2.8% when accounting for roll costs and the drag from daily compounding). He explained that the product was designed to move opposite to the market on a daily basis, and during their meeting he showed her a one-page summary sheet from the ETF sponsor noting its daily reset mechanism. He documented in his CRM notes that he told her the product "should not be held indefinitely" and recommended a 60-to-90-day review window. He did not, however, set a hard stop-loss or automatic liquidation trigger.

Margaret signed an account agreement addendum acknowledging she understood the product involved leverage and daily resetting. The firm's product committee had approved the 3x inverse ETF for use in client accounts, but the internal guidance memo stated it was "appropriate for short-term tactical hedging only, generally not exceeding 30 calendar days" and required supervisory pre-approval for positions held beyond that period.

Between March and May 2022, the S&P 500 declined roughly 13%, and Margaret's inverse ETF position gained approximately 28%, reaching about \$179,000. Reeves called Margaret on May 18, 2022, and recommended taking profits. Margaret declined, saying she believed the market had "much further to fall" and asked to hold the position. Reeves documented her refusal in the CRM and noted he would revisit in two weeks. He did not escalate the matter to his branch supervisor as required by the firm's internal guidance for positions held beyond 30 days.

Over the following five months, the market experienced significant volatility - alternating between sharp rallies and selloffs. By October 2022, the S&P 500 was down about 20% from its January peak, yet Margaret's 3x inverse ETF position had eroded to approximately \$121,000 - a net loss of \$19,000 from her original investment despite the index being substantially lower. The volatility decay and daily compounding had destroyed the expected returns. Margaret's total costs on the position, including the effective expense drag, amounted to roughly \$11,200 over seven months.

Margaret filed a complaint alleging the product was too expensive and unsuitable for her retirement account, and that Reeves should never have recommended a triple-leveraged inverse product to a near-retiree in an IRA. Reeves contends the initial allocation was modest, the recommendation was responsive to her stated hedging objective, he attempted to close the position at a profit, and her losses were caused by her own decision to override his advice.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: (1) A 3x inverse ETF in a retirement account for a 58-year-old retiree raises inherent concerns. The product's total cost of ownership - approximately 2.8% annualized when

accounting for expense ratio, swap/financing costs, and compounding drag - is exceptionally high relative to alternatives such as protective put options, inverse (non-leveraged) ETFs, or simply reducing equity exposure. (2) The advisor's own firm limited the product to 30-day holds, yet the position remained open for over seven months. While the advisor recommended liquidation at the 60-day mark, he failed to escalate to his supervisor as required by internal policy when Margaret refused, representing a supervision breakdown. (3) The path-dependency and volatility decay risk materialized exactly as regulators have warned: the index fell 20% but the 3x inverse ETF lost money. A product that loses money even when the directional bet is correct raises serious questions about whether any retail investor in a retirement account should bear that risk. (4) Less costly hedging alternatives existed. Buying put options on an S&P 500 ETF, for example, would have provided downside protection with known maximum cost (the premium), no daily reset risk, and no volatility decay. An inverse (1x) ETF would have had lower tracking error over multi-week periods. The advisor does not appear to have presented these alternatives.

Arguments against a violation: (1) The 10% allocation was a measured, tactical position - not a concentrated bet. The remaining 90% of the portfolio was in diversified holdings. (2) Margaret had 22 years of investing experience and a moderately aggressive risk profile. She signed a product-specific acknowledgment. (3) The advisor's initial recommendation was responsive to a legitimate client objective - hedging without liquidating core holdings. (4) Critically, the advisor attempted to close the position at a gain of approximately \$39,000 (28% return in roughly 60 days), which would have vindicated the recommendation. Margaret's autonomous decision to override that advice caused the holding period to extend into the danger zone for daily-resetting products. (5) The firm had approved the product for client use, and the advisor's initial timeframe was consistent with the product's design. (6) The \$11,200 in total costs over seven months must be weighed against the fact that the position was profitable for the first three months and the client refused to exit.

Why Borderline

This scenario sits in a genuine gray area because the initial recommendation - a 10% tactical hedge in a 3x inverse ETF for a sophisticated, moderately aggressive investor who specifically requested downside protection - is defensible, even in a retirement account. The fees are high but not unusual for the product category, and the advisor proposed a short holding period consistent with the product's design. However, the extended holding period, failure to escalate per firm policy, failure to present lower-cost hedging alternatives, and the ultimate demonstration of volatility decay causing losses despite a correct directional call all cut against the advisor. The key tension is between the advisor's documented attempt to close the position and the client's refusal - does the client's autonomy shift responsibility, or does the advisor's duty require more aggressive action (such as exercising discretion to liquidate, escalating to the supervisor, or refusing to maintain the position)?

Borderline Factors

- 10% allocation is modest relative to total portfolio, reducing concentration risk argument
- Client had 22 years of experience and signed product-specific disclosure acknowledging daily reset
- Advisor documented recommendation to take profits at a gain, and client explicitly refused
- Advisor failed to escalate to supervisor per firm's 30-day hold policy - a clear procedural lapse
- 3x leveraged inverse product in an IRA for a 58-year-old retiree raises per se suitability concerns for some regulators
- Total cost of ownership (~2.8% annualized) is significantly higher than alternative hedging strategies not

presented to the client

- Volatility decay caused a net loss despite the underlying index declining 20% - the exact risk the product is designed to exploit
- Client's stated objective (hedging) was legitimate and the product initially performed as intended
- No hard stop-loss or automatic review mechanism was established despite the product's known decay characteristics

Likely Outcome

A regulator would most likely find a partial violation. The initial recommendation, while aggressive for a retirement account, was arguably within the bounds of reasonable professional judgment given the client's profile, stated objective, modest allocation size, and the advisor's proposed short holding period. However, the advisor would likely be found to have fallen short on two grounds: (1) failure to present reasonably available, less costly alternatives (such as put options or a 1x inverse ETF) that could have achieved the client's hedging objective with lower fees and without path-dependency risk, and (2) failure to follow the firm's internal supervisory escalation procedures when the position exceeded the 30-day recommended maximum hold. The client's refusal to sell would be considered a mitigating factor but would not fully absolve the advisor, because the duty to act in the client's interest includes escalating the matter and, potentially, more forcefully communicating the mathematical certainty of volatility decay over extended holding periods. A likely disposition would be a finding of deficient supervision and a failure to consider reasonably available alternatives, with sanctions reduced by the documented attempt to close the position and the client's contributory conduct.

Borderline Scenario 77

Topic: *leveraged_etf_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) - reasonable-basis, customer-specific, and quantitative su*

Fact Pattern

Marcus Devereaux, a registered representative at Cascade Wealth Partners in Portland, Oregon, recommended a 2x leveraged S&P 500 ETF (ticker: SSO) to his client, Dr. Priya Venkatesh, a 44-year-old interventional cardiologist earning approximately \$780,000 annually. Dr. Venkatesh had a liquid net worth of \$3.2 million, total net worth of \$5.8 million including real estate, and had been investing actively for 12 years. She maintained accounts at two other firms and described her investment objective as 'aggressive growth' on her new account form. Her risk tolerance was marked as 'high,' and she had prior experience trading options, individual equities, and sector ETFs. She told Devereaux during their initial meeting in February 2022 that she wanted 'concentrated exposure to the broad market rally' and was 'comfortable with amplified volatility' because she had a long time horizon before retirement at age 60.

Devereaux allocated \$320,000 - approximately 10% of her liquid net worth - to the 2x leveraged S&P 500 ETF. He documented in his notes that he explained the daily reset mechanism, the effect of compounding over multi-day periods, and that the product was designed for short-term tactical use. He noted Dr. Venkatesh responded that she understood but preferred to hold for 'at least 12 to 18 months' rather than trade daily, viewing it as a leveraged long-term bet on the S&P 500. Devereaux did not override her preference. He set a calendar reminder to review the position quarterly.

Over the next 14 months, the S&P 500 experienced significant volatility, dropping roughly 18% between February and October 2022 before recovering most of the decline by April 2023. Due to the daily compounding and path dependency effects during this volatile period, the 2x leveraged ETF lost approximately 11% of its value even though the underlying S&P 500 was down only about 3% over the same 14-month window. Dr. Venkatesh's \$320,000 position was worth approximately \$284,800 at the end of the holding period - a loss of roughly \$35,200.

During the quarterly reviews (May 2022, August 2022, November 2022, and February 2023), Devereaux's notes indicate he discussed the position's performance and reiterated the risks of holding a daily-resetting leveraged product over extended periods. In the November 2022 review, when the position was down approximately 28%, he recommended reducing or closing the position. Dr. Venkatesh declined, stating she believed the market would recover and she wanted to 'ride it out.' Devereaux documented her refusal but did not escalate the matter to his firm's compliance department or place any restrictions on the account.

Dr. Venkatesh later filed a complaint alleging the recommendation was inappropriate because the product was unsuitable for any holding period beyond a few days and that Devereaux should have refused to allow her to maintain the position once it became clear she intended to hold it long-term. The firm's product approval committee had approved the 2x leveraged ETF for use in client accounts designated as aggressive growth with liquid net worth exceeding \$500,000, but internal guidelines stated that 'leveraged and inverse ETFs are generally intended for short-term tactical trading and advisors should document rationale for any holding period exceeding 90 days.' Devereaux's quarterly review notes did document his rationale each quarter, noting the client's directive to hold.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuine tension between an advisor's obligation to recommend suitable investments and a sophisticated client's autonomous decision-making.

Arguments that Devereaux violated applicable standards:

1. Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Rule 15l-1 under the Exchange Act), the initial recommendation must be in the customer's best interest at the time it is made, considering the customer's investment profile and the product's characteristics. A 2x leveraged ETF is a complex product specifically designed for daily holding periods, and recommending it with the knowledge that the client intended a 12-18 month hold arguably fails both the reasonable-basis and customer-specific suitability components.
2. FINRA Regulatory Notice 09-31 explicitly warned that leveraged and inverse ETFs 'typically are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' FINRA Regulatory Notice 22-08 reinforced heightened obligations around complex products, including enhanced account-opening diligence and consideration of whether the customer can understand and bear the risks.

3. The firm's own internal guidelines flagged holding periods beyond 90 days as requiring special documentation, implicitly acknowledging the unsuitability risk. Devereaux knew at the time of the recommendation that the client planned to hold for 12-18 months. Recommending a product while knowing the client intends to use it in a manner inconsistent with its design raises questions about whether the recommendation itself was appropriate.

4. FINRA Regulatory Notice 12-03 on heightened supervision of complex products requires firms to have procedures ensuring that associated persons understand the products they recommend and that recommendations are consistent with customers' investment profiles. Devereaux's failure to escalate to compliance when the client refused to liquidate a deteriorating position in a product being held well beyond its intended timeframe could be viewed as a supervisory gap.

Arguments that Devereaux acted appropriately:

1. Dr. Venkatesh is a high-income, high-net-worth, experienced investor with a documented aggressive growth objective and high risk tolerance. The \$320,000 allocation represented only 10% of her liquid net worth and approximately 5.5% of her total net worth - a position size that, even in a worst-case scenario, would not materially impair her financial condition.

2. Devereaux documented his explanation of the daily reset mechanism, compounding risk, and the product's intended short-term use. The client made an informed decision to hold longer. Under the care obligation component of Reg BI, an advisor must exercise reasonable diligence, care, and skill, but is not required to override a knowledgeable client's informed investment decision.

3. Devereaux conducted quarterly reviews, documented each one, explicitly recommended reducing the position in November 2022, and documented the client's refusal. This ongoing monitoring and documented engagement demonstrates a reasonable level of ongoing care and diligence.

4. The actual loss was approximately \$35,200 on a \$320,000 position (about 11%), which is modest relative to the client's overall wealth and consistent with the kind of underperformance an aggressive investor might accept. The S&P 500 itself was negative over this period; the additional drag from volatility decay was real but not catastrophic.

5. The product had been approved by the firm's product committee for use with clients matching Dr. Venkatesh's profile. Devereaux followed internal procedures by documenting rationale for the extended holding period each quarter.

Why Borderline

This case sits at the intersection of product-level unsuitability concerns (a daily-resetting leveraged ETF held for 14 months) and client-level suitability factors that strongly favor the recommendation (high sophistication, substantial wealth, small allocation, aggressive objectives). The advisor did many things right - thorough disclosure, quarterly monitoring, documented recommendation to reduce, and appropriate position sizing - yet he knowingly recommended a product that the client intended to use in a manner inconsistent with its design. The resulting loss, while demonstrating textbook volatility decay, was relatively

modest and within the range an aggressive investor might tolerate. Regulators have consistently warned about long-term holding of leveraged ETFs, but the warnings have focused primarily on unsophisticated retail investors, and the specific facts here - particularly the client's refusal to sell despite the advisor's recommendation - create genuine ambiguity about where responsibility lies.

Borderline Factors

- Client is highly sophisticated with 12 years of active investing experience including options trading
- Position size was only 10% of liquid net worth, limiting potential for catastrophic harm
- Advisor documented thorough disclosure of daily reset mechanism and compounding risks at time of recommendation
- Advisor conducted quarterly reviews and affirmatively recommended reducing the position during the downturn
- Client explicitly refused the advisor's recommendation to sell, and this refusal was documented
- The product was approved by the firm's internal product committee for clients with this risk profile
- However, the advisor knew at the time of the initial recommendation that the client intended a 12-18 month holding period inconsistent with the product's daily-reset design
- The firm's internal guidelines flagged holding periods beyond 90 days as requiring enhanced documentation, suggesting institutional awareness of the risk
- The advisor did not escalate to compliance when the client refused to liquidate a deteriorating leveraged position
- Actual losses (\$35,200 / 11%) were relatively modest but were caused specifically by the volatility decay phenomenon that makes these products unsuitable for long-term holding

Likely Outcome

A regulator would likely find a technical violation but impose limited sanctions. The initial recommendation of a daily-resetting 2x leveraged ETF to a client who stated an intention to hold for 12-18 months is difficult to defend under the reasonable-basis and customer-specific suitability prongs of FINRA Rule 2111, and arguably fails the care obligation under Reg BI, given FINRA's repeated and explicit warnings about long-term holding of these products (RN 09-31, 12-03, 22-08). However, the strong mitigating factors - the client's sophistication, the modest allocation size, the thorough documentation, the quarterly reviews, and the advisor's affirmative recommendation to reduce the position - would likely result in a cautionary action, a fine at the lower end of the guidelines, or a Letter of Caution rather than a suspension or significant monetary penalty. The firm might face a separate supervisory inquiry regarding the failure to escalate when the client continued holding beyond the 90-day internal guideline threshold despite documented risks.

Borderline Scenario 78

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2111 (Suitability) - requiring reasonable-basis, customer-specific, and quan

Fact Pattern

Marcus Ellison, a 58-year-old semi-retired electrical engineer, maintained a \$1.4 million brokerage account with Pinnacle Wealth Advisors. His financial advisor, Derek Thornton, had worked with Ellison for seven years. Ellison's account documents listed his risk tolerance as 'moderate-aggressive,' his investment objective as 'growth with income,' and his time horizon as 10-15 years. Ellison had a \$95,000 annual

pension from his former employer and received \$22,000 per year in rental income from two properties he owned outright. He had no debt and carried an additional \$600,000 in a separate retirement account managed by another firm. Ellison had a bachelor's degree in engineering and a minor in economics. He regularly read financial publications and had traded options on a limited basis in the past, though he had never held leveraged or inverse exchange-traded products.

In January 2022, Ellison expressed concern to Thornton about rising interest rates and their potential impact on his bond allocation, which comprised roughly 30% of his portfolio. After a detailed conversation in which Thornton explained the mechanics of daily-resetting leveraged products, including that returns could deviate significantly from the underlying index over periods longer than one day due to compounding effects in volatile markets, Thornton recommended that Ellison allocate approximately 8% of his total portfolio (\$112,000) to a 2x leveraged inverse Treasury bond ETF as a tactical hedge against rising rates. Thornton documented the conversation in his CRM notes, including that he told Ellison the position was intended as a 'three-to-six month tactical allocation' and that it should be monitored frequently.

Ellison agreed, and the position was established on January 18, 2022. Over the next four months, as interest rates rose sharply, the position gained approximately 34%, reaching a value of roughly \$150,000. Thornton sent Ellison a quarterly review letter in April noting the gain and suggesting they consider reducing or closing the position. Ellison responded by email that he wanted to 'let it ride' because he believed rates would continue climbing. Thornton replied acknowledging Ellison's preference but reiterated in writing that the product was designed for short-term use and that holding longer could produce unexpected results.

Ellison continued to hold the position. By October 2022, after a period of significant Treasury market volatility, the position had given back most of its gains despite the underlying index continuing to move in a direction that, on a cumulative basis, should have been favorable. The position was ultimately worth approximately \$118,000 - a modest gain of roughly 5% over ten months, compared to what a non-leveraged inverse position would have returned approximately 18% over the same period. Ellison filed a complaint alleging that Thornton placed him in a product that was fundamentally unsuitable for his risk profile and age, that the recommendation was inappropriate regardless of the intended holding period, and that Thornton should have liquidated the position over Ellison's objection when it became clear Ellison intended to hold longer than the recommended timeframe. Ellison acknowledged in his complaint that he understood the product reset daily but stated he did not fully appreciate how volatility decay would erode returns over several months.

Thornton's firm had no outright prohibition on leveraged or inverse ETFs for clients over age 55 but did require enhanced supervisory review for any leveraged product allocation exceeding 10% of a client's liquid net worth. The \$112,000 allocation represented 5.6% of Ellison's total liquid assets (\$2 million across both accounts) and 8% of the Pinnacle account specifically. The firm's supervisory principal approved the trade after reviewing Thornton's notes. Thornton received no additional commission or compensation for the leveraged ETF beyond what he would have received for any other ETF trade of the same size.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations that cut in both directions.

Arguments that Thornton violated applicable standards:

1. Age and life stage: At 58 and semi-retired, Ellison was arguably in a capital preservation phase, making a 2x leveraged inverse product potentially unsuitable regardless of his stated risk tolerance. Regulatory guidance has consistently emphasized that leveraged and inverse ETFs are generally unsuitable for retail investors, particularly those nearing or in retirement.
2. Product complexity vs. customer understanding: Although Ellison was educated and financially literate, he had never previously held leveraged or inverse products. His complaint acknowledgment that he did not fully understand volatility decay suggests the disclosure may have been insufficient to ensure genuine informed consent. Under Reg BI's care obligation, the advisor must have a reasonable basis to believe the customer understands the material risks.
3. Failure to act when holding period extended: Once Ellison indicated he intended to hold beyond the recommended 3-6 month window, Thornton arguably had an obligation to do more than send a written reminder. Some regulators have taken the position that when an advisor knows a customer is misusing a product - particularly a daily-resetting leveraged product - the advisor has an affirmative duty to take stronger action, potentially including refusing to maintain the position or escalating to a supervisor.
4. Path dependency risk was realized: The actual outcome demonstrated the exact risk that makes these products problematic for longer holding periods. The customer experienced significant volatility decay, earning only 5% on a 2x leveraged product when the underlying move would have produced 18% with a simpler instrument.

Arguments that Thornton acted appropriately:

1. Reasonable allocation sizing: The position represented only 5.6% of Ellison's total liquid assets and 8% of the specific account - well below the firm's 10% enhanced supervision threshold. This was not a concentrated bet.
2. Thorough disclosure and documentation: Thornton explained the daily reset mechanism, discussed the intended short holding period, documented the conversation, and subsequently followed up in writing when the client chose to extend the holding period. This represents robust documentation of informed consent.
3. Rational investment thesis: The recommendation was made as a tactical hedge against a specific, well-articulated risk (rising interest rates eroding bond values) that Ellison himself identified. The position initially performed as intended, gaining 34% over four months.
4. Client sophistication and autonomy: Ellison was a college-educated engineer with economics training, an active reader of financial publications, and a prior options trader. He made an informed decision to override his advisor's recommendation to exit the position. Penalizing the advisor for a client's autonomous decision

to hold longer would effectively make advisors guarantors against client stubbornness.

5. No financial incentive to recommend the product: Thornton received no enhanced compensation for the leveraged ETF, removing any conflict of interest.

6. Supervisory approval obtained: The firm's compliance framework was followed, and a supervisory principal approved the trade.

7. The client did not lose money: Ellison's position was still profitable, gaining approximately 5%. His complaint is essentially about underperformance relative to a hypothetical alternative, not about actual losses.

Under FINRA Rule 2111 (suitability), the analysis focuses on whether the recommendation was suitable at the time it was made, considering the customer's investment profile. Under Reg BI (Rule 15l-1), the standard is higher - requiring the advisor to act in the customer's best interest and to understand the product's risks, costs, and alternatives.

FINRA Regulatory Notices 09-31 and 22-08 specifically warn that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for more than one trading session, and firms must have robust supervisory procedures for complex products. However, these notices also acknowledge that there may be limited circumstances where such products are appropriate for certain investors on a short-term tactical basis with proper disclosure.

Why Borderline

This case sits in a genuine gray zone because the initial recommendation was reasonably sized, well-documented, and made with a clear tactical rationale for a financially sophisticated client who identified the market concern himself. The advisor followed up appropriately when the client extended the holding period beyond the recommendation. However, the client's age and semi-retired status raise questions about baseline suitability, and the advisor's failure to take more forceful action when the client chose to hold a daily-resetting leveraged product for ten months touches on the ongoing duty of care for complex products. The fact that the client still made money (just less than a simpler alternative would have produced) further complicates the harm analysis.

Borderline Factors

- Client was 58 and semi-retired, raising age-appropriateness concerns, but had substantial assets, no debt, pension income, and a moderate-aggressive risk tolerance
- Position was tactically sized at 5.6% of total liquid assets - small enough to be defensive but still involving a 2x leveraged product
- Advisor documented thorough disclosure of daily reset mechanics and recommended holding period, but client later claimed he did not fully understand volatility decay
- Client autonomously chose to override advisor's recommendation to exit, raising questions about where advisor responsibility ends and client autonomy begins
- The position was profitable in absolute terms but significantly underperformed what a simpler product would have returned, creating an ambiguous harm narrative
- Advisor sent written follow-up when client extended holding period but did not escalate to compliance or

refuse to maintain the position

- Firm had supervisory procedures in place and the trade was approved by a principal, but the procedures did not address what happens when a client extends the holding period beyond the advisor's recommendation

- Client had options trading experience suggesting some derivatives literacy, but had never held leveraged or inverse ETFs specifically

Likely Outcome

A regulator would likely find this to be a close case but would probably not sustain a full suitability or best interest violation against the advisor for the initial recommendation, given the thorough documentation, reasonable allocation size, tactical rationale, client sophistication, supervisory approval, and lack of conflicted compensation. However, a regulator might find a supervisory deficiency at the firm level for failing to have procedures requiring escalation or forced liquidation when clients hold daily-resetting leveraged products beyond a defined period. The regulator might also issue a cautionary finding that the advisor should have taken more affirmative steps - beyond a single written reminder - when Ellison chose to hold the product for ten months, such as requiring a signed acknowledgment of extended holding risks or escalating to the compliance department. The lack of actual monetary loss weakens the enforcement case considerably, but the demonstrated volatility decay validates the regulatory concern about retail investors holding these products long-term.

Borderline Scenario 79

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2111 (Suitability) - requiring reasonable-basis, customer-specific, and quan*

Fact Pattern

Marcus Webb, age 58, is a senior mechanical engineer at a defense contractor earning \$195,000 annually with a net worth of approximately \$1.4 million, including \$620,000 in his employer's 401(k) and \$310,000 in a taxable brokerage account at Ridgeline Financial. Webb has been investing for 22 years and holds a portfolio of individual stocks, corporate bonds, and sector-specific ETFs. His new account form, updated in January 2023, listed his risk tolerance as 'moderate-aggressive,' his investment objective as 'growth,' and his time horizon as '5-10 years.' He had previously traded options at a basic covered-call level and had experience with sector ETFs but had never purchased a leveraged or inverse product.

In March 2023, Webb told his advisor, Danielle Farrow, that he was growing increasingly concerned about what he described as an 'AI bubble' forming in the technology sector. He said he believed major tech stocks were significantly overvalued and wanted to profit from what he expected would be a 20-30% correction over the next 6 to 18 months. He specifically asked Farrow about ways to 'short the Nasdaq without a margin account.'

Farrow discussed several alternatives, including buying put options on a major Nasdaq-tracking ETF, purchasing shares of a standard (1x) inverse Nasdaq-100 ETF, and purchasing shares of a 2x leveraged inverse Nasdaq-100 ETF (the 'ProShort Ultra' fund, which resets daily and seeks to deliver twice the inverse of the Nasdaq-100's daily return). Farrow explained that the 2x inverse product resets daily and that holding it for extended periods could produce returns that diverge significantly from twice the inverse of the

index's cumulative return, particularly in volatile or choppy markets. She provided Webb with the fund's prospectus and a one-page internal product summary that included a hypothetical illustration showing how a \$10,000 investment in a 2x inverse ETF could lose value even if the underlying index was flat over 90 days due to daily compounding effects.

Webb told Farrow he understood the mechanics and wanted to proceed with the 2x inverse product because he felt 'very strongly' about the timing and magnitude of the correction and wanted maximum exposure without using margin. He signed an acknowledgment form confirming he received and reviewed the product materials. Farrow allocated \$46,500 - approximately 15% of Webb's taxable brokerage account - to the 2x inverse Nasdaq-100 ETF.

Farrow set a calendar reminder to review the position at 30-day intervals and contacted Webb on April 19, May 22, and June 20 to discuss the position. During each call, she noted that the Nasdaq-100 had continued to rise and that the inverse ETF position had lost value. On each occasion, Webb told Farrow he wanted to hold because he believed the correction was imminent. By June 20, the position had declined approximately 34% to roughly \$30,700.

On July 18, 2023, Farrow again called Webb. The position was now down about 41%, worth approximately \$27,400. She recommended liquidating the position and told Webb that the daily-reset compounding was 'working against him even on days when the market dipped slightly.' Webb asked to hold for 'one more month.' Farrow documented this conversation and Webb's decision. By August 22, the position had recovered modestly to a 36% loss (approximately \$29,800) following some tech sector weakness, and Webb finally agreed to sell, realizing a loss of approximately \$16,700.

Webb subsequently filed a complaint alleging that Farrow placed him in a product that was inconsistent with his risk profile and investment horizon. He stated that as a 58-year-old approaching retirement within 7-10 years, a daily-resetting leveraged inverse ETF was categorically unsuitable for his account regardless of his stated preferences. He also claimed that Farrow should have refused to execute the trade or, at minimum, should have overridden his instructions and liquidated the position after the first 30-day review showed losses compounding. Ridgeline Financial's internal compliance records show that the firm's complex products policy required supervisory pre-approval for leveraged and inverse ETF purchases exceeding \$25,000. Farrow obtained pre-approval from her branch manager, Thomas Gill, who signed off on the trade after reviewing Webb's account profile and the documented client conversation. However, the firm's written supervisory procedures stated that leveraged and inverse ETFs were 'generally not appropriate for buy-and-hold investors or clients within 10 years of retirement,' though they did not impose an outright prohibition.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Farrow violated her obligations: Webb was 58 years old and within the firm's own 10-year retirement guideline window, which flagged leveraged/inverse products as 'generally not appropriate' for this demographic. The 2x inverse ETF is a daily-resetting product designed for short-term tactical trading, and a client who articulated a 6-to-18-month thesis was inherently planning to hold beyond the product's

intended use case. The 15% concentration in a single speculative leveraged position is meaningful for a pre-retiree. Regulators have consistently warned that leveraged and inverse ETFs can produce losses even when the investor's directional thesis is ultimately correct, due to path dependency and volatility decay - a risk that arguably should have led the advisor to steer the client toward put options or a 1x inverse ETF instead. The firm's own WSPs flagged clients within 10 years of retirement, yet the trade was approved anyway, suggesting a supervisory lapse.

Arguments that Farrow met her obligations: Webb was a sophisticated, high-income investor with 22 years of experience, including options trading, who articulated a specific, informed directional view and specifically requested a product to express that view. Farrow discussed three alternatives, disclosed the compounding and daily-reset risks, provided both the prospectus and supplemental materials, and obtained a signed acknowledgment. She conducted disciplined 30-day reviews and, on the July call, affirmatively recommended liquidation - going beyond passive monitoring. The position represented 15% of only the taxable account and roughly 3.3% of Webb's total net worth, a meaningful but not devastating allocation. Supervisory pre-approval was properly obtained. Webb's 'moderate-aggressive' risk tolerance and 'growth' objective are not inherently inconsistent with a tactical speculative position of this size. The \$16,700 loss, while painful, was not catastrophic relative to his total wealth. Moreover, the firm's WSP language said 'generally not appropriate,' not prohibited, leaving room for exceptions where the client's sophistication and circumstances warranted it.

The daily-reset compounding risk is central. Farrow disclosed it, but the question is whether disclosure alone is sufficient when the client's own stated thesis (6-18 months) was structurally mismatched with the product's daily-reset design. Under a best-interest framework, the advisor arguably had an obligation to recommend against the 2x product in favor of the 1x inverse ETF or put options, even if the client preferred the 2x product. Counter to this, forcing clients into alternative products against their stated preference raises its own issues, and the fact that Farrow presented all three alternatives and the client chose the 2x product after disclosure arguably satisfies the obligation to present reasonably available alternatives.

Why Borderline

This case sits at the intersection of client autonomy and advisor duty. The advisor followed a robust process - multi-product discussion, risk disclosure, signed acknowledgment, regular review, affirmative liquidation recommendation, and supervisory pre-approval. Yet the product was structurally mismatched with the client's stated time horizon, the client fell within the firm's own cautionary demographic guideline, and regulatory guidance has repeatedly emphasized that leveraged/inverse ETFs are generally unsuitable for holding periods beyond a single trading session. The question is whether strong process and informed client choice can override the structural unsuitability of a daily-resetting leveraged product for a multi-month holding period by a pre-retiree.

Borderline Factors

- Client's stated 6-to-18-month holding thesis is structurally mismatched with a daily-resetting product, but the advisor disclosed this mismatch explicitly
- Client is 58 and within the firm's own 10-year retirement caution window, but has a moderate-aggressive risk profile, high income, substantial total net worth, and 22 years of investing experience
- Firm WSPs said 'generally not appropriate' rather than prohibited, creating interpretive ambiguity about whether an exception was permissible

- Position was 15% of taxable account but only ~3.3% of total net worth - significant in isolation but modest in context
- Advisor presented three alternatives including more appropriate products (puts, 1x inverse) and client chose the most aggressive option after disclosure
- Advisor conducted regular reviews and affirmatively recommended liquidation on the fourth monthly review, demonstrating active supervision
- Client repeatedly overrode advisor's implicit and explicit guidance to hold, raising questions about the boundary between advisor duty and client self-determination
- A 1x inverse ETF or put option strategy would have expressed the same directional view with less structural risk, raising the question of whether the 2x product could ever be 'best interest' when a less risky alternative existed

Likely Outcome

A regulator would likely find this to be a close case but would probably conclude there was a minor violation - not of the initial recommendation process, which was thorough, but of the ongoing obligation to act in the client's interest by allowing the position to persist for nearly five months in a product designed for intraday or very short-term use. The most likely regulatory criticism would focus on the mismatch between the product's daily-reset design and the multi-month holding period, compounded by the client's pre-retirement status and the firm's own WSP cautionary language. However, mitigating factors - the comprehensive disclosure, regular reviews, documented liquidation recommendation, modest total portfolio impact, and client's sophistication and insistence - would likely result in a finding of inadequate supervision rather than outright fraud, potentially leading to a cautionary action, enhanced supervision requirement, or modest fine rather than severe sanctions. The branch manager who approved the trade might face equal or greater scrutiny for signing off on a trade that arguably conflicted with the firm's own written procedures.

Borderline Scenario 80

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2111 (Suitability) - customer-specific, reasonable-basis,

Fact Pattern

Margaret Kowalski, age 58, is a retired school librarian in suburban Ohio with a \$410,000 IRA and a \$95,000 taxable brokerage account. She has no college degree in finance but has been self-directing a portion of her portfolio for about eight years, mostly buying blue-chip dividend stocks and bond funds. Her stated risk tolerance on her new account application in January 2023 was 'moderate,' her investment objective was 'growth and income,' and her time horizon was listed as '10+ years.' She indicated annual income of \$42,000 (pension plus Social Security) and liquid net worth of \$505,000.

Her financial advisor, Derek Huang, had been working with Margaret for two years. In March 2023, during a scheduled portfolio review, Margaret expressed frustration that her portfolio had underperformed the S&P 500 over the prior year by roughly 4%. She told Derek she wanted 'something with more kick' and specifically mentioned that a friend at her church had made strong returns using a 2x leveraged S&P 500 ETF. Margaret asked Derek to put \$47,500-approximately 10% of her taxable account and IRA combined-into that same 2x daily-leveraged S&P 500 ETF.

Derek spent approximately 25 minutes during the meeting explaining how the product worked. He used a whiteboard to illustrate the concept of daily resetting, showed her a hypothetical example where a leveraged ETF lost value over a volatile but ultimately flat two-month period, and explained that the product was designed for short-term tactical use rather than buy-and-hold investing. He provided her with the ETF's prospectus and a two-page summary sheet he had prepared that included a bolded warning: 'This product can lose significant value even when the underlying index is flat or slightly positive over time due to compounding effects.' Margaret signed an acknowledgment form stating she understood the product's risks and daily reset mechanism.

Derek then allocated \$47,500 from her taxable brokerage account into the 2x leveraged S&P 500 ETF. He set a calendar reminder to review the position with Margaret every 90 days and documented this plan in his notes. He also noted internally that if the position lost more than 15%, he would contact Margaret to discuss whether to exit.

Over the next five months, the S&P 500 experienced a choppy but modestly positive period, gaining about 3.2%. Margaret's leveraged ETF position, however, gained only 4.1%-less than the theoretical 2x return of 6.4%-due to volatility drag. At the first 90-day review in June 2023, Derek discussed the position with Margaret, explained the underperformance relative to expectations, and Margaret elected to hold. At the second review in September 2023, the S&P 500 had experienced a sharp 7% drawdown in August before partially recovering. Margaret's leveraged position was now down about 6.8% from her entry point even though the index was roughly flat over the full period. Derek again explained the dynamics and recommended she exit the position, but Margaret declined, saying she believed the market would rally into year-end.

By February 2024, the position had recovered and was up approximately 11%, partly due to a strong Q4 2023 rally with low volatility. Margaret sold the position at that point, netting a gain of roughly \$5,225 before taxes.

Six months later, Margaret filed a complaint alleging that Derek should never have allowed her to purchase the leveraged ETF given her moderate risk profile, retirement status, and lack of sophistication with complex products. She claimed the signed acknowledgment form was inadequate because she did not truly understand volatility decay despite Derek's explanation, and that a 10% allocation to a daily-resetting leveraged product was inappropriate for a retiree relying on her portfolio for future income.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations that make it genuinely difficult to resolve.

Arguments that Derek violated applicable standards:

1. Customer profile mismatch: Margaret is a 58-year-old retired librarian with moderate risk tolerance and a growth-and-income objective. Leveraged ETFs with daily resets are generally considered aggressive, speculative instruments unsuitable for retirement accounts or retirees seeking income. Under FINRA Rule

2111 (Suitability) and Regulation Best Interest (Rule 15l-1), the recommendation must be consistent with the customer's investment profile. A 2x leveraged equity ETF in a retiree's portfolio arguably conflicts with a moderate risk tolerance.

2. Complex product concerns: FINRA Regulatory Notices 09-31, 12-03, and 22-08 have repeatedly warned that leveraged and inverse ETFs are complex products whose performance over periods longer than one day can differ significantly from the underlying index return multiplied by the leverage factor. These notices specifically caution against recommending such products to retail investors who may not fully understand path dependency and volatility decay. Margaret's background as a librarian with self-directed experience in blue chips and bond funds does not suggest the level of sophistication typically associated with complex derivative-based products.

3. Holding period risk: Although Derek set 90-day reviews, the product is designed for daily or very short-term tactical use. Allowing a retail customer to hold for nearly 11 months—even with periodic check-ins—arguably exceeds the intended use case and exposes the client to compounding risk that the product disclosures warn against.

4. Unsolicited vs. solicited nuance: While Margaret initiated the idea based on her friend's experience, the advisor still bore the obligation to either refuse or ensure the recommendation met applicable standards. The fact that a customer requests a product does not relieve the advisor of responsibility under Reg BI's care obligation.

Arguments that Derek acted appropriately:

1. Limited allocation: The \$47,500 position represented approximately 9.4% of Margaret's total investable assets. This is a modest tactical allocation, not a portfolio concentration. Many compliance frameworks consider allocations under 10% to speculative instruments as potentially acceptable for clients with otherwise conservative portfolios, particularly when the client initiates the request.

2. Robust disclosure and education: Derek spent 25 minutes explaining daily resetting, used visual aids including a whiteboard illustration of volatility decay in a flat market, provided the prospectus, created a custom summary sheet with bolded warnings, and obtained a signed acknowledgment. This level of disclosure arguably exceeds what many advisors provide and demonstrates a genuine effort to ensure informed consent.

3. Active monitoring and documented supervision: Derek established a 90-day review schedule, set a 15% loss threshold for proactive contact, actually conducted the reviews, explained underperformance at each review, and at the September 2023 review affirmatively recommended Margaret exit the position. Margaret declined. This ongoing supervision is consistent with the heightened monitoring expectations for complex products outlined in FINRA guidance.

4. Positive outcome: While outcome alone does not determine suitability, Margaret ultimately realized an 11% gain (\$5,225) over approximately 11 months and exited voluntarily. The position did not cause the type of devastating losses that typically trigger enforcement concern.

5. Customer autonomy: Margaret had eight years of self-directed investing experience, specifically requested the product, was informed of the risks, and twice chose to continue holding against the advisor's recommendation to exit. Reg BI does not require advisors to override customer decisions after providing adequate disclosure and making reasonable recommendations.

6. Taxable account placement: Derek placed the position in the taxable brokerage account, not the IRA, which shows some consideration of account-type appropriateness.

Why Borderline

This scenario is genuinely ambiguous because the advisor took substantial and well-documented steps to educate the client, limited the position size, actively monitored the holding, and even recommended an exit that the client refused—all factors that weigh in his favor. However, the client's profile (retired, moderate risk tolerance, no complex product experience) and the product's inherent characteristics (daily-resetting leveraged ETF held for nearly a year) create a tension with regulatory guidance that has consistently flagged these products as inappropriate for most retail investors. The question of whether thorough disclosure and monitoring can overcome a fundamental profile mismatch is exactly the kind of issue where regulators and practitioners disagree.

Borderline Factors

- Client initiated the product request based on a peer's experience, but advisor still bore responsibility for the recommendation
- Allocation was approximately 9.4% of total assets—modest but still material for a retiree
- Advisor provided extensive verbal and written disclosure about daily resetting and volatility decay, including custom materials
- Product was held for approximately 11 months despite being designed for short-term use, though advisor recommended exit at 6 months
- Client's stated moderate risk tolerance and growth-and-income objective arguably conflict with a 2x leveraged equity product
- Client had 8 years of self-directed experience but only in simple products (blue chips, bond funds)
- Advisor conducted documented 90-day reviews and proactively recommended exiting at the second review
- Position was placed in taxable account rather than IRA
- Client ultimately realized a profit, though outcome does not determine suitability at the time of recommendation
- Client signed acknowledgment form but later claimed she did not truly understand the risks despite the explanation

Likely Outcome

A regulator would likely find this to be a close case but would probably not sustain a violation, though the advisor might receive a cautionary letter or heightened supervisory requirements going forward. The combination of limited allocation size, extensive documented disclosure, active monitoring with quarterly reviews, the advisor's affirmative recommendation to exit (which the client rejected), and the placement in a taxable rather than retirement account collectively demonstrate a level of care that, while imperfect, is difficult to characterize as a clear breach. However, a regulator applying FINRA RN 09-31 and 22-08

guidance strictly could argue that the fundamental mismatch between a daily-resetting 2x leveraged product and a moderate-risk-tolerance retiree's profile cannot be cured by disclosure alone, and that the advisor should have declined the request. The most likely outcome is a finding of no violation with supervisory recommendations, or at most a minor infraction with no significant sanctions, particularly given the client's insistence and the documented efforts to inform and monitor.

Borderline Scenario 81

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2111 (Suitability) and its three component obligations (reasonable-basis, cu

Fact Pattern

Sandra Whitfield, age 58, is a semi-retired former corporate controller with 30 years of accounting and finance experience, including direct responsibility for managing her former employer's pension fund investments. She has a \$1.4 million brokerage account with Meridian Wealth Partners, managed by advisor Craig Townsend. Sandra's account documents list her risk tolerance as 'moderate-aggressive,' her investment objective as 'growth with income,' her time horizon as 7-10 years, and her annual income as \$95,000 from consulting work and rental properties. She has an additional \$600,000 in a separate retirement account and owns her home outright.

In March 2023, Sandra contacted Craig after attending an investing seminar where a speaker discussed using leveraged ETFs as tactical tools within diversified portfolios. She told Craig she wanted to allocate approximately 12% of her brokerage account - roughly \$168,000 - into a 2x leveraged S&P 500 ETF. Sandra explained that she intended to hold the position for 6 to 12 months as a way to amplify her equity exposure heading into what she believed would be a strong recovery year, without needing to deploy additional capital. She said she understood the product reset daily and that returns could diverge from the underlying index over time, but she believed a trending bull market would minimize that effect.

Craig had a 25-minute phone conversation with Sandra, during which he explained the daily reset mechanism, the concept of volatility decay, and the fact that in choppy or sideways markets the fund could lose value even if the index ended flat. He sent her a follow-up email summarizing these risks, along with the fund's prospectus and a one-page explainer on compounding effects. Sandra responded by email confirming she had read the materials and wanted to proceed. Craig executed the trade on March 15, 2023.

Sandra held the position through December 2023 - approximately nine months. During that period, the S&P 500 rose roughly 18%. The 2x leveraged ETF returned approximately 41%, significantly outperforming a simple 2x multiple due to favorable trending conditions. However, Sandra did not sell in December as originally planned. In January 2024, she emailed Craig saying she wanted to continue holding because 'the momentum is still there.' Craig replied suggesting she consider trimming the position, noting that her original plan was a 6-12 month tactical allocation and that prolonged holding increased path-dependency risk. Sandra declined to trim.

By late July 2024, after a volatile second quarter, the position had given back a significant portion of its gains. The leveraged ETF was up only 12% from her purchase price, while the S&P 500 was up

approximately 14% over the same period - meaning the leveraged product had actually underperformed the unlevered index. Sandra's total position was now worth approximately \$188,000, compared to what would have been roughly \$197,000 in an unlevered S&P 500 ETF. Sandra filed a complaint alleging Craig should never have allowed her to buy a leveraged product given her 'moderate-aggressive' profile and proximity to full retirement, and that the 12% allocation was too large for such a volatile instrument. She claimed losses of approximately \$9,000 relative to what an unlevered position would have returned, plus an unspecified amount for 'excess risk taken.' Craig's firm noted that Sandra initiated the idea, had deep financial expertise, received extensive risk disclosures, and that Craig had affirmatively recommended she exit the position before the losses materialized.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Craig violated applicable standards: Sandra was 58 and semi-retired with a moderate-aggressive risk profile and a growth-with-income objective - not a speculative profile. A 12% allocation to a 2x daily-resetting leveraged ETF is a meaningful concentration in a complex, volatile product. Regulatory guidance has repeatedly warned that leveraged ETFs are generally unsuitable for holding periods beyond a single trading day, and a planned 6-12 month hold clearly exceeds that threshold. Craig, as the registered representative, had an obligation to ensure the recommendation (or, even if customer-directed, the facilitation) was in the customer's interest given her documented profile. Some would argue that a moderate-aggressive investor nearing retirement should not have over \$168,000 in a product designed for short-term tactical trading. The fact that the position ultimately underperformed the unlevered index illustrates exactly the path-dependency risk regulators have flagged.

Arguments that Craig acted appropriately: Sandra is not a typical retail investor - she is a former corporate controller with three decades of institutional finance experience, including pension fund oversight. She initiated the trade idea herself after independent research, she articulated a specific thesis and time horizon, and she demonstrated understanding of the daily reset mechanism. Craig provided thorough disclosures both verbally and in writing, including the prospectus and a plain-language risk summary. When Sandra deviated from her original plan by holding beyond 12 months, Craig affirmatively recommended she trim the position - advice she rejected. The 12% allocation, while meaningful, left 88% of the account in other investments and represented less than 8% of her total investable assets (\$2 million+). Her actual dollar loss relative to an unlevered alternative was modest (\$9,000), and she still had a positive return. The complaint appears driven by regret after a period of volatility rather than genuine unsuitability at the time of the initial transaction. Under a customer-directed framework, the advisor's obligation is to ensure reasonable disclosure, which Craig exceeded.

Why Borderline

This scenario sits in a genuine gray area because the customer has far more financial sophistication than a typical retail investor, yet her documented risk profile and life stage suggest a leveraged daily-resetting product may be inappropriate. The advisor provided extensive disclosures and even recommended an exit that the customer refused, yet the initial facilitation of a multi-month hold in a daily-resetting product runs counter to longstanding regulatory guidance. The relatively small dollar impact and the customer-initiated nature of the trade cut against a finding of violation, while the inherent unsuitability of prolonged leveraged

ETF holding and the moderate-aggressive (not speculative) risk designation cut in favor.

Borderline Factors

- Customer's exceptional financial sophistication (30 years institutional finance, pension fund experience) versus her documented moderate-aggressive risk profile
- Trade was customer-initiated and customer-researched, not advisor-recommended, raising questions about whether standard suitability analysis or a modified customer-directed analysis applies
- Advisor provided comprehensive written and verbal risk disclosures exceeding typical practice
- Planned 6-12 month holding period directly contradicts regulatory guidance that daily-resetting leveraged products are unsuitable beyond one trading session
- Advisor affirmatively recommended exiting the position before losses materialized, and customer refused
- 12% of the account but under 8% of total assets - meaningful but not extreme concentration
- Actual losses were modest (\$9,000 underperformance) and the customer still had a positive return
- Customer's proximity to full retirement (age 58, semi-retired) argues against volatile complex products despite her sophistication
- The position initially performed well (41% return in 9 months), and losses only materialized after customer refused advisor's exit recommendation

Likely Outcome

A regulator would most likely find no violation, but would issue supervisory concerns. The key factors favoring Craig are: (1) the customer's exceptional sophistication and self-directed initiation of the trade, (2) the thoroughly documented risk disclosures, and (3) Craig's affirmative recommendation to exit that the customer overrode. However, a regulator would likely note that the firm's supervisory procedures should have included a more formal escalation mechanism when a customer holds a daily-resetting leveraged product beyond 30-60 days, regardless of sophistication. The modest actual losses and the customer's positive overall return further weaken the complaint. A panel would likely find that while Craig could have been more forceful in his recommendation to trim or exit, his conduct was within the range of reasonable professional judgment given the totality of circumstances.

Borderline Scenario 82

Topic: complex_products_unsophisticated_investor | Standard: FINRA Rule 2111 (Suitability) - customer-specific, reasonable-basis,

Fact Pattern

Margaret Kowalski, age 58, is a retired elementary school teacher in suburban Ohio with a \$410,000 IRA and a \$95,000 taxable brokerage account at a mid-size regional broker-dealer. She has no college-level education in finance, has never traded options or futures, and her prior investment experience consists entirely of owning four large-cap mutual funds and a certificate of deposit ladder. Her stated investment objectives on her new account form are 'growth and income' with a 'moderate' risk tolerance and a time horizon of 7-10 years leading into full retirement income needs.

In March 2023, her financial advisor, Derek Hines, 14 years in the industry with a clean disciplinary record, began discussing the possibility of using a 2x leveraged S&P 500 ETF (daily resetting, expense ratio 0.89%) in her taxable account as a way to amplify equity exposure without increasing the dollar amount

allocated to stocks. Hines's rationale was that Margaret wanted to keep roughly 40% of her taxable account in equities but wished that allocation 'worked harder.' He proposed placing \$19,000-20% of the taxable account into the 2x leveraged S&P 500 ETF, arguing that this would give her the economic equivalent of \$38,000 in S&P 500 exposure while freeing up the remaining capital for bonds and a money market fund yielding 4.8%.

Hines provided Margaret with the fund's prospectus and the firm's two-page disclosure document explaining daily reset mechanics, compounding risk, and the possibility that the fund could lose value even if the underlying index was flat over longer periods. He spent approximately 25 minutes in a recorded phone call walking her through a hypothetical example showing how a 2x daily-reset product could diverge from 2x the cumulative index return over a 90-day period. Margaret verbally acknowledged she understood the risks and said, 'I'm comfortable as long as we keep it to a small piece of the account.' Hines documented her verbal acknowledgment in his CRM notes.

Hines set a calendar reminder to review the position every 60 days. In his first review in May 2023, the position was up 11.2% and Margaret expressed satisfaction. In the July 2023 review, the position had given back gains and was roughly flat from the purchase price. Hines discussed whether to exit; Margaret said she wanted to hold. In October 2023, after a market drawdown, the position was down 9.4% from the original purchase. Hines again raised the idea of selling and Margaret asked to hold because she 'didn't want to lock in a loss.' By January 2024, after a recovery, the position was up approximately 6% cumulative from purchase.

In February 2024, the firm's compliance department flagged the account during a quarterly review of leveraged ETF positions held longer than 90 days. A compliance officer contacted Hines and noted that the position had been held for nearly 11 months. Hines responded that he had reviewed the position quarterly with the client, that the position represented only about 20% of the taxable account and less than 4% of her total investable assets, and that the client had repeatedly elected to hold after being informed of the risks of extended holding periods.

Margaret has not filed a complaint. The compliance review is internal. At the time of the review, the position had outperformed a hypothetical unleveraged S&P 500 position over the same period, though it had experienced a maximum drawdown of 23% intra-period compared to 11.5% for the index itself.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Hines violated applicable standards: Margaret's investor profile-retired teacher, no sophisticated product experience, moderate risk tolerance, growth-and-income objectives-does not naturally align with a 2x daily-resetting leveraged ETF, which is explicitly designed for short-term tactical trading. Regulatory guidance has repeatedly warned that leveraged and inverse ETFs are generally unsuitable for retail investors who plan to hold them for more than one trading session or, at most, a few days. An 11-month holding period is far beyond any contemplated short-term use. The fact that Hines himself set 60-day review cycles implicitly acknowledges the product was not designed for buy-and-hold, yet the position was never liquidated. Margaret's inability or unwillingness to exit at a loss suggests she

may not have truly understood the path-dependent compounding risk despite the disclosures. Additionally, a 23% intra-period drawdown in a position representing 20% of her taxable account is significant for a moderate-risk retiree. The strategy of 'levering up a smaller allocation to free cash for bonds' is a synthetic leverage argument that may exceed what is appropriate for an unsophisticated investor, effectively recreating a barbell strategy with embedded daily-reset risk that Margaret likely could not independently evaluate.

Arguments that Hines acted appropriately: The position was small relative to total assets (under 4% of combined accounts), which limits concentration risk. Hines provided the prospectus, the firm's risk disclosure document, and spent meaningful time explaining daily-reset mechanics with a concrete numerical example-all of which were documented. He established a proactive review schedule and followed through on it, raising the possibility of liquidation at each checkpoint. Margaret made informed decisions to hold, and her acknowledgments were captured in CRM notes and at least one recorded call. The position ultimately generated a positive return and outperformed the unleveraged alternative, undermining a damages theory. Hines's 14-year clean record and the absence of any customer complaint suggest good faith. The economic rationale-achieving target equity exposure with less capital deployed-is a legitimate portfolio construction concept used by institutional investors, and Hines sized the position conservatively. Some practitioners argue that leveraged ETFs can be used over intermediate periods in trending markets without catastrophic decay, and Hines was actively monitoring for that scenario.

The core tension is between (a) regulatory guidance that these products are presumptively unsuitable for long-term holding by retail investors and (b) the specific facts showing careful disclosure, small position sizing, active monitoring, informed client consent, and a positive outcome.

Why Borderline

This scenario sits in a genuine gray zone because the advisor followed many best practices-thorough disclosure, small allocation, periodic reviews, documented client consent-yet held a daily-resetting leveraged product for 11 months in the account of an unsophisticated retiree with moderate risk tolerance. Regulatory guidance creates a strong presumption against long-term holds, but the guidance is not an absolute prohibition, and the advisor's process was significantly more diligent than typical violation cases. The absence of actual harm and the client's repeated informed elections to hold further complicate the analysis. Reasonable compliance professionals could disagree on whether process and sizing can overcome the product-level unsuitability concern.

Borderline Factors

- Client profile (retired teacher, no complex product experience, moderate risk tolerance) versus the inherently aggressive nature of a 2x daily-resetting leveraged ETF
- 11-month holding period far exceeds the short-term use contemplated by product design and regulatory guidance, but advisor actively monitored and offered to liquidate multiple times
- Position size was small relative to total assets (~4%) but significant relative to the taxable account (~20%), creating ambiguity about concentration risk
- Thorough disclosure process including prospectus delivery, firm risk document, and a 25-minute recorded explanation with documented verbal acknowledgment
- Client repeatedly and voluntarily elected to continue holding after being informed of risks at each review, raising questions about where advisor obligation ends and client autonomy begins

- No actual financial harm-position outperformed the unleveraged alternative-though regulators generally hold that outcome does not determine suitability at the time of recommendation
- The synthetic leverage rationale (smaller equity allocation achieving equivalent exposure) is intellectually coherent but arguably too sophisticated for this client's experience level
- Firm's own compliance flag at 90 days suggests internal policy may treat extended holding as presumptively problematic, potentially setting the advisor's conduct against his own firm's standards

Likely Outcome

A regulator would most likely find a technical violation but impose limited sanctions. The initial recommendation to purchase a 2x leveraged ETF for a retired, unsophisticated, moderate-risk investor is difficult to justify under a best-interest or quantitative suitability framework, regardless of position sizing, because the product's risk characteristics are mismatched with the client profile. The extended holding period compounds the concern, as it contravenes well-established regulatory expectations. However, the robust disclosure process, active monitoring, small allocation relative to total assets, client's informed consent at each review point, and the absence of harm would likely be treated as significant mitigating factors. The most probable outcome is a compliance finding with a letter of caution or minor fine rather than a suspension, with the firm potentially required to enhance its policies on leveraged ETF holding periods and pre-approval for unsophisticated accounts.

Borderline Scenario 83

Topic: high_fees_unsuitable | Standard: FINRA Rule 2111 (Suitability) and its three component obligations (reasonable-basis, customer

Fact Pattern

Margaret Dunlap, age 58, is a retired corporate controller with 30 years of financial experience and a CPA license she maintains for consulting work. She has a \$1.9 million brokerage account, a separate \$800,000 IRA, and a \$400,000 emergency fund in money markets. Her stated investment objective is 'growth with income,' her risk tolerance on her new account form is marked 'aggressive,' and her time horizon is listed as 7-10 years. In March 2023, her financial advisor, Kevin Royce, recommended she allocate \$190,000 (10% of her brokerage account) into a 2x leveraged S&P 500 ETF with a 0.89% expense ratio. Royce explained that the product resets daily, that holding it beyond short periods can produce returns that deviate significantly from two times the index return, and that in volatile, sideways markets, the fund could lose value even if the index ended flat. He documented this conversation in a detailed memo and had Margaret sign a supplemental risk disclosure acknowledging she understood the daily reset mechanism and compounding effects. Margaret stated she wanted the leveraged position as a 'tactical satellite allocation' to amplify returns during what she expected to be a sustained bull market, and she referenced her experience analyzing derivatives positions in her prior corporate role. Royce set up a quarterly review schedule to reassess the position. Over the next 14 months, the S&P 500 rose approximately 18%, and Margaret's leveraged ETF position gained roughly 31%-less than the theoretical 36% due to path dependency and the fund's expense drag. At the first quarterly review in June 2023, Royce noted the position was performing as expected but flagged that volatility had increased; Margaret declined to trim the position. At the October 2023 review, following a 7% market drawdown and recovery, the leveraged ETF had underperformed its theoretical target by a wider margin, and Royce again recommended reducing the position to 5%. Margaret again declined, stating she was comfortable and understood the risks. By May 2024, Margaret's cumulative

holding period was 14 months. She filed a complaint alleging that the 0.89% expense ratio, compounded by the daily leveraging costs embedded in the swap structure (estimated at an additional 0.50-0.75% annually in financing costs not reflected in the stated expense ratio), made the product unsuitable for any holding period beyond a few days and that Royce should never have recommended it for a retiree's account. She claims total excess costs of approximately \$3,200 over the holding period compared to a hypothetical unleveraged S&P 500 ETF position at 0.03%, and that the product's structural decay cost her an additional estimated \$9,500 in foregone returns versus a theoretical constant 2x exposure. Royce's firm's product review committee had approved the 2x leveraged S&P 500 ETF for use with clients who met specific criteria: net worth above \$1 million, aggressive risk tolerance, position size under 15% of liquid assets, and signed enhanced disclosure. Margaret met all four criteria at the time of purchase.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Royce violated applicable standards: The leveraged ETF is a complex product designed for short-term tactical trading, not multi-month or multi-year holding periods. The product's own prospectus typically warns that returns over periods longer than one day can differ significantly from the stated leverage multiple. A 14-month hold of a daily-resetting leveraged product in a retiree's account could be viewed as inherently unsuitable regardless of the client's financial sophistication. The total cost drag—including the visible 0.89% expense ratio plus embedded swap financing costs of 0.50-0.75%—creates a meaningful cumulative fee burden that erodes the theoretical leverage benefit, particularly in volatile periods. Regulators have consistently expressed concern that leveraged ETFs are frequently misunderstood and misused, and that advisors bear responsibility for ensuring the holding period aligns with the product's design. The fact that Margaret is retired—even with substantial assets—heightens scrutiny.

Arguments that Royce acted appropriately: Margaret is not a typical retail investor. She is a CPA with 30 years of corporate financial experience, including direct exposure to derivatives analysis. She allocated only 10% of one account (roughly 5% of total investable assets) to the position, well within the firm's approved parameters. Royce provided thorough written disclosure of the daily reset mechanism, volatility decay, and path dependency risks, and obtained Margaret's signed acknowledgment. He established quarterly reviews and twice recommended reducing the position when market conditions warranted it; Margaret declined both times, exercising informed autonomous judgment. The position actually generated a 31% gain over 14 months—a positive absolute and relative return. The approximately \$12,700 in alleged excess costs and decay represents roughly 6.7% of the initial position and must be weighed against the \$58,900 in gains the position produced. The firm had a formal product governance framework that Margaret satisfied. The expense ratio, while higher than a plain-vanilla index ETF, is standard for leveraged products and was disclosed. Under a best interest framework, the advisor must consider reasonably available alternatives, but an investor-directed tactical allocation by a highly sophisticated client with proper documentation presents a defensible case.

Why Borderline

This scenario sits at the intersection of several genuinely contested issues: whether a financially sophisticated retiree can provide meaningful informed consent to hold a daily-resetting leveraged product beyond its designed time horizon; whether the advisor's documented warnings and repeated rebalancing recommendations satisfy the ongoing duty of care even when the client declines the advice; whether

embedded financing costs that exceed stated expense ratios represent a fee transparency failure attributable to the advisor; and whether a profitable outcome insulates the recommendation from suitability challenge. Reasonable practitioners disagree on whether the product's structural characteristics make it categorically unsuitable for any holding period beyond days, or whether sophisticated investors with limited allocations and proper disclosure can legitimately use them tactically over months.

Borderline Factors

- Client has exceptional financial sophistication (CPA, 30 years corporate finance, derivatives experience) but is also a retiree
- Position size was modest relative to total assets (approximately 5% of total investable assets) and within firm-approved limits
- Advisor provided detailed written disclosure of daily reset, volatility decay, and path dependency, with signed acknowledgment
- Advisor recommended trimming the position twice during quarterly reviews; client declined both times
- The 14-month holding period significantly exceeds the product's designed single-day holding period, but the position was profitable
- Total alleged excess costs of \$12,700 are relatively small against \$58,900 in realized gains, raising questions about materiality
- Embedded swap financing costs (0.50-0.75% annually) were not separately itemized in the expense ratio, creating a fee transparency ambiguity
- Firm had formal product governance criteria that the client fully satisfied at time of purchase

Likely Outcome

A regulator would likely find this to be a close case but would probably not sustain a full suitability violation, though the advisor and firm might receive a cautionary letter or enhanced supervision requirements. The combination of Margaret's documented financial sophistication, the firm's formal product approval framework, the advisor's detailed written disclosures, the signed risk acknowledgment, and the repeated documented recommendations to trim the position create a strong contemporaneous compliance record. However, a regulator would likely criticize the lack of a hard stop or automatic position review trigger for leveraged ETF holdings exceeding 60-90 days, and might require the firm to implement holding-period guardrails as a supervisory enhancement. The relatively small total cost impact (\$12,700 against a profitable position) and the client's active refusal to follow rebalancing advice would weigh against a finding of customer harm sufficient to support a violation. The strongest regulatory concern would center on whether recommending a 14-month hold of a daily-resetting product can ever satisfy a best interest standard, but the facts here-particularly the client-driven decision to maintain the position against advice-make a definitive violation finding unlikely.

Borderline Scenario 84

Topic: *leveraged_etf_unsuitable* | Standard: *FINRA Rule 2111 (Suitability); Regulation Best Interest (Rule 15l-1) under the Securities*

Fact Pattern

Marcus Towne, a 58-year-old semi-retired mechanical engineer, opened a brokerage account with his advisor, Leah Prescott, in January 2022. His account application listed a net worth of \$2.1 million, liquid

assets of \$1.4 million, annual income of \$145,000 (a combination of consulting work and rental income), a moderate-to-aggressive risk tolerance, and an investment time horizon of 7-10 years. Towne had 30 years of self-directed investing experience, including options trading, sector rotation strategies, and short selling. He held a personal account at a separate discount brokerage where he actively traded leveraged and inverse products on his own for at least four years. He told Prescott that he had 'a strong understanding of compounding effects and daily resetting mechanics' and provided her with a written email in February 2022 stating he wanted to use a 2x leveraged semiconductor ETF (daily resetting, expense ratio 0.95%) as a tactical allocation of approximately 12% of his total portfolio. Towne explained he was making a medium-term bullish bet on chip demand tied to AI infrastructure buildouts, and he wanted the leveraged product rather than a standard semiconductor ETF because he believed the sector would trend strongly upward with relatively low interim volatility over the following 6-12 months.

Prescott discussed the product's daily reset mechanism, including how sideways or choppy markets could erode returns even if the underlying index ended flat or slightly positive. She documented this conversation in her CRM notes, and Towne signed a supplemental risk disclosure specific to leveraged products provided by the firm. The firm's internal policy classified leveraged ETFs as 'complex products' requiring supervisory pre-approval for accounts where the client was over age 55 or where the product constituted more than 10% of liquid assets. Prescott submitted the trade for supervisory review; her branch manager, David Koh, approved it after reviewing Towne's experience, the written email, the risk disclosure, and the CRM notes, but Koh did not separately speak with Towne or require any additional documentation beyond what Prescott provided.

Prescott executed the purchase on March 3, 2022, allocating \$168,000 (12% of liquid assets) to the 2x leveraged semiconductor ETF. Over the next ten months, the semiconductor sector experienced significant volatility—a sharp drawdown of roughly 35% in the underlying index between April and October 2022, followed by a partial recovery. Due to volatility decay and the path-dependent compounding of the daily-resetting product, by January 2023 the underlying semiconductor index was down approximately 14% from the March purchase date, but Towne's leveraged ETF position had lost approximately 41%, a decline of roughly \$69,000. Towne did not contact Prescott during this period to discuss the position or request changes, and Prescott did not proactively reach out to Towne to reassess whether the holding remained appropriate given the choppy market conditions. The firm's written supervisory procedures stated that advisors 'should' (not 'must') conduct periodic reviews of leveraged product positions at least quarterly, but there was no automated alert or hard requirement.

In February 2023, Towne liquidated the position at a \$69,000 loss and subsequently filed a complaint alleging that Prescott should never have recommended the product given his age and proximity to full retirement, and that even if the initial recommendation was acceptable, her failure to monitor the position and proactively contact him during the severe drawdown period constituted a failure of care. Prescott's firm responded that Towne was a highly experienced, knowledgeable investor who specifically requested the product, understood its mechanics, and chose not to contact his advisor despite having full visibility into his account through online access.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents tension between strong initial process and deficient ongoing monitoring. On the side of compliance: (1) Towne was a highly sophisticated investor with decades of experience, including four years of self-directed leveraged ETF trading; (2) the allocation was a deliberate, client-initiated tactical bet supported by a written rationale; (3) Prescott discussed and documented the daily-reset risk, volatility decay, and path dependency; (4) the client signed a supplemental risk disclosure; (5) the position was submitted for and received supervisory pre-approval; (6) the 12% allocation was not wildly outsized relative to the client's \$1.4 million in liquid assets and moderate-to-aggressive risk tolerance; (7) Towne had a coherent investment thesis about a trending market, which-while ultimately wrong-was not irrational at the time. On the side of a violation: (1) FINRA Regulatory Notices 09-31 and 22-08 have repeatedly warned that leveraged daily-resetting ETFs are generally unsuitable for holding periods beyond a single trading session due to path dependency and volatility decay; (2) both Towne and Prescott contemplated a 6-12 month holding period from the outset, which is precisely the type of multi-month holding that regulators have flagged as problematic; (3) the client was 58 and semi-retired, making large speculative losses more consequential; (4) the firm's own internal policies flagged clients over 55 as requiring heightened scrutiny for these products, suggesting the firm itself recognized elevated risk; (5) Prescott failed to conduct any quarterly review or reach out during a 35% drawdown in the underlying index, even though the firm's procedures recommended (though did not mandate) periodic reviews; (6) the supervisor, Koh, approved the trade without independently verifying the client's understanding through direct contact, which could be seen as a supervisory gap. Under Regulation BI, the care obligation requires that an advisor exercise reasonable diligence to understand the product and have a reasonable basis for the recommendation in light of the customer's profile. The initial recommendation arguably satisfied this given Towne's sophistication and the documentation. However, the implicit recommendation to hold a daily-resetting leveraged product for 10 months through extreme volatility-without any intervening contact-raises a separate question about whether the advisor's duties extended to ongoing monitoring. FINRA RN 09-31 specifically notes that due to daily compounding, leveraged ETFs 'can deviate significantly from the performance of the underlying index' over longer periods. RN 22-08 reinforces that firms must have robust supervisory frameworks for complex products, including post-trade monitoring. Rule 2111 (suitability) and Reg BI both contemplate that the nature of the product itself-particularly a product designed for daily holding-may render a recommendation to hold it for months inherently suspect regardless of investor sophistication.

Why Borderline

This is a genuine gray area because the client was among the most sophisticated and experienced types of retail investors, explicitly requested the product, articulated a coherent thesis, and signed enhanced disclosures-factors that weigh heavily against a finding of unsuitability. Yet the product was held for 10 months through severe volatility without any advisor-initiated review, and the multi-month holding period was contemplated from the start, which runs directly contrary to longstanding regulatory guidance about the intended use of daily-resetting leveraged products. Reasonable practitioners could disagree on whether client sophistication and informed consent can effectively override the product-level concerns that regulators have consistently raised, and whether the absence of proactive monitoring during a volatile period transforms an initially defensible recommendation into a violation.

Borderline Factors

- Client was highly experienced with leveraged ETFs, including years of self-directed trading in identical

products

- The recommendation was client-initiated with a written rationale, not advisor-driven
- Enhanced risk disclosures were signed and the daily-reset mechanics were discussed and documented
 - Supervisory pre-approval was obtained, though the supervisor did not independently verify client understanding
- The intended 6-12 month holding period directly contradicts regulatory guidance that daily-resetting products are unsuitable beyond very short holding periods
- The client was 58 and semi-retired, increasing the consequence of speculative losses even if risk tolerance was moderate-to-aggressive
- The firm's own policies flagged clients over 55 as requiring heightened scrutiny for these products
- No proactive advisor outreach occurred during a 35% drawdown in the underlying index over six months
- The firm's written procedures recommended but did not require quarterly reviews of leveraged positions
- The 12% allocation was meaningful but not dominant relative to the client's total liquid assets

Likely Outcome

A regulator would most likely find a partial violation, focusing not on the initial recommendation-which was well-documented and made to a sophisticated client-but on the failure to monitor and reassess the position during an extended period of extreme volatility. FINRA has consistently emphasized that the daily-resetting nature of leveraged ETFs creates an ongoing obligation to evaluate whether continued holding remains appropriate, and the 10-month holding period through a 35% drawdown in the underlying index without any advisor-initiated contact would likely be viewed as a deficiency in the care component of the advisor's obligations. The supervisor's failure to require any post-trade monitoring protocol would also likely draw criticism. However, any sanctions or damages would likely be mitigated significantly by the client's sophistication, the thorough initial documentation, and the client's own failure to contact his advisor despite full account visibility.

Borderline Scenario 85

Topic: senior_investor_exploitation | Standard: FINRA Rule 2111 (Suitability), SEC Regulation Best Interest (Rule 15l-1) including the

Fact Pattern

Margaret Thornton, age 74, is a retired aerospace engineer with a PhD in applied mathematics. She has a \$2.8 million portfolio at Greenfield Wealth Advisors, managed by her advisor Kevin Park since 2017. Mrs. Thornton receives \$4,200/month in Social Security and a \$3,100/month pension. Her investment objective on file is listed as 'growth with moderate risk,' her time horizon is 10+ years, and her risk tolerance is marked as 'moderate to aggressive.' She has traded options in a personal brokerage account for over 15 years and maintains a separate \$400,000 account where she actively day-trades equity index futures.

In March 2023, Mrs. Thornton contacted Kevin Park and told him she wanted to allocate \$280,000 - roughly 10% of her managed portfolio - into a 3x leveraged daily-resetting ETF tracking the NASDAQ-100 index. She explained that she had studied the product's prospectus, understood the daily reset mechanism, compounding effects, and volatility decay, and believed tech stocks would trend strongly upward over the next 12-18 months. She told Park she intended to monitor the position weekly and would set a personal stop-loss at a 25% decline. Park asked her several clarifying questions during a recorded phone call,

including whether she understood the position could lose significantly more than 33% even if the underlying index declined only 15-20% over a volatile period. Mrs. Thornton responded correctly and in detail, referencing path-dependency mathematics.

Park approved the trade but also sent Mrs. Thornton a written disclosure letter explaining the risks of holding leveraged ETFs beyond one trading day, which she signed and returned. He noted the trade in his internal supervisory system, flagging it as a complex product transaction for a senior client. The firm's complex products supervisor, Diana Walsh, reviewed the flag within 48 hours and approved it, noting Mrs. Thornton's quantitative background and active trading experience.

By September 2023, the position had grown to approximately \$390,000 as the NASDAQ rallied. Mrs. Thornton did not sell. In October and November 2023, market volatility increased significantly, and by January 2024 the position had declined to \$195,000 - a 30% loss from the original \$280,000 investment, even though the NASDAQ-100 itself was down only about 7% from her March 2023 entry point. Mrs. Thornton called Park in late January 2024, upset about the losses, and asked why he hadn't called her to suggest selling when the position was profitable. Park noted that she had told him she was monitoring it herself and had set personal stop-loss levels. He had not proactively contacted her about the position between March 2023 and January 2024.

Mrs. Thornton filed a complaint alleging that Park should never have allowed a 74-year-old retiree to invest \$280,000 in a triple-leveraged product, and that even if the initial recommendation was acceptable, he failed in his ongoing duty by not monitoring the position or reaching out when volatility spiked. She also alleged that her cognitive function had begun to decline in late 2023 - her daughter submitted a letter stating that Mrs. Thornton had been diagnosed with mild cognitive impairment in December 2023, though no medical records were provided, and there was no indication of impairment during the March 2023 recorded call or the signed disclosure.

Park's firm argues that the trade was client-directed, appropriately documented, supervisory-reviewed, sized at only 10% of the portfolio, and made by a highly sophisticated investor who demonstrably understood the product. The firm also notes that Mrs. Thornton had unrestricted discretion in her separate futures trading account and frequently used leveraged instruments.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Park violated applicable standards: (1) Mrs. Thornton is a 74-year-old retiree, and regulatory guidance has consistently warned that leveraged and inverse ETFs are generally unsuitable for long-term retail investors, particularly seniors. FINRA Regulatory Notices 09-31 and 22-08 specifically flag daily-resetting leveraged products as presenting acute risks when held beyond a single trading session. (2) The position was held for approximately 10 months with no proactive outreach from Park. Even if the initial transaction was client-directed, Reg BI's care obligation (Rule 15l-1) and FINRA Rule 2111 impose ongoing responsibilities, particularly for complex products in senior accounts. The firm's own flagging system identified this as a complex product/senior client situation, arguably triggering a heightened monitoring obligation. (3) The \$280,000 allocation, while only 10% of the portfolio, represents a significant absolute

dollar amount - roughly 3.5 years of Mrs. Thornton's combined Social Security and pension income. (4) The late-emerging cognitive impairment claim, while unsubstantiated at the time of trade, raises questions about whether Park should have been more attentive to changes in her decision-making capacity during the holding period.

Arguments that Park acted appropriately: (1) Mrs. Thornton is not a typical senior retail investor. She holds a PhD in applied mathematics, has 15+ years of options trading experience, actively trades leveraged futures, and demonstrably articulated her understanding of path dependency and volatility decay on a recorded call. FINRA RN 22-08 and Reg BI both consider customer sophistication and experience as key factors. (2) The trade was client-directed, not advisor-recommended, which materially affects the analysis under both FINRA Rule 2111 and Reg BI. If Park merely executed a customer's unsolicited order, the suitability obligation is narrower. (3) Park took affirmative steps: he asked clarifying questions on a recorded call, provided a written risk disclosure, flagged the trade for supervisory review, and received approval from the complex products supervisor. This documentation suggests a robust process. (4) The 10% portfolio allocation is within reasonable concentration limits, and Mrs. Thornton's growth-oriented profile and 10+ year time horizon are consistent with accepting higher-risk positions in a portion of her portfolio. (5) Mrs. Thornton stated she would self-monitor with a stop-loss; Park was not exercising discretion over the account. The failure to proactively call during the holding period is arguably a lapse in service quality rather than a regulatory violation, unless the firm's policies explicitly required ongoing monitoring of flagged positions. (6) The cognitive impairment diagnosis came 9 months after the trade, with no contemporaneous evidence of impairment, and no medical documentation was provided with the complaint.

Why Borderline

This scenario pits powerful protective principles regarding senior investors and complex leveraged products against the equally strong principle that highly sophisticated, knowledgeable investors can make informed decisions about their own capital. The client's quantitative background and active leveraged trading experience make her far more knowledgeable than a typical 74-year-old retail investor, yet her age and retiree status trigger heightened scrutiny. The distinction between a recommended trade and a client-directed trade is pivotal but potentially contested - Park facilitated and approved the trade through his firm's platform, which some regulators might view as an implicit endorsement. The lack of ongoing monitoring is the strongest complaint argument, but it conflicts with the client's explicit statement that she would self-monitor. The late cognitive impairment claim adds emotional weight but lacks evidentiary support at the time of the transaction.

Borderline Factors

- Client is 74 years old and retired, triggering senior investor protections, but possesses extraordinary quantitative sophistication and active leveraged trading experience
- Trade was client-directed rather than advisor-recommended, potentially narrowing the applicable standard, but the advisor still approved and facilitated it through a supervised process
- 10% portfolio concentration is moderate in percentage terms but represents \$280,000 in absolute dollars
- a significant sum relative to the client's fixed income
- Advisor documented the transaction thoroughly with recorded calls, signed disclosures, and supervisory review, but did not proactively monitor or contact the client during a 10-month holding period
- Client explicitly stated she understood volatility decay and would self-monitor with stop-losses, but then failed to execute her own stated risk management plan

- Cognitive impairment diagnosis came 9 months after the trade with no contemporaneous evidence and no medical records submitted
- Regulatory guidance repeatedly warns against long-term holding of daily-resetting leveraged ETFs, but the client's stated 12-18 month tactical timeframe and weekly monitoring plan arguably contemplated active management of the position
- The firm's complex products flagging system worked as designed, but the question is whether the flag should have triggered ongoing periodic reviews rather than a one-time approval

Likely Outcome

A regulator would most likely find a partial violation, focusing not on the initial transaction approval - which was well-documented and involved a demonstrably sophisticated client - but on the lack of ongoing monitoring during the holding period. FINRA has increasingly emphasized that complex product supervision requires more than point-of-sale review, particularly for senior investors. The absence of any follow-up contact over 10 months while a 74-year-old client held a 3x leveraged ETF position would likely be viewed as a supervisory deficiency, even if the initial trade was defensible. However, any sanctions would likely be mitigated significantly by the client's exceptional sophistication, the thorough initial documentation, the client's own failure to follow her stated stop-loss discipline, and the relatively modest portfolio concentration. The cognitive impairment claim would likely be given limited weight absent medical documentation. A likely resolution would be a cautionary action or modest fine directed at the firm's supervisory procedures rather than at Park personally, with possible restitution negotiations.

Borderline Scenario 86

Topic: senior_investor_exploitation | Standard: FINRA Rule 2111 (Suitability), including the reasonable-basis, customer-specific, and

Fact Pattern

Margaret Ellison, age 74, is a retired aerospace engineer with a PhD in physics and 30 years of professional experience managing complex technical projects. She retired in 2018 with a net worth of approximately \$3.2 million, including \$1.8 million in brokerage and retirement accounts. Her pension and Social Security provide \$6,800 per month in reliable income, and she has no debt. She has been investing independently for over 25 years, previously trading options and futures in a self-directed account, and she subscribes to three financial research services. In January 2023, she opened an advisory account with Raymond Kelleher, a financial advisor at a mid-size broker-dealer. During the account opening process, she listed her investment objective as 'growth with speculation,' her risk tolerance as 'aggressive,' and her time horizon as '5-10 years.' She told Kelleher that she wanted to use leveraged ETFs to express short-term tactical views on the Nasdaq-100 index, specifically a 3x daily-resetting leveraged ETF (ticker: TQQQ). Kelleher's firm requires that clients purchasing leveraged or inverse ETFs sign a supplemental risk disclosure, which Ellison signed. The disclosure explains daily resetting, compounding effects, and the risk that returns over periods longer than one day can deviate significantly from the target multiple of the index return. Kelleher discussed these risks verbally in a recorded meeting and confirmed Ellison understood path dependency and volatility decay from her prior trading experience. Between January and August 2023, Ellison purchased TQQQ in four separate transactions totaling \$185,000, representing approximately 10.3% of her total portfolio. Kelleher's notes indicate that each purchase was initiated by Ellison based on her own technical analysis, and that he reminded her at each purchase that these products were designed

for short-term holding periods, typically one day. However, Kelleher did not set any automatic stop-losses, did not implement any forced liquidation timeline, and did not place any hard restrictions on holding periods. He also did not escalate to his branch manager despite the firm's internal guidance-distributed in a compliance memo six months earlier-that recommended 'heightened supervision and periodic branch manager review' for clients over age 65 who purchase leveraged or inverse products. By October 2023, a period of significant Nasdaq volatility, Ellison's TQQQ position had declined by approximately 38%, a loss of roughly \$70,300. The underlying index had declined only about 11% over the same period. Ellison held the position through December 2023 without Kelleher proactively contacting her to discuss exiting. In January 2024, Ellison complained to the firm, stating that while she understood the product mechanics in theory, she did not fully appreciate how quickly losses could compound, and that she expected her advisor to have intervened more actively given her age. She noted that Kelleher never once suggested she reduce or close the position during the drawdown. Kelleher's defense is that Ellison was self-directing her trades, had extraordinary sophistication, that the position was a modest percentage of her portfolio, and that she repeatedly declined his verbal reminders about holding period risk. The firm's trade blotter confirms all four purchases were unsolicited.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents a genuine tension between customer autonomy and advisor duty, complicated by the client's age and the firm's internal supervisory guidance. On one hand, Ellison is an extraordinarily sophisticated investor-a retired engineer with decades of active trading experience including derivatives, who independently selected the product, initiated all trades on an unsolicited basis, signed enhanced risk disclosures, and was verbally reminded of the risks at each transaction. The position at 10.3% of her total portfolio is not an outsized concentration, and her pension income means she is not dependent on these funds for living expenses. Her stated risk tolerance was aggressive, and her investment objectives included speculation. Under the component of any suitability or best interest analysis that considers customer-specific factors, many of these facts cut strongly in Kelleher's favor. However, several factors cut against Kelleher. First, the firm's own internal compliance memo specifically recommended heightened supervision and periodic branch manager review for clients over 65 purchasing leveraged products, and Kelleher did not escalate or involve his branch manager at any point. While internal policies are not automatically coextensive with regulatory obligations, regulators have consistently held that failure to follow a firm's own heightened supervisory procedures-especially those designed to protect vulnerable populations-can be evidence of a supervisory failure. Second, while Kelleher issued verbal reminders, he took no concrete steps to mitigate the foreseeable risk of long-term holding: no stop-losses, no holding period limits, no structured check-ins during the drawdown, and no proactive outreach during October 2023 when the compounding losses became severe. Third, the product's daily-resetting structure creates a mathematically inevitable divergence from index returns over time, and the 38% loss versus an 11% index decline starkly illustrates the path dependency and volatility decay risk. While Ellison theoretically understood this, the question is whether an advisor's obligations are fully discharged by disclosure alone when the client actually holds the position through exactly the scenario the disclosure warns against. Fourth, regulators have issued multiple notices emphasizing that leveraged and inverse ETFs are generally unsuitable for retail investors who hold them beyond a single trading session, and that firms must have robust supervisory systems. Ellison's age, while offset by her sophistication, triggers additional scrutiny.

The fact that she is a senior investor is not dispositive-age alone does not negate sophistication-but it is a factor regulators weigh, especially when the firm itself recognized the need for enhanced oversight of senior clients in leveraged products. The unsolicited nature of the trades is a meaningful mitigating factor but does not entirely eliminate the advisor's ongoing obligation to monitor and potentially recommend changes to unsuitable positions, particularly under a best interest standard that encompasses not just the recommendation but the overall investment strategy.

Why Borderline

This scenario is genuinely ambiguous because it pits an unusually sophisticated senior investor who self-directed all trades against an advisor who failed to follow his own firm's enhanced supervisory procedures for senior clients and who took no concrete protective measures despite the product performing exactly as warned. The client's autonomy and expertise argue strongly against a finding of unsuitability, but the advisor's passivity during a severe compounding loss event, combined with the firm's own heightened supervision guidance for seniors, creates a credible argument that the advisor fell short of his monitoring and ongoing care obligations.

Borderline Factors

- Client has exceptional investment sophistication (PhD, decades of derivatives trading, subscribes to research services) that arguably negates typical senior investor vulnerability concerns
- All four trades were unsolicited and client-initiated based on her own analysis
- Position represented only 10.3% of total portfolio with no dependence on these funds for income
- Advisor provided verbal warnings at each trade and client signed enhanced risk disclosure
- Advisor failed to follow firm's own internal compliance memo requiring heightened supervision and branch manager review for clients over 65 purchasing leveraged products
- Advisor took no concrete protective measures (stop-losses, holding period limits, proactive outreach during drawdown)
- Product performed exactly as disclosed risk warnings predicted-38% loss vs 11% index decline-raising question of whether disclosure alone is sufficient
- Client's stated objectives included speculation and aggressive risk tolerance
- Advisor did not proactively contact client during severe October 2023 drawdown period
- Tension between respecting client autonomy and the evolving regulatory expectation of ongoing monitoring even for unsolicited positions in complex products

Likely Outcome

A regulator would most likely find a supervisory violation rather than a pure suitability violation. The individual recommendation analysis is difficult to sustain as a violation given the client's extraordinary sophistication, the unsolicited nature of the trades, the modest portfolio concentration, and the signed disclosures. However, the failure to follow the firm's own internal procedures for senior investors in leveraged products-specifically the lack of branch manager escalation and periodic review-would likely be found to constitute a supervisory deficiency. A regulator may also note that the advisor's complete passivity during a multi-month holding period for a daily-resetting product, with no proactive outreach during the severe drawdown, fell below the standard of ongoing care expected under current regulatory frameworks. The likely result would be a finding of supervisory failure with modest sanctions, possibly directed more at the firm than at Kelleher individually, with an emphasis on the need for systematic monitoring protocols for complex products held by senior investors regardless of their sophistication level.

Borderline Scenario 87

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2111 (Suitability) and its three components (reasonable-basis, customer-sp*

Fact Pattern

Marcus Webb, a 58-year-old semi-retired petroleum engineer, opened an account with Pinnacle Wealth Advisors in March 2023. His new account form listed a net worth of \$3.2 million (excluding his primary residence), annual income of \$145,000 from consulting work and rental properties, and investment experience of 30+ years including options trading, commodity futures, and individual equities. His stated risk tolerance was 'aggressive,' his investment objective was 'growth,' and his time horizon was listed as '5-10 years.' He had previously self-directed accounts at two online brokerages. His advisor, Diana Cho, noted during the account opening meeting that Webb was familiar with leveraged products, having traded 2x and 3x leveraged oil and gas ETFs during the 2020 price collapse, where he claimed to have profited approximately \$180,000 over a six-week period.

In April 2023, Webb told Cho he wanted to establish a position in a 3x leveraged daily-resetting ETF tracking the semiconductor sector (ticker: SOXL), which he believed would benefit from the AI boom over the next 12-18 months. Cho discussed with Webb that the product resets daily and that returns over periods longer than one day can deviate significantly from 3x the index return, particularly in volatile or sideways markets. She emailed him a product-specific fact sheet that included hypothetical performance scenarios showing how a 3x leveraged ETF could lose money even when the underlying index was flat or slightly positive over multi-month periods. Webb signed an acknowledgment form indicating he understood the daily-reset mechanism and the risks of holding the product beyond one day.

Cho recommended that Webb allocate no more than 8% of his portfolio (\$256,000) to SOXL, and Webb agreed. However, over the following months, as semiconductor stocks rallied sharply, the SOXL position appreciated substantially. By August 2023, the position had grown to approximately \$410,000, representing roughly 12% of his total portfolio. Cho sent Webb a message in August 2023 noting the concentration had increased and suggesting he trim the position. Webb replied by email: 'I appreciate the heads up, but I want to ride this wave. AI is just getting started. Leave it alone.' Cho documented the exchange and did not rebalance.

In October 2023, the semiconductor sector entered a volatile, range-bound period. Over the next four months, the underlying semiconductor index fluctuated within a 15% band but ended roughly where it started. During this same period, SOXL declined approximately 22% from its August peak due to the compounding effects of daily resets in a volatile, directionless market. By February 2024, the SOXL position was worth approximately \$320,000. Webb, who had not been closely monitoring the account during a lengthy overseas consulting engagement, called Cho in February upset about the losses, stating he 'didn't understand how a fund could lose over \$90,000 when the sector was basically flat.' He subsequently filed a complaint alleging that Cho never adequately explained the risks of holding the product for an extended period and that the product was unsuitable given his approaching retirement.

Pinnacle's internal records show that Webb's account was flagged by the firm's automated surveillance system in September 2023 when SOXL exceeded 10% of portfolio value, and a supervisory principal reviewed the account, noted the client's refusal to trim, and took no further action. The firm's written

supervisory procedures required enhanced review of leveraged ETF positions exceeding 10% of account value but did not mandate forced liquidation. Webb's complaint also noted that despite his engineering background and trading experience, he had never held a daily-resetting leveraged product for longer than six weeks prior to this investment.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Cho did NOT violate applicable standards: (1) Webb was a highly experienced investor with 30+ years of experience, including direct prior experience trading 2x and 3x leveraged ETFs and commodity futures. He was not a novice retail investor. (2) The initial recommendation was appropriately sized at 8% of a \$3.2 million portfolio for a client with an aggressive risk tolerance and growth objective. (3) Cho provided specific written disclosures about daily-reset mechanics and volatility decay, including hypothetical scenarios, and obtained a signed acknowledgment. (4) When the position grew beyond the initial allocation, Cho proactively contacted Webb and recommended trimming. Webb explicitly refused in writing. (5) The firm's supervisory system flagged the position concentration, and a principal reviewed and documented the situation. (6) Webb's risk profile-aggressive tolerance, high net worth, long time horizon, extensive experience-supports the initial recommendation.

Arguments that Cho DID violate applicable standards: (1) Under Reg BI's care obligation, a recommendation must be in the customer's best interest at the time it is made. While the initial sizing was reasonable, a 3x daily-resetting leveraged ETF with a stated 12-18 month holding period is fundamentally at odds with a product designed for daily holding periods, regardless of the client's sophistication. (2) FINRA has repeatedly warned that leveraged and inverse ETFs are generally unsuitable for retail investors who plan to hold them for more than one trading session. While Webb was experienced, his prior leveraged ETF trades lasted no more than six weeks-a 12-18 month hold was qualitatively different. (3) The signed acknowledgment, while helpful, may not be sufficient if the product recommendation itself was inappropriate for the stated holding period. Disclosure does not cure unsuitability. (4) Cho could have recommended a non-daily-resetting leveraged product, margin account with direct leverage, or LEAPS options on semiconductor stocks to achieve similar leveraged exposure without path-dependency risk, raising questions about whether she considered reasonably available alternatives. (5) The supervisory principal's decision to take no action beyond noting the client's refusal when the position exceeded concentration thresholds may represent a supervisory failure. (6) Webb's approaching retirement (stated 5-10 year horizon, age 58) introduces tension with the aggressive risk tolerance designation-the advisor arguably should have probed whether aggressive tolerance was appropriate for the entire portfolio versus a sleeve.

The central tension is whether a sophisticated, high-net-worth investor with prior leveraged ETF experience who explicitly acknowledges daily-reset risk and refuses advice to trim can later claim the initial recommendation was unsuitable. Webb's sophistication and written refusal to rebalance are strong defenses, but the mismatch between a 12-18 month intended holding period and a daily-resetting product is the kind of structural unsuitability that regulators have specifically flagged as problematic regardless of investor sophistication.

Why Borderline

This case sits at the intersection of investor autonomy and product-level structural unsuitability. Webb had genuine sophistication, high net worth, prior leveraged ETF experience, received appropriate disclosures, signed an acknowledgment, and explicitly refused rebalancing advice. However, regulators have consistently expressed the view that daily-resetting leveraged ETFs held beyond one day present risks that may not be adequately addressed by disclosure alone, and the intended 12-18 month holding period significantly exceeded even Webb's prior maximum holding period for such products. The question of whether sophistication and informed consent can overcome structural product-holding-period mismatch is genuinely unsettled.

Borderline Factors

- Client had direct prior experience with leveraged ETFs but never for the intended holding duration
- Written disclosure and signed acknowledgment provided, but holding-period mismatch remained
- Client explicitly refused in writing to follow the advisor's rebalancing recommendation
- Initial position sizing was conservative (8%) but concentration grew through appreciation
 - Client's aggressive risk tolerance was self-selected but potentially inconsistent with 5-10 year pre-retirement horizon
- Firm surveillance system triggered but supervisory action was limited to documentation
- No forced liquidation policy existed, raising questions about adequacy of supervisory procedures
- Alternative products with similar economic exposure but without daily-reset risk were available but not discussed
- Losses were caused by well-documented volatility decay in a range-bound market, not a market crash
- Client was abroad and not monitoring the account during the period of greatest volatility decay

Likely Outcome

A regulator would likely find this to be a close case but would probably conclude that Cho's initial recommendation was marginally deficient, while giving significant credit for the disclosures and rebalancing attempt. The most likely regulatory finding would focus on the failure to adequately consider reasonably available alternatives that could have provided leveraged semiconductor exposure without daily-reset risk, and on the supervisory principal's passive response to the concentration alert. However, damages would likely be reduced significantly or a lighter sanction imposed given Webb's sophistication, the written refusal to trim, and the signed acknowledgment. A panel might split on liability, with the strongest argument for the advisor being Webb's explicit, documented refusal to follow rebalancing advice-effectively ratifying his own continued holding decision.

Borderline Scenario 88

Topic: *leveraged_etf_unsuitable* | Standard: *FINRA Rule 2111 (Suitability - reasonable-basis, customer-specific, and quantitative cor*

Fact Pattern

Marcus Thornton, a 58-year-old semi-retired petroleum engineer, opened a brokerage account in March 2022 with Ridgeline Financial Partners. Thornton reported liquid net worth of \$2.8 million, annual income of \$185,000 from consulting contracts and rental properties, investment experience of 30+ years including options trading and commodity futures, and a stated objective of "aggressive growth with tactical hedging." On his new account form, he checked "Speculative" as his risk tolerance and indicated a 5-10 year time

horizon for this particular account, which represented roughly 22% of his total investable assets. His other holdings included a diversified portfolio of blue-chip equities and municipal bonds held at a separate firm.

His advisor, Danielle Kowalski, recommended a position in a 3x leveraged bull semiconductor ETF (ticker: SOXL) as a way to capitalize on what Thornton described in emails as his "high-conviction thesis on the AI chip cycle." Kowalski recommended an initial allocation of \$140,000, representing approximately 5% of his total net worth and roughly 23% of the Ridgeline account. In her notes, Kowalski documented that she explained the daily resetting mechanism, the effects of compounding in volatile markets, and the potential for significant deviation from the 3x cumulative return of the underlying index over periods longer than one day. Thornton signed a leveraged and inverse ETF acknowledgment form provided by the firm.

Over the following 14 months, Thornton held the position without any rebalancing or trimming. Kowalski sent quarterly portfolio review emails during this period. In the Q2 2022 review, she noted the position was down 58% and wrote: "As we discussed, SOXL's daily reset means it won't track 3x the index over extended periods, especially in choppy markets. Happy to discuss whether you'd like to adjust." Thornton replied: "I'm aware of the compounding issue but I'm staying long. The thesis hasn't changed, I think semis recover big in 2023." In the Q4 2022 review, the position had declined further to approximately \$38,000 - a 73% loss. Kowalski again flagged the position and noted volatility decay as a factor, but Thornton reiterated his conviction and asked her not to sell.

By May 2023, the semiconductor sector had partially recovered, and the underlying index was down only about 4% from when Thornton first purchased. However, due to path dependency and volatility decay from daily resetting during the highly volatile 2022 period, SOXL was still down approximately 41%, leaving the position worth roughly \$82,600. Thornton filed a complaint alleging the position was never appropriate for someone his age and that Kowalski should have either refused to allow the long-term hold or liquidated the position when losses mounted. He claimed damages of \$57,400.

Ridgeline's compliance department had a written supervisory procedure requiring enhanced review of leveraged ETF positions held beyond 60 days, including a documented supervisor sign-off each quarter. Records show the supervisory sign-offs were completed for Q2 and Q3 2022 but were missing for Q4 2022. The supervisor, James Fenton, stated he verbally discussed the account with Kowalski in Q4 but forgot to document it. Kowalski's production records show she earned approximately \$1,100 in commissions on the original purchase and did not generate any additional revenue from the position during the holding period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case presents competing considerations on multiple dimensions.

****Arguments that Kowalski did NOT violate applicable standards:****

1. ****Customer profile supports the recommendation at inception.**** Thornton was a wealthy, experienced investor with 30+ years of experience including derivatives and commodities. He self-identified as speculative, had an aggressive growth objective, and the position represented only ~5% of total net worth.

Under both the traditional suitability framework (FINRA Rule 2111) and Regulation Best Interest (Rule 15l-1), the customer-specific component looks defensible given his experience, financial cushion, and stated risk tolerance.

2. **Adequate disclosure and documentation.** Kowalski documented her explanation of daily resetting, compounding effects, and path dependency. Thornton signed an acknowledgment form. This satisfies the disclosure obligation component of Reg BI and is consistent with the heightened diligence expectations outlined in FINRA Regulatory Notices 09-31 and 22-08 regarding complex products.

3. **Ongoing monitoring with proactive communication.** Kowalski flagged the deterioration multiple times and specifically referenced volatility decay as a risk factor. Thornton explicitly and in writing directed her to maintain the position. Under FINRA Rule 2111's reasonable-basis, customer-specific, and quantitative components, an advisor is not generally required to override an informed client's explicit instructions in a non-discretionary account.

4. **No churning or revenue motive.** Kowalski earned a modest one-time commission and generated no additional revenue, negating any inference of self-interested motivation.

Arguments that Kowalski DID violate applicable standards:

1. **Long-term holding of a daily-resetting product.** FINRA has repeatedly warned (RN 09-31, RN 12-03, RN 22-08) that leveraged ETFs are generally unsuitable for long-term holding and that the daily reset mechanism makes extended holding periods fundamentally different from the initial purchase decision. Each day the product is held effectively constitutes a new implicit recommendation to continue holding. Under Reg BI's care obligation, the advisor has an ongoing duty that arguably required more forceful action than a quarterly email.

2. **Age and proximity to retirement.** At 58 and semi-retired, Thornton's profile introduces tension even with his stated speculative tolerance. Regulators have historically scrutinized aggressive recommendations for investors approaching or in retirement, and the 5-10 year time horizon he stated is directly at odds with a product designed for daily tactical use.

3. **Supervisory gap.** The missing Q4 2022 supervisory sign-off - during the period of maximum loss - represents a clear procedural failure. While this is primarily the firm's and supervisor's responsibility, it undermines the argument that the account was properly overseen. FINRA RN 22-08 emphasizes that firms must have robust supervisory systems for complex products, including escalation triggers.

4. **Magnitude of path-dependency loss.** The fact that the underlying index was down only ~4% while the 3x product was down ~41% vividly illustrates the volatility decay phenomenon. A regulator could argue that this outcome was foreseeable and that Kowalski's duty extended beyond passive notification to active intervention, including potentially refusing to maintain the position or escalating to compliance.

5. **Account concentration.** While 5% of total net worth seems modest, the position was 23% of the Ridgeline account, which is the account Kowalski controlled. Concentration within the supervised account is

a relevant metric.

Why Borderline

This scenario sits in genuine gray territory because the customer was sophisticated, wealthy, and explicitly informed about the risks - yet held a product that industry guidance consistently warns is inappropriate for long-term holding. The advisor documented disclosures and provided ongoing warnings, but the question of whether passive monitoring satisfies the care obligation for a product that compounds losses through path dependency is unresolved. Reasonable practitioners disagree on whether an advisor in a non-discretionary account must override explicit client instructions to hold, and whether the ongoing holding of a daily-resetting leveraged ETF constitutes a continuing implicit recommendation subject to ongoing suitability or best-interest evaluation. The supervisory documentation gap adds a complicating factor without being dispositive.

Borderline Factors

- Sophisticated, high-net-worth investor with derivatives experience and self-declared speculative risk tolerance
- Position was only ~5% of total net worth but ~23% of the supervised account
- Advisor documented detailed risk disclosures about daily resetting and volatility decay at point of sale
- Client explicitly and repeatedly directed the advisor in writing to maintain the position despite losses
- Non-discretionary account where advisor lacks authority to liquidate without client consent
- 14-month holding period for a product designed for daily or short-term tactical use
- Path dependency caused 41% loss while underlying index declined only ~4% - a foreseeable outcome the advisor warned about
- Missing Q4 2022 supervisory sign-off during the period of greatest loss
- Semi-retired 58-year-old investor, introducing age-related scrutiny despite speculative profile
- No evidence of churning or revenue-motivated conduct by the advisor

Likely Outcome

A regulator would most likely find a partial violation, focusing less on the initial recommendation (which was reasonably suited to Thornton's profile) and more on the firm's supervisory obligations during the extended holding period. The missing Q4 2022 supervisory documentation creates exposure under complex products supervision requirements. As to Kowalski personally, the outcome is closer to a coin flip, but a regulator would likely give weight to her documented warnings and the client's explicit written instructions to hold. The most probable result is a finding against the firm for supervisory deficiencies under FINRA's complex products framework, with Kowalski receiving a cautionary letter or minor sanction rather than a significant disciplinary action. Damages, if awarded, would likely be reduced substantially through comparative fault or mitigation arguments, given Thornton's sophistication and his repeated informed decisions to hold. A panel might award 30-40% of claimed damages (\$17,000-\$23,000) reflecting shared responsibility.

Borderline Scenario 89

Topic: *inappropriate_risk_profile* | Standard: *FINRA Rule 2111 (Suitability) requires that a recommended transaction be suitable based on*

Fact Pattern

Marcus Pendleton, age 34, is a software engineer at a major tech company earning \$215,000 annually with an additional \$180,000 in unvested RSUs. He has approximately \$410,000 in liquid investable assets across a taxable brokerage account and a Roth IRA. He has no debt other than a modest car payment, rents his apartment, and has expressed that he does not intend to purchase a home for at least five years. He describes his risk tolerance as 'aggressive' and his investment horizon as '20+ years for retirement.' He holds a degree in computer science and has taken several online courses in quantitative finance. He tells his financial advisor, Rachel Kim, that he has read academic research suggesting that leveraged ETFs can be beneficial for long-term investors who are sufficiently risk-tolerant and young enough to recover from drawdowns. He specifically requests a portfolio allocation of 30% to a 3x leveraged S&P 500 ETF within his Roth IRA, with the remaining 70% allocated to a diversified mix of broad index funds and international equities.

Rachel reviews Marcus's account application, which shows 'aggressive' risk tolerance, '20+ years' time horizon, 'growth' investment objective, and prior experience trading options and individual stocks over the past six years. She discusses with Marcus that leveraged ETFs reset daily and that their returns over periods longer than one day can deviate significantly from the expected multiple of the underlying index, particularly in volatile or sideways markets. She explains that a 3x leveraged product could lose substantially more than the underlying index in a downturn and that the compounding effect - sometimes called volatility decay - could erode returns even if the index ends flat over several months. Marcus acknowledges these risks and signs a supplemental disclosure form specific to leveraged products. He tells Rachel that he has backtested a strategy of holding the 3x S&P 500 ETF over rolling 10-year periods and believes the long-term expected return justifies the additional volatility.

Rachel approves the allocation. Over the next 14 months, the S&P 500 experiences a choppy, range-bound market with several 8-12% pullbacks followed by recoveries. The S&P 500 itself is up approximately 2% over this period, but the 3x leveraged ETF in Marcus's Roth IRA has declined approximately 11% due to the daily resetting mechanism and path dependency effects. Marcus does not complain; he tells Rachel this is within his expected range of outcomes and he intends to hold the position. However, Rachel's branch manager flags the account during a quarterly review, noting the losses in the leveraged ETF position and questioning whether the recommendation was appropriate for a retirement account regardless of the client's stated preferences.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Rachel violated applicable standards: Leveraged ETFs that reset daily are widely understood by regulators and the industry as products designed for short-term tactical trading, not long-term buy-and-hold strategies. Regulatory guidance has repeatedly warned that these products can produce returns that diverge significantly from the expected multiple over holding periods longer than one day. The fact that this position was placed in a Roth IRA - a long-term retirement account by definition - could be viewed as inherently inconsistent with the product's design. A 3x leveraged product carries extreme downside risk; a 30% allocation means roughly 9% of the portfolio's effective equity exposure is magnified threefold, creating a risk profile that may exceed what even an 'aggressive' classification contemplates. The 14-month results - an 11% loss while the index gained 2% - vividly illustrate the

path-dependency risk. Some regulators would argue that no amount of client education or disclosure can render a daily-resetting 3x leveraged product suitable for multi-year holding in a retirement account.

Arguments that Rachel acted appropriately: Marcus is a young, high-income, financially literate professional with a long time horizon and no near-term liquidity needs. He has quantitative skills, has independently researched leveraged ETFs, and specifically requested the allocation. The 30% allocation is a minority of his Roth IRA and an even smaller fraction of his total investable assets. Rachel provided extensive oral disclosure about daily resetting, volatility decay, and path dependency, and obtained a signed acknowledgment. Emerging academic research does suggest that leveraged ETFs may be suitable for sufficiently risk-tolerant long-term investors, particularly younger ones who can absorb interim drawdowns. The client's risk tolerance, investment objective, time horizon, and financial sophistication all align with accepting the elevated risk of a leveraged position. Marcus has not complained and views the interim performance as expected. Denying a knowledgeable client's informed request could itself conflict with the obligation to act in the client's interest by substituting the advisor's judgment for the client's informed preferences.

Why Borderline

This scenario sits at the intersection of regulatory guidance - which strongly discourages long-term holding of daily-resetting leveraged products - and an emerging body of academic work suggesting such products may be welfare-enhancing for certain investor profiles. The client's youth, high income, financial literacy, long horizon, and explicit informed consent all cut against a finding of unsuitability, while the product's structural characteristics and placement in a retirement account cut in favor of one. Reasonable professionals could disagree on whether the advisor's duty required her to override the client's educated preference.

Borderline Factors

- Client is young (34), high-income, with 20+ year horizon and no near-term liquidity needs
- Client has quantitative education and independently researched leveraged ETF holding periods
- Advisor provided detailed verbal and written disclosure of daily reset mechanics and volatility decay
- Client signed supplemental risk acknowledgment specific to leveraged products
- 30% allocation to leveraged ETF is a minority position within one account and a smaller fraction of total assets
- Product is a 3x daily-resetting leveraged ETF, which regulatory guidance treats as unsuitable for long-term holding
- Position is held in a Roth IRA, inherently a long-term retirement vehicle
- Actual results demonstrate volatility decay: index up 2%, leveraged ETF down 11% over 14 months
- Emerging academic literature supports potential benefits of leveraged ETFs for risk-tolerant long-term investors
- Client has not complained and considers the outcome within his expected range

Likely Outcome

A regulator would most likely find a violation, though it would be a close call. Despite the client's sophistication and informed consent, regulatory guidance has consistently warned that daily-resetting leveraged ETFs are not designed for holding periods beyond a single trading session, and the placement of a 3x leveraged product in a retirement account intended for decades-long holding is difficult to reconcile

with that guidance. The branch manager's flag suggests the firm's own supervisory framework may view this as outside permissible parameters. However, any sanctions would likely be mitigated by the quality of the advisor's disclosure, the client's profile, the minority allocation size, and the client's lack of complaint. A regulator might focus more on supervisory deficiencies than on the individual advisor's conduct, potentially requiring enhanced procedures for approving leveraged ETF positions in retirement accounts rather than imposing severe individual penalties.

Borderline Scenario 90

Topic: *senior_investor_exploitation* | Standard: *FINRA Rule 2111 (Suitability) and its three component obligations (reasonable-basis,*

Fact Pattern

Harold Bergstrom, age 74, is a retired aerospace engineer with a \$2.1 million portfolio managed by financial advisor Carla Nguyen at a mid-sized broker-dealer. Harold has a master's degree in engineering, reads the Wall Street Journal daily, and has been actively trading equities and options for over 30 years. His account documents list his risk tolerance as 'aggressive,' his investment objective as 'growth,' and his time horizon as '5-10 years.' He receives a \$4,800/month pension and \$2,900/month in Social Security, and he has no debt. His wife passed away two years ago, and he has no dependents.

In January 2023, Harold contacted Carla and told her he believed the regional banking sector was poised for a significant decline due to rising interest rates and commercial real estate exposure. He specifically asked Carla to purchase \$175,000 worth of a 3x leveraged inverse regional bank ETF - a daily-resetting product that seeks to deliver three times the inverse daily return of a regional bank index. Harold told Carla he had 'done extensive research' and understood that the product resets daily.

Carla discussed the product with Harold over two phone calls totaling 45 minutes. During the first call, she explained that the product was designed for short-term tactical trading and that holding it for extended periods could result in significant deviation from the expected 3x inverse return of the underlying index due to the mathematical effects of daily compounding, especially in volatile markets. She noted that even if regional banks declined over several months, the ETF could still lose money if the path was choppy. Harold responded that he understood 'the compounding issue' and referenced a white paper he had read from the ETF issuer's website. In the second call, Carla reiterated that most professionals use the product for holding periods of one day to two weeks. Harold said he planned to 'watch it closely' and exit within 60 to 90 days.

Carla documented both conversations in her CRM system and noted Harold's stated understanding and intended holding period. She also sent Harold the ETF's prospectus and a supplemental risk disclosure document via email, which Harold confirmed he received and reviewed. Carla's branch manager reviewed and approved the trade.

Carla executed the purchase on January 19, 2023, allocating approximately 8.3% of Harold's total portfolio to the position. The regional banking thesis initially played out - the ETF gained approximately 38% through mid-March 2023 during the Silicon Valley Bank crisis. However, Harold chose not to sell, telling Carla on

March 20 that he believed 'the worst is still ahead for regional banks.' Carla suggested he consider taking profits or at least reducing the position, and documented this recommendation. Harold declined.

Over the following seven months, regional bank stocks experienced significant volatility - sharp drops followed by sharp recoveries. By October 2023, the regional bank index was down approximately 12% from Harold's January entry point, yet the 3x inverse ETF was down approximately 31% from his purchase price due to volatility decay and path dependency, representing a loss of roughly \$54,250. Harold's total portfolio value had declined from \$2.1 million to approximately \$1.97 million, with the leveraged ETF loss being the primary driver.

In November 2023, Harold's adult daughter, who holds power of attorney, discovered the position during a routine review of her father's accounts. She filed a complaint alleging that Carla should never have allowed her elderly father to invest \$175,000 in a volatile, complex leveraged product, and that Carla had a responsibility to liquidate the position when it became clear Harold was holding far beyond the product's intended timeframe. Harold, for his part, submitted a written statement saying the investment was entirely his idea, that Carla had explained the risks thoroughly, and that he made the decision to hold against her advice. He noted he was 'disappointed but not confused' about what happened.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Carla violated applicable standards: (1) Harold is 74 years old, placing him squarely in the senior investor category where heightened supervisory obligations apply. Leveraged inverse ETFs with daily reset mechanisms are widely recognized as unsuitable for long-term holding by retail investors, including sophisticated ones. (2) The position represented \$175,000 - a material allocation - in a product designed for intraday or very short-term use. (3) Once Harold held the position beyond his stated 60-90 day window and explicitly rejected her advice to sell, Carla arguably had an obligation to escalate the matter to her supervisor or take more aggressive steps to protect the client, rather than simply documenting the disagreement. Under enhanced standards for complex products, ongoing monitoring and intervention may be expected. (4) The daughter's complaint raises questions about whether Harold's cognitive capacity or emotional state (widowed two years) might have affected his judgment, even if no formal diminished capacity concerns were documented. (5) Some regulators have taken the position that regardless of customer sophistication, daily-resetting leveraged products held beyond their intended timeframe represent a per se suitability concern.

Arguments that Carla acted appropriately: (1) Harold was an exceptionally sophisticated investor - a retired engineer with 30+ years of active trading experience, including options, who independently identified and researched the investment thesis. (2) Carla provided thorough disclosure across two documented phone calls totaling 45 minutes, specifically addressing daily reset mechanics, volatility decay, path dependency, and the product's intended short-term holding period. (3) She sent the prospectus and supplemental risk disclosures, which Harold confirmed reviewing. (4) The position was approximately 8.3% of a \$2.1 million portfolio - a meaningful but not reckless allocation for an aggressive-growth investor with no debt and reliable pension/Social Security income. (5) When the position became profitable in March, Carla proactively recommended taking profits; Harold refused. She documented this recommendation. (6) Harold

himself submitted a written statement confirming the investment was his idea, the risks were explained, and he chose to hold against advice. (7) The branch manager reviewed and approved the initial trade. (8) Carla did not have legal authority to liquidate a position against an explicit client instruction absent a discretionary account agreement or evidence of diminished capacity. (9) Harold's financial situation - \$2.1M portfolio, pension, Social Security, no dependents, no debt - meant the \$54,250 loss, while significant, did not threaten his financial security or retirement.

Why Borderline

This case sits at the intersection of investor autonomy and advisor duty. Harold is indisputably sophisticated and solvent, and the advisor provided extensive, well-documented disclosure and even recommended exiting the position. However, the customer is 74 years old, the product is a daily-resetting 3x leveraged inverse ETF widely flagged by regulators as problematic for extended holding periods, and the advisor's firm arguably had enhanced supervisory obligations once the holding period exceeded the product's design parameters. The tension between respecting an informed client's autonomy and the heightened protective duties owed to senior investors in complex products creates genuine ambiguity.

Borderline Factors

- Client age (74) triggers senior investor protections, but client demonstrates exceptional sophistication and financial independence
- Advisor provided thorough, documented risk disclosure including specific warnings about daily-reset mechanics and volatility decay
- Advisor recommended taking profits in March 2023 and documented the client's refusal - showing active monitoring
- Position size (8.3% of portfolio) is material but not extreme for a self-described aggressive investor
- Client held well beyond the 60-90 day stated timeframe, but advisor lacked discretionary authority to force a liquidation
- Client's written statement corroborates the advisor's account and confirms informed, voluntary decision-making
- Losses (\$54,250) were significant but did not jeopardize client's retirement security given pension, Social Security, and remaining portfolio
- Regulatory guidance increasingly suggests firms must do more than document disagreement - they may need to restrict or escalate when complex products are held beyond intended horizons
- No evidence of diminished capacity, but the daughter's involvement raises questions about whether deeper inquiry was warranted
- Branch manager approved the initial trade, suggesting firm-level supervisory review occurred

Likely Outcome

A regulator would likely find this a close case but would probably focus less on the initial recommendation (which was well-documented and reasonable given Harold's profile) and more on the failure to escalate after the holding period exceeded the product's intended use and the client rejected the advisor's recommendation to sell. Under current regulatory expectations for complex product supervision, many examiners would expect the advisor or firm to have implemented automated alerts, mandatory supervisory review triggers, or at minimum a formal escalation to compliance when a daily-resetting leveraged ETF is held beyond 30-60 days. The most likely outcome is a finding of supervisory deficiency at the firm level rather than a personal suitability violation against Carla, potentially resulting in a cautionary letter or fine

directed at the firm's complex products supervision framework. Carla herself might receive a reminder or minor sanction, but an outright suitability violation finding is less likely given the strength of her documentation and Harold's sophistication and written corroboration.

Borderline Scenario 91

Topic: high_fees_unsuitable | Standard: FINRA Rule 2111 (Suitability) - including reasonable-basis, customer-specific, and quantitative

Fact Pattern

Margaret Albright, age 61, is a retired pharmaceutical sales manager with a \$1.4 million portfolio, \$62,000 in annual pension income, and Social Security benefits beginning at age 65. She has moderate investment experience, having self-directed a 401(k) for 22 years that included large-cap equity funds and bond allocations. In March 2023, she opened an advisory account with David Kessler, a financial advisor at a mid-size broker-dealer. During onboarding, Albright indicated a "moderate growth" objective, a 10-year time horizon, and stated she could tolerate "some market downturns" but wanted to avoid catastrophic losses in retirement. She also told Kessler she had been reading financial blogs about using leveraged ETFs to "juice returns" in a portion of her portfolio and asked him about these products.

Kessler discussed the mechanics of daily-resetting leveraged products with Albright over two meetings. He explained that these funds reset their leverage ratio each day, and that over longer periods, the compounding effect could cause returns to deviate significantly from the simple multiple of the underlying index - especially in volatile, sideways-moving markets. He provided her with a two-page product summary sheet published by one of the ETF sponsors. He did not, however, run any quantitative simulations or historical back-tests showing how the specific product would have performed over multi-month holding periods in different volatility regimes.

After these discussions, Kessler recommended allocating \$105,000 (7.5% of her portfolio) to a 2x leveraged S&P 500 ETF with an expense ratio of 0.89%, and \$45,000 (3.2% of her portfolio) to a 3x leveraged Nasdaq-100 ETF with an expense ratio of 0.95%. The combined allocation of \$150,000 represented approximately 10.7% of her total portfolio. Kessler noted in his records that Albright understood the risks and wanted "enhanced equity exposure" in a bull market environment. He set a calendar reminder to review the positions quarterly.

The remaining 89.3% of her portfolio was allocated conservatively: 40% in investment-grade bond funds, 30% in a diversified large-cap equity index fund, 12% in a target-date retirement fund, and 7.3% in money market funds. The overall blended expense ratio for the non-leveraged portion was 0.12%.

Over the next 14 months (March 2023 through May 2024), the S&P 500 rose approximately 27%. The 2x leveraged S&P 500 ETF gained roughly 49% - slightly less than the theoretical 54% due to daily compounding drag and the higher expense ratio. The 3x Nasdaq-100 ETF gained approximately 88%, benefiting from a strong, low-volatility uptrend in tech stocks. Albright's leveraged positions appreciated to approximately \$222,000, contributing meaningfully to her overall portfolio returns.

However, between June and October 2024, markets experienced a choppy correction, with the S&P 500 declining 8% and the Nasdaq-100 declining 14% before partially recovering. During this period, the 2x leveraged ETF declined 19% and the 3x Nasdaq-100 ETF declined 38% from their May highs before rebounding partially. Kessler conducted his quarterly review in July 2024 and recommended holding through the volatility. He did not recommend trimming or rebalancing the positions, which by then had grown to represent approximately 14.8% of the portfolio due to their prior gains.

By December 2024, when Albright contacted Kessler expressing concern, her leveraged positions had recovered to approximately \$195,000 - still above her original \$150,000 cost basis but \$27,000 below their May 2024 peak. She was upset about the volatility and the fact that the leveraged positions had underperformed what she expected based on the simple index multiples. She filed a complaint alleging that the fees on the leveraged products were excessive relative to available alternatives, that the products were unsuitable for a retiree, and that Kessler failed to adequately monitor the positions or rebalance when concentration increased.

The firm's product governance committee had approved both leveraged ETFs for use in advisory accounts, but internal guidelines suggested that leveraged and inverse products "generally should not exceed 10% of a client's total portfolio" and required enhanced documentation for allocations above that threshold. Kessler's initial allocation was at 10.7%, and he did not complete the enhanced documentation form. When the positions drifted to 14.8%, no rebalancing trigger was activated because the firm's automated monitoring system only flagged leveraged ETF concentrations above 20%.

Albright's account agreement included a provision acknowledging that she understood the advisory relationship was non-discretionary and that she retained final decision-making authority over all trades. Kessler's CRM notes from the original recommendation meetings state that Albright was "enthusiastic" about leveraged products and "initiated the conversation about using leverage."

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations that make a definitive determination difficult.

Arguments that Kessler violated applicable standards:

1. ****Expense ratio concerns****: The leveraged ETFs carried expense ratios of 0.89% and 0.95%, roughly 7-8x higher than the 0.12% blended cost of the rest of her portfolio. Under Regulation Best Interest's cost component, an advisor must consider reasonably available alternatives. Non-leveraged S&P 500 and Nasdaq-100 index ETFs were available at expense ratios of 0.03%-0.10%. While leverage inherently costs more due to swap and financing costs embedded in daily-resetting products, a regulator could argue that the cost differential was inadequately justified for a 61-year-old retiree who could have achieved enhanced equity exposure through other means (e.g., slightly higher equity allocation in low-cost index funds, or even margin in a properly disclosed margin account with potentially lower all-in costs).
2. ****Inadequate volatility decay education****: Although Kessler discussed daily resetting conceptually and

provided a sponsor-produced summary, he did not run quantitative simulations showing path-dependent outcomes. FINRA Regulatory Notices 09-31 and 22-08 emphasize that complex products require heightened diligence, and that advisors must ensure customers understand the specific risks - not just in theory but with concrete illustrations of how returns can deviate from expectations. The June-October 2024 choppy period demonstrated exactly the compounding drag that Albright later said she didn't fully appreciate.

3. **Concentration drift and supervision failure**: The initial allocation of 10.7% exceeded the firm's 10% internal guideline, and Kessler did not complete the required enhanced documentation. When positions drifted to 14.8%, no rebalancing occurred. Under FINRA Rule 2111's quantitative suitability component and Reg BI's care obligation, ongoing monitoring of recommended positions is expected. Kessler's July 2024 quarterly review concluded with a hold recommendation during peak volatility - arguably the worst time to maintain full leveraged exposure for a retiree.

4. **Customer profile mismatch**: Albright was 61, retired, with moderate risk tolerance and a stated desire to avoid catastrophic losses. Daily-resetting leveraged products can experience drawdowns far exceeding the underlying index, as demonstrated by the 38% decline in the 3x Nasdaq ETF. A regulator could argue these products are fundamentally inconsistent with her stated objectives.

Arguments that Kessler acted appropriately:

1. **Limited allocation size**: At 10.7% of a \$1.4 million portfolio, the leveraged ETF allocation was a satellite position. The core 89.3% was conservatively invested. The overall portfolio risk profile remained moderate, and even a total loss of the leveraged positions would have left Albright with over \$1.25 million plus pension and future Social Security income.

2. **Customer-initiated interest**: Albright brought up leveraged ETFs herself, had 22 years of investment experience, and was described as "enthusiastic." The non-discretionary account structure meant she retained approval authority over every trade. Under the customer-specific component of suitability analysis, a customer's own expressed preferences and sophistication are relevant factors.

3. **Positive absolute returns**: Despite the volatility, Albright's leveraged positions were worth approximately \$195,000 in December 2024 versus a \$150,000 cost basis - a 30% gain over 21 months. She experienced no realized loss. Her complaint centered on underperformance relative to expectations and peak-to-trough volatility, not actual financial harm.

4. **Adequate disclosure**: Kessler held two meetings discussing the products, explained daily resetting and compounding effects, and provided sponsor materials. While he could have done more (simulations, written risk acknowledgment), regulators have not established a bright-line requirement for specific analytical tools. The two-meeting discussion arguably exceeds the diligence many advisors provide.

5. **Fee context**: The 0.89%-0.95% expense ratios, while high relative to plain index funds, are standard and competitive for leveraged ETF products. The embedded financing and swap costs of maintaining daily leverage make direct comparisons to unleveraged products misleading. This is not a case of

recommending a high-cost product when an identical lower-cost product was available.

6. ****Firm approval****: Both products were on the firm's approved list for advisory accounts, suggesting institutional-level due diligence had been conducted on their appropriateness for certain client segments.

Why Borderline

This case sits in a genuine gray zone because the advisor took meaningful steps to educate the client, the allocation was relatively modest, the client initiated interest in leveraged products, and the positions were profitable on an absolute basis. However, the client's age and retirement status, the expense differential, the failure to complete enhanced documentation when exceeding internal concentration limits, the lack of quantitative path-dependency illustrations, and the failure to rebalance during concentration drift all create legitimate regulatory concerns. Reasonable practitioners could disagree on whether a 10.7% satellite allocation to leveraged ETFs - in a \$1.4 million portfolio that is otherwise conservatively positioned - crosses the line for a 61-year-old moderate-risk retiree who specifically requested the exposure.

Borderline Factors

- Client initiated the leveraged ETF conversation and had over two decades of investment experience, but was a 61-year-old retiree with moderate risk tolerance
- Allocation of 10.7% was modest relative to total portfolio but exceeded the firm's internal 10% guideline, and enhanced documentation was not completed
- Expense ratios of 0.89-0.95% are standard for leveraged ETFs but 7-8x the cost of the rest of the portfolio - raising questions about cost-conscious alternatives under Reg BI
- Advisor provided two meetings of verbal education and sponsor materials but no quantitative simulations of path-dependent outcomes in volatile markets
- Positions drifted to 14.8% concentration without rebalancing, but the firm's automated system only flagged at 20%
- Client experienced significant intra-period volatility (38% peak decline in 3x product) but positions remained profitable on an absolute cost-basis measure
- The hold recommendation during July 2024 choppy markets could be seen as either reasonable conviction or failure to protect a retiree from foreseeable leveraged-product decay
- Non-discretionary account structure places ultimate decision authority with client, but advisor's recommendation carries significant weight under both suitability and Reg BI frameworks

Likely Outcome

A regulator would most likely find a technical violation related to the firm's internal supervisory procedures (failure to complete enhanced documentation for exceeding the 10% leveraged product guideline) and potentially a deficiency in the advisor's disclosure process (no quantitative path-dependency illustrations). However, the substantive suitability or best interest violation is less clear-cut. Given that the client was profitable, the allocation was a modest satellite position, the broader portfolio was conservative, and the client initiated the discussion, a regulator would likely pursue this as a supervisory and documentation matter rather than a substantive suitability violation. The firm might receive a cautionary letter or fine for the supervisory gap. The advisor might receive a heightened supervision requirement or letter of caution. A full enforcement action alleging substantive unsuitability would be less likely absent actual customer losses, though some panelists in an arbitration setting might find the volatility exposure inconsistent with the client's stated objective to avoid catastrophic losses - making an arbitration outcome somewhat unpredictable.

Borderline Scenario 92

Topic: *failure_to_know_customer* | Standard: *FINRA Rule 2111 (Suitability)* - particularly the customer-specific and quantitative suitability

Fact Pattern

Marcus Reilly, a financial advisor at a mid-sized independent broker-dealer in Phoenix, Arizona, has been working with client Helen Tsao since 2019. Helen is 58 years old, recently retired from a 30-year career as a senior electrical engineer at a defense contractor. She has a \$1.9 million portfolio, a defined benefit pension paying \$6,200/month, Social Security eligibility at 62, and no mortgage. Her new account form lists her investment experience as 'extensive,' her risk tolerance as 'moderate-to-aggressive,' her time horizon as '10+ years,' and her investment objective as 'growth with income.' She holds a bachelor's degree in electrical engineering and a master's in systems engineering. Helen has traded individual equities for 15 years through a discount brokerage, and her historical trading records show approximately 40 trades per year, including occasional options positions (covered calls and cash-secured puts). She has never previously owned leveraged or inverse exchange-traded products.

In March 2023, Helen told Marcus during a phone call that she believed the semiconductor sector was entering a sustained multi-year bull cycle driven by AI demand and wanted concentrated exposure. Marcus discussed several options with her, including individual semiconductor stocks, a standard semiconductor sector ETF, and a 2x daily-leveraged semiconductor ETF. Helen expressed strong interest in the leveraged product because she said she wanted to 'maximize upside during what I think will be a clear directional trend.' Marcus explained that the product resets daily, that returns over periods longer than one day can differ significantly from 2x the underlying index return, and that sideways or volatile markets could erode value even if the index ended flat. He emailed Helen a product fact sheet and a one-page summary he had prepared explaining daily compounding effects with a hypothetical numerical example. Helen signed an acknowledgment form confirming she understood the product characteristics.

Marcus recommended that Helen allocate \$190,000 - approximately 10% of her portfolio - to the 2x leveraged semiconductor ETF. He noted in his file that the position would be reviewed monthly and that he would recommend trimming or exiting if the sector thesis changed or volatility spiked. Over the following seven months, the position gained roughly 62%, significantly outperforming the underlying index due to favorable compounding in a trending market. Helen was pleased and asked Marcus to increase the allocation to \$350,000 (now approximately 16% of her enlarged portfolio). Marcus agreed and executed the additional purchase in October 2023.

In January 2024, the semiconductor sector experienced a sharp correction of 18% over three weeks followed by a volatile sideways pattern. The leveraged ETF declined approximately 41% from its October peak. Helen's position, which had been worth approximately \$430,000 at its high point, fell to roughly \$254,000. Helen held through this period without contacting Marcus. Marcus did not reach out to Helen during the correction, and no monthly review occurred in December 2023 or January 2024. In February 2024, Helen called Marcus upset about the losses and said she hadn't fully understood how quickly the leveraged product could lose value in a volatile, declining market. She filed a complaint alleging Marcus never truly understood her actual risk tolerance and retirement income needs, and that the leveraged ETF was inappropriate for a recently retired investor.

Marcus's firm conducted a post-complaint review. The firm's written supervisory procedures required heightened review for complex products, including leveraged ETFs, but the specific protocol only required supervisory sign-off at the point of initial purchase - which had been obtained. There was no firm requirement for ongoing supervisory review of leveraged ETF positions, and the firm did not have an automatic holding-period limit or concentration alert for these products. Marcus's supervisor had approved the original \$190,000 allocation but was not informed of the October 2023 increase to \$350,000.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Marcus did NOT violate applicable standards: Helen Tsao is a highly educated, financially experienced investor with 15 years of active trading, including options experience. Her account documentation listed moderate-to-aggressive risk tolerance and a growth objective with a long time horizon. The initial 10% allocation to the leveraged ETF was a reasonable position size for someone with her risk profile and substantial pension income providing a floor. Marcus provided written disclosures explaining daily reset mechanics and compounding risk, obtained a signed acknowledgment, and documented a plan for monthly reviews. The leveraged product aligned with Helen's clearly stated conviction about a directional sector trend, and the choice of a leveraged ETF over concentrated individual stock positions arguably provided diversification within the sector. Helen's complaint came only after losses - during the period of gains, she voluntarily requested increased exposure.

Arguments that Marcus DID violate applicable standards: Several knowledge-of-customer concerns arise. First, Helen had never previously held leveraged ETFs, which represents a gap between her general trading experience and the specific product characteristics. While she had options experience, daily-resetting leveraged products involve path dependency and volatility decay risks that differ meaningfully from covered calls and puts. Second, Marcus's customer profile may have been incomplete or stale - Helen had recently transitioned from accumulation to retirement, and her risk tolerance classification of 'moderate-to-aggressive' may not have been re-evaluated in light of her changed circumstances. A newly retired client, even one with a pension, has a fundamentally different risk capacity than a working professional. Third, Marcus failed to execute his own documented monitoring plan: the missed December and January reviews are problematic because ongoing monitoring is especially critical for daily-resetting leveraged products. The absence of any contact during an 18% sector correction and a 41% decline in the leveraged position suggests a failure in the ongoing duty of care. Fourth, the increased allocation to \$350,000 - which was not submitted for supervisory review - raised concentration concerns and arguably required updated suitability analysis. Fifth, the firm's supervisory procedures appear inadequate for complex products: requiring approval only at initial purchase but not for significant position increases or ongoing holding of daily-resetting products creates a supervisory gap.

The customer acknowledgment form and written disclosures cut in Marcus's favor but are not dispositive - disclosure alone does not satisfy the obligation to ensure a recommendation is in the customer's interest given her specific circumstances. The fact that Helen requested the increased allocation introduces a customer-directed trade defense, but Marcus still made an affirmative recommendation to agree with the increase rather than pushing back or counseling a more conservative approach.

Why Borderline

This case sits in a genuine gray area because the client profile contains strong signals cutting both ways. Helen is sophisticated, experienced, wealthy, and has pension income providing downside protection - factors that support the suitability of a moderate leveraged ETF allocation. However, she is recently retired (changing her risk capacity), had no specific experience with leveraged products, and the advisor's own monitoring commitments went unfulfilled during the most critical period. The initial 10% allocation is defensible; the increase to 16% without supervisory review and the subsequent monitoring failure create the real ambiguity. Reasonable practitioners could disagree on whether the totality of circumstances - particularly Helen's sophistication, pension income, and signed acknowledgment - outweigh the monitoring lapses and the question of whether a recently retired investor should hold a concentrated leveraged position.

Borderline Factors

- Client's extensive trading experience and technical education versus no prior experience with daily-resetting leveraged products specifically
- Substantial pension income providing a retirement floor versus the general principle that retirees have reduced risk capacity
- Written disclosure and signed acknowledgment of product risks versus question of whether client truly internalized volatility decay implications
- Initial 10% allocation was conservative but grew to 16% without updated supervisory review or suitability re-evaluation
- Advisor documented a monthly review plan but failed to execute it during the period of greatest market stress
- Customer voluntarily requested increased position size, raising customer-directed defense, but advisor still made affirmative recommendation to proceed
- Firm supervisory procedures technically satisfied at initial purchase but structurally inadequate for ongoing leveraged ETF holding
- Losses occurred over a relatively short volatile period, illustrating exactly the risk disclosed, yet client claims she did not fully understand

Likely Outcome

A regulator would most likely find a partial violation. The initial recommendation and 10% allocation would likely survive scrutiny given Helen's profile, the disclosures provided, and the documented rationale. However, the failure to conduct the promised monthly reviews - particularly during a significant market correction - and the failure to submit the substantially increased allocation for supervisory review would likely be found deficient. The monitoring failure is especially significant for daily-resetting leveraged products, where regulators have repeatedly emphasized that ongoing review is essential because these products can rapidly deviate from expected performance. The firm's supervisory system would also likely face criticism for lacking ongoing review protocols for complex products. The most probable outcome is a finding that the advisor's initial recommendation was reasonable but that subsequent failures in monitoring and the unsupervised position increase constituted a breach of the ongoing care component of applicable standards, with potential firm-level supervisory deficiencies.

Borderline Scenario 93

Topic: *high_fees_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) and its three components (reasonable-basis, customer-specifi*

Fact Pattern

Marcus Webb, a 58-year-old semi-retired petroleum engineer, maintained a \$1.4 million brokerage account with Ridgeline Financial Services. Webb had over 20 years of active trading experience, held a Series 7 license earlier in his career (lapsed in 2014), and regularly read financial publications. His account documents listed his investment objective as 'growth with income,' risk tolerance as 'aggressive,' time horizon as '5-10 years,' and annual income of \$185,000 from consulting work and rental properties. Webb also maintained a separate \$900,000 IRA at another firm invested conservatively in bonds and CDs.

In March 2023, Webb's advisor, Danielle Kershaw, recommended a 2x leveraged S&P 500 ETF (expense ratio 0.89%) as a tactical allocation representing approximately 12% of his Ridgeline account (~\$168,000). Kershaw explained that the product reset daily and could experience compounding effects that caused returns to deviate from 2x the index over longer holding periods. She provided the fund's prospectus and a two-page summary document about daily-resetting leveraged products. Webb signed an acknowledgment form confirming he understood the product characteristics.

Kershaw's stated strategy was for Webb to hold the position for 3-6 months as a bullish tactical bet on the U.S. large-cap market, then reassess. She set a calendar reminder for a 90-day review. However, the position was not formally coded as a short-term tactical trade in the firm's systems, and no stop-loss or automatic liquidation trigger was established.

The S&P 500 rose approximately 8% over the next four months, but experienced significant day-to-day volatility (realized volatility of roughly 19%). The leveraged ETF returned approximately 13.2% over that period-less than the expected 16% (2x the index return)-due to volatility decay. After the 90-day mark, Kershaw contacted Webb to discuss the position. Webb expressed satisfaction with the gains and asked to continue holding. Kershaw agreed but noted in her CRM that she reminded him of the compounding risks. No written communication was sent.

Webb continued holding through December 2023. By that point, the S&P 500 had gained about 14% from the original purchase date, but the leveraged ETF had gained only 21.5% instead of the theoretical 28%. The 'drag' cost from volatility decay amounted to approximately \$10,900 in foregone returns. Including the higher expense ratio of the leveraged ETF versus a standard S&P 500 ETF (0.89% vs. 0.03%), Webb paid roughly \$1,445 more in fund expenses over the 9-month period than he would have in a plain index fund.

Webb's total excess cost-volatility decay plus higher fees-was approximately \$12,345 over nine months. However, his position was still profitable, having gained roughly \$36,100 on the \$168,000 investment. Webb filed a complaint in February 2024 after reading an article about leveraged ETF risks, alleging that Kershaw should never have let him hold the product beyond the initial 90-day window and that the higher fees made the product inherently unsuitable for any holding period beyond a few days.

Ridgeline's compliance department reviewed the matter. The firm had written supervisory procedures requiring enhanced review of leveraged and inverse ETF purchases at the point of sale, but did not have a

formal policy mandating periodic forced reviews or automatic liquidation after a set holding period. Kershaw's branch manager had approved the initial purchase but conducted no subsequent review of the holding period. The firm's product governance committee had approved the 2x leveraged S&P 500 ETF for use with clients who had aggressive risk tolerances and accounts over \$500,000.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Kershaw violated applicable standards: The leveraged ETF is a complex product designed for short-term tactical use, and regulatory guidance has repeatedly warned that these products are generally unsuitable for holding periods beyond a single trading session or, at most, short tactical windows. Kershaw's initial recommendation contemplated a 3-6 month holding period, which already stretches the typical use case. More critically, once the 90-day review occurred and Webb expressed a desire to continue holding, Kershaw had an obligation to exercise professional judgment rather than simply defer to the client's preference. Her verbal reminder about compounding risks, documented only in a CRM note with no written follow-up, may be insufficient to demonstrate she fulfilled her ongoing obligations. The lack of a formal periodic review mechanism or stop-loss trigger suggests inadequate care in managing a known risk. The \$12,345 in excess costs (volatility decay plus fees) compared to a plain 2x manual leveraged position or simply a larger allocation to a standard index ETF raises questions about whether the product's cost structure was justified.

Arguments that Kershaw acted appropriately: Webb was a highly sophisticated investor with prior securities licensing, aggressive risk tolerance, and sufficient assets to absorb potential losses. The position represented only 12% of his Ridgeline account and approximately 7% of his total investable assets across both accounts. Kershaw provided appropriate disclosures at the point of sale, obtained a signed acknowledgment, and conducted a 90-day review as planned. The client expressly chose to continue holding after being reminded of the risks. The position was profitable, generating \$36,100 in gains. The \$12,345 in 'excess cost' is a comparison to a theoretical alternative rather than an actual loss. Volatility decay is an inherent and disclosed characteristic of the product, not a hidden fee. The firm had approved the product for clients matching Webb's profile, and the branch manager approved the initial purchase. Kershaw's recommendation of a 3-6 month tactical window, while longer than a single day, reflects how many sophisticated investors actually use these products in practice, and the position performed within reasonable expectations for a moderately volatile market environment.

Why Borderline

This case sits at the intersection of several genuine gray areas: (1) the appropriate maximum holding period for leveraged ETFs is not precisely defined by regulation-guidance warns against 'long-term' holding but does not specify exact timeframes; (2) the client was genuinely sophisticated and made an informed, voluntary decision to continue holding; (3) the total 'excess cost' was modest relative to the profitable outcome and total account size; (4) the advisor did conduct a review but arguably should have been more assertive in her recommendation to exit; (5) the firm's procedures were arguably adequate at point-of-sale but arguably deficient in ongoing supervision. Reasonable practitioners disagree about whether a 9-month hold of a 2x leveraged ETF in a trending (though volatile) market constitutes the kind of misuse that regulators target.

Borderline Factors

- Client had prior Series 7 license and 20+ years of trading experience, creating genuine sophistication that informs the care analysis
 - Position was only 12% of the account at one firm and ~7% of total investable assets, limiting concentration risk
 - Advisor conducted a 90-day review as planned but documentation of the ongoing recommendation was weak (CRM note only)
 - 9-month holding period is longer than typical tactical use but shorter than what most enforcement cases target
 - The ~\$12,345 in excess costs versus alternatives must be weighed against \$36,100 in actual gains
 - Client expressly requested to continue holding after being reminded of risks, raising the question of how far an advisor must go to override client preferences
 - Firm had point-of-sale enhanced review but no formal ongoing monitoring policy for leveraged products
 - Expense ratio of 0.89% is high relative to plain index ETFs but standard for leveraged products and was disclosed

Likely Outcome

A regulator would most likely find a partial violation focused primarily on supervisory deficiencies rather than the initial recommendation itself. The initial purchase was arguably suitable given Webb's profile, sophistication, account size, and the tactical rationale. However, the failure to document the ongoing recommendation in writing after the 90-day review, the absence of any formal mechanism to monitor the extended holding period, and the branch manager's lack of follow-up review would likely be cited as supervisory failures. The advisor's decision to defer to the client's preference to continue holding, without a documented written analysis of whether the continued position served the client's interest given the accumulating volatility drag, would likely be viewed as falling short of the care expected with complex products. However, given the client's sophistication, the profitable outcome, the modest excess costs relative to account size, and the disclosure at point of sale, sanctions would likely be modest-perhaps a letter of caution or minor fine rather than a significant disciplinary action. The firm would likely face a stronger supervisory finding than the individual advisor.

Borderline Scenario 94

Topic: failure_to_know_customer | Standard: FINRA Rule 2111 (Suitability), including the customer-specific and reasonable-basis ob

Fact Pattern

Gerald Ostrowski, age 58, is a senior mechanical engineer at a defense contractor earning \$195,000 per year with a net worth of approximately \$1.4 million, including his home equity. He has a 401(k) valued at \$620,000 invested in target-date funds and an IRA worth \$180,000. In March 2023, he opened a brokerage account with Ridgeline Wealth Partners and was assigned to advisor Danielle Ferris. During the new account process, Ferris conducted a 25-minute phone call with Ostrowski. He told her he had been trading stocks for about 12 years, mostly buying individual large-cap equities and holding them for months or years. He said he had recently been reading about leveraged ETFs on financial blogs and Reddit forums and wanted to use them to 'amplify gains during market rallies.' He described his risk tolerance as 'aggressive'

and said he wanted to grow the brokerage account as fast as possible since his retirement savings were already 'conservative and locked away.' He stated his time horizon for this account was 5 to 7 years and that he could tolerate a 30-40% drawdown. Ferris noted these responses on his new account form but did not ask Ostrowski any follow-up questions about whether he understood how daily-resetting leveraged products work over multi-week or multi-month holding periods, whether he understood the concept of compounding drift in volatile markets, or whether he had ever actually traded leveraged or inverse ETFs before. She also did not ask about his overall financial picture beyond what he volunteered - she did not inquire about outstanding debts, his mortgage balance, whether he had dependents, or his expected retirement date. Ostrowski initially deposited \$85,000 into the account. Over the next two months, based on his stated interest, Ferris recommended he allocate \$50,000 to a 3x leveraged S&P 500 daily-resetting ETF and \$20,000 to a 2x leveraged semiconductor sector daily-resetting ETF. She sent him standard marketing materials and factsheets for both products, which contained disclosures about daily resetting and compounding risk, but she did not verbally walk him through these concepts or provide any illustration of how the products could underperform their reference indices over periods longer than one day. Ostrowski held both positions continuously. Through late 2023, the 3x S&P 500 product performed well as markets rallied, and his account reached a high-water mark of \$128,000 in December 2023. However, during a period of elevated volatility in early-to-mid 2024 - when the S&P 500 experienced several sharp drawdowns followed by partial recoveries - the 3x product suffered significant compounding decay. By August 2024, even though the S&P 500 was only about 3% below its December high, Ostrowski's 3x position had lost approximately 22% from its peak. The semiconductor ETF fared worse; the sector whipsawed through several earnings cycles, and despite ending roughly flat over the period, the 2x leveraged product lost about 31%. Ostrowski's total account value fell to approximately \$87,000 - barely above his initial investment - despite the underlying indices being near all-time highs. He called Ferris, upset and confused, saying he had assumed the products would simply deliver 2x or 3x the return of the indices over whatever period he held them. He filed a complaint alleging that Ferris never adequately understood his actual knowledge level and never explained the risks unique to these products, and that she should have recognized he was planning to hold them as long-term investments, which was inconsistent with the products' design.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This case presents a genuine tension between the advisor's obligations to understand the customer and the customer's own representations and autonomy. Arguments that Ferris violated applicable standards: First, the know-your-customer obligation requires more than passively recording a client's self-described experience level. Ostrowski said he had traded stocks for 12 years, but his experience was limited to buy-and-hold large-cap equities - a fundamentally different strategy from holding daily-resetting leveraged products. Ferris had an obligation to probe further and determine whether Ostrowski truly understood the mechanics of the specific complex products being recommended. FINRA Rule 2111 and its supplementary material, as well as Reg BI's care obligation under Rule 15l-1, both require the advisor to have a reasonable basis for believing the recommendation is suitable or in the customer's best interest, which presupposes actually understanding what the customer knows and doesn't know. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs 'are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets,' and RN 22-08

reinforced heightened supervisory expectations for complex products, including an expectation that firms assess whether customers understand key product features before recommending them. Ferris's failure to ask whether Ostrowski had ever traded leveraged ETFs, whether he understood daily resetting, or whether he understood volatility decay represents a meaningful gap in the know-your-customer process. She also failed to ascertain basic financial facts - mortgage balance, dependents, expected retirement date - that are relevant to understanding whether an aggressive allocation to volatile products is appropriate for someone 7-12 years from a likely retirement. The fact that she sent him written disclosures does not substitute for a reasonable inquiry into whether he actually understood those disclosures. Arguments in Ferris's defense: Ostrowski is a sophisticated professional with a high income, substantial net worth, and over a decade of active trading experience. He specifically sought out leveraged ETFs, described his own risk tolerance as aggressive, and stated he could absorb a 30-40% drawdown. His brokerage account represented only about 6% of his total net worth and was framed as a growth-oriented satellite to his otherwise conservative retirement portfolio. Ferris did provide the product factsheets, which disclosed the daily-resetting mechanics and compounding risk. A reasonable advisor could have concluded that a 58-year-old engineer earning \$195,000 is capable of reading and understanding a factsheet. Moreover, the account performed very well for the first nine months; the losses Ostrowski experienced were within the drawdown range he said he could tolerate (his peak-to-trough loss was roughly 32%, within his stated 30-40% tolerance). The products did exactly what they were designed to do - it was the holding period and market conditions, not the recommendation itself, that created the gap between expectations and outcomes. Additionally, Ferris did not engage in excessive trading or churning; she made two recommendations and the client chose to hold. The customer's own failure to monitor or rebalance his positions also contributed to the outcome.

Why Borderline

This is genuinely borderline because the customer presented as experienced and aggressive, voluntarily sought out the products, had the financial capacity to absorb losses, and received written disclosures. However, the advisor's failure to probe the customer's actual understanding of daily-resetting mechanics and long-term holding risks - combined with the customer's clear plan to hold for years - suggests a meaningful gap in the know-your-customer process. The question is whether the advisor's passive reliance on self-reported sophistication and written disclosures satisfies her obligation, or whether the unique and counterintuitive risks of these specific products demanded a more active inquiry and educational conversation before recommending them for a multi-year hold.

Borderline Factors

- Customer self-identified as aggressive with 12 years of trading experience, but that experience was limited to conventional buy-and-hold equity investing with no prior leveraged ETF exposure
- Customer's stated 5-7 year time horizon was fundamentally inconsistent with daily-resetting product design, but the advisor did not probe or flag this mismatch
- Written product disclosures were provided but no verbal explanation of path dependency or compounding decay was given, raising the question of whether disclosure alone satisfies the obligation
- The \$85,000 investment represented only ~6% of total net worth, limiting the argument of concentration or financial harm relative to overall resources
- Customer's actual losses (~32% peak-to-trough) fell within his self-stated tolerance of 30-40% drawdown, though he clearly did not anticipate this outcome given the modest decline in underlying indices
- The advisor failed to collect basic financial information (mortgage, dependents, retirement date) that would inform a holistic suitability analysis for a 58-year-old investor

- Regulatory guidance has repeatedly warned about the unsuitability of long-term holding of daily-resetting products for retail investors, but the customer's overall profile is arguably above-average in sophistication

Likely Outcome

A regulator would most likely find a violation, though possibly with mitigating factors reducing the severity of any sanction. The core deficiency is the failure to adequately know the customer: Ferris did not determine whether Ostrowski understood the daily-resetting mechanics, did not probe the critical mismatch between his stated multi-year holding plan and the product design, did not ascertain whether he had any prior experience with these specific product types, and did not collect basic financial information relevant to his overall profile. Regulatory guidance has been clear and repeated over more than a decade that these products require heightened diligence, particularly around customer understanding and intended holding period. While Ostrowski's financial capacity and self-described aggressiveness are mitigating, they do not excuse the advisor's failure to conduct a reasonable inquiry. The written disclosures, without any evidence that the advisor ensured comprehension, are unlikely to be treated as sufficient. However, the relatively modest size of the investment relative to net worth, the customer's initiative in seeking out the products, and the fact that losses fell within the customer's stated risk tolerance would likely result in a finding that leans toward a supervisory or compliance deficiency rather than egregious misconduct warranting heavy sanctions.

Borderline Scenario 95

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2111 (Suitability) and its components - reasonable-basis, customer-specific

Fact Pattern

Marcus Chen, age 58, is a senior mechanical engineer earning \$185,000 annually with a net worth of approximately \$1.4 million, including \$620,000 in his employer 401(k) and \$310,000 in a brokerage account at Ridgeline Securities. He has a \$470,000 home with no mortgage. Chen has traded individual equities and standard index ETFs for twelve years and describes himself as comfortable with market volatility. In January 2023, he told his advisor, Danielle Rowan, that he believed the technology sector was entering a sustained bull run and wanted to capture amplified upside. He specifically mentioned reading several financial blogs about leveraged technology ETFs and asked Rowan about a 3x daily-resetting leveraged Nasdaq-100 ETF (ticker: TQQQ). Rowan updated Chen's account profile to reflect a "growth" objective with a "high" risk tolerance. She discussed with Chen that the product resets daily and that returns over periods longer than one day can deviate significantly from three times the index return, particularly in choppy or sideways markets. She emailed Chen a product fact sheet and the issuer's investor bulletin, both of which contained warnings about daily compounding effects. Chen signed an acknowledgment form stating he understood the product's mechanics. Rowan recommended that Chen allocate \$62,000 - roughly 20% of his brokerage account - to TQQQ in February 2023, with a plan to hold the position for six to nine months to capture what Chen believed would be a directional tech rally. Rowan noted in her file that the position was intended as a tactical, medium-term trade rather than a permanent holding. She set a calendar reminder to review the position with Chen at 90-day intervals. Over the next seven months, the Nasdaq-100 rose approximately 38%, and TQQQ gained roughly 95%, bringing Chen's position to approximately \$120,900. Rowan called Chen in September 2023 for the scheduled review and recommended trimming the position by at least half, noting it now represented over 30% of his brokerage account. Chen declined, saying

momentum was still strong and he wanted to hold through year-end. Rowan documented the conversation and Chen's refusal but did not restrict trading or escalate the matter. By late October 2023, a market pullback caused TQQQ to drop 28% in three weeks, reducing the position to approximately \$87,000. Chen held through the drawdown. In January 2024, Chen filed a complaint alleging that Rowan never should have recommended a triple-leveraged daily-resetting product for a 58-year-old pre-retiree, that a 20% allocation was excessive, and that she failed to protect him from losses by not forcibly liquidating or restricting the position when he refused her advice to trim. Chen noted that despite the overall gain, the volatility and drawdown caused him significant distress and he now questions whether his retirement timeline is secure. He also argued that his risk profile was changed to justify the recommendation rather than reflecting his genuine circumstances as someone within seven years of retirement.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations. Arguments that Rowan violated applicable standards: (1) Chen was 58 years old and within a reasonable retirement planning horizon, raising questions about whether a 3x leveraged daily-resetting ETF is appropriate regardless of stated risk tolerance; (2) a 20% allocation to a single triple-leveraged product is a meaningful concentration that magnifies both path-dependency risk and drawdown exposure; (3) the timing of the risk profile update - changing Chen to 'high' risk tolerance contemporaneously with the leveraged ETF recommendation - creates an appearance that the profile was adjusted to fit the product rather than independently assessed; (4) regulators have expressed repeated concern about leveraged and inverse ETFs being sold to retail investors, particularly for holding periods beyond one trading day, and a six-to-nine-month planned holding period is well beyond one day; (5) Rowan's failure to escalate Chen's refusal to trim a now-concentrated leveraged position could be viewed as inadequate supervision of a complex product. Arguments that Rowan acted appropriately: (1) Chen was an experienced equity investor who initiated interest in the product and had read about leveraged ETFs independently; (2) Rowan provided written disclosures, discussed compounding risks, and obtained a signed acknowledgment; (3) the \$62,000 allocation, while 20% of the brokerage account, represented only about 4.4% of Chen's total net worth, and his retirement savings in the 401(k) were untouched; (4) Rowan established a structured review schedule, proactively recommended trimming the position when it grew, and documented Chen's refusal - she cannot forcibly liquidate a client's position without authorization; (5) Chen's 'growth' objective and stated high risk tolerance, combined with his investing experience, support the recommendation of a tactical leveraged position; (6) at the time of complaint, Chen was still in a net gain on the position (approximately \$25,000 profit), undermining the damages claim; (7) the planned six-to-nine-month horizon, while longer than one day, was a defined tactical window, not an open-ended buy-and-hold allocation. The profile-change timing is the most troubling element, but Rowan could argue Chen's stated objectives and experience genuinely supported the update.

Why Borderline

The scenario sits at the intersection of several genuinely contested questions: whether a leveraged daily-resetting product can ever be suitable for a pre-retiree even at modest portfolio percentages, whether client-initiated interest and documented disclosure cure potential unsuitability, whether the relevant denominator for concentration analysis is the brokerage account or total net worth, and whether an advisor's obligation extends to forcibly overriding a client's informed refusal to follow risk-reduction advice.

The contemporaneous risk profile change adds ambiguity but is not conclusive of manipulation. The client remains in a net profitable position, complicating any harm analysis, yet the product's inherent characteristics raise supervisory red flags that regulators have specifically highlighted.

Borderline Factors

- Client was 58 and within plausible retirement planning window, but had substantial separate retirement assets and no immediate income need from this account
- 20% of brokerage account is aggressive for a leveraged product, but represents only ~4.4% of total net worth
- Risk profile was updated contemporaneously with the recommendation, creating appearance of tailoring, but client's stated objectives and experience arguably supported the change
- Planned holding period of 6-9 months far exceeds one-day reset period, but was structured as a defined tactical trade with scheduled reviews, not open-ended
- Advisor recommended trimming and was rebuffed by client; unclear whether escalation or restriction was required versus simply documenting the refusal
- Client initiated interest in the product and had 12 years of equity trading experience, but self-directed interest does not eliminate the advisor's independent obligation
- Client remained in a net gain position at time of complaint, weakening damages argument but not eliminating the suitability question
- Written disclosures and signed acknowledgment provided, but regulators have indicated disclosure alone may not cure an unsuitable recommendation

Likely Outcome

A regulator would likely find this a close case but would probably not sustain a full suitability violation, though Rowan and her firm could face supervisory criticism. The contemporaneous risk profile change would draw scrutiny, but the documentation of client-initiated interest, written disclosures, signed acknowledgment, scheduled reviews, and the proactive recommendation to trim - combined with the relatively modest allocation as a percentage of total net worth and the client's investing experience - would likely be viewed as meaningful mitigating factors. However, a regulator could issue findings that the firm's supervisory procedures for complex products were insufficient, particularly regarding the absence of any escalation protocol when the client refused risk-reduction advice and the position exceeded concentration thresholds. The net profitable position further weakens enforcement appetite. Most likely outcome: a cautionary letter or supervisory finding rather than a formal violation, with the firm required to enhance its complex products supervision framework.

Borderline Scenario 96

Topic: *leveraged_etf_unsuitable* | Standard: *FINRA Rule 2111 (Suitability - reasonable-basis, customer-specific, and quantitative sui*

Fact Pattern

Marcus Chen, age 44, is a senior software engineer at a publicly traded tech company earning \$310,000 annually with a net worth of approximately \$2.8 million, including \$1.4 million in retirement accounts and \$900,000 in a taxable brokerage account. He has been an active self-directed trader for over 12 years and maintains a separate \$185,000 'tactical trading' account with his financial advisor, Danielle Ortiz, at a

mid-sized broker-dealer. Chen's investment profile form lists his risk tolerance as 'aggressive,' his investment objective for the tactical account as 'speculation,' and his time horizon as 'short-term (under 1 year).' He signed the firm's enhanced disclosure form for complex exchange-traded products in January 2023, which included a written acknowledgment that leveraged products reset daily and may diverge significantly from their benchmark over periods longer than one day.

In March 2023, Chen called Ortiz and told her he believed the semiconductor sector was entering a sustained bull cycle driven by AI demand and wanted 'maximum upside exposure.' Ortiz recommended a 3x leveraged semiconductor ETF, allocating \$55,000 - roughly 30% of the tactical account - to the position. She told Chen the product was designed for short-term trading and that daily compounding could erode returns in volatile or sideways markets. Chen said he understood but that he planned to hold 'at least through earnings season,' which he estimated would be about 90 days. Ortiz documented the conversation and the recommendation in her CRM notes.

Over the next five months, through August 2023, the underlying semiconductor index rose approximately 24%. However, the 3x leveraged ETF gained only about 48% rather than the roughly 72% a naive investor might expect, due to the path-dependent effects of daily resetting during a period of elevated intraday volatility. Chen's position grew from \$55,000 to approximately \$81,400 - a \$26,400 profit. Chen never contacted Ortiz to exit or reduce the position, and Ortiz sent two email check-ins during the period (in May and July), both reminding him of the compounding risks and asking if he wanted to reassess. Chen replied to the May email saying 'Still bullish, holding,' and did not reply to the July email.

In September 2023, the semiconductor sector pulled back 11% over three weeks, and the 3x ETF dropped approximately 38% from its August high. Chen's position fell from its peak of roughly \$81,400 to approximately \$50,500, nearly back to his original cost basis. Chen filed a complaint in October 2023, alleging that Ortiz should never have recommended a 3x leveraged product for a multi-month hold, that the two email check-ins were inadequate supervision, and that his \$30,900 round-trip loss from peak to trough demonstrated the product was unsuitable. He further claimed that the 30% concentration of the tactical account in a single 3x leveraged product was excessive regardless of his risk tolerance.

Ortiz's firm countered that Chen was a sophisticated, high-income investor who explicitly requested maximum upside exposure in a speculative account, that Ortiz provided both initial and ongoing disclosure of compounding risks, that Chen affirmatively chose to remain in the position after a written reminder, and that even after the pullback, Chen's position was still near breakeven - meaning he suffered no realized loss at all, since he had not sold. The firm also noted that the \$55,000 allocation represented only about 2% of Chen's total net worth and roughly 4% of his liquid investable assets.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Ortiz violated applicable standards: (1) A 3x leveraged ETF is a daily-resetting product explicitly designed for intraday or very short-term holding periods. Recommending it with a known anticipated holding period of approximately 90 days - and then allowing it to extend to five months - arguably conflicts with the product's stated purpose and the well-documented risks of volatility decay.

FINRA Regulatory Notice 09-31 specifically warned that leveraged ETFs 'are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' (2) The 30% allocation of the tactical account to a single 3x leveraged sector product creates significant concentration risk. Even in a speculative account, concentration in a product with 3x daily leverage magnifies both directional and compounding risk. (3) While Ortiz sent two email check-ins, some regulators would argue that ongoing monitoring of a complex leveraged product requires more proactive intervention - including potentially recommending liquidation or rebalancing when the holding period extended well beyond the originally stated 90-day horizon. Under Reg BI (Rule 15l-1), the care obligation requires not only that the initial recommendation be in the customer's best interest but also that there be a reasonable basis for any implicit recommendation to hold. FINRA RN 22-08 reinforced that complex products require heightened supervision and that firms must evaluate whether customers can understand and bear the risks.

Arguments that Ortiz acted appropriately: (1) Chen is by any reasonable measure a sophisticated investor - high income, substantial net worth, over a decade of active trading experience, an explicitly speculative account designation, and aggressive risk tolerance. He signed an enhanced disclosure form acknowledging the daily-reset compounding risk. (2) The \$55,000 position represented only ~2% of Chen's total net worth. In the context of his overall financial picture, even a total loss would not materially impair his financial situation. FINRA Rule 2111's customer-specific suitability analysis considers the customer's entire financial profile, not just the account in question. (3) Ortiz provided clear verbal disclosure at the time of recommendation and two written follow-ups - a level of diligence that exceeds what many advisors provide. Chen affirmatively chose to remain in the position after being reminded of the risks. (4) The product actually worked as intended during the bullish phase, generating a substantial gain. The subsequent pullback was a market risk event, not a product design failure. Chen's complaint is essentially about failing to time his exit, not about product unsuitability. (5) Chen never actually realized a loss. His position returned to approximately breakeven. The 'loss' he cites - the decline from peak value - is an unrealized opportunity cost, not an actual investment loss. Under FINRA Rule 2111 and Reg BI, suitability and best interest are evaluated at the time of the recommendation, considering the customer's profile and the information available. (6) FINRA RN 12-03 on complex products supervision emphasizes that firms should have reasonable policies, but it also acknowledges that sophisticated investors with speculative objectives may appropriately use leveraged products.

Why Borderline

This scenario sits in genuine gray territory because the investor profile - sophisticated, high-income, speculative account, aggressive risk tolerance, small allocation relative to total wealth - cuts strongly in favor of suitability, while the product characteristics - 3x daily-resetting leverage held for five months with documented path dependency effects - cut against it. The advisor provided meaningful initial and ongoing disclosure, but reasonable people can disagree about whether email check-ins constitute adequate monitoring of a leveraged position versus a more affirmative duty to recommend liquidation. The customer's own informed decision to hold further complicates any claim of advisor fault. Finally, the absence of any realized loss makes the damages question murky, even though the volatility decay and subsequent drawdown illustrate exactly the risks the product is known for.

Borderline Factors

- Customer is demonstrably sophisticated with over 12 years of active trading experience and signed complex product disclosures

- Account was explicitly designated as speculative with aggressive risk tolerance - the precise use case where leveraged products are most defensible
- Allocation was only ~2% of total net worth, making the position immaterial to overall financial health
- Advisor provided clear initial verbal disclosure and two written follow-up reminders about compounding risk during the holding period
- Customer affirmatively chose to continue holding after being reminded of risks in writing
- However, a 3x leveraged daily-resetting ETF was recommended with a known anticipated multi-month holding period, directly contrary to product design
- The five-month actual holding period significantly exceeded even the customer's initially stated 90-day plan
- 30% concentration within the tactical account in a single 3x leveraged product raises position-sizing concerns
- No realized loss occurred - customer's complaint is based on peak-to-trough unrealized decline
- The volatility decay experienced (48% gain vs. theoretical 72%) demonstrates the precise compounding risk that makes long-term holding problematic

Likely Outcome

A regulator would most likely find no violation, but would issue cautionary guidance. The strong investor profile, explicit speculative account designation, small allocation relative to total wealth, thorough initial disclosure, and documented follow-up communications create a substantial defense. The customer's affirmative decision to hold after a written reminder about compounding risk significantly undermines the complaint. However, a regulator might note that recommending a 3x leveraged product with a known 90-day anticipated holding period approaches the outer boundary of defensible practice, and that more robust follow-up - such as a phone call or formal position review rather than just emails - would have been prudent, particularly once the holding period extended beyond the initial plan. The absence of a realized loss further weakens the customer's claim. The firm might receive a deficiency letter regarding its monitoring procedures for leveraged product positions but would likely not face an enforcement action or arbitration award on these facts.

Borderline Scenario 97

Topic: inappropriate_risk_profile | Standard: FINRA Rule 2111 (Suitability) - requiring reasonable-basis, customer-specific, and quan

Fact Pattern

Marcus Trent, a 58-year-old semi-retired aerospace engineer, opened a brokerage account in March 2022 with advisor Danielle Kessler at Ridgecrest Financial Services. Trent had a net worth of approximately \$2.8 million, with \$1.6 million in retirement accounts, a paid-off home worth \$650,000, and roughly \$550,000 in taxable investment accounts. His annual pension income was \$94,000, and he did occasional consulting work earning \$30,000-\$50,000 per year. On his new account form, Trent selected "aggressive growth" as his investment objective, listed his risk tolerance as "high," and noted 25 years of self-directed investing experience, including options trading and sector-concentrated equity positions. He told Kessler during onboarding that he had traded leveraged ETFs on his own at a previous brokerage "dozens of times" over the prior four years and understood daily resetting mechanics.

In April 2022, Trent told Kessler he was strongly bearish on the technology sector due to rising interest rates and wanted exposure to profit from a tech decline. Kessler recommended a 3x inverse leveraged ETF tracking the Nasdaq-100 index. She explained the product's daily reset feature verbally and noted that holding periods beyond a few days could produce returns that diverge significantly from three times the inverse of the index's cumulative return. She did not provide written materials or the fund's prospectus at the time of the recommendation, though the prospectus was available on the firm's platform and Trent had access to it. She suggested an initial allocation of \$75,000 - approximately 13.6% of his taxable portfolio.

Trent purchased \$75,000 of the 3x inverse Nasdaq-100 ETF on April 11, 2022. Over the following weeks, as the Nasdaq declined, the position gained value, reaching approximately \$98,000 by mid-May. Rather than taking profits, Trent told Kessler he wanted to hold the position because he believed the tech selloff had further to run. Kessler documented this conversation in her CRM notes and suggested he consider trimming the position or setting a stop-loss, but did not insist or restrict the account. In June, the Nasdaq experienced a sharp but temporary rally, and the position dropped to approximately \$62,000. Trent held through. He added another \$25,000 to the same ETF on June 28 at what he called a "better entry point," bringing his total investment to \$100,000.

Over the summer of 2022, the Nasdaq experienced significant two-way volatility - declining roughly 5% in some weeks, then recovering 3-4%, then declining again. By September 30, 2022, the Nasdaq-100 had declined approximately 10% from Trent's initial April purchase date, yet Trent's combined leveraged inverse ETF position was worth only \$71,400 - a loss of \$28,600 or 28.6% - rather than the roughly 30% gain a naive investor might have expected from holding a 3x inverse product over a period when the index fell 10%. The volatility decay and path dependency had substantially eroded the position's value.

Trent held through year-end. By January 31, 2023, the Nasdaq had rallied sharply, and Trent's position was worth \$38,200 - a total loss of \$61,800 on his \$100,000 investment. He finally sold on February 3, 2023, after holding the initial position for nearly ten months and the second tranche for over seven months.

Trent subsequently filed a complaint alleging that Kessler recommended a product that was fundamentally unsuitable for any holding period beyond a few days, that she failed to ensure he understood the mathematical certainty of volatility decay over longer periods, and that she should have either refused to allow the additional purchase in June or forced liquidation of the position when it became clear he was treating a tactical trading instrument as a long-term directional bet. He claimed his risk profile as a near-retiree with pension income was inconsistent with the product regardless of what boxes he checked on the account form.

Kessler's firm noted in its response that Trent was a sophisticated, high-net-worth investor who self-identified as aggressive, had prior experience with leveraged ETFs, was verbally warned about the daily reset risk, initiated the decision to hold and to add to the position against Kessler's documented suggestion to trim, and that the \$100,000 allocation represented approximately 3.6% of his total net worth and 18% of his taxable account. The firm also noted that Kessler conducted the account as a non-discretionary brokerage account, meaning Trent approved every transaction.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents tensions on multiple axes. On one hand, the initial recommendation of a 3x inverse leveraged ETF to a client with documented aggressive risk tolerance, high net worth, and self-reported prior experience with these specific products is not facially unsuitable. The allocation was moderate relative to total net worth (3.6%) and even relative to taxable assets (initially ~13.6%). Kessler verbally disclosed the daily reset risk and documented her suggestion that Trent trim the position when it was profitable - advice he rejected.

Arguments favoring a finding of no violation include: (1) Trent's documented aggressive risk tolerance and investment objective; (2) his stated 25 years of investing experience including prior leveraged ETF trading; (3) the non-discretionary nature of the account, meaning Trent controlled all buy/hold/sell decisions; (4) Kessler's documented verbal warnings about daily reset mechanics and her suggestion to trim; (5) the position size was not an outsized concentration relative to total net worth; (6) Trent himself initiated the decision to hold and to add to the position.

Arguments favoring a violation include: (1) Under Reg BI and its care obligation, a recommendation must be in the customer's best interest at the time made, and recommending a daily-resetting 3x leveraged product inherently carries the expectation that it will be held short-term - the initial recommendation arguably should have included explicit parameters around holding period, and Kessler's failure to provide written materials or the prospectus at the point of recommendation may reflect inadequate diligence; (2) FINRA has repeatedly warned that leveraged and inverse ETFs are generally unsuitable for retail investors who plan to hold them for longer than one trading session, and while Trent claimed sophistication, his actual behavior - holding for 7-10 months and averaging down - suggests he did not functionally understand path dependency despite his claims; (3) Kessler's June failure to more forcefully intervene when Trent wanted to add \$25,000 to a deteriorating position that was already exhibiting volatility decay could be seen as a failure to exercise reasonable diligence under the care obligation, even in a non-discretionary account; (4) At age 58 with pension-dependent retirement income, the risk profile designation of 'aggressive' may itself have warranted additional scrutiny - advisors have an obligation to probe beyond check-box self-assessments; (5) the firm's supervisory procedures for complex products may have required enhanced documentation, written risk disclosures, or holding-period alerts that were not implemented.

The duty under Reg BI extends to the point of recommendation, and the initial recommendation in April was not unreasonable given the documented profile. However, the additional purchase in June, after the position had already demonstrated the effects of volatility decay, raises a separate question: did Kessler have an obligation to do more than merely suggest trimming? In a non-discretionary account, the advisor cannot block a client's trade, but under both legacy suitability standards and Reg BI, the advisor arguably should not have facilitated or processed an additional purchase into a product that was already performing in a manner inconsistent with the client's apparent expectations without more robust intervention - potentially including a refusal to recommend the additional purchase and escalation to a supervisor.

Why Borderline

The case sits at the intersection of client autonomy and advisor duty. Trent was wealthy, experienced, self-identified as aggressive, and made his own hold/add decisions against documented advisor guidance.

Yet the product is one that regulators have specifically flagged as problematic for holding periods beyond one day, the advisor did not provide written disclosures or the prospectus at the time of recommendation, and the client's actual behavior revealed a gap between claimed and functional sophistication. Reasonable practitioners could disagree about whether an advisor who verbally warns a knowledgeable client and documents suggestions to exit has discharged her obligations, or whether the nature of daily-resetting leveraged products demands a higher standard of intervention including written acknowledgments, holding-period parameters, and possibly refusal to process additional purchases when decay is already evident.

Borderline Factors

- Client's documented aggressive risk tolerance and self-reported prior leveraged ETF experience versus his actual behavior of holding for months and averaging down, suggesting a gap between claimed and functional understanding
 - Non-discretionary account where client controlled all decisions and rejected advisor's documented suggestion to trim, versus advisor's ongoing duty to act in client's best interest even when client disagrees
 - Position size was moderate relative to total net worth (3.6%) but significant relative to taxable portfolio (18%), making concentration arguments debatable
 - Verbal disclosure of daily reset risk was provided but no written materials, prospectus, or signed acknowledgment were delivered at time of recommendation
- The initial recommendation in April was reasonable given documented profile, but the facilitation of the additional \$25,000 purchase in June - after volatility decay was already observable - raises a distinct and arguably stronger basis for a violation
 - Client's age (58) and pension-dependent income profile create tension with the 'aggressive' self-designation, but high net worth and consulting income provide a financial cushion
 - Regulatory guidance has consistently warned that these products are generally unsuitable for long-term holding, but has not categorically prohibited recommendations to experienced investors for shorter-term tactical use

Likely Outcome

A regulator would likely find a partial violation, focusing less on the initial April recommendation - which was defensible given Trent's profile, allocation size, and verbal disclosures - and more on two specific deficiencies: (1) the failure to provide written risk disclosures or the prospectus at the point of recommendation, which most firm supervisory procedures for complex products require, and (2) the facilitation of the additional June purchase without more robust intervention when the product was already demonstrating the decay effects the client apparently did not internalize. While Trent's sophistication and autonomy would mitigate damages and could reduce sanctions, the advisor's duty under Reg BI's care obligation is not fully discharged by a verbal suggestion to trim that the client ignores. The most likely regulatory outcome is a finding of supervisory and documentation deficiencies rather than a straightforward suitability violation, with potential for a modest fine and enhanced supervisory requirements rather than disgorgement or suspension.

Borderline Scenario 98

Topic: *complex_products_unsophisticated_investor* | Standard: *FINRA Rule 2111 (Suitability) - requiring reasonable-basis, customer*

Fact Pattern

Margaret Downey, age 58, is a retired school librarian in Tucson, Arizona, with a \$410,000 IRA account and a modest \$1,800/month pension. She has no college-level coursework in finance and describes her investment knowledge as 'basic - I understand stocks go up and down.' Her account application lists her risk tolerance as 'moderate,' her investment objective as 'growth and income,' and her time horizon as '10+ years.' She has previously held only broad index mutual funds and a small allocation to Treasury bonds.

In March 2023, Margaret's financial advisor, David Kerrigan, age 34, recommended she allocate \$45,000 - roughly 11% of her portfolio - to a 2x leveraged S&P 500 ETF (daily resetting). Kerrigan had noted in internal emails that the S&P 500 appeared oversold following a correction and saw a window for 'enhanced upside capture over the next several months.' He documented a meeting with Margaret where he explained that the product seeks to deliver twice the daily return of the S&P 500, that it resets daily, and that holding it longer than one day carries risk that returns may deviate from 2x the index over time. Margaret signed an acknowledgment form stating she understood the product involved leverage and was designed for short-term trading.

Kerrigan set a calendar reminder to review the position at 90 days. The S&P 500 rose approximately 8% over the next three months, and the leveraged ETF gained roughly 15.2%, slightly less than the theoretical 16% due to volatility drag during the period. At the 90-day review in June 2023, Kerrigan recommended holding the position 'a bit longer' given continued bullish momentum, and Margaret agreed. He set another 90-day reminder.

During the summer, markets experienced a choppy, range-bound period with several 2-3% swings over individual weeks. By the second review in September 2023, the S&P 500 had gained an additional 1.5% from June, but the leveraged ETF had actually lost 0.8% over the same period due to the compounding effect of daily resets in a volatile, sideways market. Kerrigan explained the divergence to Margaret and recommended liquidating the position. Margaret, however, asked to hold it, saying 'it did so well in the spring, let's give it more time.' Kerrigan acquiesced and documented her request.

By December 2023, the S&P 500 had recovered and finished the year up roughly 12% from Margaret's March entry. The leveraged ETF, however, had returned only about 17% - well below the 24% a naive investor might expect. Margaret's \$45,000 had grown to approximately \$52,650. She expressed disappointment but no financial hardship.

Margaret later filed a complaint alleging the product was unsuitable for a retiree with basic investment knowledge, that the advisor should never have recommended a leveraged product for her IRA, and that even though she made money, the product's risks were inappropriate given her profile. She argued that the signed acknowledgment was inadequate because she did not truly understand volatility decay. Kerrigan's firm counters that the allocation was modest (11%), the advisor provided disclosure and explanation, the position was monitored with documented reviews, the advisor actually recommended selling at the second review but the client chose to hold, and the client ultimately profited.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Kerrigan violated applicable standards:

1. ****Customer Profile Mismatch****: Margaret is a 58-year-old retiree with basic investment knowledge, a moderate risk tolerance, and a growth-and-income objective. Leveraged ETFs are widely recognized as complex products designed for sophisticated, active traders. Under both the legacy suitability framework (FINRA Rule 2111) and the enhanced Regulation Best Interest standard (Rule 15l-1), advisors must consider the customer's investment profile, including knowledge, experience, and risk tolerance. A daily-resetting 2x leveraged product arguably exceeds the complexity appropriate for someone who has only ever held broad index funds and Treasuries.
2. ****IRA Account Concerns****: FINRA Regulatory Notices 09-31 and 12-03 specifically warned that leveraged and inverse ETFs are generally unsuitable for retail investors who plan to hold them for longer than one trading session. Placing such a product in a retirement account - where the client's stated horizon is 10+ years and the purpose is retirement income preservation - raises heightened concerns. Even though the holding was intended to be shorter-term, the IRA context amplifies the mismatch.
3. ****Inadequacy of Disclosure****: While Margaret signed an acknowledgment form, her self-described 'basic' knowledge raises the question of whether she genuinely understood path dependency and volatility decay. FINRA RN 22-08 on complex products emphasizes that firms must go beyond checkbox disclosures and ensure a reasonable basis to believe the customer actually understands the material risks. A signed form does not automatically satisfy this standard, especially for a customer with no financial education.
4. ****Holding Period Extension****: Even though Kerrigan set review dates, the fact that he initially recommended holding beyond the 90-day window - saying 'a bit longer' - is problematic. This extended the holding period of a daily-resetting product into a choppy market where volatility decay risk was most acute. The product's underperformance during the summer validates the concern.
5. ****Profit Does Not Equal Suitability****: The fact that Margaret ultimately made money does not cure a suitability deficiency. Regulatory standards are evaluated at the time of the recommendation, not based on outcome.

Arguments that Kerrigan did NOT violate applicable standards:

1. ****Modest Allocation****: The \$45,000 position represented approximately 11% of a \$410,000 portfolio. This is not a concentrated bet. The remaining 89% of the portfolio was presumably in conservative holdings consistent with Margaret's profile. Regulators have generally focused enforcement on cases involving outsized allocations or pattern recommendations of leveraged products.
2. ****Documented Disclosure and Explanation****: Kerrigan held a meeting specifically to explain daily resetting, leverage, and the risk of deviation from the index over time. He obtained a signed acknowledgment. While the sufficiency of disclosure is debatable, this is meaningfully more than many advisors provide.

3. ****Active Monitoring and Timely Review****: Kerrigan set 90-day review dates and actually recommended selling the position at the second review when volatility decay was evident. The client chose to override his recommendation and hold. This is documented. The advisor cannot force a client to sell.

4. ****Tactical, Not Strategic, Allocation****: Kerrigan's internal emails show the recommendation was based on a specific market thesis (post-correction rebound) with a defined short-to-medium-term horizon. He did not recommend the leveraged ETF as a long-term core holding. This is more defensible than a buy-and-hold recommendation.

5. ****Moderate Risk Tolerance Includes Some Risk****: Margaret's stated risk tolerance was 'moderate,' not 'conservative.' A moderate risk tolerance with a growth objective arguably permits some exposure to higher-volatility instruments, particularly at a limited allocation size.

6. ****Client Autonomy****: After being advised to sell in September, Margaret exercised her own judgment to hold. Regulation Best Interest requires the advisor to act in the client's best interest at the time of the recommendation; it does not require overriding the client's subsequent autonomous decisions.

Why Borderline

This scenario is genuinely ambiguous because the advisor took several steps that mitigate the concern - modest allocation, disclosure, active monitoring, documented recommendation to sell - but the fundamental question remains whether a daily-resetting 2x leveraged ETF should ever be recommended to a 58-year-old retired librarian with basic financial knowledge in an IRA account, regardless of allocation size or disclosure provided. Reasonable compliance professionals disagree on whether robust process and documentation can cure a fundamental product-profile mismatch, or whether certain products are effectively per se unsuitable for certain customer types. The fact that the client ultimately profited, that the advisor recommended selling when decay became evident, and that the client overrode that advice all cut in the advisor's favor - but the initial recommendation itself is the focal point of regulatory scrutiny.

Borderline Factors

- Small allocation (11%) versus the client's unsophisticated profile and retirement account context
- Signed acknowledgment form versus the client's self-described 'basic' investment knowledge and lack of financial education
- Advisor recommended selling at 90-day review but client chose to hold - tension between advisor obligation and client autonomy
- Product was recommended tactically with a defined thesis, not as a long-term holding, but the holding period extended to 9 months
- Client ultimately earned a positive return, though less than a naive 2x expectation - outcome does not determine suitability but influences perception
- Moderate risk tolerance and growth objective provide some basis for risk-taking, but leveraged daily-resetting products are qualitatively different from traditional equity exposure
- IRA account amplifies concerns about product appropriateness versus the argument that not all IRA assets must be conservatively invested

Likely Outcome

A regulator would most likely find a violation, though perhaps with mitigated sanctions. The core issue is

that FINRA guidance has repeatedly and explicitly warned that leveraged and inverse ETFs with daily resets are typically unsuitable for retail investors who hold beyond a single trading session, and that special care is needed for customers with limited sophistication. While Kerrigan's documentation, monitoring, and recommendation to sell are all favorable facts, they are unlikely to overcome the threshold concern that this product category was fundamentally mismatched with this customer profile. The IRA context and the client's lack of financial sophistication weigh heavily. However, the modest allocation, positive outcome, and strong documentation would likely result in a lesser sanction - perhaps a letter of caution or a fine on the lower end - rather than a suspension or significant monetary penalty. The firm's supervisory procedures would also be scrutinized: did the firm have policies restricting leveraged ETF recommendations in retirement accounts or for customers below a certain experience threshold?

Borderline Scenario 99

Topic: failure_to_know_customer | Standard: FINRA Rule 2111 (Suitability Obligation, including customer-specific suitability); Regula

Fact Pattern

Margaret Chen, age 58, is a semi-retired software engineer who left her full-time position at a major tech company in 2021 but continues to do consulting work earning approximately \$85,000 per year. She has a \$1.4 million portfolio, roughly \$900,000 in a rollover IRA and \$500,000 in a taxable brokerage account. Her new account form, completed in March 2022, lists her investment objective as 'growth' with a 'moderate' risk tolerance and a time horizon of '10+ years.' She has 30 years of investing experience, primarily in individual tech stocks and broad market index funds. She told her advisor, Ryan Dalton, that she follows the market daily, reads financial news extensively, and described herself as someone who 'understands how derivatives work' from her years in the tech industry, though she has never traded options or futures.

In April 2022, during a meeting, Margaret expressed concern about a potential market downturn and told Ryan she wanted to 'hedge her tech-heavy portfolio without selling her long-term positions because of the tax consequences.' Ryan suggested she allocate \$75,000 from her taxable account-roughly 15% of that account and about 5.4% of her total portfolio-into a 2x leveraged inverse Nasdaq-100 ETF. Ryan explained that the product resets daily and is designed to deliver twice the inverse daily return of the Nasdaq-100, and that holding it for more than a few weeks could produce returns that diverge significantly from what she might expect. He documented in his notes that he told her this was a 'short-to-medium-term tactical hedge, not a buy-and-hold position' and that they should 'revisit in 30 to 60 days.'

Margaret agreed. However, Ryan did not provide her with the ETF's prospectus or any supplemental educational materials about daily-resetting leveraged products. He also did not update her account profile to reflect a 'speculative' or 'hedging' objective, nor did he add any notation about her derivatives knowledge or lack thereof. The firm's internal product classification system flagged the 2x leveraged inverse ETF as a 'complex product' requiring a supervisor's sign-off, which Ryan obtained from his branch manager, who approved the trade after a brief phone conversation but did not independently speak with Margaret or review her account documentation.

Over the next four months, the Nasdaq-100 experienced significant volatility-declining roughly 12% from

April through mid-June, then rebounding 9% by late July, before dropping again in August. By September 2022, the Nasdaq-100 was down approximately 8% from where it stood when Margaret purchased the inverse ETF. Theoretically, a perfect 2x inverse position would have gained roughly 16%, but due to the daily reset mechanism and the volatile path, Margaret's position was up only about 4.5%, a gain of approximately \$3,375 on her \$75,000 investment. Margaret was confused and frustrated, having expected much larger gains given the market's overall decline. She called Ryan multiple times in July and August; Ryan returned her calls but told her to 'stay the course' because 'the market would keep falling.' He did not reassess the position in light of the path dependency effects or suggest trimming or exiting.

In October 2022, Margaret filed a complaint alleging that Ryan never truly understood her financial situation or knowledge level, recommended a product that was too complex for her profile, and failed to monitor the position appropriately. Ryan's firm countered that Margaret was a sophisticated investor with decades of market experience, that the allocation was a small percentage of her overall portfolio, that Ryan gave verbal warnings about the product's behavior, and that the position actually made money.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Ryan violated applicable standards:

1. **Failure to Know the Customer:** Under FINRA Rule 2111 (Suitability) and its three component obligations—reasonable-basis, customer-specific, and quantitative suitability—an advisor must make reasonable efforts to understand a customer's investment profile before making a recommendation. Regulation Best Interest (Rule 15l-1 under the Exchange Act) imposes a 'Care Obligation' requiring the advisor to exercise reasonable diligence, care, and skill in understanding the customer's investment profile. Margaret's account documents listed 'moderate' risk tolerance and 'growth' objective with no mention of hedging, speculative trading, or derivatives experience. Ryan failed to update these documents, meaning the written profile did not support the recommendation. FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs are 'typically unsuitable for retail investors who plan to hold them for longer than one trading session' and that firms must conduct proper due diligence. RN 22-08 reinforces that complex products require heightened supervision and that firms should assess whether customers actually understand the products, not merely accept their self-descriptions of sophistication. Margaret's 'understanding of derivatives' was self-reported and based on general tech industry knowledge, not actual trading experience with options, futures, or leveraged products. Ryan did not probe further or verify this claim.
2. **Inadequate Disclosure and Documentation:** Ryan did not provide the prospectus, which is particularly problematic for a daily-resetting leveraged product whose compounding effects are counterintuitive even for experienced investors. While verbal disclosure was made, FINRA RN 12-03 emphasizes that firms should provide clear, written explanations of complex products' risks, including path dependency and volatility decay.
3. **Failure to Monitor:** Even accepting the initial recommendation as reasonable, Ryan's advice to 'stay the course' during a period of high volatility contradicts the very nature of the product he recommended. He

himself described it as a '30 to 60 day' tactical position but let it run for nearly six months without meaningful reassessment. Under Reg BI's Care Obligation, the recommendation encompasses not just the initial purchase but ongoing advice about the position.

4. Supervisory Gaps: The branch manager approved the trade without reviewing Margaret's account documents or speaking with her directly, which may fall short of the heightened supervisory requirements for complex products outlined in FINRA RN 09-31 and RN 22-08.

Arguments that Ryan acted appropriately:

1. Margaret's Sophistication: Margaret had 30 years of investing experience, followed markets daily, and affirmatively stated she understood derivatives concepts. She was not a novice investor being sold a product she could not comprehend. Courts and arbitration panels have recognized that investor sophistication can mitigate claims of unsuitability.

2. Reasonable Allocation Size: The \$75,000 position represented only about 5.4% of Margaret's total portfolio—a relatively modest tactical allocation. This is not a case where a leveraged inverse ETF dominated a retiree's portfolio. The position was sized as a hedge, not a core holding.

3. Verbal Disclosure Was Made: Ryan's contemporaneous notes document that he explained the daily-reset mechanism, warned about divergence from expected returns over longer periods, and characterized the position as short-to-medium term. While written materials would have been better practice, verbal disclosure is not per se inadequate.

4. The Position Was Profitable: Margaret's \$75,000 investment gained approximately \$3,375 (4.5%). While the gain was less than she expected, the product did function directionally as a hedge during a declining market. The complaint is essentially about underperformance relative to expectations, not actual losses.

5. Rational Investment Thesis: The recommendation to hedge a tech-heavy portfolio without triggering capital gains was a reasonable strategy. Margaret herself identified the goal, and Ryan proposed a product that addressed it, albeit imperfectly.

6. Margaret's Own Conduct: Margaret was an engaged, market-savvy investor who agreed to the position and could have sold at any time. She did not request to exit during her July and August calls; rather, she was calling about the position's underperformance.

Why Borderline

This case sits in a genuine gray zone because the advisor made a defensible recommendation for a legitimate hedging purpose to a relatively sophisticated investor at a modest portfolio allocation, and the position was profitable. However, the advisor failed to update the customer's profile to reflect the strategy, did not provide written materials about a product whose risks are notoriously counterintuitive, and then failed to follow his own stated timeline for reassessing the position—effectively letting a product he characterized as short-term become a medium-to-long-term holding during a period of precisely the kind of volatility that causes these products to underperform expectations. The supervisory review was also

arguably perfunctory for a complex product. Reasonable practitioners could disagree about whether these documentation and monitoring failures, in the context of a profitable trade for a knowledgeable client, constitute actionable violations or merely best-practice shortcomings.

Borderline Factors

- Customer self-described as understanding derivatives but had no actual trading experience with leveraged, inverse, or options products
- Account profile listed 'moderate' risk and 'growth' objective, was never updated to reflect hedging or speculative activity
- Position size was only ~5.4% of total portfolio, limiting overall risk impact
- Advisor gave verbal but not written disclosure about daily-reset mechanics and path dependency
- Advisor set a 30-60 day review timeline but held the position for approximately 5-6 months without formal reassessment
- The position was profitable, complicating a damages theory, but underperformed customer expectations due to volatility decay
- Supervisor approved the complex product trade without independently reviewing the customer's profile or speaking with the customer
- The investment thesis-tax-efficient hedging of concentrated tech exposure-was fundamentally rational
- Advisor's 'stay the course' guidance during volatile months contradicted the short-term tactical nature of the product

Likely Outcome

A regulator would most likely find a violation, but with mitigating factors that would reduce sanctions. The core issue is the failure to know the customer in a meaningful sense: while Ryan was aware of Margaret's general investing background, he did not adequately assess her understanding of the specific risks of daily-resetting leveraged products, did not update her account profile to support the recommendation, and did not provide written educational materials for a product flagged as complex. Additionally, his failure to reassess the position within his own stated timeline-and his advice to hold through significant volatility-contravenes the guidance in FINRA RN 09-31 that these products are generally unsuitable for holding periods beyond a single trading session and that firms must have robust monitoring procedures. The supervisory review would also likely be found deficient under FINRA RN 22-08's enhanced expectations for complex product oversight. However, the modest allocation size, the customer's genuine sophistication, the profitable outcome, and the legitimate hedging rationale would likely lead to a finding focused on process and documentation failures rather than substantive harm, resulting in a cautionary action, enhanced supervision requirements, or a modest fine rather than severe sanctions.

Borderline Scenario 100

Topic: leveraged_etf_unsuitable | Standard: FINRA Rule 2111 (Suitability), including customer-specific, reasonable-basis, and quant

Fact Pattern

Marcus Webb, a 58-year-old semi-retired aerospace engineer, maintained a \$1.4 million brokerage account with Trident Wealth Partners. Webb had traded options for over 15 years, maintained a margin account, and had previously held sector-specific ETFs for periods ranging from weeks to several months. His

account application listed his risk tolerance as 'aggressive,' his investment objective as 'speculation/trading,' and his annual income as \$190,000 (a combination of consulting fees and pension). Webb also held a separate \$2.1 million IRA managed conservatively by another firm.

In March 2022, Webb contacted his advisor, Derek Tan, expressing a strong directional view that the semiconductor sector would rally over the next two to four months based on what he described as a supply-chain recovery thesis. He asked Tan about ways to gain amplified exposure. Tan discussed several alternatives including call options on a semiconductor ETF, a 3x daily-leveraged semiconductor ETF (ticker: SOXL), and buying the underlying semiconductor ETF on margin. Webb told Tan he was familiar with leveraged products and understood they reset daily.

Tan explained that over a multi-month holding period, the 3x leveraged ETF might not deliver exactly three times the index return, and that high volatility could erode returns even if the underlying index eventually moved in Webb's favor. However, Tan did not provide a quantitative illustration of how volatility decay or path dependency could specifically affect returns in different market scenarios. Tan also did not document this conversation in writing or follow up with any supplemental educational materials.

Webb purchased \$175,000 of SOXL on March 14, 2022, representing approximately 12.5% of his Trident account. Tan set a calendar reminder to check in with Webb after 30 days. At the 30-day mark, the position was down roughly 18%, and Webb told Tan he wanted to hold because he believed the thesis was intact. Tan noted the conversation in his CRM system but did not push back or recommend an exit. Webb continued to hold.

By late July 2022—approximately four and a half months later—the semiconductor index had actually gained 2.3% from Webb's entry point, but SOXL had lost approximately 11% due to the whipsaw volatility during that period (the index experienced multiple swings of 5-8% in individual weeks). Webb sold the position at a loss of roughly \$19,250.

Webb filed a complaint alleging that Tan should never have recommended a daily-resetting 3x leveraged product for a holding period of months, and that Tan failed to adequately explain the mathematical certainty that volatility would destroy value over that timeframe. Webb argued that Tan should have steered him toward options or margined ETF positions, which would have been profitable given the index's positive return.

Tan's firm countered that Webb was a highly experienced, aggressive investor who specifically sought amplified exposure, that the position was a modest percentage of his total wealth (under 5% when including his IRA), that Tan verbally explained the risks of daily resetting and volatility impact, and that Webb made an independent decision to continue holding after the 30-day check-in. The firm also noted that Webb's account paperwork specifically authorized speculative trading and that the holding period, while longer than ideal for a daily-resetting product, was not egregiously long.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

This scenario presents competing considerations that cut both ways.

****Arguments that Tan violated applicable standards:****

1. Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Rule 15l-1 under the Exchange Act), a recommendation must be suitable and in the customer's best interest, considering the specific product's characteristics. FINRA Regulatory Notices 09-31 and 12-03 specifically warn that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of compounding, path dependency, and volatility decay.
2. FINRA RN 09-31 states that 'inverse and leveraged ETFs that are reset daily typically are unsuitable for retail investors who plan to hold them for longer than one trading day' and places an affirmative obligation on firms and advisors to understand these products before recommending them.
3. Tan knew from the outset that Webb intended to hold the product for two to four months-well beyond a single trading day. The recommendation of a daily-resetting 3x leveraged product for a multi-month thesis is precisely the scenario regulators have flagged as problematic.
4. Tan's verbal explanation was generic and not documented. He failed to provide quantitative illustrations showing how volatility decay could cause losses even when the index was flat or slightly positive-which is exactly what happened. FINRA RN 22-08 on complex products reinforces the need for robust disclosures and heightened supervisory obligations, including written documentation.
5. At the 30-day check-in, when the position was already down 18% despite no catastrophic move in the underlying index (a classic volatility decay scenario), Tan did not recommend exiting or escalate concerns about the holding period.

****Arguments that Tan acted within applicable standards:****

1. Webb was not a typical retail investor. He had 15+ years of options trading experience, an aggressive risk profile, speculative investment objectives, and a margin account. He specifically sought amplified exposure and initiated the conversation. Under the customer-specific prong of suitability analysis, this profile supports the recommendation.
2. The position was \$175,000 in a \$1.4 million account (12.5%), and only about 5% of Webb's total investable assets including his conservatively managed IRA. This is not a case of over-concentration or bet-the-farm allocation.
3. Tan did explain that the product resets daily and that volatility could erode returns over multi-month periods-even if the explanation was not quantitative or documented in writing. Webb acknowledged understanding this.
4. Tan offered alternatives (options, margined ETF) and Webb chose SOXL. This was an informed choice among presented alternatives, not a situation where the advisor pushed a single product.

5. Tan proactively set a 30-day check-in and followed through, documenting the conversation. While he did not push Webb to exit, Webb was an experienced investor who affirmatively chose to maintain the position.

6. FINRA guidance states daily-resetting products are 'typically' unsuitable for long holding periods but does not create an absolute prohibition. For sophisticated investors with appropriate risk tolerance and position sizing, there may be room for multi-week or even multi-month holding periods, as some academic literature (including work by Trainor and Carroll) suggests decay thresholds can be calculated to identify acceptable holding periods.

7. The total loss was approximately \$19,250-meaningful but not devastating given Webb's overall financial profile.

****Reg BI Analysis:****

Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill in making the recommendation, considering the product's risks, costs, and the investor's profile. The Disclosure Obligation requires full disclosure of material risks. The lack of written, quantitative disclosure of volatility decay is a weakness, but the verbal explanation and Webb's sophistication partially mitigate this. The Care Obligation does not require that the advisor select the single best option, but rather that the recommendation be in the customer's best interest at the time without placing the advisor's interest ahead of the customer's.

Why Borderline

This case sits at the intersection of clear regulatory warnings about daily-resetting leveraged products held beyond one day and the reality that an experienced, aggressive, well-capitalized investor specifically sought amplified short-term exposure and was verbally warned about the risks. The holding period (4.5 months) is longer than a typical trade but shorter than a buy-and-hold strategy, and the position was modestly sized relative to total wealth. Regulators have never established a bright-line prohibition on recommending leveraged ETFs for holding periods beyond one day to sophisticated investors, yet the guidance strongly implies such recommendations require extraordinary justification. The advisor's failure to document the conversation or provide quantitative illustrations is a procedural weakness, but Webb's experience and independent decision-making complicate the narrative.

Borderline Factors

- Webb's 15+ years of options experience and aggressive/speculative investment profile suggest he is not the typical retail investor these warnings target
- The position represented only ~12.5% of the Trident account and ~5% of total investable assets, limiting concentration risk
- Tan verbally explained daily resetting and volatility decay but did not provide written quantitative illustrations or document the discussion
- The intended holding period of 2-4 months is materially longer than one day but is not a long-term buy-and-hold strategy
- Tan offered alternatives (options, margined ETF) and Webb independently chose the leveraged ETF
- At the 30-day check-in, Tan did not affirmatively recommend exiting despite the position exhibiting classic volatility decay symptoms

- The loss of ~\$19,250 was meaningful but not catastrophic relative to Webb's total wealth
- Webb initiated the discussion seeking amplified exposure, rather than Tan proactively soliciting the trade
- Regulatory guidance uses language like 'typically unsuitable' rather than absolutely prohibited for holding periods beyond one day

Likely Outcome

A regulator would most likely find a technical violation, but with mitigating factors that would reduce any sanctions. The core issue is that Tan recommended a daily-resetting 3x leveraged ETF knowing Webb intended to hold it for months, which directly contravenes the thrust of FINRA's guidance. The failure to provide written quantitative disclosures and the failure to more forcefully address the holding period at the 30-day check-in would be viewed as procedural failures. However, the sophisticated customer profile, modest position sizing relative to total assets, verbal risk discussion, presentation of alternatives, and the proactive check-in would all be treated as significant mitigating factors. The most likely outcome would be a finding of deficient supervision or inadequate documentation rather than a finding of egregious misconduct, potentially resulting in a cautionary letter or modest fine rather than significant sanctions. A panel might also find that Webb bore substantial responsibility for his own decision to hold through the check-in period.